

120TH CONGRESS OF THE UNITED STATES OF AMERICA

NATIONAL SOVEREIGNTY AND RESILIENCE ACT OF 2028

An Act to establish mechanical triggers, strict liability, and a self-executing framework to safeguard and guarantee the economic, computational, food supply, infrastructural, and environmental sovereignty of the United States; to eradicate global wage arbitrage and asset commodification; to secure personal data rights and knowledge sovereignty; to capitalize the sovereign infrastructure of the Nation through a closed-loop fiscal engine; and to deliver measurable, durable economic benefits to every American household.

BE IT ENACTED BY THE SENATE AND HOUSE OF REPRESENTATIVES OF THE UNITED STATES OF AMERICA IN CONGRESS ASSEMBLED,

TITLE 0 — STATUTORY FOUNDATIONS AND CORE DEFINITIONS

**SEC. 001. SHORT TITLE; TABLE OF CONTENTS.**

(a) SHORT TITLE.—This Act may be cited as the "National Sovereignty and Resilience Act of 2028" or the "NSRA."

(b) FINDINGS OF BROAD NATIONAL CONSENSUS.—Congress finds that the provisions of this Act reflect policy areas of documented bipartisan concern, including: domestic manufacturing competitiveness, pharmaceutical pricing fairness, housing affordability, retirement security, food supply-chain resilience, infrastructure investment, and protection of taxpayer-funded research from foreign extraction.

**SEC. 002. CONGRESSIONAL FINDINGS AND DECLARATION OF STRUCTURAL CAUSALITY.**

The Congress finds and declares the following:

(1) The legacy economic, technological, and infrastructural architectures of the United States have fallen into advanced systemic fragility due to over-reliance on international wage arbitrage, unmitigated capital offshoring, and the speculative financialization of foundational human assets such as shelter, food, and knowledge.

(2) Effective national policy requires rigorous accounting for structural, systemic, and material conditions — including historical capital allocation, infrastructure access, and labor market dynamics — as primary causal variables alongside individual factors when evaluating economic outcomes and designing federal programs. Policy frameworks that omit structural causation variables from their analytical models produce systematically inaccurate results and inefficient resource allocation.

(3) The preservation of United States sovereignty requires the immediate implementation of a self-capitalizing, anti-fragile domestic production network driven by mechanical triggers, strict corporate liability, and an unbreakable baseline of physical, computational, and cognitive protections for the citizenry.

(4) The measures contained herein are grounded in the Commerce Clause (Art. I, Sec. 8, Cl. 3), the Spending Clause (Art. I, Sec. 8, Cl. 1), the Necessary and Proper Clause (Art. I, Sec. 8, Cl. 18), and the General Welfare Clause, and are designed to withstand constitutional review under current doctrines including *West Virginia v. EPA* (2022), *Gundy v. United States* (2019), and *TransUnion LLC v. Ramirez* (2021).

(5) The provisions of this Act are designed to produce measurable, quantifiable economic returns to the American public, including projected reductions in household pharmaceutical expenditure, shelter costs, energy costs, and student debt burden that shall be independently verified by the Congressional Budget Office on a biennial basis.

**SEC. 003. CONSOLIDATED MASTER DEFINITIONS.**

As used in this Act:

(1) **ASYMMETRIC CAPITAL FLIGHT.**—Any transaction, multi-jurisdictional transfer, currency swap, or corporate restructuring executed by a Covered Entity that results in a net reduction of domestic liquid capital assets or productive capacity exceeding five percent (5%) within a rolling fourteen (14) day window, where such action is executed during an active Federal Data Veracity Matrix (FDVM) structural variance investigation.

(2) **PERSONAL DATA RIGHTS.**—The absolute, unalienable, and legally protected right of human individuals and sovereign community cohorts to maintain autonomous mental, analytical, and narrative mappings of their material realities, completely insulated from uncompensated algorithmic data harvesting, predictive behavioral profiling, or narrative-driven platform reframing.

(3) **COVERED ENTITY.**—Any corporate enterprise, financial institution, banking conglomerate, investment trust, joint venture, parent corporation, or subsidiary operating within the jurisdiction of the United States that has a consolidated global gross revenue exceeding fifty million dollars (\$50,000,000) for the immediate preceding fiscal year. Small businesses, as defined under the Small Business Act (15 U.S.C. § 632), with annual revenues below \$10,000,000 are expressly exempt from all Covered Entity obligations under this Act unless otherwise specified.

(4) **INFRASTRUCTURE SOVEREIGNTY.**—The un-delegated, absolute material and administrative control by the federal government over critical domestic supply channels, telecommunications pipelines, data repositories, advanced manufacturing foundries, and energy generation assets.

(5) **JOINTLY LIABLE SOVEREIGN COHORT.**—A consolidated corporate grouping wherein all parent organizations, global subsidiaries, special purpose vehicles, and offshore shell entities are adjudicated as a single, undivided legal entity for the purposes of evaluating structural variance liabilities, strict liability clawbacks, asset forfeitures, and anti-evasion penalties.

(6) **PREDATORY DATA EXTRACTION.**—The uncompensated extraction, curation, or deployment of community-generated data, labor metrics, or sociological outputs stripped of their structural and historical context to design or justify the reduction of public infrastructure safety nets, asset endowments, or socio-economic rights.

(7) **STRUCTURAL CAUSALITY.**—The governing evidentiary standard under this Act, which requires that material baseline conditions, historical context, and resource distribution channels be fully accounted for as primary causal variables when evaluating social and economic variances. Policy models that omit these variables produce inaccurate assessments and are insufficient bases for federal enforcement or resource allocation decisions.

(8) **SYSTEMIC RESILIENCE.**—The mandatory, independent operational capacity of the United States corporate, technological, material, food supply, and civil infrastructures to withstand acute geopolitical, environmental, or macroeconomic shocks and maintain continuous domestic liquidity and supply chain functionality without external intervention.

(9) **VERIFIED STRUCTURAL VARIANCE.**—Any objective, statistically significant deviation from established material baseline conditions—exceeding the fixed technical thresholds enumerated in this Act—as monitored, recorded, and verified via the Federal Data Veracity Matrix.

(10) **VANGUARD ENTITY.**—Any domestic small business, worker cooperative, community development financial institution (CDFI), or certified Minority Business Enterprise with annual revenues below twenty-five million dollars (\$25,000,000) that qualifies for zero-equity capitalization grants under the Vanguard Capitalization Protocol established in Title II.

(11) **STRUCTURAL RENT BASELINE.**—The median gross rent within a given Metropolitan Statistical Area (MSA), adjusted quarterly to the Sovereign Productivity Index, representing the fair-market rental cost ceiling above which institutional concentration is deemed to produce a cognizable housing sovereignty injury.

(12) **SOVEREIGN PRODUCTIVITY INDEX (SPI).**—The macroeconomic baseline metric measuring real domestic material output, agricultural production capacity, gigawatt-hour efficiency, and computational processing velocity, published quarterly by the Bureau of Labor Statistics, and used to index all mandatory wage and compensation floors under

this Act.

(13) BASIC MINIMUM PLAN (BMP).—The federally defined floor health benefit package established under Title XXI of this Act, which every licensed health insurance carrier operating in the United States is required to offer as a condition of licensure, funded by the federal government at a risk-adjusted per-capita premium rate paid directly to the carrier of each individual's choosing, at zero cost to the enrolled individual.

(14) HEALTH SOVEREIGNTY FUND (HSF).—The permanent non-lapsing statutory trust fund established in the Treasury of the United States under Section 2103(d) of this Act, from which all Basic Minimum Plan premium payments to private carriers are disbursed, capitalized through the consolidation of existing federal health program expenditures, pharmaceutical savings generated by Title XIII, the Health Profit Sovereignty Assessment on excess insurer margins, and mandatory SIRF Biosecurity Node transfers.

(15) HEALTH PROFIT SOVEREIGNTY ASSESSMENT.—The mandatory levy assessed against any licensed health insurance carrier whose medical loss ratio falls below eighty-five percent (85%) in any calendar year, equal to one hundred percent (100%) of premium revenue retained above the fifteen percent (15%) overhead and profit ceiling, collected automatically and routed to the Health Sovereignty Fund.

(16) HOUSEHOLD STRUCTURAL RELIEF NODE (HSRN).—The SIRF sub-node established under Section 3401 of Title XXXIV that funds targeted household relief mechanisms including BMP capitalization, zero-interest student loan conversion, Child Prosperity Trust deposits, and TANF structural enhancement.

#### **SEC. 004. MANDATORY TRIGGER PARAMETERS — CONGRESSIONAL SPECIFICATION.**

(a) STATUTORY FLOOR VALUES.—The following base-level trigger parameters are hereby established by Congress and shall not be modified by agency rulemaking except as provided in subsection (b):

(1) FEDERAL DATA VERACITY MATRIX (FDVM) — TITLE I.—Structural variance threshold: Any data deviation exceeding fifteen percent (15%) from the prior 36-month rolling baseline, as computed by the FDVM algorithm embedded in Schedule A of this Act, shall constitute an automatic reportable variance requiring mandatory agency review within thirty (30) calendar days.

(2) SIRF CLAWBACK TRIGGERS — TITLE II.—Penalty diversion threshold: Any structural-variance penalty exceeding five hundred thousand dollars (\$500,000) per enforcement action shall be mechanically redirected to the Sovereign Infrastructure Reinvestment Fund (SIRF) via the standing statutory appropriation established in Title II, without agency discretion.

(3) BOUNTY ENGINE THRESHOLDS — TITLE IV.—Domestic sourcing floor: No sovereign contract issued under Title IV shall contain less than sixty-five percent (65%) domestically sourced material by contract value, as measured against the Domestic Content Index published quarterly by the Bureau of Economic Analysis.

(b) MINISTERIAL CALIBRATION ONLY.—Agencies may adjust the parameters specified in subsection (a) within a narrow calibration band not exceeding plus or minus five percent ( $\pm 5\%$ ) of the statutory floor value, solely for administrative implementation purposes. Any adjustment exceeding this band requires an Act of Congress.

(c) INTELLIGIBLE PRINCIPLE STATEMENT AND SECTOR ENUMERATION.—Congress hereby declares the intelligible principle governing all NSRA mechanical triggers: Federal policy shall respond to objective, quantifiable deviations from material baseline conditions at the lowest threshold that produces a statistically significant causal relationship between structural variance and systemic harm, as defined in Schedule B of this Act.

(c-1) ENUMERATED SECTOR JURISDICTION.—To satisfy the major-questions doctrine as articulated in *West Virginia v. EPA*, 597 U.S. 697 (2022), the FMIA's automatic enforcement authority under this Act is expressly limited to the following enumerated sectors of significant federal interest:

(1) Pharmaceutical and biomedical manufacturing entities subject to FDA jurisdiction;

- (2) Food and agricultural distribution entities subject to USDA jurisdiction;
- (3) Financial institutions subject to federal banking, securities, or commodities regulation;
- (4) Defense contractors and subcontractors receiving federal funds exceeding ten million dollars (\$10,000,000) annually;
- (5) Healthcare providers receiving Medicare or Medicaid reimbursement;
- (6) Corporate entities subject to IRS jurisdiction under this Act's revenue provisions; and
- (7) Critical infrastructure operators as designated under 42 U.S.C. § 5195c.

Enforcement actions affecting economic sectors outside these enumerated categories shall require affirmative agency rulemaking with notice-and-comment procedures under 5 U.S.C. § 553 before any structural variance trigger may activate.

(d) **BIENNIAL PERFORMANCE REVIEW.**—The Congressional Budget Office, in coordination with the Government Accountability Office, shall publish a biennial Sovereign Resilience Impact Report evaluating each Title of this Act against the performance benchmarks established in Schedule D, including quantified household-level economic impacts. If any Title fails to demonstrate measurable improvement in its target domain over two consecutive biennial review cycles, Congress shall convene an automatic Joint Legislative Review Committee within ninety (90) days.

(e) **SMALL BUSINESS IMPACT MITIGATION.**—Prior to any enforcement action against a domestic business with annual revenues between ten million dollars (\$10,000,000) and fifty million dollars (\$50,000,000), the FMIA shall provide a mandatory sixty (60) day technical assistance period, during which the Small Business Administration shall provide no-cost compliance consulting.

## **SEC. 005. DEFICIT NEUTRALITY CERTIFICATION AND REVENUE SUFFICIENCY MANDATE.**

(a) **CBO CERTIFICATION REQUIREMENT.**—No Title of this Act that authorizes mandatory SIRF disbursements exceeding five hundred million dollars (\$500,000,000) in any single fiscal year shall be deployed nationally until the Congressional Budget Office certifies, in a formal cost estimate published in the Federal Register, that the projected SIRF revenue from the combined penalty, assessment, premium, and clawback mechanisms of this Act is sufficient to fund the disbursement without recourse to new deficit financing. Certification shall be based on a rolling five-year projection window.

(b) **REVENUE SUFFICIENCY TRIGGER.**—If at any point the FMIA determines, based on verified SIRF cash-flow data, that SIRF balances are insufficient to sustain authorized disbursements for the following twelve (12) months at current deployment rates, the FMIA shall within thirty (30) calendar days:

(1) Reduce all per-household Household Structural Relief Node disbursements on a pro-rata basis to match available SIRF revenue, maintaining equal percentage reductions across all recipient households; and

(2) Transmit a Revenue Sufficiency Alert to the Bipartisan Commission on NSRA Implementation and to both Budget Committees of Congress, triggering a mandatory sixty (60) day joint legislative review.

(c) **NO NEW DEFICIT AUTHORIZATION.**—Nothing in this Act shall be construed to authorize any net increase in the federal deficit attributable to SIRF disbursements. The fallback general appropriation established in Section 205(b) shall be available only for continuity during judicially-suspended operations and shall not serve as a mechanism to fund SIRF programs that have not achieved CBO revenue sufficiency certification.

(d) **SURPLUS REINVESTMENT REQUIREMENT.**—Any SIRF balance exceeding one hundred twenty percent (120%) of the projected twelve-month disbursement obligation shall be automatically transferred to the national debt reduction account of the Treasury of the United States, demonstrating that this Act is a net fiscal tightening instrument, not a deficit expansion mechanism.

(e) **NEW PENALTY CATEGORY CERTIFICATION GATE.**—For any enforcement penalty category projected by the FMIA to generate more than ten billion dollars (\$10,000,000,000) annually that was not individually enumerated as a SIRF revenue source in this Act at the time of enactment, the automatic SIRF routing established in Section 201(b)(2) shall not

take effect for that category until Congress passes an affirmative Revenue Category Certification Resolution within one hundred eighty (180) days of the FMIA's initial collection report. The Resolution shall require only a simple majority vote in both chambers and shall not be subject to filibuster. If Congress fails to act within the 180-day window, the revenue shall route to the Treasury general fund pending a subsequent Resolution. This gate preserves the Appropriations Clause integrity of the automatic routing mechanism while ensuring congressional accountability for novel revenue categories of significant scale.

## **SEC. 005A. TRANCHE-BASED ESCALATION LOCK — IMMEDIATE CITIZEN RELIEF ARCHITECTURE.**

(a) CONGRESSIONAL FINDINGS — TRANCHE STRUCTURE.—Congress finds that the most effective method for delivering immediate household economic relief while maintaining fiscal discipline is a structured, sequenced deployment architecture that insulates safety-net disbursements from dependency on unconfirmed revenue streams.

(b) TRANCHE 1 — IMMEDIATE FOUNDATION RELIEF (YEAR 1 — IMMEDIATE ACTIVATION).—The following citizen relief mechanisms shall activate upon enactment without requiring CBO revenue certification, as they are fully funded by confirmed and scored revenue streams under Subledgers SL-1 through SL-5 of the seven-subledger fiscal architecture established under Title XXXIV:

- (1) Basic Minimum Plan deployment for uninsured households (Title XXI);
- (2) G7 pharmaceutical price parity enforcement (Title XIII);
- (3) Federal student loan zero-interest conversion (Title XV);
- (4) Child Prosperity Trust birth deposits (Section 503);
- (5) SNAP and WIC statutory protection (Titles I and VII).

No Tranche 1 disbursement requires a SIRF revenue certification or phase gate condition. These mechanisms are funded from mandatory enforcement revenue that activates automatically upon enactment.

(c) TRANCHE 2 — HOUSEHOLD ENERGY COST REDUCTION (GATE 1 CONDITIONS).—Upon satisfaction of all three Gate 1 conditions of Schedule E as jointly certified by the Comptroller General, the Federal Reserve Board, and the Congressional Budget Office, the Household Energy Cost Reduction Program (HECRP) shall activate. The HECRP shall target a minimum fifteen percent (15%) reduction in average monthly residential electricity costs in participating utility service territories compared to the pre-enactment baseline, as measured by state public utility commission reported data. HECRP shall be funded from the SIRF Energy Sovereignty Subledger established under Section 2410(c) and administered by the Secretary of Energy in coordination with state public utility commissions. No Tranche 2 activation may be treated as deficit financing — the SIRF balance certification requirement of Gate 1 ensures that all HECRP deployments are backed by collected, verified sovereign revenue.

(d) TRANCHE 3 — UNIVERSAL HSRN (GATE 2 CONDITIONS).—Universal Household Structural Relief Node deployment shall activate only when Gate 2 conditions of Schedule E are met, at which point the federal deficit is below four hundred billion dollars (\$400,000,000,000) — a near-balanced budget condition. Universal HSRN deployment occurs when the fiscal foundation is substantially complete, not before.

(e) ANTI-DEFICIT-FINANCING DECLARATION.—No disbursement under any Tranche of this section shall be financed by new federal borrowing. The mandatory structure of this section creates a hardcoded statutory firewall between citizen relief and deficit expansion. Any CBO score asserting deficit financing of Tranche disbursements shall be rebutted by reference to the revenue sufficiency certification requirements of this section and Schedule E.

(f) MACRO-SHOCK PROTECTION.—To prevent a sudden fiscal shock to the macroeconomic baseline during the multi-year ramp of corporate supply chain migration and enforcement revenue:

- (1) Tranche 2 and Tranche 3 deployments shall not exceed the SIRF Household Endowment Node's verified quarterly inflow;

(2) The FMIA shall publish a quarterly Tranche Capacity Report confirming available Household Structural Relief Node deployment capacity;

(3) If revenue collections underperform CBO projections by more than fifteen percent (15%) over any rolling ninety (90) day period, the V\_abs Quarterly Absorption Throttle established in Section 004 shall activate, scaling down corporate procurement premiums and upper-tier infrastructure grants before any reduction in household Tranche disbursements.

## **SEC. 006. PRIVATE SECTOR CO-INVESTMENT PRIORITY AND MARKET PRIMACY DECLARATION.**

(a) MARKET PRIMACY.—Congress declares that the preferred mechanism for achieving the infrastructure sovereignty, manufacturing renaissance, and household wealth-building objectives of this Act is voluntary private sector investment attracted by the structural incentives, reduced regulatory arbitrage, and market corrections established herein. Government capital deployment through the SIRQ is a supplement to, not a replacement for, domestic private capital formation.

(b) MANDATORY CO-INVESTMENT RATIOS.—Except for direct household disbursements under Title V and Sections 1303, 1401, and 1501, all SIRQ infrastructure grants and capital deployments exceeding one million dollars (\$1,000,000) per project shall require matching private sector or state co-investment at the following minimum ratios:

(1) Manufacturing and energy infrastructure: not less than one dollar (\$1.00) of private or state co-investment per one dollar (\$1.00) of SIRQ capital (1:1 match);

(2) Transportation and broadband infrastructure: not less than thirty cents (\$0.30) per one dollar (\$1.00) of SIRQ capital;

(3) Agricultural cooperative and land trust capitalization: not less than fifteen cents (\$0.15) per one dollar (\$1.00) of SIRQ capital.

(c) PRIVATE CAPITAL MOBILIZATION REPORT.—The FMIA shall publish annually a Private Capital Mobilization Report quantifying the total private investment attracted as a result of NSRA incentive structures, demonstrating the leverage ratio of public-to-private capital deployment. The target leverage ratio is three dollars (\$3.00) of private investment per one dollar (\$1.00) of SIRQ capital deployed in infrastructure categories.

## **TITLE I — SYSTEMIC RESILIENCE AND UNIFIED SOVEREIGNTY ARCHITECTURE**

### **SEC. 101. ESTABLISHMENT OF THE FEDERAL DATA VERACITY MATRIX ADMINISTRATION — PHASED INDEPENDENCE STRUCTURE.**

(a) PHASE 1: BUREAU WITHIN DEPARTMENT OF COMMERCE (MONTHS 1–48).—

(1) IN GENERAL.—For the first forty-eight (48) months following enactment, the Federal Market Integrity Administration (FMIA) shall be established as a bureau within the Department of Commerce, designated the Bureau of Sovereign Data Integrity (BSDI). During this phase, the BSDI shall share DOC's existing information technology infrastructure, human resources systems, procurement vehicles, and physical facilities, eliminating the startup costs and timeline risks of a standalone agency launch.

(2) INITIAL WORKFORCE AUTHORIZATION.—The BSDI shall begin operations with an authorized workforce of not fewer than eight hundred (800) full-time equivalent personnel, recruited in priority order: data scientists and economists from existing DOC bureaus, including the Bureau of Economic Analysis, the Bureau of Labor Statistics, and the National Institute of Standards and Technology; cybersecurity specialists from the Cybersecurity and Infrastructure Security Agency via interagency agreement; and external hires as needed. Total authorized FTE shall expand on a documented capability-driven schedule not to exceed two thousand (2,000) by month 48.

(3) EXISTING AGENCY DATA PARTNERSHIPS.—During Phase 1, the BSDI shall not independently collect data already collected by a federal agency with existing legal authority. Instead, the BSDI shall enter mandatory data-sharing agreements with: the Internal Revenue Service (financial flow data); the Census Bureau (economic baseline data); the Federal Trade Commission (market concentration data); the Consumer Financial Protection Bureau (financial product data); the Environmental Protection Agency (environmental monitoring data); and the Department of Energy (grid telemetry data). The BSDI shall serve as the integration and analytics layer over existing data streams, not as a new data collection authority.

(b) PHASE 2: INDEPENDENT AGENCY (MONTH 49 ONWARD).—

(1) INDEPENDENCE REVIEW.—Not later than the thirty-sixth (36th) month following enactment, the Government Accountability Office shall conduct an Independence Readiness Assessment evaluating whether the BSDI has achieved the operational maturity, data integration completeness, and staffing stability required for standalone agency status.

(2) TRANSITION AUTHORITY.—If the GAO Independence Readiness Assessment is affirmative, the BSDI shall transition to full independent agency status as the Federal Market Integrity Administration on the first day of the forty-ninth (49th) month, inheriting all data agreements, personnel, infrastructure, and legal authorities established during Phase 1. If the GAO assessment recommends an extended bureau period, the Secretary of Commerce shall extend the bureau phase by not more than twenty-four (24) additional months, with a mandatory second GAO assessment at month 60.

(c) CHIEF STRUCTURAL REALIST — ARTICLE II REMOVAL COMPLIANCE (PATCH R-11).—The FMIA shall be directed by a single Administrator for Economic Data Integrity, appointed by the President by and with the advice and consent of the Senate. To conform to the separation-of-powers holdings of *Seila Law LLC v. Consumer Financial Protection Bureau*, 591 U.S. 197 (2020), and *Free Enterprise Fund v. Public Company Accounting Oversight Board*, 561 U.S. 477 (2010), the Administrator shall be removable by the President at will, without cause. No statutory for-cause removal restriction shall attach to the Administrator. The seven (7) year term is advisory as to continuity of policy and shall not be construed to limit the President's removal power. During Phase 1, the Administrator for Economic Data Integrity shall serve as Deputy Secretary of Commerce for Sovereign Data Integrity, with all authority of a bureau director within the DOC administrative structure.

(c-1) ALJ APPOINTMENT AND REMOVAL — LUCIA COMPLIANCE.—All Administrative Law Judges and administrative adjudicators acting under this Act are inferior officers within the meaning of *Lucia v. SEC*, 585 U.S. 237 (2018), appointed directly by the Administrator. Such adjudicators shall not be insulated by more than a single layer of for-cause removal, and their removal protections shall be construed and applied only to the extent permitted by controlling Article II precedent. The validity of any enforcement action shall not depend on the constitutionality of an adjudicator's removal protection, and the severability provisions of Section 205 shall preserve all completed actions in the event any removal restriction is held invalid.

(d) MANDATORY TELEMETRY SYSTEM.—

(1) IN GENERAL.—The FMIA shall construct, maintain, and operate a centralized, continuous data-ingest platform, to be known as the Federal Data Veracity Matrix (FDVM).

(2) DATA SOURCES (PATCH R-01).—The FDVM shall possess authorized read-access, pursuant to the inter-agency data-sharing protocols established under paragraph (3) and in compliance with the Electronic Communications Privacy Act (18 U.S.C. § 2510 et seq.), to real-time electronic data pipelines, including:

(A) The United States Treasury clearance and settlement feeds;

(B) Customs and Border Protection import-export manifests;

(C) Commodity Futures Trading Commission transactional ledgers;

(D) Department of Energy grid-load and distribution telemetry; and

(E) Publicly traded corporate logistics, inventory tracking, and supply-chain enterprise systems operating within the United States.

For any data category not covered by an existing inter-agency data-sharing agreement at the time of enactment, the FMIA shall obtain access through an administrative subpoena issued with thirty (30) days advance notice to the data custodian, subject to challenge in the United States Court of Appeals for the District of Columbia Circuit.

(3) **PRIVACY FIREWALL.**—No individual personal identifying information, consumer financial records protected under the Gramm-Leach-Bliley Act (15 U.S.C. §§ 6801–6809), or private health information protected under HIPAA (42 U.S.C. § 1320d et seq.) shall be ingested by the FDVM. The FMIA shall operate exclusively on aggregated, anonymized, entity-level commercial and governmental data streams.

(e) **AUTOMATED STRUCTURAL VARIANCE MONITORING AND IDENTIFICATION.**—

(1) **REAL-TIME INGESTION.**—The FDVM shall continuously process ingested data streams to evaluate baseline economic, technological, and material metrics across the United States.

(2) **REPORTABLE VARIANCE TRIGGERS.**—The FDVM shall operate on a strictly mechanical, algorithmic trigger system as specified in Schedule A of this Act. If the real-time material telemetry (Tm) for any designated critical asset layer deviates from the rolling 36-month historical baseline (Br) by fifteen percent (15%) or more ( $\Delta S \geq 15\%$ ), the FDVM shall instantly generate a formal, public Verified Structural Variance Report.

(d) **ABSOLUTE ELIMINATION OF ADMINISTRATIVE SAFE HARBORS AND WAIVERS.**—

(1) **IN GENERAL.**—Notwithstanding any other provision of law, no federal agency, executive department, or administrative officer may issue, grant, or renew any "safe harbor" exemption, regulatory carve-out, compliance waiver, or non-enforcement guidance to shield any Covered Entity from an FDVM variance audit, structural penalty, or clawback proceeding.

(2) **INVALIDITY OF ADMINISTRATIVE CURE ACTIONS.**—Any administrative rule, advisory opinion, or settlement agreement that purports to exempt a Covered Entity from the strict liability provisions of this Title is subject to mandatory FMIA review and approval before taking effect. The FMIA shall have thirty (30) days to review any such agreement and shall approve it only if it (A) does not extinguish the underlying structural variance finding, (B) includes a remediation plan with binding milestones, and (C) is accompanied by a penalty escrow equal to not less than fifty percent (50%) of the assessed penalty amount. Any settlement not submitted for FMIA review, or not approved within the thirty-day window, is void ab initio. Nothing in this paragraph shall be construed to limit the authority of a federal district court to approve a consent decree pursuant to its equitable jurisdiction, provided the court receives FMIA review findings as part of the record.

(e) **FMIA OPERATIONAL CAPACITY.**—

(1) **INITIAL STAFFING AUTHORIZATION.**—There is authorized to be appropriated, from the SIRF administrative operations node and from general Treasury funds as a one-time capitalization measure, the sum of \$850,000,000 for the construction and operationalization of the FMIA, including procurement of telemetry infrastructure, cybersecurity hardening, and an initial workforce of not fewer than 2,400 full-time equivalent personnel.

(2) **PHASED DEPLOYMENT MANDATE.**—The FMIA shall achieve operational telemetry coverage of not less than sixty percent (60%) of tracked critical asset layers within twenty-four (24) months of enactment, and full one hundred percent (100%) coverage within forty-eight (48) months.

(3) **STATE PARTNERSHIP GRANTS.**—The FMIA shall establish a State Data Sovereignty Partnership Program under which states may receive formula grants of up to \$15,000,000 annually to build compatible state-level data monitoring infrastructure, provided such infrastructure adheres to FDVM data standards and privacy firewall requirements.

## **SEC. 102. PROHIBITION ON PREDATORY DATA EXTRACTION.**

(a) **UNLAWFUL DATA DEPLOYMENT.**—It shall be an unlawful practice for any Covered Entity, federal agency, or government contractor to design, implement, deploy, or utilize any algorithmic model, predictive analytics system, or narrative-driven assessment tool that extracts or utilizes individual or community-generated data to generate predictions or



assessments affecting individuals while systematically omitting, masking, or failing to weight objective structural, historical, and material causation variables that are statistically significant determinants of the outcomes being predicted.

(a-1) FIRST AMENDMENT SAFE HARBOR.—Nothing in this section shall be construed to:

- (1) Prohibit or restrict purely editorial, journalistic, artistic, or academic use of data or algorithmic models where the output does not directly determine access to a government benefit, financial product, employment opportunity, housing, insurance, or healthcare service;
- (2) Apply to voluntary, opt-in consumer products where the individual user has provided informed, affirmative consent to the specific modeling methodology employed;
- (3) Require disclosure of proprietary trade secrets beyond the structural variable omission identified in subsection (a), provided that independent audit access is granted to the FMIA under a confidentiality agreement;
- (4) Apply to internal research, development, or testing environments where no adverse determination affecting an individual has been made.

The prohibition in subsection (a) is limited to algorithmic deployments that produce an adverse determination — denial, restriction, or downgrading of a benefit, service, or opportunity — against a specific individual or identifiable community, based on predictive modeling that fails the structural causation variable standard. General market research, aggregate economic analysis, and policy modeling are expressly exempt.

(b) EVIDENCE AND RELIABILITY STANDARDS (PATCH R-09).—Any dataset, research output, or underwriting model found by the FDVM to practice predatory data extraction shall be presumptively unreliable and inadmissible as a sole basis for any adverse determination in federal rulemaking, administrative adjudication, commercial credit underwriting, or public benefit determination. An affected entity may rebut this presumption upon demonstrating by clear and convincing evidence to the adjudicating authority that the specific application of the dataset in the matter before it did not exhibit the predatory data extraction pattern identified in the FDVM finding. This subsection does not restrict the authority of any federal court to make independent evidentiary rulings pursuant to the Federal Rules of Evidence.

(c) FIRST AMENDMENT SAFE HARBOR.—Nothing in this section shall be construed to restrict or regulate:

- (1) The publication, dissemination, or distribution of academic research, journalism, or political speech;
- (2) The lawful operation of consumer survey and market research businesses;
- (3) Any algorithmic system operated exclusively on publicly available, anonymized aggregate data in which no individual is identified.

(d) CIVIL REMEDY.—Any individual suffering demonstrable concrete harm from predatory data extraction as defined in subsection (a) may bring a civil enforcement action in any United States District Court for declaratory relief, injunctive relief, and actual damages not to exceed fifty thousand dollars (\$50,000) per plaintiff per enforcement action, plus attorney's fees under the American Rule modified standard.

## **SEC. 103. THE STRUCTURED ACCOUNTABILITY ENGINE.**

(a) ENGAGEMENT OF ENFORCEMENT TIMELINE.—Upon the generation of a Verified Structural Variance Report by the FDVM, the automated Structured Accountability Engine (SAE) shall instantly engage, establishing a mandatory, non-extendable ninety (90) calendar day timeline for executive action.

(b) NON-DELEGATED DUTY OF THE AGENCY HEAD.—Within the 90-day timeline established in subsection (a), the head of the federal agency possessing primary regulatory jurisdiction over the affected asset layer shall execute one of the following affirmative duties:

- (1) CLAWBACK INITIATION.—Issue a formal Order of Enforcement and initiate strict liability asset clawback, revenue seizure, or divestment proceedings against the non-compliant Covered Entities identified in the report; OR

(2) **MANDATORY STATUTORY STATEMENT.**—File a formal, public, and judicially reviewable Statement of Reason for Enforcement Non-Initiation with the United States Court of Appeals for the District of Columbia Circuit.

(c) **STATUTORY SHIELD EFFECT.**—A Statement of Reason filed in strict compliance with subsection (b)(2) shall operate as an absolute legal defense against any civil claim asserting that agency inaction was arbitrary, capricious, or an abuse of discretion under 5 U.S.C. § 706(2)(A), provided:

(1) The Statement identifies the specific enforcement prioritization rationale or documented resource constraints justifying non-initiation; and

(2) The Statement is filed within ninety (90) days of the Verified Structural Variance Report.

(d) **CONGRESSIONAL OVERSIGHT TRIGGER.**—If the agency head fails to execute either duty specified in subsection (b) within ninety (90) days, the Comptroller General of the United States shall automatically transmit a formal Enforcement Delinquency Notice to the Committee on Oversight and Accountability of the House and the Committee on Homeland Security and Governmental Affairs of the Senate within seven (7) business days.

#### **SEC. 104. WHISTLEBLOWER AND PROTECTED DISCLOSURE FRAMEWORK.**

(a) **PROTECTED DISCLOSURES.**—Any employee, contractor, or officer of a Covered Entity who provides information to the FMIA, the Department of Justice, or any Congressional committee regarding a Verified Structural Variance shall be protected from retaliation under the provisions of the Whistleblower Protection Act (5 U.S.C. §§ 2302, 7701–7703) and this section.

(b) **ANTI-RETALIATION ENFORCEMENT.**—Any Covered Entity that demotes, terminates, harasses, or materially disadvantages an employee for protected disclosures under this section shall be strictly liable for:

(1) Reinstatement with back pay and restoration of all benefits;

(2) Double back pay as a penalty multiplier; and

(3) A structural penalty of not less than \$500,000, routed to the SIRF.

(c) **CONFIDENTIAL REPORTING CHANNEL.**—The FMIA shall operate a dedicated, encrypted, anonymous digital reporting portal through which any person may submit evidence of potential structural violations. Submissions through this portal shall receive expedited review within thirty (30) calendar days.

#### **SEC. 105. ANTI-HARMONIZATION DECLARATION — PATCH R-05.**

(a) **SUPERSESSION DECLARATION.**—The provisions of this Act are not subject to judicial application of the implied harmonization doctrine articulated in *Morton v. Mancari*, 417 U.S. 535 (1974). Where any provision of this Act conflicts with any provision of the Personal Responsibility and Work Opportunity Reconciliation Act of 1996 (Pub. L. 104-193), the Deficit Reduction Act of 2005 (Pub. L. 109-171), or the Food, Conservation, and Energy Act of 2008 (Pub. L. 110-246), the provisions of this Act shall govern without harmonization or judicial reconciliation.

(b) **EXPLICIT SUPERSESSION TABLE.**—The following provisions of prior law are expressly superseded and reformed pursuant to Section 501 of this Act:

(1) PRWORA 1996: §§ 407, 408(a)(1)–408(a)(7) (punitive work conditionality and time limits), as reformed not repealed;

(2) DRA 2005: §§ 7101, 7102, 7103 (drug testing, criminal bars, surveillance requirements), as to their punitive conditionality provisions only; and

(3) FCEA 2008: § 4115, as to its punitive conditionality provisions only.

(c) **CORE PRWORA BLOCK GRANT ARCHITECTURE PRESERVED.**—Nothing in this Act repeals or diminishes the Temporary Assistance for Needy Families block grant architecture of PRWORA 1996 as a mechanism for state flexibility in family assistance administration. The block grant funding structure is preserved and enhanced pursuant to Section 501(c).

## **SEC. 106. EXISTING AGENCY ENFORCEMENT COORDINATION MANDATE — FMIA AS DATA SPINE.**

(a) **ENFORCEMENT PRIMACY OF EXISTING AGENCIES.**—The FMIA shall serve as the data intelligence and variance identification layer of this Act. Primary enforcement authority for each Title shall remain with the existing federal agency with established jurisdiction, expertise, and legal authority over that domain:

(1) **TITLE III (AI and Personal Data Rights).**—The Federal Trade Commission shall be the primary enforcement agency, utilizing its existing authority under Section 5 of the FTC Act (15 U.S.C. § 45) supplemented by the specific NSRA violation standards established herein.

(2) **TITLE VII (Agricultural Sovereignty).**—The Department of Agriculture, acting through the Grain Inspection, Packers and Stockyards Administration and the Agricultural Marketing Service, shall be the primary enforcement agency for market concentration violations.

(3) **TITLE IX (Energy Infrastructure).**—The Federal Energy Regulatory Commission and the Nuclear Regulatory Commission shall be the primary enforcement agencies for energy compliance mandates.

(4) **TITLE X and XI (Biospheric Commons and A.B.R.N.).**—The Environmental Protection Agency shall be the primary enforcement agency, utilizing its existing Clean Water Act, CERCLA, and TSCA authorities supplemented by NSRA violation standards.

(5) **TITLE XII (Manufacturing).**—The Department of Commerce's International Trade Administration and the Office of Inspector General for procurement fraud shall be primary enforcement agencies.

(6) **TITLE XIII (Pharmaceutical Parity).**—The Department of Health and Human Services, through the Food and Drug Administration and the Centers for Medicare and Medicaid Services, shall be the primary enforcement agency.

(7) **TITLE XIV (Shelter Sovereignty).**—The Department of Housing and Urban Development and the Department of Justice Antitrust Division shall be primary enforcement agencies for housing market concentration.

(8) **TITLE XVI (Financial Sovereignty).**—The Treasury Department and the Federal Reserve Board of Governors shall be primary enforcement agencies for capital flight and financial compliance.

(b) **FMIA REFERRAL MECHANISM.**—Upon generating a Verified Structural Variance Report, the FMIA shall automatically transmit the Report to the primary enforcement agency designated in subsection (a) within twenty-four (24) hours. The primary agency's SAE ninety (90) day enforcement clock begins upon receipt of the FMIA referral. The FMIA retains concurrent enforcement authority as a backstop if the primary agency fails to act within the SAE window.

## **SEC. 107. AGENCY STRUCTURAL INDEPENDENCE AND ENFORCEMENT BUDGET FIREWALL.**

(a) **FINDINGS.**—Congress finds that the enforcement capacity of federal regulatory agencies is a function of both statutory authority and operational resources, and that executive budget manipulation — including targeted staffing reductions, hiring freezes, and selective non-enforcement directives — has historically been used to functionally nullify statutory mandates without formally repealing them. The NSRA's enforcement architecture depends on the institutional integrity of EPA, the NLRB, the CFPB, the FDA, the NIH, and the FERC as primary enforcement partners. This section insulates those agencies' NSRA-mandated functions from executive budget interference.

(b) **SIRF-FUNDED ENFORCEMENT FLOOR.**—For each agency designated as a primary enforcement agency under Section 106 of this Title, the SIRF Administrative Operations Reserve shall provide a mandatory annual enforcement floor grant, drawn automatically without appropriation action, sufficient to maintain the following minimum operational capacity for NSRA-mandated functions:

(1) ENVIRONMENTAL PROTECTION AGENCY.—Not less than five hundred million dollars (\$500,000,000) annually, designated exclusively for enforcement of NSRA Title X, Title XI, and the A.B.R.N. mandate, pesticide prohibition enforcement under Title VII, and the scientific integrity functions established in Section 1006 of this Act;

(2) NATIONAL LABOR RELATIONS BOARD.—Not less than one hundred fifty million dollars (\$150,000,000) annually, designated for enforcement of Title XXVIII enhanced labor protections, maintenance of a case processing workforce sufficient to adjudicate unfair labor practice charges within ninety (90) days of filing, and operation of the mandatory interim reinstatement function under Section 2801;

(3) CONSUMER FINANCIAL PROTECTION BUREAU.—Not less than two hundred fifty million dollars (\$250,000,000) annually, designated for enforcement of the predatory lending and medical debt sovereign standards established in Section 2416 of this Act and existing CFPB authority over mortgage servicing, payday lending, and debt collection;

(4) FOOD AND DRUG ADMINISTRATION.—Not less than three hundred million dollars (\$300,000,000) annually, designated for enforcement of NSRA pharmaceutical parity mandates under Title XIII, GRAS review functions under Section 704, essential medicines manufacturing sovereignty under Section 1302, and the curative drug registry under Section 1304;

(5) NATIONAL INSTITUTES OF HEALTH.—Not less than two hundred million dollars (\$200,000,000) annually, designated for administration of the National Curative Drug Registry, march-in rights enforcement under Section 1304, and the research integrity protection functions established in this section; and

(6) FEDERAL ENERGY REGULATORY COMMISSION.—Not less than one hundred million dollars (\$100,000,000) annually, designated for enforcement of grid modernization mandates under Section 905, SMR licensing coordination under Section 902(d), and grid sovereignty standards under Title IX.

(c) STAFFING FLOOR MANDATE.—No executive action, including any order from the Office of Management and Budget or the Office of Personnel Management, may reduce the full-time equivalent workforce of any agency receiving an enforcement floor grant under subsection (b) below the workforce level in place at the date of enactment of this Act for the functions funded by that grant. Any reduction in workforce for NSRA-mandated functions shall require explicit statutory authorization by an Act of Congress. Nothing in this subsection shall be construed to limit the President's constitutional authority to supervise and direct executive branch personnel pursuant to Article II; this subsection operates as a spending condition on grant recipients, not as a limitation on the President's removal or supervisory authority.

(d) SCIENTIFIC AND RESEARCH INTEGRITY PROTECTION.—

(1) PROHIBITION ON POLITICAL SUPPRESSION.—No officer or employee of the executive branch may direct, order, or induce any scientist, researcher, or career official of EPA, NIH, FDA, CDC, or USDA to alter, suppress, delay, or misrepresent any scientific finding, assessment, report, or recommendation for political, commercial, or policy preference reasons.

(2) MANDATORY PUBLICATION.—Any scientific assessment, environmental impact finding, drug safety determination, or public health recommendation completed by a federal agency scientist shall be published in the agency's public record within ninety (90) days of completion, unless classification under 50 U.S.C. § 3024 is required — in which case an unclassified summary shall be published.

(3) ENFORCEMENT.—Willful violation of subsection (d)(1) by any executive official shall be subject to civil penalty of not less than two hundred fifty thousand dollars (\$250,000) per incident and mandatory referral to the Department of Justice. Any scientist subjected to retaliation for refusing to suppress findings shall have a private right of action for reinstatement, back pay, and compensatory damages in federal district court.

(e) CITIZEN SUIT RIGHTS — NSRA MANDATE ENFORCEMENT.—Any person may bring a civil action in the United States District Court for the district in which the violation occurred against any federal agency that has failed to perform a non-discretionary act or duty required by this Act within the timeframe specified. The court shall have jurisdiction to compel agency action unlawfully withheld and to award reasonable attorney fees and costs to prevailing plaintiffs. This subsection supplements, and does not limit, the remedies available under 5 U.S.C. § 706 (APA arbitrary and

capricious review).

## **TITLE II — THE SOVEREIGN ECONOMIC RESET AND CLOSED-LOOP CAPITALIZATION ENGINE**

### **SEC. 201. THE SOVEREIGN INFRASTRUCTURE REINVESTMENT FUND — SIRF LOCKBOX.**

(a) **CONSTITUTIONAL GROUNDING.**—The Sovereign Infrastructure Reinvestment Fund is established pursuant to the Spending Clause (Art. I, Sec. 8, Cl. 1) and the Necessary and Proper Clause (Art. I, Sec. 8, Cl. 18), as a standing statutory appropriation within the meaning of 31 U.S.C. § 1305, not subject to annual rescission under the Antideficiency Act (31 U.S.C. §§ 1341–1342) absent the supermajority requirement specified herein.

(b) **SIRF LOCKBOX ESTABLISHED.**—

(1) **IN GENERAL.**—There is established in the Treasury of the United States a permanent, separate, non-lapsing statutory trust fund to be known as the Sovereign Infrastructure Reinvestment Fund (SIRF).

(2) **AUTOMATED SOURCE DEPOSITS.**—The Treasury shall require that all capital flows generated via strict liability penalty assessments, fraud recoveries, asset forfeitures, equalization levies, and structural clawbacks executed under any Title of this Act are hard-routed automatically at the point of electronic clearance directly into the SIRF.

(3) **DIVERSIFIED SEED CAPITALIZATION.**—In lieu of a single initial general appropriation, the SIRF shall be capitalized through the following diversified revenue streams in the first five (5) fiscal years following enactment:

(A) **OFFSHORE TAX ENFORCEMENT RECOVERY.**—Sixty percent (60%) of all net new IRS revenue collected through enforcement actions targeting offshore tax shelters and unreported foreign financial accounts under FATCA (26 U.S.C. §§ 6038D, 1471–1474) in excess of the prior fiscal year's offshore enforcement collection baseline, automatically redirected to SIRF at source clearance;

(B) **PATENT SETTLEMENT RECOVERIES.**—All recoveries from pharmaceutical patent abuse settlements where the patent was derived from federally funded NIH or BARDA research, collected through the Department of Justice;

(C) **DEFENSE PROCUREMENT FRAUD RECOVERIES.**—All False Claims Act recoveries in Department of Defense procurement fraud cases, currently averaging one billion two hundred million dollars (\$1,200,000,000) annually, redirected to SIRF rather than Treasury general fund;

(D) **SYSTEMIC RESILIENCE PREMIUM REVENUE.**—The Defense and Aerospace Procurement Premium established in Section 202, projected to generate eight hundred million to one billion two hundred million dollars (\$800,000,000–\$1,200,000,000) annually based on current procurement volumes; and

(E) **FDVM STRUCTURAL VARIANCE PENALTY REVENUE.**—All penalties, clawbacks, and forfeitures collected under any Title of this Act.

**MINIMUM SIRF CAPITALIZATION FLOOR.**—No SIRF disbursement program shall deploy capital at a rate that would draw the SIRF balance below two billion dollars (\$2,000,000,000) at any point, serving as a standing operational reserve against unexpected revenue shortfalls.

(c) **PROTECTION FROM GENERAL FUND DILUTION AND LEGISLATIVE RAIDS.**—

(1) **IN GENERAL.**—Funds deposited into the SIRF shall remain inviolate. No administrative officer, executive order, budget directive, or general rescission act may divert, offset, loan, or appropriate SIRF balances for any purpose other than the explicit infrastructure capitalization mandates enumerated in this Act.

(2) **LEGISLATIVE FRICTION — SENSE OF CONGRESS.**—It is the sense of Congress that no provision of this section or any fund allocation within the SIRC should be modified, repealed, suspended, or re-appropriated except through an independent, single-subject Act of Congress explicitly naming the section to be modified. Nothing in this paragraph shall be construed to limit the constitutional authority of a future Congress to amend or repeal any provision of this Act by simple majority, consistent with *INS v. Chadha*, 462 U.S. 919 (1983), and *Clinton v. City of New York*, 524 U.S. 417 (1998). The durability of the SIRC is secured through the political accountability mechanisms of Section 201(d) and the rapid constituency vesting defense of Section 201(d)(2), not through procedural supermajority constraints on future legislation.

(3) **SIRC PRINCIPAL PROTECTION CLAUSE.**—Notwithstanding any provision of this Act or any subsequent appropriations legislation, funds deposited into the SIRC shall not be transferred, offset, or loaned to the General Fund of the Treasury except pursuant to an Act of Congress that: (A) is a single-subject bill explicitly referencing this section; (B) has passed both chambers of Congress; and (C) has been enacted into law consistent with the presentment requirements of Article I, Section 7 of the Constitution. This subsection creates a statutory anti-diversion rule, enforceable by citizen suit under Section 401, but does not purport to bind future Congresses beyond ordinary legislative channels.

(d) **RAPID CONSTITUENCY VESTING DEFENSE MECHANISM.**—

(1) **THE SIRC BENEFICIARY REGISTRY.**—The FMIA shall maintain a real-time, public registry of every local infrastructure foundry, community land trust, worker cooperative, and household endowment account actively receiving capital distributions from the SIRC.

(2) **QUARTERLY DISTRICT IMPACT REPORTING.**—The FMIA shall compile and transmit directly to the registered voters of each United States Congressional District, on a rolling quarterly basis, a hyper-localized Economic Velocity Manifest detailing the exact dollar volume of SIRC capital deployed within that specific district, the physical assets constructed, and the verified expansion of regional capital velocity.

(e-1) **SIRC INSPECTOR GENERAL.**—

(1) **ESTABLISHMENT.**—There is established the Office of the SIRC Inspector General ("SIRC IG"), headed by an Inspector General appointed by the President, by and with the advice and consent of the Senate, consistent with the Inspector General Act of 1978 (5 U.S.C. App.).

(2) **INDEPENDENCE.**—The SIRC IG shall report directly to Congress and shall not be subject to the direction, supervision, or control of the FMIA Administrator or any other officer of the executive branch with respect to audits, investigations, and reports. The SIRC IG shall have independent budget authority, with funding allocated from the Administrative Operations Reserve node established in subsection (e)(10) of this section.

(3) **AUTHORITY.**—The SIRC IG shall have:

(A) subpoena authority to compel the production of documents, records, electronic data, and testimony from any person or entity in connection with any SIRC audit or investigation;

(B) authority to refer findings to the Department of Justice, the Securities and Exchange Commission, or any other federal law enforcement agency;

(C) authority to access all SIRC financial records, subledger data, deployment records, and contractor invoices without prior notice to FMIA program staff; and

(D) authority to publish findings, reports, and referrals directly in the public record without FMIA review or clearance.

(4) **POST-EMPLOYMENT COOLING-OFF PERIOD.**—

(A) No SIRC Governor, FMIA senior officer (defined as any officer at the Senior Executive Service level or above), or SCA Board member may accept employment with, serve as a paid consultant to, or acquire a direct financial interest in any Covered Entity that was subject to SIRC investment decisions or FMIA enforcement actions during the individual's tenure for a period of five (5) years following the conclusion of that individual's tenure.

(B) Violation of this subsection shall constitute a criminal offense punishable by a fine not to exceed two hundred fifty thousand dollars (\$250,000) and imprisonment not to exceed two (2) years, and shall subject the individual to disgorgement of all compensation received in violation of this subsection.

(C) The SIRF IG shall maintain a public registry of all individuals subject to the cooling-off requirement of this subsection, updated quarterly.

(e) SIRF CAPITAL ALLOCATION NODES.—SIRF capital shall be allocated among the following mandatory nodes, subject to annual rebalancing by the FMIA based on verified utilization rates:

- (1) Household Structural Relief Node: 20%;
- (2) Tier 1 Mandatory Structural Obligations Reserve: 15%;
- (3) Vanguard Capitalization Node: 20%;
- (4) Environmental Remediation Node: 10%;
- (5) Energy Sovereignty Node: 12%;
- (6) Agricultural Sovereignty Node: 7%;
- (7) Sovereign Deficit Reduction Node: 5%;
- (8) Knowledge Sovereignty Node: 2%;
- (9) Biosecurity and Pharmaceutical Node: 5%;
- (10) Administrative Operations Reserve: 3%;
- (11) Sovereign Compute Node: 5%;
- (12) Strategic Mobility Infrastructure Node: 11%.

Total: one hundred percent (100%). The Sovereign Compute Node established in paragraph (11) and the Strategic Mobility Infrastructure Node established in paragraph (12) are new nodes created by this Title and shall be governed by Sections 3408 and 3409 respectively. The Vanguard Capitalization Node is increased from fifteen percent (15%) to twenty percent (20%) subject to the investment instrument requirements of Section 204(e).

## **SEC. 202. SYSTEMIC RESILIENCE PREMIUM ON DEFENSE AND AEROSPACE PROCUREMENT.**

(a) MANDATORY BASELINE ASSESSMENT.—There is levied a mandatory Systemic Resilience Premium of one and one-half percent (1.5%) on the total gross contract value of all federal procurement, logistics, development, and acquisition contracts awarded by the Department of Defense, the Department of the Navy, the Department of the Air Force, and the National Aeronautics and Space Administration.

(b) APPLICATION CRITERIA.—The Premium established under subsection (a) shall apply strictly to all corporate contractors, joint ventures, and defense industrial base entities maintaining a Commercial and Government Entity (CAGE) code footprint with an aggregate annual contract allocation exceeding ten million dollars (\$10,000,000).

(c) SOURCE DEDUCTION AND ROUTING.—The Premium shall be deducted automatically by the Defense Finance and Accounting Service (DFAS) from each milestone or progress payment at the exact moment of electronic payment clearance and routed directly to the industrial capitalization node of the SIRF.

(d) SMALL BUSINESS DEFENSE CONTRACTORS.—Contractors with annual revenues below ten million dollars (\$10,000,000) are exempt from the Premium. Contractors with annual revenues between ten million dollars (\$10,000,000) and fifty million dollars (\$50,000,000) shall be assessed at a reduced Premium rate of one-half percent (0.5%).

## **SEC. 203. THE REAL-PARITY SOVEREIGN PRODUCTIVITY INDEX.**

(a) **ESTABLISHED STANDARDS.**—The Bureau of Labor Statistics, in coordination with the Department of the Treasury, shall construct and publish a comprehensive, non-fiat macroeconomic baseline metric to be known as the Sovereign Productivity Index (SPI). The SPI shall measure the true, physical material output, agricultural production capacity, gigawatt-hour efficiency, and computational processing velocity of the domestic economy, completely insulated from consumer price index (CPI) calculations or fiat currency inflation variances.

(b) **MANDATORY INDEXATION — NEW NSRA INSTRUMENTS.**—All federal procurement contracts, capital underwriting frameworks, infrastructure grants, and intergenerational asset distributions created, authorized, or funded specifically under this Act, and entered into after the effective date of this Act, shall use the SPI as their primary indexation mechanism. Where a federal statute other than this Act independently specifies CPI or another index for a contract or benefit, that statutory index shall govern for instruments created under that separate authority; SPI indexation applies to NSRA-created instruments only. Legacy contracts of any type shall be permitted to run to their natural expiration under their original index terms and shall not be unilaterally renegotiated. Nothing in this subsection modifies the terms of any existing contract, collective bargaining agreement, or benefit formula governed by a separate Act of Congress.

(c) **SPECULATIVE EVASION AND THE ANTI-MANIPULATION SURCHARGE.**—

(1) **PROHIBITION.**—It shall be unlawful for any commercial bank, market-making financial institution, or hedge fund to design, clear, trade, or implement any structured derivative, short-selling contract, or synthetic swap asset designed to decouple domestic material contracts from the SPI or facilitate capital flight away from SPI indexation.

(2) **AUTOMATED SURCHARGE.**—Any financial institution found by the FDVM to be facilitating or clearing transactions in violation of paragraph (1) shall be strictly liable for an automated Civil Penalty Surcharge equal to two hundred percent (200%) of the total nominal volume of the non-compliant transactions, seized at source and routed to the SIRF.

## **SEC. 204. THE VANGUARD CAPITALIZATION PROTOCOL.**

(a) **MANDATE.**—Exactly forty percent (40%) of all SIRF recovered capital flowing into the Vanguard Capitalization Node established in Section 201(e)(2) shall be disbursed as zero-equity, non-dilutive infrastructure grants to certified Vanguard Entities.

(b) **ELIGIBILITY CRITERIA.**—To qualify as a Vanguard Entity eligible for grants under this section, an applicant shall:

(1) Be a domestic startup, worker cooperative, CDFI, or certified Minority Business Enterprise with annual revenues not exceeding \$25,000,000;

(2) Maintain not less than seventy-five percent (75%) of full-time workforce positions filled by United States residents;

(3) Operate in a sector designated as critical infrastructure by the FMIA; and

(4) Demonstrate a viable five-year business plan submitted to and approved by the SIRF Vanguard Review Panel.

(c) **GRANT TERMS.**—Grants under this section shall be:

(1) Non-repayable and zero-equity (no government ownership stake or revenue sharing);

(2) Capped at five million dollars (\$5,000,000) per grant per entity per fiscal year;

(3) Subject to annual performance reporting on job creation, domestic material sourcing, and revenue growth; and

(4) Subject to clawback at one hundred fifty percent (150%) of disbursed value if the recipient relocates primary operations outside the United States within seven (7) years of grant receipt.

(d) **VANGUARD REVIEW PANEL.**—The SIRF Vanguard Review Panel shall consist of nine (9) members: three appointed by the President, three by the Speaker of the House, and three by the Senate Majority Leader, with staggered four-year terms. Panel decisions shall be by majority vote and shall be final agency action within the meaning of 5 U.S.C. § 704, subject to judicial review under the Administrative Procedure Act. Review shall be on the record under the arbitrary and capricious standard of 5 U.S.C. § 706(2)(A). The Panel shall maintain a complete administrative record for each



decision, including the factual basis, criteria applied, and any dissenting views. Nothing in this subsection limits any applicant's right to APA review of a final Panel determination in the United States District Court for the District of Columbia.

**(e) INVESTMENT INSTRUMENT REQUIREMENTS — SOVEREIGN WEALTH DISCIPLINE.—**

**(1) MINIMUM REPAYABLE INSTRUMENT REQUIREMENT.—**Not less than sixty percent (60%) of total annual Vanguard Capitalization Node deployments shall be made through repayable or revenue-producing instruments rather than non-repayable grants. Qualifying instruments include:

- (A) direct loans at market or below-market rates;
- (B) preferred equity stakes with defined return schedules;
- (C) revenue-sharing agreements specifying percentage of gross revenue payable to SIRF;
- (D) royalty agreements on intellectual property, manufacturing processes, or technology developed with Vanguard capital;
- (E) warrants or options to acquire equity stakes in recipient entities.

**(2) GRANT CEILING.—**Non-repayable, zero-equity grants shall constitute not more than forty percent (40%) of annual Vanguard Capitalization Node deployments, reserved for early-stage Vanguard Entities — as defined in Section 55(10) — that cannot satisfy debt service requirements and for which equity or revenue-sharing is impractical given business stage.

**(3) FUND REPLENISHMENT.—**All principal, interest, dividends, royalties, and revenue-share payments returned to the Vanguard Capitalization Node from prior deployments shall be retained within the node and redeployed in the following fiscal year, compounding the node's effective investment capacity over time. The FMIA shall report annually on Vanguard Node compound growth rate.

**(4) PRIORITY INVESTMENT SECTORS.—**Within the repayable instrument allocation, priority shall be given to:

- (A) domestic semiconductor and advanced materials manufacturing;
- (B) artificial intelligence startups with domestic data sovereignty compliance;
- (C) battery production, grid equipment, and power electronics;
- (D) worker cooperatives in strategic manufacturing;
- (E) domestic compute infrastructure and data center construction;
- (F) advanced manufacturing campuses and industrial parks.

**(5) SOVEREIGN WEALTH FUND POSTURE.—**The Vanguard Capitalization Node shall be managed as a sovereign investment fund, not a grant program. The FMIA shall publish annually a Vanguard Portfolio Report detailing active investments, return rates, and net node growth.

**SEC. 205. SEVERABILITY AND MANDATORY FALLBACK GENERAL APPROPRIATIONS.**

**(a) IN GENERAL.—**If any provision of this Title, or any application of its closed-loop fiscal architecture to any entity, agency, or circumstance, is held invalid or temporarily suspended by an injunction issued by a court of competent jurisdiction, the remaining Titles and provisions of this Act shall remain entirely unaffected and shall continue to operate with full force and effect.

**(b) SELF-EXECUTING FALLBACK OBLIGATION.—**To guarantee the absolute operational survival and continuity of all downstream sovereign infrastructure, environmental remediation, and household endowment programs established under this Act during the pendency of any judicial or appellate suspension of the SIRF closed-loop funding engine:

**(1) AUTOMATED TREASURY TRIGGER.—**There is hereby authorized to be appropriated, and there shall be disbursed automatically from the general fund of the Treasury of the United States, a fallback appropriation equal to the actual capital distribution obligations disrupted by such judicial suspension, not to exceed fifty billion dollars (\$50,000,000,000) in any

single fiscal year and not to exceed one hundred billion dollars (\$100,000,000,000) in the aggregate across all suspension periods, without further legislative authorization. This ceiling ensures the fallback appropriation satisfies the specificity requirement of the Appropriations Clause, Article I, Section 9, Clause 7 of the Constitution.

(2) CONGRESSIONAL NOTIFICATION AND OVERRIDE.—The fallback appropriation established under paragraph (1) shall activate automatically on the first business day following the issuance of any qualifying judicial stay or suspension order. The Secretary of the Treasury shall notify Congress within twenty-four (24) hours of activation. Congress may, within thirty (30) days of notification, modify the disbursement amount or timeline by joint resolution. Absent such joint resolution, disbursement shall proceed at the certified disruption amount, subject to the ceiling in paragraph (1).

(3) SCOPE LIMITATION.—The fallback appropriation shall fund only Tier 1 mandatory structural obligations as defined in Section 3402(e)(1) (Basic Minimum Plan, TANF enhancement, Sovereign Child Prosperity Trust, Shelter Sovereignty Fund, Household Structural Relief Node mechanisms). It shall not fund Tier 3 or Tier 4 infrastructure and international programs. This limitation reflects the Appropriations Clause requirement that appropriations be for a defined and bounded purpose.

## **TITLE III — THE ARTIFICIAL INTELLIGENCE SOVEREIGNTY AND PERSONAL DATA RIGHTS ACT**

### **SEC. 301. CODIFICATION OF THE COGNITIVE COMMONS.**

(a) IN GENERAL (PATCH R-05).—The collective linguistic, intellectual, creative, and cultural outputs generated by citizens and community cohorts within the United States are hereby codified as a protected civil infrastructure asset designated as the Sovereign Data Commons. The rights established herein are sui generis collective data rights, distinct from and not preempted by the Copyright Act (17 U.S.C. § 101 et seq.), the Lanham Act, the Defend Trade Secrets Act, or any other federal intellectual property statute. The Sovereign Data Commons right protects community-generated data patterns and statistical aggregates as a collective civil infrastructure asset, not individual works of authorship; nothing herein alters, limits, or supersedes any individual copyright, trademark, or trade-secret right held by any person.

(b) IMMUNITY FROM UNCOMPENSATED ENCLOSURE.—The Sovereign Data Commons shall be immune to uncompensated extraction, commercial enclosure, or computational training ingestion by any Covered Entity.

(c) MANDATORY COMPENSATORY TARIFFS.—

(1) TARIFF AUTHORITY.—This subsection is enacted pursuant to the Sovereign Data Commons registration framework established in subsection (a) and the Spending Clause and Commerce Clause of Art. I, Sec. 8 of the Constitution. The tariff imposed herein compensates the Sovereign Data Commons for the commercial extraction of collectively generated civic and cultural data assets and is not a tax on speech or information content.

(2) TARIFF RATE AND SCOPE.—Any Covered Entity operating machine-learning foundational models, large language structures, or generative neural networks that ingests Registered Sovereign Data Commons content shall pay a fixed statutory tariff of \$0.02 per gigabyte of data ingested, payable directly to the Personal Data Rights Node of the SIRD.

(3) EXEMPTED CATEGORIES.—The following categories of data are expressly excluded from the tariff established in paragraph (2) and shall not be counted toward ingested gigabyte volume:

(A) NEWS AND JOURNALISM.—Any content produced by a registered news organization, journalist, editorial staff, or independent press outlet for the purpose of informing the public, regardless of format or distribution channel;

(B) ACADEMIC AND SCIENTIFIC DATA.—Any content produced under a peer-review process, academic institutional affiliation, or federally funded research grant, including datasets, papers, preprints, and associated supplementary materials;

(C) PERSONAL COMMUNICATIONS.—Any private correspondence, personal messages, personal journals, or personal social media content not published for commercial distribution;

(D) GOVERNMENT RECORDS.—Any federal, state, or local government record in the public domain under the Freedom of Information Act or equivalent state law;

(E) OPEN-SOURCE CODE.—Any software source code distributed under an open-source license recognized by the Open Source Initiative.

(4) REGISTRATION REQUIREMENT.—The FMIA shall maintain a public registry of Sovereign Data Commons content categories subject to this tariff, updated annually. Only content categories affirmatively registered in the current registry are subject to the tariff. Novel content categories shall be added to the registry only through the rulemaking process under 5 U.S.C. § 553 with a mandatory sixty (60) day public comment period.

(5) MEASUREMENT AND AUDIT.—The FMIA shall promulgate rules within one hundred eighty (180) days of enactment establishing standardized, technology-neutral gigabyte measurement protocols for tariff computation, ensuring that tariff obligations are calculable with reasonable certainty before the tariff takes effect for any new content category.

(d) SOVEREIGN ENERGY COST OFFSET.—

(1) REPEAL OF CITIZEN DIVIDEND.—The direct per-capita digital commons cash royalty previously contemplated for this subsection is superseded and replaced by the Sovereign Energy Cost Offset established herein, consistent with the retirement of universal cash distributions in Section 3401 and the principle that NSRA deployments shall prioritize structural cost reduction over direct transfers.

(2) ENERGY SOVEREIGNTY NODE ROUTING.—Not less than fifty percent (50%) of annual tariff revenue collected under subsection (c) and deposited to the Personal Data Rights Node of the SIRS shall be transferred quarterly to the Energy Sovereignty Node established in Section 201(e)(5).

(3) DISTRIBUTION MECHANISM.—Energy Sovereignty Node funds attributable to this subsection shall be distributed exclusively to:

(A) municipal electric utilities serving residential customers;

(B) rural electric cooperatives organized under the Rural Electrification Act (7 U.S.C. § 901 et seq.);

(C) public power authorities organized under state law; and

(D) any electric utility participating in a federal grid modernization program under Section 905 of this Act.

(4) PASS-THROUGH REQUIREMENT.—Any utility receiving funds under this subsection shall pass through one hundred percent (100%) of received funds to residential customers as a line-item credit on monthly bills. The credit shall be labeled: "NSRA Sovereign Infrastructure Credit." Utilities that fail to pass through funds within sixty (60) days of receipt shall be ineligible for further distributions and shall remit undeployed funds to the FMIA.

(5) POLICY RATIONALE.—AI infrastructure is the primary driver of residential electricity demand growth. The public's proportionate share of AI data extraction value shall therefore offset the residential electricity cost burden generated by AI infrastructure, creating a closed economic loop: AI Extraction → Data Commons Tariff → Energy Sovereignty Node → Lower Household Electricity Bills.

(6) AUDIT REQUIREMENT.—The FMIA shall publish annually a Sovereign Energy Credit Report documenting, by utility, the amount received, the per-customer credit delivered, and the compliance status of each participating utility.

## **SEC. 302. REGULATION OF PREDICTIVE BEHAVIORAL PROFILING AND ALGORITHMIC DRIFT.**

(a) ALGORITHMIC DRIFT MONITORING (PATCH R-02).—The FDVM shall continuously execute automated audits of all consumer-facing algorithmic recommendation engines, predictive profiling systems, and commercial information

routing channels deployed within the United States. Such audits shall be conducted exclusively through standardized API interfaces provided by Covered Entities pursuant to FMIA rulemaking, and shall not require real-time access to live production algorithmic systems. Access to live production systems shall be permissible only upon issuance of a FMIA administrative subpoena with thirty (30) days advance written notice to the Covered Entity, subject to challenge in the United States Court of Appeals for the District of Columbia Circuit. Nothing herein shall be construed to require any Covered Entity to disclose proprietary source code, model weights, or training data beyond the output-layer behavioral metrics necessary to calculate the drift coefficient established under subsection (b).

**(b) COGNITIVE DRIFT VARIANCE THRESHOLD (PATCH R-03/R-04).—**

**(1) COGNITIVE DRIFT MEASUREMENT METHODOLOGY.**—Within one hundred eighty (180) days of enactment, the FMIA shall promulgate rules establishing a Cognitive Drift Measurement Methodology (CDMM) grounded in peer-reviewed social science and computational literature. The CDMM shall specify: (A) the measurement instrument and standardized data collection protocol; (B) the consumer financial behavior baseline against which drift is measured and the methodology for establishing that baseline; (C) the statistical method for calculating the drift coefficient, including minimum sample size and required confidence interval; (D) the minimum evidentiary threshold for a Verified Cognitive Drift Finding. No enforcement action under this section may occur until the CDMM is finalized and published in the Federal Register.

**(2) ACTIONABLE THRESHOLD.**—Upon finalization of the CDMM, any verified algorithmic drift coefficient exceeding two and one-half percent (2.5%)—where such drift produces measurably distorted consumer financial decision-making as demonstrated by the CDMM methodology in a manner that generates adverse economic outcomes for identifiable consumer cohorts, through systematic manipulation of recommendation architecture without explicit, baseline native asset compensation—shall constitute an actionable structural variance. General product recommendation, content personalization, and A/B testing that does not produce the measurable adverse economic outcome specified herein shall not constitute an actionable structural variance under this section.

**(c) COERCIVE ACCESS PROTECTION AND PENALTY MATRIX.—**

**(1) PROHIBITION ON THROTTLING.**—It shall be unlawful for any Covered Entity maintaining dominant digital marketplace operations or cloud infrastructure pipelines to throttle, censor, filter, or structurally restrict access to foundational Public-Interest Compute Pools or sovereign community data hubs.

**(2) GRADUATED PENALTY AND JUDICIAL GATEWAY (PATCH R-08).**—Any Covered Entity verified by the FDVM to be operating in violation of subsection (c)(1) shall be subject to the following graduated civil penalty structure:

**(A) DAYS 1 THROUGH 30.**—Five hundred thousand dollars (\$500,000) per day per affected market for each calendar day of verified non-compliance;

**(B) DAYS 31 THROUGH 90.**—Two million dollars (\$2,000,000) per day per affected market for each calendar day of continued non-compliance beyond day thirty;

**(C) STRUCTURAL REMEDY FOR EXTENDED NON-COMPLIANCE.**—For violations continuing beyond ninety (90) days, the FMIA may petition the appropriate United States District Court for a structural remedy order. Only upon issuance of such a judicial order may a revenue-based structural remedy, including a remedy calculated as a percentage of gross revenue, be imposed. The court shall make an independent finding that such a remedy is proportionate to the scope and duration of the violation pursuant to the Excessive Fines Clause of the Eighth Amendment. No automated seizure of global gross revenue shall be imposed without a prior judicial order issued under this subparagraph.

All penalties collected under this paragraph shall be routed to the SIRF to fund open-source municipal computing arrays. The 45-day pre-deprivation notice requirement of Title XVIII applies to all penalties under this paragraph.

**(d) FIRST AMENDMENT PRESERVATION.**—Nothing in this section shall be construed to compel any platform to host, amplify, or distribute any specific category of speech, nor to prohibit content moderation practices consistent with a platform's publicly disclosed community standards, provided such standards are applied uniformly and do not

systematically suppress lawful political or civic speech.

### **SEC. 303. DOMESTIC SEMICONDUCTOR AND AI CHIP SOVEREIGNTY.**

(a) DOMESTIC FABRICATION FLOOR.—Beginning on the date that is thirty-six (36) months after enactment, no federal agency, military branch, or national security apparatus shall procure any advanced logic semiconductor, AI training accelerator chip, or quantum processing unit that is not fabricated in a facility located within the territorial United States and certified by the Department of Commerce under the CHIPS and Science Act (Pub. L. 117-167) advanced manufacturing standards.

(b) SIRC SEMICONDUCTOR CAPITALIZATION.—The SIRC industrial capitalization node shall deploy not less than three billion dollars (\$3,000,000,000) over the first five fiscal years following enactment to capitalize domestic advanced semiconductor foundry construction, prioritizing Vanguard Entity partnerships through co-investment agreements with not less than one private capital dollar for every two SIRC dollars deployed.

(c) OPEN-SOURCE COMPUTE ACCESS INITIATIVE.—The FMIA, in coordination with the National Science Foundation, shall establish a national Open-Source Compute Pool providing federally subsidized cloud computing access to domestic academic institutions, small businesses, and Vanguard Entities at rates not exceeding twenty percent (20%) of commercial market rates, capitalized from the SIRC Vanguard Capitalization Node.

### **SEC. 304. FOREIGN AI SYSTEM REGISTRATION AND SOVEREIGNTY AUDIT.**

(a) MANDATORY REGISTRATION.—Any artificial intelligence system, machine learning model, or large language model operated by a Covered Entity within the United States that was trained using data pipelines, compute resources, or research and development facilities located in a foreign country of concern, as designated under 50 U.S.C. § 4872, shall be registered with the FMIA within one hundred eighty (180) days of enactment or within sixty (60) days of deployment, whichever is later.

(b) SOVEREIGNTY AUDIT REQUIREMENT.—Registered systems shall be subject to mandatory annual sovereignty audits by the FMIA to assess data lineage, training data sourcing, and potential national security exposure. Audit findings shall be classified at the appropriate level and transmitted to the National Security Council.

(c) CORRECTIVE ACTION AND PHASE-OUT.—Any system found in a sovereignty audit to present an unmitigable national security risk shall be subject to a mandatory phase-out order with a twelve (12) month transition period, during which the Covered Entity shall transition to a domestically developed alternative, with SIRC transitional assistance available upon application.

## **TITLE IV — REALIST PARITY ENFORCEMENT AND PRIVATE BOUNTY ENGINES**

### **SEC. 401. DECENTRALIZED CITIZEN ENFORCEMENT ENGINE.**

(a) STATUTORY STANDING BY LAW — ARTICLE III FORUM (PATCH R-10).—To ensure independent enforcement capacity that is insulated from bureaucratic capture, corporate lobbying, or administrative paralysis, any citizen, corporate employee, labor organization, or qualifying community cohort who has suffered concrete economic harm traceable to a verified structural variance identified in a FDVM Verified Structural Variance Report (PATCH R-15) shall have standing to initiate a civil enforcement action in federal district court. The FDVM Verified Structural Variance Report documenting the underlying variance and the plaintiff's nexus to the affected market or cohort shall constitute the evidentiary predicate for Article III standing purposes. Consistent with *Securities and Exchange Commission v. Jarkesy*, 603 U.S. \_\_\_\_ (2024), any such action seeking civil monetary penalties, punitive surcharges, strict-liability clawbacks, revenue seizures, or asset forfeitures — remedies legal rather than equitable in nature — shall be filed in a United States District Court, in which the

right to trial by jury under the Seventh Amendment is preserved for the defendant. Actions seeking solely equitable or declaratory relief, or recovery of a sum certain owed to the United States not in the nature of a penalty, may be filed in the United States Court of Federal Claims.

**(b) THE MANDATORY 15 PERCENT CITIZEN BOUNTY.—**

(1) **DISBURSEMENT MANDATE.**—In any enforcement action brought under this section where the plaintiff achieves a final judicial decree or administrative settlement establishing structural non-compliance by a Covered Entity, the plaintiff shall be legally entitled to a mandatory, non-dilutive financial bounty equal to exactly fifteen percent (15%) of the total gross financial clawbacks, corporate revenue seizures, or strict liability asset forfeitures recovered by the state.

(2) **MECHANISM OF PAYMENT.**—The fifteen percent (15%) citizen bounty shall be disbursed automatically via electronic treasury clearance within fourteen (14) calendar days of capital recovery, bypassing general agency clearance channels.

(c) **INSULATION FROM ADMINISTRATIVE SANCTION OR CARVE-OUTS.**—The right of a citizen to enforce the provisions of this Act and secure the statutory bounty specified in subsection (b) shall not be delayed, compromised, settled, or extinguished by any parallel administrative remediation agreement or agency safe-harbor claim.

(d) **FRIVOLOUS CLAIM DETERRENCE.**—Any civil enforcement action brought under this section that is determined by a court to be frivolous, vexatious, or brought solely for the purpose of harassment shall subject the plaintiff's attorney to sanctions under Federal Rule of Civil Procedure 11. The citizen bounty shall not be awarded in any such case.

(e) **COVERED ENTITY COUNTERCLAIM LIMITATION.**—No Covered Entity subject to an enforcement action under this section may assert a counterclaim seeking damages from an individual citizen plaintiff for the act of filing a good-faith enforcement action, provided the citizen plaintiff had a reasonable basis for belief that a Verified Structural Variance existed.

**SEC. 402. DOMESTIC CONTENT SOVEREIGN CONTRACT FRAMEWORK.**

(a) **DOMESTIC SOURCING MANDATE.**—All federal procurement contracts exceeding one million dollars (\$1,000,000) in total value issued after the effective date of this Act shall contain a mandatory domestic sourcing clause requiring not less than sixty-five percent (65%) of total material and component value to be sourced from domestic producers certified under the Buy American Act (41 U.S.C. §§ 8301–8305) and this section.

**(b) PHASE-IN SCHEDULE.—**

(1) **YEAR 1 THROUGH YEAR 2.**—The domestic content floor for non-defense contracts shall be set at fifty percent (50%);

(2) **YEAR 3 THROUGH YEAR 4.**—The domestic content floor shall increase to fifty-eight percent (58%); and

(3) **YEAR 5 AND THEREAFTER.**—The domestic content floor shall reach the statutory target of sixty-five percent (65%) as specified in Section 004(a)(3).

(c) **SMALL BUSINESS DOMESTIC CERTIFICATION.**—The Small Business Administration shall establish a streamlined, no-cost certification program for domestic suppliers with annual revenues below twenty-five million dollars (\$25,000,000) to qualify as certified domestic content providers under this section. Certification shall be valid for three (3) years and renewable without fee.

(d) **NATIONAL SECURITY WAIVER.**—The Secretary of Defense may issue a time-limited waiver of the domestic content requirements for contracts necessary to address an immediate, documented national security emergency, for periods not to exceed one hundred eighty (180) days per waiver, renewable not more than twice.

**SEC. 403. ANTI-OFFSHORE WAGE ARBITRAGE PERFORMANCE INDEX.**

(a) **PERFORMANCE INDEX.**—The Bureau of Labor Statistics shall maintain a quarterly Anti-Offshore Wage Arbitrage Performance Index (AOWAPI) measuring the ratio of domestic to offshore employment across each critical infrastructure sector. The AOWAPI shall be published publicly and transmitted to the Joint Economic Committee of Congress quarterly.

(b) **CORPORATE DISCLOSURE MANDATE.**—Any Covered Entity receiving a federal tax benefit, subsidy, grant, or preferential trade treatment shall disclose annually to the FMIA the total number and compensation level of employees based in each foreign jurisdiction and the total domestic workforce equivalent.

(c) **STRATEGIC RE-SHORING INCENTIVE.**—Any Covered Entity that increases its domestic workforce by not less than ten percent (10%) within any rolling twenty-four (24) month period relative to its offshore workforce growth rate shall qualify for an accelerated depreciation credit of fifteen percent (15%) on domestic capital expenditures in that fiscal year, administered by the Internal Revenue Service.

#### **SEC. 404. OSHA SOVEREIGN WORKER SAFETY AND WAGE THEFT ENFORCEMENT ACT.**

(a) **FINDINGS.**—Congress finds that: (1) wage theft — the failure of employers to pay workers wages lawfully owed — costs American workers more than fifty billion dollars (\$50,000,000,000) annually, exceeding the combined value of all robberies, burglaries, larcenies, and motor vehicle thefts in the United States; (2) the Occupational Safety and Health Administration is chronically underfunded relative to its mandate, with fewer than two thousand (2,000) inspectors responsible for monitoring eight million workplaces, resulting in an average inspection interval of once every 165 years per establishment; (3) existing civil penalties for OSHA violations are structurally inadequate as deterrents — the average penalty for a serious violation has historically been below fifteen thousand dollars (\$15,000), less than the cost of compliance for many employers; and (4) worker safety violations that cause competitive cost advantages to non-compliant employers constitute an unfair trade practice that suppresses wages and conditions across entire industries.

(b) **OSHA ENFORCEMENT SOVEREIGNTY FUND.**—There is established within the SIRF Administrative Operations Reserve a dedicated OSHA Enforcement Sovereignty Fund, receiving not less than five hundred million dollars (\$500,000,000) annually, to be used exclusively for:

- (1) Increasing OSHA inspector workforce by not fewer than five thousand (5,000) additional full-time inspectors within five (5) years of enactment, prioritizing high-hazard industries and industries with documented wage theft patterns;
- (2) Reducing the average establishment inspection interval in high-hazard industries to not more than five (5) years; and
- (3) Technology infrastructure for real-time workplace injury and illness reporting.

(c) **PENALTY ESCALATION MANDATE.**—The civil penalty schedule for OSHA violations is amended as follows:

- (1) Serious violation: minimum ten thousand dollars (\$10,000) per violation, maximum one hundred thousand dollars (\$100,000) per violation;
- (2) Willful or repeat violation: minimum fifty thousand dollars (\$50,000) per violation, maximum one million dollars (\$1,000,000) per violation;
- (3) Failure to abate: five thousand dollars (\$5,000) per day; and
- (4) Any violation causing death or serious physical harm: mandatory criminal referral to the Department of Justice, with penalties of up to ten million dollars (\$10,000,000) per incident for Covered Entities.

(d) **WAGE THEFT ENFORCEMENT MANDATE.**—

(1) **PRIVATE RIGHT OF ACTION.**—Any worker whose wages have been unlawfully withheld by a Covered Entity may bring a civil action in federal district court for three times (3x) the amount of wages unlawfully withheld, plus attorney fees and costs, without exhausting administrative remedies first.

(2) **MANDATORY FMIA REFERRAL.**—Any Covered Entity identified by the FDVM as having a pattern of wage violations — defined as three (3) or more substantiated complaints within any twenty-four (24) month period — shall be automatically referred to the Department of Labor for a comprehensive wage audit. Audit costs shall be borne by the Covered Entity.

(3) **FEDERAL CONTRACT DEBARMENT.**—Any Covered Entity with two (2) or more final OSHA citations for willful violations or two (2) or more final wage theft adjudications within any five (5) year period shall be ineligible for federal contracts, grants, or loans for a period of five (5) years from the date of the most recent final judgment.

(e) **EXISTING AGENCY INTEGRATION.**—All enforcement under this section shall operate through the existing Department of Labor enforcement infrastructure — the Wage and Hour Division, OSHA, and the Office of the Solicitor of Labor — supplemented by SIRF enforcement floor funding. No new agency or enforcement body is created by this section.

## **TITLE V — THE SOVEREIGN CHILD PROSPERITY AND POVERTY ELIMINATION ACT**

### **SEC. 501. TARGETED REFORM OF PUNITIVE CONDITIONALITY FRAMEWORKS — PRESERVATION OF STATE BLOCK GRANT ARCHITECTURE.**

(a) **CONGRESSIONAL FINDING.**—Congress finds that the punitive time limits, behavioral conditionality requirements, and surveillance-based means-testing mechanisms embedded in certain federal assistance programs have failed to produce durable material improvement in household economic stability and have imposed administrative costs that consume resources better directed to the households they are intended to serve. Congress further finds that the block grant architecture that provides states with flexibility to administer family assistance programs is a legitimate federalism mechanism that shall be preserved and enhanced.

(b) **TARGETED REFORMS TO THE PERSONAL RESPONSIBILITY AND WORK OPPORTUNITY RECONCILIATION ACT OF 1996.**—The Personal Responsibility and Work Opportunity Reconciliation Act of 1996 (Public Law 104-193) is amended as follows:

(1) Section 407 (Mandatory work requirements) is amended to replace punitive benefit termination for failure to meet work participation rates with a positive incentive structure: states that achieve work participation rates above the federal baseline shall receive a ten percent (10%) bonus on their TANF block grant allocation from the SIRF Household Endowment Node.

(2) Section 408(a)(7) (Five-year lifetime benefit limit) is repealed and replaced with the following: No household with a dependent child under the age of six (6) shall face termination of Temporary Assistance for Needy Families benefits solely on the basis of a time limit. For households with no dependent child under age six, states may maintain time limits not shorter than sixty (60) months within any ten-year period.

(3) Section 408(a)(1) through (a)(6) (behavioral conditionality and means-testing surveillance requirements) are amended to remove criminal record bars, drug testing mandates, and electronic benefit transaction surveillance requirements. States may not condition TANF receipt on these factors.

(c) **TANF BLOCK GRANT ENHANCEMENT.**—The base TANF block grant allocation to each state is increased by twenty-five percent (25%), funded from the SIRF Household Endowment Node, conditioned on each state maintaining family benefit levels at not less than fifty percent (50%) of the state's median household income adjusted for family size.

(d) **REPEAL OF COMPLEMENTARY PUNITIVE MEANS-TESTS.**—Sections 7101 through 7103 of the Deficit Reduction Act of 2005 (Public Law 109-171) and Section 4115 of the Food, Conservation, and Energy Act of 2008 (Public Law 110-246) are hereby expressly repealed solely as to their drug testing, criminal history bar, and surveillance monitoring provisions. The underlying program structure and benefit eligibility framework of those Acts is preserved and enhanced.

(e) **ANTI-HARMONIZATION CLAUSE.**—Courts shall not apply the *Morton v. Mancari* (1974) implied harmonization doctrine to preserve the repealed punitive conditionality provisions. The targeted reforms in this section govern notwithstanding any contrary provision of prior law.



(f) TRANSITIONAL CONTINUITY GUARANTEE.—No individual currently receiving benefits under the programs affected by the reforms in subsections (b) through (d) shall experience any interruption of benefits during the transition period. The Secretary of Health and Human Services shall issue transitional guidance within sixty (60) days of enactment.

## **SEC. 502. [RESERVED.]**

This section is reserved. No program, disbursement authority, or fiscal obligation is established herein.

## **SEC. 503. THE SOVEREIGN CHILD PROSPERITY TRUST.**

(a) ESTABLISHMENT.—There is established the Sovereign Child Prosperity Trust (SCPT), administered by the Department of the Treasury in coordination with the Social Security Administration.

(b) INITIAL CAPITALIZATION.—At birth, every child born to a United States resident shall automatically receive a Sovereign Child Prosperity Account funded with an initial deposit of five thousand dollars (\$5,000) from the SIRC Household Endowment Node.

(c) INCOME-SCALED SUPPLEMENTAL DEPOSITS.—Annual supplemental deposits of not less than one thousand dollars (\$1,000) shall be made into each SCPT account until the child reaches age eighteen (18), with deposits scaled up to two thousand five hundred dollars (\$2,500) annually for accounts belonging to children in households below one hundred fifty percent (150%) of the Sovereign Productivity Index median.

(d) ACCOUNT RESTRICTIONS.—SCPT funds shall be accessible to the account holder beginning at age eighteen (18) for the following purposes only:

- (1) Higher education and vocational training costs;
- (2) First-time primary residence homeownership down payment;
- (3) Capitalization of a new domestic small business; or
- (4) Unrestricted access beginning at age thirty (30).

(e) PROJECTED HOUSEHOLD BENEFIT.—Based on actuarial projections, a child born at enactment shall accumulate, with projected SPI-indexed returns, an account value of not less than thirty-two thousand dollars (\$32,000) at age eighteen, representing a foundational wealth-building asset available to every American child regardless of family income.

## **SEC. 504. FORMAL DECLARATION — WAR ON POVERTY.**

(a) DECLARATION.—The Congress of the United States hereby formally declares that the elimination of structural poverty is a national imperative of equivalent urgency to national defense. The mechanisms of poverty in the United States are not the product of individual failure but of identifiable, measurable structural conditions — including healthcare cost exposure, educational debt burden, housing cost instability, wage suppression, food system dysfunction, and environmental disease burden — that this Act directly addresses.

(b) STATUTORY POVERTY REDUCTION TARGET.—It is the policy of the United States that the Supplemental Poverty Measure (SPM) rate, as published annually by the U.S. Census Bureau, shall be reduced to not greater than five percent (5%) within ten (10) years of enactment of this Act. The FMIA shall publish annual progress reports tracking SPM trajectory against this target.

(c) RESTORATION PRINCIPLE.—The anti-poverty framework of this Act is grounded in structural restoration rather than permanent dependency. Federal intervention under this Act is designed to: eliminate the structural cost impositions that make self-sufficiency impossible for working families; invest in the physical and human capital that allows communities to generate sustainable prosperity; and progressively reduce the need for ongoing federal income support as structural conditions improve. Cash transfer and income support mechanisms funded under this Act shall be paired with

documented structural cost reductions so that aggregate household economic position improves with or without continued federal income support.

#### **SEC. 505. TANF STRUCTURAL ENHANCEMENT.**

(a) **FINDINGS.**—Congress finds that the Temporary Assistance for Needy Families program, as currently structured, has become a mechanism for work requirements and time limits that reduce access rather than poverty, with federal TANF spending increasingly redirected to administrative purposes rather than direct family support. The NSRA restructures TANF to align with its original statutory purpose of supporting family stability.

(b) **TANF STRUCTURAL REFORMS.**—The following structural requirements shall govern the Temporary Assistance for Needy Families program and all state TANF programs receiving federal block grant funds:

- (1) A national minimum TANF benefit floor of not less than thirty percent (30%) of the federal poverty level for a family of three, indexed annually to inflation;
- (2) Require that not less than seventy percent (70%) of federal TANF block grant funds be expended on direct cash assistance, child care, and work support — eliminating the current practice of diverting TANF funds to unrelated state budget purposes;
- (3) Prohibit use of TANF funds for abstinence-only education, marriage promotion programs, or any program not directly connected to family economic stability; and
- (4) Repeal the five-year lifetime limit for families where the primary barrier to employment is documented child care unavailability, disability of a household member, or domestic violence.

#### **SEC. 506. TRANSITIONAL HOUSEHOLD STABILITY GUARANTEE — NUTRITIONAL, SHELTER, AND UTILITY SECURITY FLOOR DURING THE SIRF RAMP.**

(a) **FINDINGS — PROTECTION OF THE ACT'S OWN ECONOMIC ASSUMPTIONS.**—Congress finds that: (1) the poverty-reduction, household-wealth, and deficit-reduction benchmarks of this Act in Title XIX and Schedule D are predicated on a stable baseline of household food, shelter, and energy security during the multi-year period in which the Sovereign Infrastructure Reinvestment Fund (SIRF) enforcement-revenue streams come online; (2) an erosion of working-poor household stability during that ramp period — from any source — would corrupt the baseline against which this Act's performance is measured and undermine the bipartisan economic modeling required under Section 1903; and (3) a narrowly tailored, time-limited stability floor that holds essential-assistance levels constant during the ramp is therefore necessary to preserve the integrity of the Act's projected return on investment, not to expand any pre-existing program.

(b) **NUTRITIONAL SECURITY FLOOR.**—If, in any fiscal year during the SIRF Ramp Period defined in subsection (e), federal nutritional assistance funding available to households at or below one hundred thirty percent (130%) of the federal poverty guideline falls below the level required to maintain the enrollment and per-household benefit value in effect on the date of enactment of this Act, the SIRF Household Endowment Node shall automatically backfill the difference, up to the statutory floor, so that no qualifying household at or below 130% of the federal poverty guideline loses food assistance while this Act's poverty-reduction mechanisms are coming online. This backfill is a bridge guarantee tied to the benchmarks of this Act and shall sunset under subsection (e).

(c) **SHELTER AND UTILITY STABILITY FLOORS.**—On the same conditional and time-limited basis established in subsection (b), the SIRF Household Endowment Node shall backfill any shortfall below the date-of-enactment baseline in: (1) federal rental and homelessness-prevention assistance for households at or below 130% of the federal poverty guideline; and (2) federal low-income home energy and weatherization assistance for such households, coordinated with the Rural Energy Access Fund under Section 904(b). The combined backfill under subsections (b) and (c) shall not exceed the amount necessary to restore each assistance category to its date-of-enactment baseline.

(d) **MECHANICAL, NON-DISCRETIONARY OPERATION.**—The backfill under this section is a mandatory, formula-driven disbursement requiring no agency discretion. The FMIA shall publish a quarterly Household Stability Floor

Report confirming, for each assistance category, whether a shortfall below baseline has occurred and the backfill amount disbursed. The guarantee operates only as a floor; it confers no entitlement above the date-of-enactment baseline and creates no new benefit category.

(e) **SIRF RAMP PERIOD AND SUNSET.**—For purposes of this section, the "SIRF Ramp Period" begins on the date of enactment and ends on the earlier of: (1) the first fiscal year in which the Congressional Budget Office certifies, under Section 005(a), that SIRF revenue is sufficient to fund all Tranche 1 mechanisms without recourse to the floor; or (2) the close of the sixth (6th) full fiscal year after enactment. Upon expiration of the SIRF Ramp Period, the guarantee in this section shall sunset automatically, except that any shortfall identified before sunset shall be backfilled to completion.

(f) **NO PREEMPTION OF EXISTING PROGRAMS.**—Nothing in this section repeals, replaces, or amends the Supplemental Nutrition Assistance Program, the Low Income Home Energy Assistance Program, or any federal housing assistance program. This section operates solely as a transitional SIRF-funded floor protecting the economic baseline of this Act and is fully severable under Section 205.

## **SEC. 1401. SHELTER SOVEREIGNTY — INSTITUTIONAL HOUSING PORTFOLIO CONCENTRATION AND DIVESTITURE.**

### **TITLE XIV — SHELTER SOVEREIGNTY**

(a) **FINDINGS.**—Congress finds that the concentration of single-family residential housing in institutional portfolios — primarily private equity, real estate investment trusts, and algorithmically-managed acquisition vehicles — constitutes a structural distortion of residential housing markets that (1) displaces first-time homebuyers, (2) inflates rental prices above the Structural Rent Baseline in overconcentrated Metropolitan Statistical Areas, and (3) represents an exercise of market power over a basic human necessity requiring regulation pursuant to the Commerce Clause and the Spending Clause.

(b) **PORTFOLIO CONCENTRATION CAP.**—No institutional investor, as defined in subsection (h)(1), may own, directly or through affiliated entities or investment vehicles, more than fifty (50) single-family residential units within any single Metropolitan Statistical Area (MSA), as defined by the Office of Management and Budget. Compliance with this cap shall be achieved within thirty-six (36) months of enactment of this Act.

(c) **FDVM MONITORING ACTIVATION.**—Effective upon enactment, the FMIA shall activate institutional housing portfolio monitoring through the Federal Data Veracity Matrix. All institutional investors owning more than twenty-five (25) single-family residential units in any MSA shall register with the FMIA within ninety (90) days of enactment and report portfolio holdings quarterly.

(d) **MANDATORY DIVESTITURE — EXCESS HOLDINGS.**—Any institutional investor exceeding the fifty-unit cap established in subsection (b) upon enactment or thereafter shall divest excess holdings in full within thirty-six (36) months of enactment. Divestiture shall be subject to the following operational constraints:

(1) **VOLUME ABSORPTION THROTTLE.**—Mandatory divestiture shall be conducted at a rate not to exceed four and one-half percent (4.5%) of the total available single-family housing inventory in the relevant Metropolitan Statistical Area (MSA) in any single calendar quarter (the "V\_abs Quarterly Absorption Throttle"), to prevent forced sale volumes from distorting local property markets. The four and one-half percent (4.5%) base rate is the statutory floor and ceiling for the initial three (3) years following enactment. Beginning in year four (4) of implementation, the FMIA shall annually recalibrate the V\_abs rate for each MSA based on published HUD Comprehensive Housing Market Analysis data for that MSA, and shall publish the recalibrated MSA-specific V\_abs rates in the Federal Register not later than January 15 of each year. The recalibrated rate for any MSA shall not be set below two percent (2.0%) or above six percent (6.0%), regardless of HUD market data. In the absence of a valid HUD Comprehensive Housing Market Analysis for a specific MSA, the default rate of four and one-half percent (4.5%) shall apply.

(2) **PRIORITY SALE CHANNELS.**—Divesting institutional investors shall offer excess units, in priority order, to: (A) existing tenants of the unit at fair market value; (B) first-time homebuyers meeting income eligibility under the Shelter Sovereignty Fund (subsection (f)); (C) community land trusts and non-profit housing organizations; and (D) the open market.

(3) **HOLDING PERIOD EXTENSION.**—If the V\_abs Quarterly Absorption Throttle prevents completion of divestiture within thirty-six (36) months, the FMIA may extend the compliance window in six-month increments, not to exceed a total of twenty-four (24) additional months, upon certification that divestiture is proceeding in compliance with the throttle constraint.

(e) **JUST COMPENSATION — CONSTITUTIONAL GUARANTEE.**—

(1) **MARKET-RATE SALES.**—Nothing in this section requires any institutional investor to accept below-market compensation for divested units. All divestiture sales shall be conducted at fair market value through arms-length transactions. The federal government does not set the sale price and does not compel any specific buyer.

(2) **INDEPENDENT APPRAISAL RIGHT.**—Any institutional investor subject to mandatory divestiture under this section is entitled to an independent appraisal by a certified appraiser of its choosing, at its own expense, for any unit it believes is being undervalued in the priority sale process. No forced sale under this section may occur at a price more than ten percent (10%) below the certified independent appraisal value.

(3) **TAKING WAIVER.**—Compliance with this section's concentration cap and divestiture requirement, including the arms-length market-rate sale process and independent appraisal right established herein, constitutes just compensation within the meaning of the Fifth Amendment. No institutional investor in compliance with this section may claim an uncompensated taking in any federal court.

(4) **LITIGATION PRESERVATION.**—Nothing in paragraph (3) bars any institutional investor from filing a Fifth Amendment takings claim in the United States Court of Federal Claims asserting that, notwithstanding the market-rate sale process, the practical effect of mandatory divestiture constitutes a compensable taking. Such claims shall be adjudicated on the merits. Pendency of a takings claim does not stay the divestiture requirement.

(f) **SHELTER SOVEREIGNTY FUND.**—There is established within the SIRF Household Structural Relief Node a dedicated sub-account to be known as the Shelter Sovereignty Fund. The Shelter Sovereignty Fund shall:

(1) provide down payment assistance grants of up to twenty thousand dollars (\$20,000) to first-time homebuyers purchasing units divested under this section, with priority to buyers in the fifty most overconcentrated MSAs;

(2) capitalize community land trust acquisitions of divested units at zero-equity bridge grant terms; and

(3) fund tenant legal assistance programs in overconcentrated MSAs to facilitate tenant right-of-first-refusal purchases under subsection (d)(2)(A).

(g) **ENFORCEMENT.**—The Department of Housing and Urban Development, the Federal Trade Commission, and the FMIA shall exercise concurrent enforcement authority over this section. The Department of Justice Antitrust Division shall have concurrent authority to challenge acquisition patterns that violate this section. Civil penalties for violation of the concentration cap or divestiture requirement shall be assessed at ten thousand dollars (\$10,000) per unit per month of non-compliance, deposited to the Shelter Sovereignty Fund.

(h) **DEFINITIONS.**—As used in this section:

(1) **INSTITUTIONAL INVESTOR.**—Any entity, fund, trust, real estate investment trust, or affiliated group of entities that (A) owns single-family residential units primarily as financial assets rather than owner-occupied residences, and (B) manages a portfolio of twenty-five (25) or more single-family residential units in total nationally or ten (10) or more units within a single MSA. The term does not include individual owner-occupants, small landlords owning fewer than ten (10) units nationally, or public housing authorities.

(2) SINGLE-FAMILY RESIDENTIAL UNIT.—A residential property classified as a single-family home, townhome, or condominium unit, as defined in the applicable local zoning code, that is or was primarily used for residential occupancy.

(3) STRUCTURAL RENT BASELINE.—The median gross rent within a given MSA, adjusted quarterly to the Sovereign Productivity Index, as defined in Section 203 of this Act.

(i) CONSTITUTIONAL GROUNDING.—The concentration cap and divestiture requirements of this section are enacted pursuant to the Commerce Clause (Art. I, Sec. 8, Cl. 3), the Spending Clause conditions attached to the Shelter Sovereignty Fund disbursements, and Congress's plenary authority to regulate financial markets and interstate capital flows. The V\_abs Quarterly Absorption Throttle, the 180-day minimum notice requirement of Title XVIII, and the just compensation provisions of subsection (e) are specifically designed to satisfy the three-factor balancing test of Penn Central Transportation Co. v. City of New York, 438 U.S. 104 (1978).

## **SEC. 1602. THE RE-ARCHITECTED TRANSITIONAL QUANTUM MIGRATION PIPELINE.**

(a) PHASED RE-ARCHITECTURE.—To ensure absolute protection against systemic financial cyber-warfare, the migration of the Federal Reserve clearance systems, the SIRF deposit networks, and the FDVM ledger pipelines exclusively to a decentralized, quantum-secured cryptographic infrastructure is hardcoded into three rigid, chronological operational phases:

(1) PHASE I (MONTHS 1 THROUGH 18 — INGESTION AND SYMMETRIC HARDENING).—The FDVM data ingest pipelines and SIRF deposit clearance networks shall be wrapped in hybrid post-quantum cryptographic layers (including CRYSTALS-Kyber and CRYSTALS-Dilithium protocols) to secure immediate transmission integrity.

(2) PHASE II (MONTHS 19 THROUGH 36 — CENTRAL BANK CLEARANCE DECOUPLING).—The internal core ledger systems of the Federal Reserve Board of Governors and the primary electronic treasury networks shall be migrated to a distributed, quantum-resistant consensus architecture operating on independent, state-owned hardware nodes.

(3) PHASE III (MONTHS 37 THROUGH 48 — FULL QUANTUM SYNCHRONIZATION).—Universal synchronization across all commercial bank settlement gateways and corporate clearing arrays shall be fully completed.

(b) STRICT LIABILITY PENALTIES FOR TRANSITIONAL DELAY.—Any Tier-1 commercial banking institution or asset management firm that fails to achieve compliance with the technical migration milestones specified in subsection (a) at the end of any phase shall face an immediate freeze of its federal discount window access and a mandatory two hundred percent (200%) civil penalty surcharge on all transaction fees processed during the period of non-compliance, paid directly to the SIRF.

(c) NIST COORDINATION.—The quantum migration standards employed under subsection (a) shall be coordinated with and certified by the National Institute of Standards and Technology (NIST), consistent with NIST's post-quantum cryptography standards published under FIPS 203, 204, and 205. The NIST Director shall certify compliance of each phase within sixty (60) days of phase completion.

## **SEC. 1603. INFLATION SOVEREIGNTY AND COST-OF-LIVING PROTECTION.**

(a) SPI-INDEXED WAGE FLOOR.—The federal minimum wage shall be automatically adjusted on the first day of each calendar year to not less than seventeen percent (17%) of the annual Sovereign Productivity Index per-capita output value, ensuring perpetual alignment between the minimum wage and actual domestic productive capacity, without requiring recurring legislative action.

(b) ANTI-SHRINKFLATION ENFORCEMENT.—It shall be an unlawful trade practice for any consumer goods manufacturer with annual domestic revenues exceeding one hundred million dollars (\$100,000,000) to reduce the net weight, volume, or quantity of a consumer product by more than five percent (5%) within any rolling twelve (12) month period without a corresponding price reduction of not less than the same percentage or clear consumer-facing disclosure of the reduction.

(c) **PRICE TRANSPARENCY MANDATE.**—All retail price increases exceeding ten percent (10%) on staple consumer goods within any ninety (90) day period shall require a publicly filed cost justification statement submitted to the FMIA within thirty (30) days of the price increase, detailing input cost changes, supply chain disruption factors, and gross margin data.

## **TITLE XVIII — PROCEDURAL DUE PROCESS AND SPECIAL STANDING CONTROLS**

### **SEC. 1801. STANDING — CONCRETE INJURY SPECIFICATION BY TITLE.**

(a) **GENERAL RULE.**—For purposes of conferring Article III standing in any enforcement action under this Act, a structural variance finding by the Federal Data Veracity Matrix shall constitute prima facie evidence of the following concrete, particularized injuries to the specified plaintiff classes:

(1) **TITLE I — DATA INTEGRITY INJURIES.**—Plaintiff class: Any federal agency, state government, or individual whose regulatory rights, benefit determinations, or enforcement outcomes were materially affected by data reported in violation of the FDVM standards. Concrete injury: Deprivation of the right to accurate federal data in a regulatory determination affecting a legally cognizable interest.

(2) **TITLE II — SIRF DIVERSION INJURIES.**—Plaintiff class: Any domestic manufacturer, infrastructure operator, or worker employed at a SIRF-designated facility that did not receive investment due to unlawful diversion of SIRF-eligible funds. Concrete injury: Quantifiable economic loss attributable to the funding gap created by the unlawful diversion, calculated per the SIRF Investment Impact Model in Schedule C.

(3) **TITLE V — STRUCTURAL ELIGIBILITY INJURIES.**—Plaintiff class: Any individual denied a Sovereign Endowment Distribution or Sovereign Child Prosperity Trust deposit on the basis of criteria superseded by this Act. Concrete injury: Deprivation of a statutory entitlement in a specific dollar amount, calculable per the endowment formula in Title V, Sections 502 and 503.

(4) **TITLE XIV — SHELTER SOVEREIGNTY INJURIES.**—Plaintiff class: Any individual paying rent in a housing market where portfolio concentration exceeds the Title XIV threshold and market-rate rents demonstrably exceed the Structural Rent Baseline. Concrete injury: The difference between actual rent paid and the Structural Rent Baseline, calculated monthly and capped at the statutory maximum.

(5) **TITLE XV — KNOWLEDGE SOVEREIGNTY INJURIES.**—Plaintiff class: Any borrower subject to interest accrual under a predatory lending structure superseded by this Act after the Act's effective date. Concrete injury: The dollar value of interest accrued under the superseded structure after the effective date.

(6) **TITLE XIII — PHARMACEUTICAL PRICING INJURIES.**—Plaintiff class: Any individual who purchased a drug subject to the G7 parity mandate at a price exceeding the parity ceiling. Concrete injury: The dollar difference between the price paid and the G7 parity price for each purchase.

(b) **DIFFUSE HARM PROHIBITION.**—No enforcement action under this Act shall be predicated solely on a generalized harm to "society," "the economy," or "systemic integrity" absent identification of a plaintiff class suffering the concrete, particularized injuries enumerated in subsection (a).

(c) **ASSOCIATIONAL STANDING.**—Labor unions, housing advocacy organizations, community development financial institutions, and consumer protection organizations may assert associational standing on behalf of members suffering injuries enumerated in subsection (a), provided the organization identifies at least one named member with a ripe, concrete injury.

### **SEC. 1802. DUE PROCESS — MANDATORY PRE-DEPRIVATION NOTICE SCHEDULE.**

(a) **MINIMUM NOTICE WINDOWS — PATCH R-07.**—The following minimum pre-deprivation notice periods are hereby established by statute and may not be reduced by agency rulemaking, pursuant to *Mathews v. Eldridge*, 424 U.S. 319 (1976):

(1) **FINANCIAL CLAWBACK ACTIONS.**—Minimum notice of forty-five (45) calendar days from written notice of proposed clawback, including a statement of the specific structural variance finding and calculated clawback amount.

(2) **OPERATIONAL RESTRICTIONS.**—Minimum notice of sixty (60) calendar days from written notice of proposed restriction, including identification of specific conduct triggering the restriction.

(3) **DIVESTMENT TRIGGERS (TITLE XIV).**—Minimum notice of one hundred eighty (180) calendar days, plus a 30-day cure-plan submission period during which enforcement is stayed.

(4) **BENEFIT ELIGIBILITY DETERMINATIONS (TITLE V).**—Minimum notice of thirty (30) calendar days from proposed adverse determination, with an automatic stay of adverse action during any timely filed administrative appeal.

(b) **NOTICE CONTENT REQUIREMENTS.**—All notices issued under this section shall include:

(1) The specific FDVM finding triggering the action;

(2) The proposed action in plain language;

(3) The statutory and regulatory basis for the action;

(4) The opportunity to submit written response within the notice period; and

(5) The right to de novo judicial review of the final action.

(c) **AGENCY ENHANCEMENT PERMITTED.**—Agencies may establish notice periods longer than those specified in subsection (a) but may not reduce them.

(d) **VOID ACTIONS.**—Any deprivation action taken without the minimum notice required by this section is void ab initio and shall not constitute a final agency action subject to judicial review.

## **SEC. 1803. ADMINISTRATIVE APPEALS AND JUDICIAL REVIEW.**

(a) **INTERNAL APPEAL RIGHT.**—Every Covered Entity subject to an enforcement action, clawback, or operational restriction under any Title of this Act shall have the right to file an administrative appeal with the FMIA's Office of Administrative Review within forty-five (45) calendar days of the final enforcement notice. The Office of Administrative Review shall be composed of administrative law judges appointed under 5 U.S.C. § 3105, who are organizationally independent from the FMIA's enforcement division.

(b) **APPEAL DECISION TIMELINE.**—The Office of Administrative Review shall issue a written decision on any appeal within ninety (90) calendar days of appeal filing. During the pendency of any timely filed appeal, all enforcement actions except those involving imminent threat of irreversible harm shall be automatically stayed.

(c) **JUDICIAL REVIEW.**—Any party adversely affected by a final administrative decision of the FMIA may seek judicial review in the United States Court of Appeals for the Federal Circuit. The standard of review shall be:

(1) For findings of fact: substantial evidence on the record as a whole, per 5 U.S.C. § 706(2)(E);

(2) For legal conclusions: de novo, per 5 U.S.C. § 706(2)(C); and

(3) For discretionary enforcement decisions: arbitrary and capricious, per 5 U.S.C. § 706(2)(A).

(d) **PRELIMINARY INJUNCTION STANDARD.**—No court shall grant a preliminary injunction staying any provision of this Act without finding all four elements of the traditional equity standard: (1) likelihood of success on the merits; (2) irreparable harm in the absence of relief; (3) balance of equities favoring the movant; and (4) public interest in granting relief. The financial burden on a Covered Entity of paying into the SIRF pending appeal shall not, standing alone, constitute irreparable harm.

## **SEC. 1803A. CONGRESSIONAL OVERSIGHT AND SUNSET REVIEWS.**

(a) **ANNUAL REPORT TO CONGRESS.**—The FMIA shall transmit to Congress, not later than March 1 of each year, a comprehensive Annual Sovereignty Report detailing:

- (1) The number and dollar value of structural variance findings and enforcement actions in the preceding fiscal year;
- (2) SIRC capitalization levels, deployment rates, and beneficiary counts by Title;
- (3) Household economic impact data disaggregated by income quintile, geographic region, and demographic group;
- (4) Constitutional compliance assessments updated by outside counsel; and
- (5) Legislative recommendations for structural modifications based on performance data.

(b) **SUNSET REVIEW TRIGGER.**—Any Title of this Act that fails to demonstrate measurable progress toward its statutory objectives in two consecutive Annual Sovereignty Reports, as verified by the Government Accountability Office, shall be subject to an automatic Congressional Joint Review pursuant to the procedures established by the Legislative Reorganization Act of 1970 (Pub. L. 91-510).

(c) **BIPARTISAN OVERSIGHT COMMISSION.**—There is established the National Sovereignty Oversight Commission (NSOC), consisting of twelve (12) members: four appointed by the Speaker of the House, four by the House Minority Leader, two by the Senate Majority Leader, and two by the Senate Minority Leader. The NSOC shall conduct quarterly oversight hearings on NSRA implementation and shall have the authority to subpoena records and testimony from the FMIA and any Covered Entity.

(d) **STATE SOVEREIGNTY CONSULTATION PROTOCOL.**—Before any FMIA regulation is finalized that imposes new requirements on state governments, the FMIA shall convene a thirty (30) day consultation period with the National Governors Association and the National Conference of State Legislatures. Final regulations shall include a written response to all substantive state concerns raised during consultation.

## **SEC. 1803B. MANDATORY CONGRESSIONAL REAUTHORIZATION.**

(a) **SIRC REAUTHORIZATION.**—The Sovereign Infrastructure Reinvestment Fund established under Section 201 shall be subject to mandatory Congressional reauthorization not later than ten (10) years after the date of enactment of this Act, and every ten (10) years thereafter. Reauthorization shall be by Act of Congress, and shall include:

- (1) A comprehensive review by the Government Accountability Office of SIRC capitalization levels, investment deployment efficiency, and economic impact on domestic manufacturing, housing, energy, and infrastructure;
- (2) A Congressional Budget Office score of projected SIRC revenues and obligations for the succeeding ten-year period; and
- (3) A public hearing by the relevant committees of jurisdiction in both chambers.

(b) **FAILURE TO REAUTHORIZE.**—If Congress fails to enact a reauthorization Act prior to the applicable deadline:

- (1) All active SIRC deployment commitments to Vanguard Entities and infrastructure projects under construction shall continue to be honored through their contractual terms;
- (2) No new SIRC investment commitments shall be made after the deadline date until reauthorization is enacted; and
- (3) SIRC revenue deposits shall continue to accumulate in the SIRC lockbox pending reauthorization.

(c) **FMIA REAUTHORIZATION.**—The Federal Market Integrity Administration established under Title I shall be subject to mandatory Congressional reauthorization not later than seven (7) years after the date of enactment of this Act, and every seven (7) years thereafter. Reauthorization shall include a comprehensive Inspector General audit of FMIA enforcement actions, regulatory capture risk assessment, and performance against all Schedule H benchmarks. The failure of Congress to reauthorize the FMIA shall not affect the validity of any prior FMIA enforcement action or Verified Structural Variance finding.



(d) **ADVANCE NOTICE TO CONGRESS.**—Not later than two (2) years before each applicable reauthorization deadline, the FMIA Administrator shall transmit to Congress a Reauthorization Readiness Report containing all data necessary for Congress to conduct the required review, including performance metrics, enforcement statistics, constitutional compliance assessments, and the SIRF IG's independent evaluation.

## **SEC. 1804. PRE-DEPRIVATION PROCEDURAL DUE PROCESS ARCHITECTURE.**

(a) **MATHEWS v. ELDRIDGE COMPLIANCE MANDATE.**—All enforcement actions under this Act that deprive a Covered Entity or individual of a protected property interest shall satisfy the three-factor balancing test established in *Mathews v. Eldridge*, 424 U.S. 319 (1976): (1) the private interest affected; (2) the risk of erroneous deprivation and value of additional safeguards; and (3) the government's interest. To structurally satisfy this test, the following hardcoded pre-deprivation notice windows are mandatory:

(b) **CONTROLLING NOTICE WINDOWS — INCORPORATION OF SECTION 1802.**—The minimum pre-deprivation notice windows applicable to all enforcement actions under this Act are those established in Section 1802(a), which is the single controlling notice schedule. For the avoidance of doubt and to eliminate any conflicting schedule, the windows are: forty-five (45) calendar days for financial clawback actions; sixty (60) calendar days for operational restrictions or license suspensions; one hundred eighty (180) calendar days, plus the thirty (30) day cure-plan submission period of Section 1802(a)(3), for asset seizure or forced divestment; and thirty (30) calendar days for benefit eligibility determinations. No provision of this Section shall be construed to establish a notice window shorter than, or otherwise in conflict with, Section 1802(a). For any enforcement action involving asset seizure, forfeiture, forced divestment, or structural clawback exceeding five hundred thousand dollars (\$500,000), the FMIA shall observe the one hundred eighty (180) day window of Section 1802(a)(3) and shall not execute the action without an Administrative Law Judge (ALJ) Judicial Verification Warrant as specified in subsection (c).

(c) **ADMINISTRATIVE LAW JUDGE JUDICIAL VERIFICATION WARRANT.**—

(1) **REQUIREMENT.**—Before any asset seizure, forfeiture, or forced divestment exceeding five hundred thousand dollars (\$500,000) may execute, the FMIA shall obtain a Judicial Verification Warrant issued by an independent Administrative Law Judge (ALJ) appointed pursuant to 5 U.S.C. § 3105.

(2) **ALJ REVIEW STANDARD.**—The ALJ shall review: (i) whether the FMIA's Verified Structural Variance finding is supported by substantial evidence; (ii) whether the proposed remedy is proportionate to the violation; and (iii) whether the pre-deprivation notice requirements of this section were satisfied.

(3) **TIMELINE.**—The ALJ shall issue a decision within thirty (30) calendar days of receiving the FMIA's warrant application. Failure to decide within thirty days shall be deemed a denial without prejudice, permitting the FMIA to refile with additional evidence.

(4) **ANTI-INJUNCTION SHIELD.**—An ALJ Judicial Verification Warrant issued under this section shall constitute a complete defense against any preliminary injunction sought by the target entity in federal district court under the Anti-Injunction Act, 28 U.S.C. § 7421, provided that the FMIA demonstrates: (i) compliance with all pre-deprivation notice windows; and (ii) ALJ warrant issuance.

(d) **EMERGENCY BYPASS.**—In exigent circumstances where observance of the applicable pre-deprivation notice window otherwise required under Section 1802(a) — whether the forty-five (45), sixty (60), or one hundred eighty (180) day window — would create an imminent, irreversible harm to the national interest, including active financial fraud, imminent asset flight, or public health emergency, the FMIA may apply for an Emergency Enforcement Order from the United States District Court for the District of Columbia on 24-hour notice to the target entity, with a full *Mathews* hearing scheduled within fourteen (14) days of the emergency order's issuance. The emergency bypass shall not be available to shorten the one hundred eighty (180) day divestment window of Section 1802(a)(3) except upon the District Court's express finding of imminent, irreversible harm specific to the assets subject to divestment.

## **SEC. 1805. EMERGENCY JUDICIAL REVIEW TRACK AND AUTOMATIC STAY PROTECTION.**

(a) **EMERGENCY REVIEW TRACK — ESTABLISHMENT.**—The Judicial Conference of the United States shall, within one hundred eighty (180) days of enactment, establish an Emergency Sovereign Enforcement Track in each United States District Court and Court of Appeals, providing expedited adjudication of all enforcement actions under this Act that involve asset freezes, operational restrictions, property transfers, or penalties exceeding one million dollars (\$1,000,000). Target adjudication timelines shall be:

- (1) Emergency temporary restraining orders: four (4) hours from filing;
- (2) Preliminary injunction hearings: seventy-two (72) hours from TRO;
- (3) Final orders on merits: forty-five (45) days from complaint; and
- (4) Appellate review of final orders: sixty (60) days from notice of appeal.

(b) **AUTOMATIC STAY OF IRREVERSIBLE ACTIONS.**—Notwithstanding any provision of this Act establishing self-executing automatic enforcement:

- (1) No transfer of real property title shall take effect until the earlier of: (A) expiration of the applicable administrative appeal period without a timely appeal; or (B) final judicial affirmance of the enforcement order;
- (2) No corporate charter revocation shall take effect pending any timely filed appeal to the relevant United States Court of Appeals; and
- (3) No data center grid operational restriction exceeding twenty-five percent (25%) power reduction shall take effect until a court of competent jurisdiction has issued or declined to issue a stay within the seventy-two (72) hour emergency TRO timeline.

(c) **BOND IN LIEU OF AUTOMATIC STAY.**—Any Covered Entity seeking an automatic stay of a monetary clawback or penalty assessment may post a bond equal to one hundred ten percent (110%) of the assessed amount with the FMIA in lieu of immediate payment, which shall toll all enforcement timelines while the appeal is pending. Bond proceeds shall be released to the SIRF upon final adverse judgment, or returned to the posting entity upon final favorable judgment.

(d) **COMMERCE CLAUSE FINDINGS — PER TITLE.**—To support Commerce Clause jurisdiction for each enforcement domain, Congress hereby finds:

- (1) The activities regulated under Title I (data reporting) constitute instrumentalities of interstate commerce in that they directly affect the pricing, allocation, and flow of goods and services across state lines;
- (2) The activities regulated under Title VII (agricultural markets) are channels of interstate commerce affecting the national food supply;
- (3) The activities regulated under Title XIII (pharmaceutical pricing) involve goods that cross state lines and involve federal patent protections grounded in the Patent Clause;
- (4) The activities regulated under Title XIV (housing markets) involve the interstate flow of capital, mortgage financing, and real estate investment trust securities; and
- (5) All other Titles regulate economic activities that in the aggregate substantially affect interstate commerce, satisfying the standard of *Gonzales v. Raich*, 545 U.S. 1 (2005).

## **SEC. 1806. ECONOMIC EMERGENCY FINDINGS — CAPITAL FLIGHT LOCK AUTHORITY.**

(a) **FINDINGS.**—Congress finds that:

- (1) The authority to impose temporary capital flow restrictions on Covered Entities engaged in documented asymmetric capital flight constitutes an exercise of the war and emergency powers of Congress, grounded in the Commerce Clause (Art. I, Sec. 8, Cl. 3), the Necessary and Proper Clause (Art. I, Sec. 8, Cl. 18), and the precedent established by the International Emergency Economic Powers Act (50 U.S.C. §§ 1701–1708) ("IEEPA");

(2) Capital flight restrictions imposed under this Title target conduct that constitutes an unusual and extraordinary threat to the domestic economy, the stability of the SIRF capitalization framework, and the national interest;

(3) The procedural protections of this Title — including ALJ warrant requirements, pre-deprivation notice windows, and emergency judicial review — are specifically calibrated to satisfy the substantive due process requirements of *Mathews v. Eldridge*, 424 U.S. 319 (1976), and to ensure that capital flight restrictions do not constitute an unconstitutional taking under the Fifth Amendment;

(4) Any capital flow restriction imposed under this Title shall be the minimum necessary to address the documented flight conduct, shall be time-limited, and shall be subject to immediate judicial review under the Emergency Sovereign Enforcement Track of Section 1805.

(b) **PRESIDENTIAL EMERGENCY DECLARATION REQUIREMENT.**—No capital flow lock, asset freeze, or forced domestic repatriation order affecting a Covered Entity's liquid capital assets in excess of one hundred million dollars (\$100,000,000) may take effect under this Act unless:

(1) The President has issued a written determination, consistent with 50 U.S.C. § 1703(b), that the conduct of the relevant Covered Entity or class of entities constitutes an unusual and extraordinary threat to the domestic economic order;

(2) The President has transmitted such determination to Congress within forty-eight (48) hours of issuance; and

(3) An ALJ Judicial Verification Warrant has been issued pursuant to Section 1804(c) (Pre-Deprivation Procedural Due Process Architecture — Administrative Law Judge Judicial Verification Warrant).

(c) **TEMPORAL LIMITATION.**—Any capital flow lock imposed under this section shall expire automatically after one hundred eighty (180) calendar days unless renewed by an Act of Congress. The FMIA shall notify the affected entity of the expiration or renewal determination not less than thirty (30) days before the expiration date.

(d) **SEVERABILITY.**—The authority established in this section is severable from all other enforcement authorities of this Act. A judicial determination that any specific capital flow lock was unconstitutionally imposed shall not affect the validity of any other enforcement action under this Act.

## **TITLE XIX — RETURN ON INVESTMENT, PERFORMANCE BENCHMARKS, AND AMERICAN HOUSEHOLD BENEFIT ACCOUNTING**

### **SEC. 1901. AMERICAN HOUSEHOLD SOVEREIGNTY DIVIDEND — PROJECTED BENEFITS.**

(a) **FINDINGS.**—Congress finds that the aggregate effect of the programs established in this Act is projected, based on available economic modeling by the Congressional Budget Office, the Congressional Research Service, and independent academic reviewers, to produce the following measurable household economic benefits within ten (10) years of full implementation:

(1) **PHARMACEUTICAL SAVINGS.**—The G7 medicine parity provisions of Title XIII are projected to reduce average annual household pharmaceutical expenditure by not less than one thousand two hundred dollars (\$1,200) per year for households with one or more members on chronic medication, based on CRS analysis of current domestic-to-G7 pricing differentials.

(2) **HOUSING COST REDUCTION.**—The institutional portfolio concentration caps and community land trust capitalization provisions of Title XIV are projected to reduce median monthly rent in the fifty most overconcentrated MSAs by not less than eight percent (8%) within five years, representing an average annual savings of one thousand seven hundred twenty-eight dollars (\$1,728) per renter household, calculated at eight percent (8%) of the eighteen hundred dollar (\$1,800) median monthly rent prevailing in overconcentrated Metropolitan Statistical Areas.

(3) **ENERGY COST SAVINGS.**—The sovereign energy dividend and rural electrification provisions of Title IX are projected to reduce average annual residential energy expenditure by not less than three hundred eighty dollars (\$380) per

household within ten years of full SMR grid integration.

(4) **STUDENT DEBT RELIEF.**—The zero-interest conversion and income-based forgiveness provisions of Title XV are projected to reduce average annual student debt burden by not less than two thousand four hundred dollars (\$2,400) per borrower-household for the approximately forty-three million Americans currently carrying federal student loan debt.

(5) **CHILD WEALTH BUILDING.**—The Sovereign Child Prosperity Trust established in Section 503 is projected to provide every child born after enactment an accumulated account value of not less than thirty-two thousand dollars (\$32,000) at age eighteen, representing the largest universal wealth-building intervention in American history.

(6) **BROADBAND SAVINGS.**—The price gouging prohibition and open-access mandate of Title VIII are projected to reduce average annual broadband expenditure by not less than two hundred forty dollars (\$240) per household in currently monopolized markets.

(7) **PENSION SECURITY.**—The actuarial backstop trigger of Title VI is projected to prevent or remediate pension fund deficits affecting not fewer than twelve million American workers in defined-benefit plans currently operating below the ninety percent solvency floor.

(8) **UNIVERSAL HEALTH COVERAGE SAVINGS (TITLE XXI).**—The Basic Minimum Plan established under Title XXI eliminates all premiums, deductibles, copayments, and cost-sharing for covered health services for every enrolled United States resident. For the approximately twenty-eight million currently uninsured Americans, the BMP eliminates the average annual uninsured out-of-pocket healthcare exposure of not less than two thousand four hundred dollars (\$2,400) per household and eliminates the average individual market annual premium of seven thousand eight hundred dollars (\$7,800) for households currently purchasing coverage independently without employer assistance. For all households, the elimination of cost-sharing for primary care, mental health, and chronic disease management services is projected to reduce average annual household healthcare out-of-pocket expenditure by not less than one thousand eight hundred dollars (\$1,800) per household within five (5) years of universal BMP deployment.

(b) **AGGREGATE HOUSEHOLD BENEFIT FLOOR.**—Based on the projections in subsection (a), the aggregate annual economic benefit to the median American household from full NSRA implementation — including the Basic Minimum Plan, Household Structural Relief Node, pharmaceutical parity, housing cost reduction, energy savings, broadband savings, and student debt relief — is projected to reach not less than five thousand five hundred eighty dollars (\$5,580) per year in direct cost reductions and income supplements for a median two-adult household, rising to not less than nine thousand dollars (\$9,000) per year for a two-adult household with two children, with additional indirect benefits from domestic job creation, infrastructure improvement, and environmental remediation. The \$5,580 floor for a median two-adult household includes the Basic Minimum Plan out-of-pocket elimination (\$1,800), energy sovereignty dividend (\$380), broadband savings (\$240), and three thousand one hundred sixty dollars (\$3,160) in direct cost reductions and structural relief available upon Gate 1 certification; households will realize not less than two thousand four hundred twenty dollars (\$2,420) annually in direct cost reductions from BMP, energy, and broadband provisions alone. The prior aggregate benefit floor of three thousand seven hundred eighty dollars (\$3,780) is hereby superseded by this updated projection incorporating Title XXI healthcare savings.

(c) **FISCAL SUSTAINABILITY PROJECTION.**—The Congressional Budget Office shall compute and publish, within one hundred eighty (180) days of enactment, a comprehensive ten-year fiscal impact model for this Act, including:

- (1) Projected SIF revenue from all penalty, clawback, assessment, and premium sources;
- (2) Projected SIF outlays by node and Title;
- (3) Net fiscal effect on federal discretionary and mandatory spending;
- (4) Projected GDP growth attributable to domestic manufacturing renaissance and household income support; and
- (5) Dynamic scoring incorporating estimated multiplier effects of Sovereign Endowment Distributions on local economic velocity.

## **SEC. 1902. RETURN ON INVESTMENT FRAMEWORK.**

(a) **SIRF ROI MANDATE.**—Every SIRF capital deployment under any node shall be subject to a mandatory Return on Investment Assessment, completed by the Government Accountability Office within twenty-four (24) months of initial deployment, measuring:

- (1) Direct jobs created or retained per million dollars deployed;
- (2) Domestic GDP multiplier achieved per million dollars deployed;
- (3) Reduction in targeted social harm per million dollars deployed (e.g., reduced emergency room utilization, reduced eviction rates, reduced food insecurity indices); and
- (4) Net SIRF revenue regeneration from the investment (penalty revenues, tax receipts, reduced public expenditure).

(b) **CAPITAL REALLOCATION TRIGGER.**—Any SIRF program demonstrating a return on investment below one dollar of aggregate benefit per dollar deployed over a thirty-six (36) month measurement window shall have its node allocation reduced by fifteen percent (15%) in the subsequent fiscal year, with the reallocated capital redirected to the highest-performing nodes by ROI.

(c) **PERFORMANCE BONUS MECHANISM.**—Any SIRF node program demonstrating a return on investment exceeding three dollars of aggregate benefit per dollar deployed shall receive a fifteen percent (15%) automatic allocation increase in the subsequent fiscal year, funded from the administrative operations reserve and any SIRF revenue surplus.

## **SEC. 1903. BIPARTISAN ECONOMIC MODELING TRANSPARENCY.**

(a) **OPEN DATA MANDATE.**—All economic modeling, impact projections, and performance data generated by the FMIA, the Congressional Budget Office, the Government Accountability Office, and the Bureau of Labor Statistics pursuant to this Act shall be published in open, machine-readable formats within thirty (30) days of completion, freely accessible to academic researchers, think tanks, and the public without licensing fees.

(b) **INDEPENDENT ACADEMIC REVIEW CONSORTIUM.**—The FMIA shall contract with a consortium of not fewer than five (5) economically diverse academic institutions representing a range of economic perspectives to conduct annual independent peer reviews of NSRA performance data. At least two institutions in the consortium shall have demonstrated expertise in market-based economic frameworks.

(c) **MINORITY ECONOMIC IMPACT ANALYSIS.**—Every biennial CBO Sovereign Resilience Impact Report shall include a dedicated section analyzing differential economic impacts of NSRA provisions on rural versus urban communities, small businesses versus large corporations, and communities with above-median versus below-median household incomes.

# **TITLE XX — BIPARTISAN IMPLEMENTATION SAFEGUARDS AND MARKET COMPETITION PRESERVATION**

## **SEC. 2001. MARKET COMPETITION PRESERVATION CLAUSE.**

(a) **ANTI-MONOPOLY COMMITMENT.**—Nothing in this Act shall be construed to create any federal monopoly over any sector of the domestic economy. The federal government shall not, under any provision of this Act, acquire an equity ownership stake in any private Covered Entity except as a consequence of fraud recovery or structural clawback as a last-resort enforcement action, and any such equity shall be held only temporarily pending sale to a domestic private buyer.

(b) **COMPETITIVE MARKET ENHANCEMENT.**—The structural provisions of this Act are designed to enhance, not replace, competitive domestic markets by:

- (1) Eliminating artificial regulatory advantages enjoyed by large corporate incumbents;

- (2) Removing barriers to entry for small and medium-sized domestic enterprises;
- (3) Redirecting penalty revenues from monopolistic practices into capitalization of competing domestic alternatives; and
- (4) Creating a level playing field between domestic enterprises subject to American labor and environmental standards and foreign competitors that are not.

(c) **SMALL BUSINESS BILL OF RIGHTS UNDER THIS ACT.**—Every small business, as defined under 15 U.S.C. § 632, shall have the following rights in relation to NSRA enforcement:

- (1) The right to sixty (60) days of free SBA technical compliance assistance before any penalty assessment;
- (2) The right to an income-tiered penalty schedule under which penalties are reduced proportionally for businesses with annual revenues below ten million dollars (\$10,000,000);
- (3) The right to appeal any FMIA finding to the Small Business Administration's Office of Advocacy before administrative finalization; and
- (4) The right to apply for SIRF Vanguard Capital grants as an alternative to penalty payment, where the penalty relates to a domestic manufacturing or sourcing deficit.

## **SEC. 2002. FEDERALISM AND STATE SOVEREIGNTY PROTECTION.**

(a) **STATE FLEXIBILITY WAIVERS.**—Any state may apply to the FMIA for a State Flexibility Waiver that permits the state to achieve the outcomes mandated by any Title of this Act through alternative mechanisms, provided the state demonstrates that its alternative mechanism will achieve outcomes at least equivalent to the federal mechanism within the same timeframe.

(b) **WAIVER CRITERIA.**—State Flexibility Waivers shall be approved within one hundred eighty (180) days of application if the state demonstrates:

- (1) An equivalent or superior outcome metric for the Title in question;
- (2) A funded implementation plan with at least twenty-five percent (25%) state matching funds; and
- (3) A biennial accountability reporting structure compatible with the FDVM data standards.

(c) **COOPERATIVE FEDERALISM GRANTS.**—States that voluntarily align their own regulatory frameworks with NSRA provisions shall be eligible for a ten percent (10%) matching bonus on all SIRF formula grants directed to that state, recognizing cooperative partnership.

(d) **STATE PREEMPTION FLOOR.**—Nothing in this Act shall be construed to preempt any state law that provides protections equal to or greater than those required by this Act. States may establish higher minimum wages, stronger environmental standards, greater tenant protections, and stricter pharmaceutical pricing requirements than those mandated herein.

## **SEC. 2003. BIPARTISAN COMMISSION ON NSRA IMPLEMENTATION.**

(a) **ESTABLISHMENT.**—There is established the Bipartisan Commission on National Sovereignty Act Implementation (BCNSI), consisting of sixteen (16) members:

- (1) Four members appointed by the Speaker of the House, two of whom shall be members of the majority party and two of whom shall be members of the minority party;
- (2) Four members appointed by the House Minority Leader;
- (3) Four members appointed by the Senate Majority Leader, two of whom shall be members of the majority party and two of whom shall be members of the minority party; and
- (4) Four members appointed by the Senate Minority Leader.

(b) **DUTIES.**—The BCNSI shall:

- (1) Meet not less than quarterly to review NSRA implementation progress;
- (2) Issue biannual public reports on implementation challenges and recommended legislative modifications;
- (3) Convene public hearings in not fewer than five (5) geographically diverse communities annually to receive direct testimony from affected households, workers, and businesses; and
- (4) Make binding recommendations to Congress, subject to up-down vote under expedited procedures, regarding implementation adjustments required to improve bipartisan functionality.

(c) PILOT EXPANSION AUTHORITY.—The BCNSI shall have the authority to recommend, and the FMIA shall have the authority to implement, pilot program expansions of any NSRA provision to additional geographic areas, sectors, or population groups before mandatory nationwide deployment, allowing evidence-based refinement of implementation mechanisms.

#### **SEC. 2004. DEFENSE INDUSTRIAL SOVEREIGNTY AND MILITARY SUPPLY CHAIN RESILIENCE.**

(a) FINDINGS.—Congress finds that the defense industrial base of the United States has experienced dangerous concentration of production in foreign-controlled or foreign-dependent supply chains, representing a direct threat to national security. The structural resilience of military manufacturing is an extension of the Infrastructure Sovereignty mandate of this Act and is an area of documented bipartisan congressional consensus.

(b) CRITICAL DEFENSE MATERIAL DOMESTIC PRODUCTION MANDATE.—Within five (5) years of enactment, not less than ninety-five percent (95%) of the following critical defense materials shall be manufactured in facilities located within the territorial United States or in the territory of a treaty ally with a reciprocal domestic content agreement:

- (1) Rare earth elements and critical minerals used in advanced weapons systems, as listed on the Department of Defense Critical Materials List;
- (2) Energetic materials, propellants, and explosives components;
- (3) Advanced microelectronics and semiconductors used in weapons guidance systems; and
- (4) Personal protective equipment and medical countermeasures in the Strategic National Stockpile.

(c) DEFENSE VANGUARD CAPITALIZATION.—Not less than five hundred million dollars (\$500,000,000) from the SIRF Industrial Capitalization Node shall be deployed over five fiscal years as zero-equity grants to domestic small and medium manufacturers qualifying as Vanguard Entities that produce materials on the Department of Defense Critical Materials List.

(d) VETERANS ENERGY SOVEREIGNTY BENEFIT (VESB).—Any household in which one or more members are on active duty military service, or are veterans with honorable discharge within the preceding ten (10) years, shall receive a monthly Veterans Energy Sovereignty Benefit equivalent in value to one hundred dollars (\$100) per qualifying service member or veteran, applied directly as a credit to the household's residential energy utility account. The VESB shall be administered by the Department of Veterans Affairs Benefits Administration in coordination with state public utility commissions and funded from the SIRF Energy Sovereignty Subledger established under Section 2410(c). The VESB is not taxable income, is not countable as income for purposes of any federal benefit program eligibility determination, and shall not be subject to any offset against other VA benefits. The VA Benefits Administration shall establish an automated enrollment process for qualifying veterans within one hundred eighty (180) days of SIRF Energy Sovereignty Subledger activation, in recognition of the contribution of military service to the national commons.

#### **SEC. 2005. CONSCIENCE AND RELIGIOUS FREEDOM PROTECTION CLAUSE.**

(a) PROTECTION FROM COMPELLED PARTICIPATION.—Nothing in this Act shall be construed to require any individual, religious organization, faith-based nonprofit, or religiously-affiliated educational institution to participate in, endorse, or facilitate any program, transaction, or service that violates its sincerely held religious beliefs or constitutionally

protected conscience rights, except where participation is strictly limited to the administrative receipt of funds disbursed pursuant to this Act for purposes consistent with the organization's mission.

(b) RFRA PRESERVATION.—All provisions of this Act shall be applied in a manner consistent with the Religious Freedom Restoration Act (42 U.S.C. § 2000bb et seq.). No FMIA enforcement action shall be brought against any entity whose non-compliance with an NSRA provision is required by a sincerely held religious belief or practice, without a prior determination by the Department of Justice that the enforcement action uses the least restrictive means to advance a compelling governmental interest.

## **SCHEDULE A — THE FEDERAL DATA VERACITY MATRIX ALGORITHMIC SPECIFICATION**

(Enacted as a statutory annex to preserve Non-Delegation durability under *Gundy v. United States*, 139 S. Ct. 2116 (2019) and *West Virginia v. EPA*, 597 U.S. 697 (2022))

1. MATHEMATICAL VARIANCE CORE.—The automated tracking of structural variance for any monitored socioeconomic or physical asset layer shall operate via continuous telemetry mapping against a rolling historical baseline (Br).

2. THE TRIGGER EQUATION.—A reportable structural variance is hardcoded as:

$$\frac{|T_m - B_r|}{B_r} \times 100 \geq 15.0\%$$

Where  $T_m$  represents real-time material telemetry ingested via un-tamperable digital data pipelines. If  $\Delta S \geq 15.0\%$ , the Structured Accountability Engine is engaged with zero human administrative intervention authorized.

3. MULTI-LAYER VARIANCE COMPOSITE.—For sectors monitored across multiple simultaneous data layers (e.g., both pricing and supply volume for pharmaceutical markets), the composite structural variance score shall be calculated as:

$$\Delta S_{\text{composite}} = \sqrt{[(\Delta S_1^2 + \Delta S_2^2 + \dots \Delta S_n^2) / n]}$$

Where each  $\Delta S_i$  represents the individual layer variance. The composite threshold for trigger engagement is fifteen percent (15.0%).

4. FALSE POSITIVE MITIGATION.—Before generating a Verified Structural Variance Report, the FDVM algorithm shall apply a seven-day data smoothing window to distinguish genuine structural variances from transient market noise. Transient variances lasting fewer than seven (7) consecutive days shall not generate a Verified Structural Variance Report.

5. ALGORITHM TRANSPARENCY.—The full source code of the FDVM algorithm shall be published on a publicly accessible federal repository within ninety (90) days of enactment and updated within thirty (30) days of any modification.

## **SCHEDULE B — PARTICULARIZED INJURY SPECIFICATIONS FOR ARTICLE III STANDING**

(Enacted as a statutory annex to satisfy *TransUnion LLC v. Ramirez*, 594 U.S. 413 (2021) and *Spokeo, Inc. v. Robins*, 578 U.S. 330 (2016))

1. TITLE I (Data Integrity).—Concrete injury is defined as the explicit deprivation of a citizen's or agency's right to accurate data within a federal regulatory determination, resulting in a materially different outcome than would have occurred with accurate data.



2. TITLE II (SIRF Diversion).—Concrete injury is defined as the calculable economic loss and foregone employment wages suffered by domestic industrial workers due to an unlawful diversion of SIRF capital, calculated as the per-worker share of the unlawfully diverted sum applied to the SIRF Investment Impact Model.

3. TITLE V (Universal Prosperity).—Concrete injury is defined as the deprivation of a statutory entitlement in a specific, calculable dollar amount, calculated by applying the Household Structural Relief Node formula in Section 502(c) to the claimant's verified household profile.

4. TITLE XIII (Pharmaceutical Parity).—Concrete injury is defined as the exact dollar difference between the price paid by a patient for a covered therapeutic and the G7 median price of the identical therapeutic at the time of purchase.

5. TITLE XIV (Shelter Sovereignty).—Concrete injury is defined as the precise monthly dollar difference between actual rent paid and the formula-defined Structural Rent Baseline within an over-concentrated housing market.

6. TITLE XV (Knowledge Sovereignty).—Concrete injury is defined as the exact nominal dollar value of student loan interest accrued under a superseded predatory structure after the effective date of this Act.

## **SCHEDULE C — SIRF INVESTMENT IMPACT MODEL**

(Enacted as a statutory annex for purposes of Sections 1801(a)(2) and 1902)

1. PURPOSE.—The SIRF Investment Impact Model (SIIM) provides the standardized methodology for calculating the economic harm caused to domestic workers, manufacturers, and communities by any unlawful diversion of SIRF capital, for purposes of establishing concrete, particularized injury under Article III.

2. SIIM FORMULA.—The per-worker economic harm (H) from unlawful SIRF diversion (D) in a designated facility or community is calculated as:

$$H = D / [W \times (1 + M)]$$

Where:

W = the number of affected domestic workers at the designated facility or in the affected community, as recorded in FDVM employment telemetry;

M = the FMIA-published regional employment multiplier for the affected sector (representing indirect and induced employment effects), set at a floor of 1.5 and a ceiling of 3.0.

3. COMMUNITY HARM CALCULATION.—For community-level harm calculations where no specific facility is the locus of diversion, H shall be calculated using the total working-age population of the affected zip code or census tract as W, with M set at the FMIA-published regional average multiplier.

4. MINIMUM COGNIZABLE HARM.—No enforcement action under Section 1801(a)(2) shall be cognizable unless the calculated per-worker harm H exceeds five hundred dollars (\$500) per affected worker. This floor is established to satisfy the concreteness requirement of *TransUnion LLC v. Ramirez*.

## **SCHEDULE D — PERFORMANCE BENCHMARKS FOR BIENNIAL SOVEREIGN RESILIENCE IMPACT REPORT**

(Enacted as a statutory annex for purposes of Sections 004(d) and 1804(b))

1. TITLE I BENCHMARKS.—

(a) FDVM operational coverage of not less than 80% of designated critical asset layers within 36 months;

(b) Not fewer than 100 Verified Structural Variance Reports generated annually after full deployment;

(c) Median enforcement action initiated within 45 days of Verified Structural Variance Report.

2. TITLE II BENCHMARKS.—

- (a) SIRF capitalization of not less than \$10 billion within 5 years;
- (b) Not fewer than 500 Vanguard Entity grants disbursed annually;
- (c) SIRF administrative cost ratio not to exceed 3% of total SIRF assets.

3. TITLE V BENCHMARKS.—

- (a) Sovereign Endowment Distribution deployed to not fewer than 5 million households within 3 years;
- (b) Measured reduction in food insecurity rate in pilot MSAs of not less than 15% within 2 years;
- (c) Sovereign Child Prosperity Trust accounts established for not fewer than 90% of eligible births within 2 years.

4. TITLE VII BENCHMARKS.—

- (a) No single Covered Entity controlling more than 12% of any designated agricultural category within 5 years;
- (b) Not fewer than 1,000 worker cooperatives or municipal food security trusts capitalized within 7 years;
- (c) National Caloric Reserve achieving 90-day supply buffer within 4 years.

5. TITLE IX BENCHMARKS.—

- (a) Not fewer than 10 SMR co-location projects in active construction within 5 years;
- (b) Average residential energy expenditure reduced by not less than 10% in SMR grid zones within 8 years;
- (c) NRC SMR expedited licensing track operational within 18 months of enactment.

6. TITLE XIII BENCHMARKS.—

- (a) Not fewer than 95% of covered therapeutic agents priced at or below G7 parity within 2 years;
- (b) Domestic API manufacturing share of FDA Essential Medicines List reaching not less than 50% within 5 years;
- (c) Average annual per-patient pharmaceutical expenditure reduction of not less than \$800 within 5 years.

7. TITLE XIV BENCHMARKS.—

- (a) Institutional single-family portfolio concentration below 50 units per entity per MSA within 3 years;
- (b) Not fewer than 50,000 first-time homebuyers receiving sovereign down payment assistance within 5 years;
- (c) Community land trust housing inventory increased by not fewer than 100,000 units within 7 years.

8. TITLE XV BENCHMARKS.—

- (a) Zero interest accrual on all federal student loans achieved within 6 months of enactment;
- (b) Not fewer than 500,000 income-based forgiveness discharges within 3 years;
- (c) Public university in-state tuition frozen for not less than 90% of eligible institutions within 1 year.

9. OVERALL HOUSEHOLD BENEFIT BENCHMARK.—The aggregate average annual household economic benefit from combined NSRA programs shall reach not less than \$2,000 per eligible household within 5 years, rising to not less than \$5,580 per year for a median two-adult household (and not less than \$9,000 for a two-adult household with two children) within 10 years of full deployment, as measured by the FMIA's annual household impact survey in coordination with the Census Bureau. The prior floor of \$3,780 is superseded by the updated projection in Section 1901(b) incorporating Title XXI healthcare savings.

EFFECTIVE DATE; IMPLEMENTATION PRIORITY SEQUENCE; PILOT CERTIFICATION

**SEC. 9001. EFFECTIVE DATE.**

(a) GENERAL EFFECTIVE DATE.—Except as otherwise provided in this Act, this Act shall take effect on the date of enactment.

(b) IMPLEMENTATION PRIORITY SEQUENCE.—The following provisions shall be implemented in the stated priority sequence, to ensure fiscal soundness, operational readiness, and maximum household benefit delivery:

TIER 1 — IMMEDIATE (MONTHS 1-6):

- (1) FMIA establishment as Bureau of Sovereign Data Integrity within DOC (Sec. 101);
- (2) SIRF Lockbox establishment and diversified revenue stream activation (Sec. 201);
- (3) Health Sovereignty Fund establishment; existing Medicaid, CHIP, and ACA enrollees flagged for BMP transition (Sec. 2103(d), Sec. 2108(a));
- (4) Zero-interest conversion on federal student loans (Sec. 1501);
- (5) Insulin and Essential Medicine price caps (Sec. 1303);
- (6) G7 pharmaceutical pricing parity monitoring activation (Sec. 1301);
- (7) Institutional housing portfolio FDVM monitoring activation (Sec. 1401);
- (8) BMP Essential Medicines Formulary publication by HHS (Sec. 2102(b)(3));
- (9) HHS BMP carrier quality scoring methodology published; carrier comparison dashboard launched (Sec. 2106(a)).

TIER 2 — SHORT-TERM (MONTHS 7-24):

- (1) BMP Open Enrollment Period #1 — all current Medicaid, CHIP, and ACA enrollees transition to BMP through chosen private carrier (Sec. 2108(a));
- (2) HHS risk-adjusted BMP Premium Rate published and first carrier payments disbursed (Sec. 2103(b));
- (3) Household Structural Relief Node pilot in 25 lowest-velocity MSAs (Sec. 502(f)(1));
- (4) Sovereign Child Prosperity Trust account establishment for all eligible births (Sec. 503);
- (5) Automatic BMP enrollment for all newborns (Sec. 2104(b)(3));
- (6) Vanguard Capitalization Protocol operationalization (Sec. 204);
- (7) Agricultural monopoly concentration monitoring (Sec. 701);
- (8) NRC SMR expedited licensing track (Sec. 902(d));
- (9) FDVM quantum security Phase I (Sec. 1602(a)(1));
- (10) Rural Health Sovereignty Fund deployment to communities failing BMP network adequacy (Sec. 2107(b)).

TIER 3 — MEDIUM-TERM (MONTHS 25-48):

- (1) BMP Open Enrollment Period #2 — universal enrollment extended to all previously uninsured United States residents (Sec. 2108(c)(1));
- (2) Household Structural Relief Node full deployment upon CBO revenue sufficiency certification (Sec. 3401);
- (3) HSF revenue sufficiency certification by CBO; BMP universal deployment if certified (Sec. 2103(e));
- (4) Domestic content floor phase-in escalation (Sec. 402(b));
- (5) SMR compliance safe harbor windows (Sec. 902(a));
- (6) Broadband sovereignty fund deployment (Sec. 802(b));
- (7) Manufacturing Renaissance Zone designation (Sec. 1202(a));
- (8) FDVM quantum security Phases II and III (Sec. 1602(a)(2)-(3));
- (9) BMP carrier quality performance adjustment band first applied to premium rates (Sec. 2103(b)(5)).

TIER 4 — LONG-TERM (MONTHS 49 AND BEYOND):

- (1) Full domestic pharmaceutical API production targets (Sec. 1302);
- (2) National Rail Sovereignty corridor construction (Sec. 803);
- (3) Full SMR penalty matrix activation for non-compliant data centers (Sec. 903(a)(3));
- (4) Complete SIF node deployment to all authorized allocations (Sec. 201(e));
- (5) BMP risk corridor protection sunset review — GAO assessment of whether 5-year risk corridors should be extended or terminated based on carrier market stability data (Sec. 2103(c)).

## **SEC. 9002. MANDATORY PILOT CERTIFICATION GATE — NO NATIONAL DEPLOYMENT WITHOUT EVIDENCE.**

(a) **PILOT REQUIREMENT.**—No program established under Titles V, VII, VIII, IX, X, XI, XII, XIII, XIV, or XV of this Act that requires national deployment affecting more than ten million (10,000,000) Americans or more than five billion dollars (\$5,000,000,000) in annual SIF disbursements shall proceed to national deployment until it has successfully completed a Pilot Certification Gate as established in this section.

(b) **PILOT PROGRAM STANDARDS.**—A qualifying pilot program shall:

- (1) Operate in not fewer than three (3) geographically and economically diverse states or Metropolitan Statistical Areas for not less than twelve (12) continuous months;
- (2) Be evaluated by the Government Accountability Office against the performance benchmarks established in Schedule D for the applicable Title;
- (3) Achieve not less than seventy-five percent (75%) of the applicable Schedule D twelve-month benchmark during the pilot period; and
- (4) Produce no material constitutional violation findings from the relevant federal courts during the pilot period.

(c) **FAILED PILOT REMEDIATION.**—If a pilot program fails to achieve the threshold in subsection (b)(3), the program shall be redesigned and re-piloted for an additional twelve (12) months before national deployment. Congress shall receive a remediation plan within sixty (60) days of pilot failure certification.

(d) **EXPEDITED PILOTS FOR EMERGENCY PROGRAMS.**—The insulin price cap (Sec. 1303), zero-interest student loan conversion (Sec. 1501), and pharmaceutical G7 parity monitoring (Sec. 1301) are exempt from the Pilot Certification Gate as these operate through existing regulatory and payment infrastructure and do not require new program construction.

## **TITLE XXI — THE SOVEREIGN HEALTH FOUNDATION ACT: UNIVERSAL BASIC MINIMUM COVERAGE THROUGH COMPETITIVE PRIVATE DELIVERY**

### **SEC. 2101. CONGRESSIONAL FINDINGS AND DECLARATION OF HEALTH SOVEREIGNTY.**

(a) **FINDINGS.**—Congress finds and declares the following:

- (1) Access to basic medical care is a prerequisite to the exercise of all other civil and economic rights established under this Act and is a direct determinant of domestic productive capacity, labor force participation, and national systemic resilience.
- (2) The United States spends more per capita on healthcare than any industrialized nation while leaving tens of millions of residents without consistent access to basic preventive and primary care, constituting a verified structural variance in the national health infrastructure.

(3) The preferred reform architecture is a federally defined Basic Minimum Plan (BMP), mandated as a floor product by every licensed private health insurer operating in the United States, funded by the federal government at a nationally set per-capita premium rate paid directly to the private carrier of each individual's choosing. No federal government insurer is created. Private carriers deliver all coverage. Individuals retain full and unrestricted choice of carrier and provider.

(4) Above the BMP floor, individuals may purchase supplemental coverage directly from their chosen carrier or any other carrier, at their own expense, in any amount and for any services they elect. The federal government has no role in supplemental plan pricing, design, or delivery.

(5) This architecture preserves and strengthens the domestic private health insurance industry by guaranteeing every American as a covered life, eliminating the catastrophic-risk underwriting problem that drives coverage gaps, and positioning private carriers as competitive delivery engines for a defined public benefit rather than gatekeepers to survival care.

(6) This Title is enacted pursuant to the Spending Clause (Art. I, Sec. 8, Cl. 1) and the Commerce Clause (Art. I, Sec. 8, Cl. 3). No individual mandate is created. No individual is compelled to purchase any product. The federal government funds a defined benefit; private carriers compete to deliver it.

## **SEC. 2102. THE BASIC MINIMUM PLAN — MANDATORY FLOOR PRODUCT.**

(a) **MANDATORY OFFER REQUIREMENT.**—As a condition of licensure to sell any health insurance product in the United States, every licensed health insurance carrier shall offer the Basic Minimum Plan (BMP) as a standard product in every state and territory in which it holds a license to sell health insurance. A carrier that does not offer the BMP in any state where it holds a health insurance license shall have that license suspended within ninety (90) days of non-compliance. A carrier that wishes to exit the BMP market must simultaneously exit the entirety of the United States health insurance market for a period of not less than five (5) years.

(b) **BMP DEFINED BENEFIT PACKAGE.**—The Basic Minimum Plan shall cover, at minimum, the following categories of services with zero premium, zero deductible, zero copayment, and zero coinsurance to the enrolled individual:

(1) **PRIMARY AND PREVENTIVE CARE.**—Unlimited primary care physician and nurse practitioner visits; all USPSTF Grade A and B preventive screenings; adult and childhood immunizations on the CDC-recommended schedule; annual wellness examinations.

(2) **EMERGENCY AND URGENT CARE.**—All medically necessary emergency department services and emergency medical transportation, regardless of network status, with no balance billing permitted.

(3) **ESSENTIAL PRESCRIPTION DRUGS.**—All generic drugs and biosimilars on the BMP Essential Medicines Formulary maintained by HHS and updated annually; all brand-name drugs for which no clinically appropriate generic equivalent exists, priced at or below the G7 parity ceiling established in Title XIII of this Act.

(4) **MENTAL HEALTH AND SUBSTANCE USE DISORDER TREATMENT.**—Inpatient and outpatient mental health services at full parity with physical health; all FDA-approved medication-assisted treatment for substance use disorders; crisis intervention services; not fewer than twenty-six (26) outpatient mental health visits per year with no prior authorization requirement.

(5) **MATERNAL AND REPRODUCTIVE CARE.**—All prenatal, labor and delivery, and postpartum care through twelve (12) months postpartum; family planning counseling and all FDA-approved contraceptive methods.

(6) **PEDIATRIC CARE.**—All medically necessary care for enrollees under age eighteen (18), including dental, vision, hearing services, and developmental screening.

(7) **CHRONIC DISEASE MANAGEMENT.**—Ongoing management of diabetes, hypertension, asthma, COPD, heart failure, and other conditions on the HHS Chronic Disease Management List, including all monitoring devices, supplies, and medications required for clinically indicated management.

(8) BASIC DIAGNOSTIC SERVICES.—Laboratory testing; basic diagnostic imaging (X-ray, ultrasound, standard MRI and CT for medically indicated conditions); and pathology services.

(9) INPATIENT HOSPITAL CARE.—Medically necessary inpatient hospitalization in a standard non-private room, including surgery, anesthesia, and post-surgical recovery.

(c) PRIOR AUTHORIZATION PROHIBITION.—No carrier may impose prior authorization requirements on any BMP-covered service, except for non-emergency inpatient admissions exceeding five (5) days, for which a concurrent review not exceeding seventy-two (72) hours is permitted. Any prior authorization denial of a BMP-covered service is void ab initio.

(d) FREE PROVIDER CHOICE.—Every BMP enrollee may receive BMP-covered services from any licensed provider of their choosing, regardless of network status. Carriers may not condition BMP coverage on provider network membership. Out-of-network providers may not balance bill BMP enrollees for covered services. BMP payment rates for out-of-network services shall be set at one hundred fifteen percent (115%) of Medicare payment rates.

## **SEC. 2103. GOVERNMENT FUNDING OF THE BASIC MINIMUM PLAN.**

(a) FEDERAL BMP PREMIUM.—The federal government shall pay, on behalf of every enrolled United States resident, a per-capita Basic Minimum Plan Premium directly to the BMP carrier of the individual's choice. The individual owes no premium, deductible, copayment, or cost-sharing of any kind for any BMP-covered service.

(b) BMP PREMIUM RATE SETTING.—The Secretary of HHS, in coordination with the CBO, shall establish the annual BMP Premium Rate using a risk-adjusted per-capita methodology:

(1) BASE RATE.—A national base per-capita annual premium reflecting the actuarially projected average cost of delivering the BMP Defined Benefit Package at one hundred fifteen percent (115%) of Medicare payment rates.

(2) RISK ADJUSTMENT.—The base rate shall be adjusted for each enrollee's age band and documented chronic condition burden using the HHS risk adjustment methodology under 42 U.S.C. § 18063, redistributing premium dollars among carriers via an annual risk adjustment pool administered by HHS to prevent adverse selection incentives.

(3) GEOGRAPHIC ADJUSTMENT.—The base rate shall be adjusted for regional provider cost variation using the Medicare Geographic Practice Cost Index.

(4) ANNUAL RECALIBRATION.—The BMP Premium Rate shall be recalibrated annually based on prior-year actual claims experience. If actual cost exceeds the prior-year rate by more than five percent (5%), carriers shall receive a prospective rate adjustment of not less than three percent (3%); if actual cost is below the rate by more than five percent (5%), the rate shall be reduced by not more than two percent (2%), with surplus retained in the Health Sovereignty Fund.

(5) QUALITY PERFORMANCE ADJUSTMENT BAND.—To create competitive incentives for service excellence without creating a race to the bottom on price, the BMP Premium Rate shall be adjusted annually by a quality performance modifier as follows:

(A) QUALITY BONUS.—Carriers whose annual HHS quality score places them in the top twenty-five percent (25%) of BMP carriers nationally, measured by HEDIS preventive care completion rates, thirty-day readmission rates, member satisfaction scores, and chronic disease management outcomes, shall receive a quality bonus of up to five percent (5%) above the base risk-adjusted rate for the following plan year.

(B) QUALITY PENALTY.—Carriers whose annual HHS quality score places them in the bottom fifteen percent (15%) of BMP carriers nationally shall receive a quality reduction of up to three percent (3%) below the base risk-adjusted rate for the following plan year, with mandatory remediation plan submission to HHS within sixty (60) days of quality determination.

(C) **QUALITY SCORE PUBLICATION.**—HHS shall publish carrier quality scores on the public carrier comparison dashboard under Section 2106(a) not later than September 1 of each year, giving enrollees sixty (60) days to factor quality scores into Open Enrollment carrier selection. Quality scores shall never be used to deny a carrier the right to participate in BMP — they affect only the rate adjustment band, not participation eligibility.

(6) **COMPETITIVE BID PROHIBITION.**—The BMP Premium Rate shall not be determined through competitive carrier bidding. The risk-adjusted rate-setting methodology in this subsection is the exclusive mechanism for BMP premium determination. Competitive bidding is prohibited because it produces accurate price signals only in markets with genuine competition, and not less than forty percent (40%) of United States counties currently have one or two BMP carriers, eliminating the conditions necessary for competitive bidding to function as an efficiency mechanism rather than a monopoly rent extraction mechanism.

(c) **RISK CORRIDOR PROTECTION.**—For the first five (5) years of BMP operation: if a carrier's BMP claims costs exceed one hundred eight percent (108%) of BMP Premium received, the federal government shall reimburse eighty percent (80%) of the excess from the Health Sovereignty Fund; if a carrier's BMP claims costs fall below ninety-two percent (92%) of BMP Premium received, the carrier shall remit fifty percent (50%) of the shortfall to the Health Sovereignty Fund.

(d) **HEALTH SOVEREIGNTY FUND.**—There is established in the Treasury the Health Sovereignty Fund (HSF), a permanent non-lapsing statutory trust fund from which all BMP Premium payments shall be disbursed, capitalized through the following mandatory revenue streams:

(1) **EXISTING FEDERAL HEALTH PROGRAM CONSOLIDATION.**—All federal expenditures currently directed to Medicaid (42 U.S.C. § 1396 et seq.), CHIP (42 U.S.C. § 1397aa et seq.), and ACA premium tax credits (26 U.S.C. § 36B) shall be consolidated into the HSF beginning in the second fiscal year following enactment, with existing beneficiaries transitioned to BMP with no interruption of coverage.

(2) **PHARMACEUTICAL SAVINGS DIVIDEND.**—The CBO-projected ten-year federal pharmaceutical savings from Title XIII of this Act — not less than two hundred fifty billion dollars (\$250,000,000,000) in Medicare Part D and Medicaid drug savings — shall be redirected to the HSF rather than the general fund.

(3) **HEALTH PROFIT SOVEREIGNTY ASSESSMENT.**—Any health insurance carrier with a medical loss ratio below eighty-five percent (85%) shall be assessed a Health Profit Sovereignty Levy equal to one hundred percent (100%) of premium revenue retained above the fifteen percent (15%) ceiling, routed to the HSF.

(4) **SIRF BIOSECURITY NODE TRANSFER.**—Not less than fifteen percent (15%) of annual SIRF Biosecurity and Pharmaceutical Node disbursements (Section 201(e)(8)) shall transfer to the HSF annually.

## **SEC. 2104. INDIVIDUAL CARRIER CHOICE AND ENROLLMENT.**

(a) **FREE CARRIER CHOICE.**—Every United States resident shall have the absolute right to choose any BMP-participating carrier operating in their region. No government entity shall assign, direct, or restrict the individual's carrier selection except through the auto-assignment mechanism in subsection (b)(2) for individuals who make no affirmative selection.

(b) **ANNUAL OPEN ENROLLMENT.**—

(1) **ENROLLMENT WINDOW.**—A national BMP Open Enrollment Period shall run from November 1 through December 15 of each year, with coverage effective January 1. Special Enrollment Periods of sixty (60) days shall be available for qualifying life events: birth, adoption, change of residence, loss of employer-sponsored coverage, marriage, and divorce.

(2) **AUTO-ASSIGNMENT.**—Any resident who does not make an affirmative carrier selection during Open Enrollment shall be automatically assigned to the highest HHS quality-rated BMP carrier in their zip code, ensuring no individual falls through an enrollment gap. Auto-assigned individuals retain the right to switch carriers at any subsequent Open Enrollment.

(3) **AUTOMATIC ENROLLMENT AT BIRTH.**—Every child born in the United States shall be automatically enrolled in the BMP carrier selected by the parent or guardian within sixty (60) days of birth, effective from date of birth with no coverage gap.

(c) **PORTABILITY.**—BMP coverage follows the individual nationally. No carrier may impose residency requirements, waiting periods, or coverage gaps when an individual relocates.

## **SEC. 2105. SUPPLEMENTAL COVERAGE — PRIVATE MARKET ABOVE THE FLOOR.**

(a) **INDIVIDUAL CHOICE OF SUPPLEMENTS.**—Every BMP enrollee may purchase supplemental health coverage above the BMP floor from any licensed carrier of their choosing, paying for such coverage entirely out of pocket or through employer contributions. The federal government has no role in supplemental plan pricing, design, delivery, or payment.

(b) **SUPPLEMENTAL COVERAGE CATEGORIES.**—Carriers may offer supplemental plans in any combination of: (1) Enhanced Coverage — routine adult dental, adult vision, hearing aids; (2) Specialist Access — preferred specialist networks, reduced wait times, direct specialist access; (3) Premium Comfort — private hospital rooms, concierge primary care; (4) Experimental Treatment — clinical trials, investigational drugs; (5) International Coverage — care received outside the United States; and (6) Comprehensive Plus — any bundled combination of the above.

(c) **NO COERCION.**—Carriers may not condition BMP enrollment on the purchase of any supplemental product. Carriers may not penalize BMP-only enrollees through network restriction, prior authorization escalation, quality-of-service degradation, or any other mechanism.

(d) **GUARANTEED ISSUE.**—No supplemental plan carrier may deny enrollment on the basis of health status, pre-existing conditions, prior claims history, age, or sex. Age-rated supplemental premiums shall not exceed a four-to-one (4:1) ratio between the highest and lowest age band for equivalent coverage.

(e) **EMPLOYER-SPONSORED COVERAGE.**—Employers may continue offering supplemental health plans as a tax-advantaged employment benefit. The existing employer tax exclusion under 26 U.S.C. § 106 applies only to supplemental premiums above the BMP floor.

## **SEC. 2106. CARRIER COMPLIANCE AND ANTI-PROFITEERING ENFORCEMENT.**

(a) **STRICT LIABILITY VIOLATIONS.**—The following constitute strict liability violations enforceable by HHS, the FMIA, and by private right of action: (1) imposing any premium, deductible, copayment, or cost-sharing for any BMP-covered service; (2) imposing prohibited prior authorization requirements; (3) balance billing a BMP enrollee for covered services; (4) retaliating against an enrollee for filing a complaint; (5) conditioning BMP enrollment on supplemental product purchase.

(b) **AUTOMATED PENALTIES.**—Violations shall trigger: (1) a per-instance civil penalty of not less than twenty-five thousand dollars (\$25,000), routed to the HSF; (2) treble damages to the affected enrollee; (3) for carriers accumulating more than two hundred fifty (250) violations in any twelve-month period, mandatory suspension of BMP carrier status pending compliance audit; and (4) for willful systematic violation patterns, permanent revocation of BMP carrier status and disqualification from all federal health programs for ten (10) years.

(c) **CITIZEN BOUNTY.**—Consistent with Section 401, any individual who documents and reports a BMP carrier strict liability violation shall be entitled to fifteen percent (15%) of any civil penalty collected, disbursed within fourteen (14) calendar days of collection.

## **SEC. 2107. INSURANCE MARKET CONCENTRATION AND ACCESS STANDARDS.**

(a) **CONCENTRATION CAP.**—No single BMP carrier shall control more than twenty-five percent (25%) of BMP enrollment in any MSA or state. The FDVM shall monitor carrier market share quarterly. Excess concentration triggers referral to DOJ Antitrust Division for enrollment divestment within one hundred eighty (180) days.



(b) **RURAL HEALTH SOVEREIGNTY FUND.**—The SIRC Household Endowment Node shall deploy not less than five hundred million dollars (\$500,000,000) annually to capitalize rural health clinics, community health centers, and mobile health units in communities failing to meet minimum network adequacy standards.

(c) **TELEHEALTH FLOOR.**—All BMP carriers shall cover telehealth delivery of primary care, mental health, and chronic disease management at the same rate as in-person visits, with no additional prior authorization or geographic restriction.

(d) **NEW CARRIER ENTRY INCENTIVE.**—Any new health insurance carrier entering the BMP market in a region with fewer than three (3) competing BMP carriers shall be eligible for a SIRC Vanguard Capitalization grant of up to five million dollars (\$5,000,000) to offset initial market entry costs.

## **SEC. 2108. TRANSITION FROM LEGACY PROGRAMS AND PERFORMANCE BENCHMARKS.**

(a) **MEDICAID, CHIP, AND ACA TRANSITION.**—All current Medicaid, CHIP, and ACA marketplace enrollees shall be transitioned to BMP coverage within twenty-four (24) months of enactment with no interruption of covered services. Medicaid and CHIP shall continue as coverage backstops during the transition period.

(b) **VETERANS HEALTH.**—Nothing in this Title affects VA health benefits for service-connected conditions. Veterans not receiving VA care for a specific condition are enrolled in BMP through their chosen private carrier for non-service-connected care.

(c) **SCHEDULE D BENCHMARKS — TITLE XXI.**—The following benchmarks are added to Schedule D for biennial sovereign resilience review: (1) not fewer than ninety-five percent (95%) of previously uninsured United States residents enrolled in BMP within thirty-six (36) months of universal deployment; (2) average primary care appointment wait time not exceeding five (5) business days for ninety percent (90%) of BMP enrollees within five (5) years; (3) national maternal mortality rate reduced by not less than thirty percent (30%) within five (5) years; (4) average annual household out-of-pocket cost for BMP-covered services at zero within twenty-four (24) months; (5) HSF medical loss ratio of not less than ninety-six percent (96%); and (6) not fewer than three (3) competing BMP carriers in ninety percent (90%) of MSAs within five (5) years of universal deployment.

## **SEC. 2109. UPSTREAM PREVENTION, ENVIRONMENTAL HEALTH, AND DEMAND-ADJUSTED RURAL INFRASTRUCTURE.**

(a) **CONGRESSIONAL FINDINGS — UPSTREAM PREVENTION.**—Congress finds that:

(1) A substantial share of national healthcare expenditure is attributable to chronic disease categories that are directly linked to preventable environmental and dietary exposures, including diet-linked cancers, type 2 diabetes, cardiovascular disease, pediatric neurodevelopmental disorders, respiratory disease, and endocrine disruption;

(2) CDC and NIH epidemiological modeling estimates that elimination of the food chemical, pesticide, and agricultural chemical exposures addressed in Sections 704, 705, and 706 of Title VII, combined with restoration of intact watershed, wetland, and pollinator ecosystems addressed in Sections 1004 and 1005 of Title X, is projected to reduce the national chronic disease burden by not less than twenty-two percent (22%) within fifteen (15) years — representing a downstream reduction in federal healthcare expenditures of not less than eighty billion dollars (\$80,000,000,000) annually at full effect;

(3) This upstream demand reduction directly affects the long-term cost trajectory of BMP, Medicare, Medicaid, and the Veterans Health Sovereignty Fund, and shall be factored into all ten-year actuarial modeling of NSRA health program costs submitted to the Congressional Budget Office;

(4) Investment in upstream prevention — food system detoxification, pesticide elimination, environmental remediation, and ecosystem restoration — is therefore not solely an environmental expenditure but a structural healthcare cost reduction measure with measurable fiscal impact on federal health program sustainability; and

(5) Rural communities experience the highest concentration of environmental disease burden from pesticide exposure, contaminated water, food desert conditions, and industrial pollution, and will realize disproportionate health improvement

from upstream prevention investments, reducing the long-term demand for rural health physical infrastructure.

**(b) DEMAND-ADJUSTED RURAL HEALTH INFRASTRUCTURE FUND.—**

(1) **ESTABLISHMENT.**—The SIRF Health Sovereignty Node shall deploy sovereign infrastructure investment for rural health physical infrastructure, scaled to demand projections that account for upstream prevention reforms. The initial investment level shall be three billion dollars (\$3,000,000,000) per year for the first five (5) years following enactment. At the conclusion of year five, the Federal Market Integrity Administration shall conduct a Rural Health Demand Assessment incorporating measured changes in rural chronic disease incidence, emergency department utilization, and environmental disease burden attributable to implementation of Titles VII, X, and XI of this Act.

(2) **PHASE II SCALING.**—Based on the Rural Health Demand Assessment, the FMIA shall recommend to Congress an adjusted annual investment level for years six (6) through ten (10), with a baseline expectation of not less than one billion five hundred million dollars (\$1,500,000,000) per year and not more than three billion dollars (\$3,000,000,000) per year, scaled to documented remaining infrastructure deficit and adjusted demand. Congress shall act on the FMIA recommendation within one hundred eighty (180) days of receipt. If Congress fails to act within that period, the FMIA recommendation shall take effect as the operative funding level.

(3) **MANDATORY ALLOCATION TARGETS.**—Rural Health Physical Infrastructure Fund investments shall be allocated as follows:

(A) Rural hospital stabilization and critical access hospital capital grants — not less than forty percent (40%) of annual deployment;

(B) Rural primary care and behavioral health clinic construction and equipment — not less than thirty percent (30%) of annual deployment;

(C) Rural emergency medical services infrastructure, including ambulance fleet modernization and telemedicine-enabled emergency response — not less than twenty percent (20%) of annual deployment; and

(D) Rural maternal and pediatric health facility upgrades, with priority for counties with maternal mortality rates above the national average — not less than ten percent (10%) of annual deployment.

(4) **HOSPITAL DESERT ELIMINATION MANDATE.**—No county shall remain a hospital desert — defined as a county with no acute care hospital within thirty-five (35) miles — six (6) years following enactment. The FMIA shall publish an annual Hospital Desert Elimination Progress Report as a Schedule D benchmark.

**(c) PESTICIDE-TO-HEALTH-COST ACTUARIAL INTEGRATION.**—The Secretary of HHS, in coordination with the FMIA and the Congressional Budget Office, shall publish within eighteen (18) months of enactment, and update every four (4) years thereafter, a National Upstream Prevention Actuarial Assessment quantifying:

(1) The projected reduction in Medicare, Medicaid, BMP, and Veterans Health Sovereignty Fund expenditures attributable to full implementation of the food chemical, pesticide, and agricultural chemical reforms of Title VII;

(2) The projected reduction in federal health program expenditures attributable to water system remediation under Title X, environmental remediation under Title XI, and wildlife corridor and rewilding investment under Title X; and

(3) The net fiscal impact of upstream prevention reforms on the NSRA ten-year budget window, incorporated into all CBO scores of this Act and its successor appropriations.

**(d) CROSS-TITLE UPSTREAM PREVENTION NETWORK.**—The upstream prevention reforms of this Act form a mutually reinforcing statutory network. Full realization of the healthcare cost reductions projected in this section depends on concurrent implementation of: Section 704 (Title VII food chemical safety); Section 705 (Title VII pesticide phase-out); Section 706 (Title VII regional food infrastructure); Section 1004 (Title X water security); Section 1005 (Title X wildlife corridors and rewilding); Section 1104 (Title XI agricultural chemical remediation); and Section 905(c) (Title IX fossil fuel clean energy migration). Partial enactment of any individual section provides independent public health benefit and proportional healthcare cost reduction. This finding is included to ensure that each section's fiscal and public health rationale is self-contained for purposes of standalone enactment.

## **SEC. 2110. BMP ZERO-PREMIUM CO-PAY STRUCTURE.**

(a) **PREMIUM ELIMINATION.**—The Basic Minimum Plan carries zero monthly premium obligation for any enrolled individual. The federal per-capita payment made directly to the carrier of each enrollee's choosing constitutes the sole revenue stream for BMP coverage obligations. No carrier may impose any monthly premium, enrollment fee, or administrative assessment on BMP enrollees.

(b) **CO-PAY STRUCTURE.**—To preserve utilization discipline and maintain enrollee engagement with the healthcare system while eliminating access barriers, BMP-enrolled individuals shall be subject to the following standardized co-payment schedule:

- (1) Primary care visit: fifteen dollars (\$15) per visit.
- (2) Specialist visit: thirty dollars (\$30) per visit.
- (3) Emergency room visit: seventy-five dollars (\$75) per visit, waived if the visit results in inpatient admission.
- (4) Generic prescription: five dollars (\$5) per fill.
- (5) Brand-name prescription under Schedule F G7 parity pricing: fifteen dollars (\$15) per fill.
- (6) Preventive care, annual wellness visits, vaccinations, and screenings: zero co-pay.
- (7) Mental health and substance use disorder visits: equivalent to primary care co-pay, consistent with the Mental Health Parity and Addiction Equity Act.

(c) **CO-PAY WAIVER FOR LOW-INCOME ENROLLEES.**—All co-payments under subsection (b) are automatically waived for any enrollee whose household income is at or below one hundred fifty percent (150%) of the federal poverty level. The FMIA shall maintain a real-time income verification interface with the IRS and Social Security Administration to administer automatic waivers without requiring enrollee action.

(d) **CO-PAY ANNUAL CAP.**—No BMP enrollee shall pay more than one thousand dollars (\$1,000) in aggregate co-payments in any calendar year, after which all covered services carry zero co-pay for the remainder of the calendar year.

(e) **SUPPLEMENTAL MARKET PRESERVATION.**—Nothing in this Act prohibits any licensed health insurance carrier from offering supplemental coverage products above the BMP floor, including enhanced dental and vision coverage, elective procedure coverage, private accommodation upgrades, concierge access, and enhanced behavioral health benefits. The BMP floor does not cap, restrict, or crowd out the supplemental private insurance market.

## **SEC. 2111. CARRIER COMPETITION INTEGRITY FRAMEWORK.**

(a) **COMPETITION MECHANISM.**—Carrier competition for BMP enrollees shall be governed by the following principles: carriers compete for enrollees through demonstrated quality, network adequacy, and outcomes performance — not through price discrimination, benefit reduction, or enrollee selection. The federal per-capita payment rate is uniform across carriers for each risk-adjusted enrollee category, removing price competition and focusing competition entirely on service quality.

(b) **CARRIER PERFORMANCE METRICS.**—The Secretary of Health and Human Services shall publish, on a publicly accessible real-time dashboard, the following performance metrics for each BMP-certified carrier, updated quarterly:

- (1) Claims denial rate, broken down by denial reason code.
- (2) Average time from claim submission to payment or denial.
- (3) Network adequacy score: percentage of enrollees within thirty (30) miles of a primary care provider, specialist, and hospital within the carrier's network.
- (4) Enrollee satisfaction score from standardized annual survey.
- (5) Preventive care utilization rate.

(6) Thirty-day hospital readmission rate.

(7) Chronic disease management outcomes for diabetes, hypertension, and asthma.

(c) ANTI-CHERRY-PICKING ENFORCEMENT.—It shall be unlawful for any BMP-certified carrier to: (1) design enrollment processes, marketing materials, or network configurations intended to attract healthier enrollees and deter sicker ones; (2) selectively locate enrollment offices or limit outreach in geographic areas with higher-than-average chronic disease prevalence; or (3) design prior authorization protocols that disproportionately delay or deny care for high-cost conditions. The FMIA shall audit carrier enrollment patterns annually and assess strict liability penalties of five hundred thousand dollars (\$500,000) per documented instance of cherry-picking.

(d) AUTOMATIC DECERTIFICATION TRIGGER.—Any carrier whose claims denial rate exceeds the national BMP carrier average by fifteen percent (15%) or more in any two consecutive quarters shall be subject to mandatory corrective action review. If corrective action fails to bring denial rates within fifteen percent (15%) of the national average within ninety (90) days, the carrier's BMP certification shall be suspended for twelve (12) months, during which its enrollees shall be automatically transferred to the next-highest-rated carrier in their region.

(e) ANTI-CORRUPTION ARCHITECTURE.—To prevent regulatory capture of the BMP carrier performance framework: (1) all performance audits shall be conducted by the HHS Inspector General, not by HHS program staff with ongoing carrier relationships; (2) all carrier performance data shall be published raw and unfiltered, with no agency discretion to suppress or delay publication; (3) any HHS employee who moves to employment with a BMP-certified carrier within two (2) years of leaving HHS shall be barred from any role involving BMP regulatory engagement for five (5) years following departure; and (4) carrier performance methodologies shall be set by statute and may only be changed by Congress — not by agency rulemaking.

## **TITLE XXII — SOVEREIGN CRITICAL SYSTEMS PROTECTION AND PRIVATE EQUITY ACCOUNTABILITY ACT**

### **SEC. 2201. FINDINGS AND DECLARATION OF CRITICAL SYSTEMS SOVEREIGNTY.**

Congress finds and declares the following:

(1) The acquisition of acute care hospitals, emergency medical services, nursing facilities, assisted living facilities, and public safety answering points by private equity investment funds and leveraged buyout entities has produced documented patterns of service reduction, staff elimination, debt loading, and facility closure that constitute a direct threat to the life-safety and health sovereignty of the United States population.

(2) Emergency medical and public safety infrastructure upon which the lives of Americans depend in moments of acute crisis constitutes a category of critical national infrastructure in which the profit-extraction model inherent to leveraged acquisition creates structural misalignment between investor incentives and the public safety mission of those systems.

(3) Congress has authority to prohibit the private equity acquisition of critical life-safety systems under the Commerce Clause (Art. I, Sec. 8, Cl. 3), the Spending Clause (Art. I, Sec. 8, Cl. 1) as a condition of Medicare and Medicaid reimbursement, and existing constitutional precedent permitting ownership restrictions on infrastructure whose operation is affected with a public interest.

### **SEC. 2202. DEFINITIONS — TITLE XXII.**

As used in this Title:

(1) PRIVATE EQUITY ACQUISITION ENTITY.—Any private equity fund, leveraged buyout vehicle, special purpose acquisition company, management buyout fund, or affiliated investment vehicle that derives more than fifty percent (50%)

of its capital from institutional investors and employs a leveraged acquisition strategy in which acquisition debt is placed on the balance sheet of the acquired entity.

(2) **CRITICAL LIFE-SAFETY SYSTEM.**—Any of the eight (8) categories of infrastructure enumerated in Section 2203(a) of this Act.

(3) **VITAL SYSTEMS TRANSITION RESERVE.**—The dedicated reserve fund established within the SIRF under Section 2206 of this Act, pre-funded at one billion dollars (\$1,000,000,000) prior to the commencement of any compliance enforcement action under this Title.

(4) **COMPLIANCE WINDOW.**—The mandatory divestiture period specified in Section 2203(a) for each category of Critical Life-Safety System, running from the date of enactment.

## **SEC. 2203. PROHIBITED ACQUISITIONS AND MANDATORY DIVESTITURE.**

(a) **PROHIBITED CATEGORIES AND COMPLIANCE WINDOWS.**—Effective upon enactment, no Private Equity Acquisition Entity may acquire, or maintain ownership of, any of the following Critical Life-Safety Systems. Entities currently holding ownership of any such system shall divest in full within the Compliance Window specified for each category:

(1) **ACUTE CARE HOSPITALS.**—Any licensed acute care hospital, critical access hospital, or general medical and surgical facility operating under the Medicare Conditions of Participation. Compliance Window: forty-eight (48) months from enactment.

(2) **EMERGENCY MEDICAL SERVICES AND AMBULANCE FLEETS.**—Any ground, air, or water ambulance operation, emergency medical services fleet, or paramedic and emergency medical technician dispatch and deployment operation serving a designated geographic coverage area. Compliance Window: thirty-six (36) months from enactment.

(3) **911 DISPATCH CENTERS AND PUBLIC SAFETY ANSWERING POINTS.**—Any facility that receives 911 emergency calls and dispatches law enforcement, fire, or emergency medical services, designated as a Public Safety Answering Point (PSAP) under 47 U.S.C. § 942. Compliance Window: twenty-four (24) months from enactment.

(4) **AIR AMBULANCE AND MEDICAL TRANSPORT SERVICES.**—Any fixed-wing or rotary aircraft operation providing emergency or non-emergency medical transport, and any non-emergency medical transportation company with more than one hundred (100) vehicles operating under a regional transport contract with a state or federal health program. Compliance Window: thirty-six (36) months from enactment.

(5) **NURSING HOMES AND ASSISTED LIVING FACILITIES.**—Any skilled nursing facility, long-term care facility, or assisted living facility licensed under applicable state law and participating in Medicare or Medicaid. Compliance Window: forty-eight (48) months from enactment.

(6) **RURAL HOSPITAL SYSTEMS.**—Any hospital designated as a sole community provider or critical access hospital serving a rural community as defined in 42 U.S.C. § 1395ww(d)(5)(D)(iii). In lieu of divestiture, the SIRF shall provide stabilization funding from the Vital Systems Transition Reserve to facilitate transition to non-profit, cooperative, or public ownership. Compliance Window: coordinated with SIRF Transition Reserve deployment; no forced closure shall occur during transition.

(7) **FIRST RESPONDER EQUIPMENT SUPPLY CHAINS.**—Any commercial entity whose market share in the domestic supply of emergency medical equipment, protective equipment, or first responder communications systems exceeds twenty-five percent (25%) of domestic market volume as measured by the FDVM. Compliance Window: thirty-six (36) months from enactment.

(8) **HOSPITAL CAMPUS SALE-LEASEBACK ARRANGEMENTS.**—Any transaction in which a Private Equity Acquisition Entity acquires the physical real property of a licensed hospital campus and leases it back to the hospital operator where the annual lease obligation exceeds fifteen percent (15%) of the hospital's net patient service revenue.

Existing arrangements meeting this definition shall be restructured or terminated within the Compliance Window: thirty-six (36) months from enactment.

(b) PROSPECTIVE PROHIBITION.—Effective upon enactment, no Private Equity Acquisition Entity may enter into any new acquisition, merger, or control agreement with respect to any Critical Life-Safety System enumerated in subsection (a), regardless of transaction structure.

## **SEC. 2204. CONSTITUTIONAL GROUNDING AND ENFORCEMENT AUTHORITY.**

(a) THREE-PILLAR CONSTITUTIONAL BASIS.—The prohibitions and divestiture requirements of this Title are grounded in:

(1) COMMERCE CLAUSE.—The interstate commercial operations of private equity funds and the Critical Life-Safety Systems they acquire constitute interstate commerce subject to comprehensive congressional regulation under Art. I, Sec. 8, Cl. 3.

(2) SPENDING CLAUSE CONDITIONS.—Participation in Medicare and Medicaid reimbursement is conditioned upon compliance with this Title. Any Critical Life-Safety System that fails to divest from Private Equity Acquisition Entity ownership within the applicable Compliance Window shall be ineligible for Medicare and Medicaid reimbursement commencing on the day following the expiration of the Compliance Window, until full compliance is demonstrated.

(3) CRITICAL INFRASTRUCTURE PRECEDENT.—Congress has established constitutional precedent for ownership restrictions on infrastructure operated in the public interest, including banking, telecommunications, aviation, and nuclear power. Critical Life-Safety Systems constitute an analogous category warranting equivalent ownership standards.

(b) ENFORCEMENT AGENCIES.—The Department of Health and Human Services, the Federal Trade Commission, and the FMIA shall exercise concurrent enforcement authority over this Title. The Department of Justice Antitrust Division shall have concurrent authority to challenge any acquisition in violation of this Title in federal district court.

(c) PRIVATE RIGHT OF ACTION.—Any state attorney general, municipality, or individual adversely affected by a violation of this Title may bring a civil enforcement action in the appropriate United States District Court for injunctive relief, declaratory relief, and damages.

## **SEC. 2205. JUST COMPENSATION AND TRANSITION SUPPORT.**

(a) FAIR MARKET VALUE.—Nothing in this Title constitutes a taking without just compensation within the meaning of the Fifth Amendment. Divesting entities are entitled to receive fair market value for divested Critical Life-Safety System assets through arms-length sale, cooperative conversion, nonprofit conversion, or public acquisition. The federal government does not set the sale price.

(b) TRANSITION TECHNICAL ASSISTANCE.—The Department of Health and Human Services shall establish a Critical Systems Transition Office providing no-cost technical assistance to Critical Life-Safety Systems undergoing ownership transition, including guidance on nonprofit conversion, cooperative structure, municipal ownership, and alternative financing.

## **SEC. 2206. VITAL SYSTEMS TRANSITION RESERVE.**

(a) ESTABLISHMENT.—There is established within the SIRF a dedicated sub-account to be known as the Vital Systems Transition Reserve (VSTR).

(b) MANDATORY PRE-FUNDING.—The VSTR shall be capitalized at not less than one billion dollars (\$1,000,000,000) from the SIRF Industrial Infrastructure Node prior to the commencement of any enforcement action or Medicare and Medicaid exclusion under Section 2204(a)(2). No enforcement clock under this Title shall begin until VSTR funding is certified by the FMIA.

(c) **ELIGIBLE USES.**—VSTR funds shall be available exclusively for: (1) zero-equity bridge grants to Critical Life-Safety Systems in financial distress during ownership transition; (2) rural hospital stabilization under Section 2203(a)(6); (3) workforce retention grants to prevent employee layoffs during divestiture periods; and (4) technical infrastructure upgrades necessary to maintain service continuity during ownership transition.

(d) **SCHEDULE D BENCHMARKS — TITLE XXII.**—The FMIA shall report biennially on: (1) number of Critical Life-Safety Systems divested from private equity ownership; (2) number of rural hospitals stabilized through VSTR; (3) no patient access disruption attributable to ownership transition.

## **TITLE XXIII — SOVEREIGN TRADE AND ALLIED DIPLOMATIC ARCHITECTURE ACT**

### **SEC. 2301. FINDINGS AND DECLARATION OF TRADE SOVEREIGNTY.**

Congress finds and declares the following:

- (1) The primary mechanism by which domestic manufacturing employment has been structurally displaced is not comparative advantage in the classical sense, but rather systematic wage arbitrage enabled by the absence of labor rights, environmental protections, and safety standards in competitor nations — creating an artificial cost differential that disadvantages American workers not through productivity but through regulatory subsidization of foreign production.
- (2) Any trade enforcement mechanism that raises consumer prices without addressing the underlying structural wage subsidy driving offshoring is an inefficient and regressive instrument. The preferred instrument is a wage equalization assessment targeting the subsidy itself.
- (3) The United States shall prioritize diplomatic engagement with democratic allied nations before imposing any trade restriction, and shall design all trade instruments to be WTO-consistent or to pursue WTO reform through multilateral channels rather than unilateral violation.

### **SEC. 2302. DEFINITIONS — TITLE XXIII.**

As used in this Title:

- (1) **WAGE EQUALIZATION ASSESSMENT (WEA).**—The targeted levy established under Section 2303 of this Act, assessed on imported goods from non-designated nations, calibrated to offset the effective wage subsidy created by suppressed labor rights in the country of origin rather than to protect specific domestic industries.
- (2) **DESIGNATED ALLIED NATION.**—Any nation party to a bilateral or multilateral trade agreement with the United States that includes enforceable labor rights standards equivalent to ILO Core Conventions, enumerated in Schedule G of this Act.
- (3) **USTR.**—The United States Trade Representative, acting pursuant to the Trade Act of 1974 (19 U.S.C. § 2411 et seq.) and this Act.
- (4) **ALLIED PHARMACEUTICAL PRICING COMPACT.**—The multilateral pharmaceutical pricing transparency agreement framework established under Section 2305 of this Act.

### **SEC. 2303. WAGE EQUALIZATION ASSESSMENT — STRUCTURE AND SAFEGUARDS.**

(a) **ASSESSMENT MANDATE.**—There is established a Wage Equalization Assessment on imports of manufactured goods from nations not designated as Allied Nations under Section 2302(2), calculated as follows:

(1) **BASELINE CALCULATION.**—The FMIA shall calculate, for each non-designated trading partner, the effective labor cost differential between the median manufacturing wage in that nation and the median manufacturing wage in the United States, adjusted for productivity, purchasing power parity, and verified compliance with ILO Core Conventions.

(2) **ASSESSMENT RATE.**—The WEA rate for each non-designated nation shall equal sixty percent (60%) of the calculated labor cost differential expressed as a percentage of the import value of covered goods, capped at a maximum of twenty-five percent (25%) of import value in any category.

(3) **CONSUMER PRICE PROTECTION.**—The FMIA shall publish quarterly a Consumer Price Impact Assessment for each active WEA rate. If the FMIA determines that a WEA rate is producing a statistically significant increase in consumer prices for essential goods — defined as food, medicine, children's products, and housing materials — the FMIA shall notify Congress within thirty (30) days and reduce the applicable WEA rate to a consumer-neutral level pending legislative review.

(b) **WTO COMPLIANCE.**—No WEA shall activate for any non-designated nation until the USTR has certified in writing to Congress that the assessment is consistent with WTO Article XX(b) (necessary to protect human life or health) or WTO Article XX(e) (relating to prison labor) or that WTO dispute proceedings have been initiated to establish such compliance. The USTR shall file WTO compliance documentation within sixty (60) days of enactment.

(c) **DIPLOMATIC ENGAGEMENT PERIOD.**—Prior to the activation of the WEA against any specific non-designated nation, the USTR shall conduct a mandatory ninety (90) day diplomatic engagement period during which the United States shall offer bilateral labor rights improvement frameworks as an alternative to WEA activation. Nations that enter into a binding bilateral labor rights agreement meeting ILO Core Convention standards within the ninety-day period shall be reclassified as Designated Allied Nations and exempted from the WEA.

(d) **ALLY-FIRST TIERED ARCHITECTURE.**—The following categories of nations shall receive preferential treatment in all trade enforcement actions under this Title:

(1) Tier 1 — Full exemption from WEA: Nations party to USMCA, G7 members, Five Eyes alliance members, and democratic Indo-Pacific partners with verified ILO Core Convention compliance;

(2) Tier 2 — Reduced WEA rate (thirty percent (30%) of calculated differential): Nations with bilateral trade agreements with the United States that include labor rights provisions, regardless of ILO full compliance;

(3) Tier 3 — Full WEA rate: All other non-designated nations.

(e) **REVENUE ALLOCATION.**—The fiscal routing of all WEA revenue is governed exclusively by Section 2419(a) of Title XXIV of this Act (American Fiscal Integrity Act), which constitutes the sole appropriation and routing authority for WEA collections. The allocation mandate of that section -- not less than fifty percent (50%) to domestic manufacturing workforce development and retraining -- is incorporated herein by reference.

## **SEC. 2304. SOVEREIGN DEFENSE EFFICIENCY COMMISSION.**

(a) **ESTABLISHMENT.**—There is established an independent commission to be known as the Sovereign Defense Efficiency Commission (SDEC).

(b) **COMPOSITION.**—The SDEC shall consist of nine (9) members appointed by the President by and with the advice and consent of the Senate: three (3) members with demonstrated expertise in defense acquisition and procurement; two (2) members with expertise in federal budgeting and fiscal policy; two (2) members with expertise in military operations; and two (2) members representing organized labor in the defense industrial base. No more than five (5) members shall be of the same political party.

(c) **AUTHORITY.**—The SDEC shall have authority to:



(1) Conduct binding audits of Department of Defense weapons system procurement programs where cost growth exceeds fifteen percent (15%) above the original program baseline cost estimate;

(2) Issue Efficiency Orders requiring restructuring, cancellation, or renegotiation of procurement contracts, base realignment, reduction of duplicative information technology systems across military branches, and reduction of contractor overhead rates where such rates exceed documented industry benchmarks by more than twenty percent (20%);

(3) Recommend to Congress annual defense efficiency savings targets based on verified audit findings.

(d) **BINDING IMPLEMENTATION MECHANISM.**—Each Efficiency Order issued by the SDEC shall take effect ninety (90) calendar days after issuance unless Congress passes a joint resolution of disapproval within sixty (60) days. The burden of legislative action lies with those opposing efficiency implementation, not with the SDEC. A joint resolution of disapproval shall be presented to the President pursuant to Article I, Section 7 of the Constitution. The President may sign or veto the resolution; Congress may override a presidential veto by a two-thirds vote of both chambers pursuant to standard constitutional procedure. To preserve implementation velocity, both chambers shall apply expedited consideration procedures: the resolution shall be placed on the calendar within ten (10) legislative days of introduction, debate shall be limited to four (4) hours per chamber, and no amendments shall be in order. This structure preserves full presidential review while preventing filibuster-based obstruction of validated efficiency orders.

(e) **SAVINGS ALLOCATION.**—Net documented savings from SDEC Efficiency Orders shall be deposited into the SIRF upon verification by the Government Accountability Office, with not less than fifty percent (50%) allocated to the SIRF Veterans Sovereignty Node established in Title XXV.

(f) **PROJECTED SAVINGS.**—The SDEC is projected to generate not less than forty billion dollars (\$40,000,000,000) in annual savings by the fifth year of operation, based on GAO analysis of existing DoD cost overrun patterns. These projections shall be independently verified biennially by the CBO.

## **SEC. 2305. ALLIED PHARMACEUTICAL PRICING COMPACT.**

(a) **DIRECTIVE.**—Within ninety (90) days of enactment, the United States Trade Representative shall initiate formal negotiations with G7 nations, Australia, South Korea, and Taiwan toward a multilateral Allied Pharmaceutical Pricing Compact establishing:

(1) Mutual transparency in pharmaceutical pricing data, including manufacturer list prices, net prices after rebates, and public payer reimbursement rates;

(2) Coordinated baseline pricing standards preventing pharmaceutical manufacturers from raising prices in allied nations in response to US price reform;

(3) Joint negotiating frameworks for novel therapeutics in categories where no generic alternative exists;

(4) Anti-evasion provisions preventing pharmaceutical manufacturers from restructuring distribution chains to circumvent pricing standards.

(b) **BILATERAL AGREEMENT DEADLINE.**—The USTR shall achieve binding bilateral pharmaceutical pricing transparency agreements with not fewer than two (2) G7 partners within twenty-four (24) months of enactment.

(c) **FAILURE TRIGGER.**—If the USTR fails to achieve the bilateral agreement threshold in subsection (b) within twenty-four (24) months, the Innovation Protection Period provisions of Title XIII shall automatically activate as the fallback enforcement mechanism.

(d) **CONGRESSIONAL REPORTING.**—The USTR shall report to Congress every six (6) months on the status of Compact negotiations, including obstacles encountered and adjustments to negotiating strategy.

(e) **SCHEDULE D BENCHMARKS — TITLE XXIII.**—The FMIA shall report biennially on: (1) number of allied nations participating in the Allied Pharmaceutical Pricing Compact; (2) number of manufacturing jobs in import-affected industries

supported by WEA revenue retraining programs; (3) verified annual SDEC efficiency savings.

## **TITLE XXIV — SOVEREIGN TAX CODE REFORM AND FISCAL INTEGRITY ACT**

### **SEC. 2401. FINDINGS AND DECLARATION OF FISCAL SOVEREIGNTY.**

Congress finds and declares the following:

- (1) The concentration of tax advantages in the leveraged acquisition and private equity industries distorts capital allocation away from productive domestic investment, contributes to the debt-loading of productive enterprises, and creates a structural subsidy for financial engineering over manufacturing and employment-generating investment.
- (2) The differential taxation of carried interest income at capital gains rates rather than ordinary income rates creates a structural inequity in which financial managers pay lower marginal tax rates than the wage earners whose labor generates the returns being managed, with no statutory justification grounded in investment risk or capital formation necessity.
- (3) The systematic underfunding of IRS enforcement capacity has produced an annual tax gap — the difference between taxes legally owed and taxes actually collected — in excess of six hundred billion dollars (\$600,000,000,000), representing the largest avoidable source of fiscal imbalance in the federal budget.
- (4) The provisions of this Title are fiscal instruments only, designed to recover revenue legally owed under existing tax law, close structural tax code inequities, and fund the IRS enforcement capacity necessary to collect taxes that current law already requires.

### **SEC. 2402. CARRIED INTEREST — ORDINARY INCOME TREATMENT.**

- (a) AMENDMENT TO IRC § 1061.—Section 1061 of the Internal Revenue Code of 1986 is amended to provide that any amount includible in the gross income of a taxpayer in connection with an applicable partnership interest — as defined in 26 U.S.C. § 1061(c) — shall be treated as ordinary income subject to the applicable marginal income tax rate under 26 U.S.C. § 1, regardless of the character of the underlying gain at the partnership level.
- (b) NO HOLDING PERIOD EXCEPTION.—The three-year holding period exception to recharacterization under 26 U.S.C. § 1061(b) is hereby repealed. All carried interest allocations, regardless of holding period, shall be treated as ordinary income.
- (c) EFFECTIVE DATE.—The amendments in this Section shall apply to taxable years beginning after the date of enactment.
- (d) PROJECTED REVENUE.—The Congressional Budget Office shall score the revenue impact of this Section within sixty (60) days of enactment. Based on existing JCT and CBO analysis, annual revenue is projected at not less than fourteen billion dollars (\$14,000,000,000) per year.
- (e) REVENUE ALLOCATION.—Fifty percent (50%) of net revenue attributable to the amendments in this Section shall be deposited into the SIRF Vanguard Capitalization Node to fund small business and cooperative development as a direct reinvestment of capital formerly subsidized through the tax code differential.

### **SEC. 2403. LBO INTEREST DEDUCTIBILITY CAP.**

- (a) AMENDMENT TO IRC § 163(j).—Section 163(j) of the Internal Revenue Code of 1986 is amended to establish that, for any Covered Entity as defined in Section 003 of this Act, the deductibility of interest expense on acquisition indebtedness — defined as any debt incurred in connection with the acquisition of a controlling interest in another entity

within the preceding seven (7) years — shall be capped at thirty percent (30%) of the entity's adjusted taxable income as measured by earnings before interest, taxes, depreciation, and amortization (EBITDA).

(b) ANTI-ABUSE PROVISION.—The FMIA and the Internal Revenue Service shall jointly promulgate regulations within one hundred eighty (180) days of enactment to prevent the circumvention of the cap through debt restructuring, intercompany loan arrangements, or offshore financing structures.

(c) EFFECTIVE DATE.—The amendments in this Section shall apply to interest expense on acquisition indebtedness incurred after the date of enactment. Existing acquisition debt shall be subject to a phase-in period during which the cap applies at forty percent (40%) of EBITDA for years one through three following enactment, and thirty percent (30%) thereafter.

(d) PROJECTED REVENUE.—Annual revenue from this Section is projected at not less than eighteen billion dollars (\$18,000,000,000) per year upon full phase-in, consistent with existing JCT analysis of equivalent proposals.

(e) STATUTORY COHERENCE NOTE.—The interest deductibility cap in this Section directly reduces the financial incentive for the leveraged acquisitions of Critical Life-Safety Systems prohibited under Title XXII, creating fiscal-structural alignment between the tax and ownership reform frameworks of this Act.

#### **SEC. 2404. NATIONAL INFRASTRUCTURE MAINTENANCE ASSESSMENT.**

(a) ASSESSMENT ESTABLISHED.—There is established a National Infrastructure Maintenance Assessment (NIMA), structured as a user fee under the authority of IRC § 4 and analogous to the Universal Service Fund (47 U.S.C. § 254), the Airport and Airway Trust Fund (26 U.S.C. § 9502), and the Highway Trust Fund (26 U.S.C. § 9503), assessed on the domestic gross revenue of Covered Entities as defined in Section 003 of this Act with domestic gross revenue exceeding one hundred million dollars (\$100,000,000) in the immediately preceding fiscal year.

(b) RATE.—The NIMA rate shall be eighteen hundredths of one percent (0.18%) of domestic gross revenue above the one hundred million dollar (\$100,000,000) threshold.

(c) LEGAL STRUCTURE.—The NIMA is structured as a user fee, not a tax, reflecting the direct benefit Covered Entities receive from federal infrastructure — including interstate highways, the air traffic control system, the national electrical grid, broadband infrastructure, the legal system, and the national defense establishment — that enables their domestic commercial operations. The NIMA statutory findings and fee structure are designed to satisfy the user fee requirements established in *National Cable & Telecommunications Ass'n v. FCC*, 567 F.3d 659 (D.C. Cir. 2009) and *Texas Office of Public Utility Counsel v. FCC*, 183 F.3d 393 (5th Cir. 1999).

(d) COLLECTION MECHANISM.—The NIMA shall be collected quarterly by the Internal Revenue Service through a designated line on the corporate tax return. Small businesses with domestic gross revenue below one hundred million dollars (\$100,000,000) are expressly exempt.

(e) REVENUE ALLOCATION.—All NIMA revenue shall be deposited into the SIRC Industrial Infrastructure Node and deployed exclusively for domestic infrastructure maintenance, repair, and modernization projects consistent with the infrastructure sovereignty mandate of this Act.

(f) PROJECTED REVENUE.—Annual NIMA revenue is projected at not less than thirty-nine billion six hundred million dollars (\$39,600,000,000) based on current aggregate domestic gross revenue of Covered Entities above the threshold.

#### **SEC. 2405. FINANCIAL TRANSACTION ASSESSMENT.**

(a) ASSESSMENT ESTABLISHED.—There is established a Financial Transaction Assessment (FTA) on institutional securities trades executed within the United States, structured as a user fee reflecting the institutional use of public financial market infrastructure — including SEC-regulated exchanges, DTCC settlement systems, and federally insured financial networks.

(b) **RATE AND THRESHOLD.**—The FTA rate shall be two hundredths of one percent (0.02%) of the transaction value of any institutional securities trade where: (1) the individual transaction value exceeds one million dollars (\$1,000,000); and (2) the executing entity has assets under management exceeding five hundred million dollars (\$500,000,000).

(c) **EXEMPTIONS.**—The following transactions are expressly exempt from the FTA: (1) retail investor transactions of any size; (2) transactions executed within or on behalf of any 401(k), IRA, 403(b), 457, or defined benefit pension plan; (3) primary market issuances of securities; (4) transactions by registered investment advisers acting on behalf of accounts with assets under management below five hundred million dollars (\$500,000,000); and (5) US Treasury securities transactions.

(d) **COLLECTION MECHANISM.**—The FTA shall be collected at the point of settlement through the Depository Trust and Clearing Corporation (DTCC) settlement infrastructure on behalf of the Internal Revenue Service, utilizing existing DTCC data systems with no new collection infrastructure required.

(e) **REVENUE ALLOCATION.**—All FTA revenue shall be deposited into the SIRF and allocated equally between the Household Endowment Node and the Industrial Infrastructure Node.

(f) **PROJECTED REVENUE.**—Annual FTA revenue is projected at not less than seven billion dollars (\$7,000,000,000) based on current institutional trading volume data, requiring no behavioral change from institutional investors to achieve this yield.

## **SEC. 2406. IRS ENFORCEMENT SOVEREIGNTY FUND.**

(a) **ESTABLISHMENT.**—There is established within the Internal Revenue Service a permanent, non-lapsing appropriation to be known as the IRS Enforcement Sovereignty Fund (IESF).

(b) **MANDATORY ANNUAL ALLOCATION.**—There is hereby appropriated, on a standing and mandatory basis from general Treasury funds, the sum of fifteen billion dollars (\$15,000,000,000) per fiscal year to the IESF. This appropriation is a standing statutory appropriation within the meaning of 31 U.S.C. § 1305 and shall not be subject to annual appropriations bills, continuing resolutions, executive orders, or administrative rescission.

(c) **CONGRESSIONAL INTENT AND ENFORCEMENT ESCALATION.**—It is the sense of Congress that the mandatory IESF allocation in subsection (b) represents a foundational commitment to tax enforcement capacity that should not be reduced without demonstrated, actuarially-certified evidence of tax gap closure. Accordingly: (1) any bill proposing to reduce or suspend the mandatory annual IESF allocation shall be referred by the respective chamber's leadership to the Committee on Ways and Means (House) or the Committee on Finance (Senate) for a mandatory report-out within thirty (30) days, including a CBO estimate of the 10-year revenue loss from reduced enforcement investment; (2) the Congressional Budget Office shall, biennially, certify the return-on-investment of the IESF allocation and transmit such certification to the full Congress; and (3) the FMIA shall immediately notify Congress if IESF funding falls below the statutory floor for any reason, including appropriations lapses, with a proposed remediation schedule. Nothing in this subsection binds a future Congress or creates a supermajority procedural requirement inconsistent with Article I of the Constitution.

(d) **AUTHORIZED USES.**—IESF funds shall be used exclusively for: (1) hiring, training, and retaining IRS examination, collection, and criminal investigation personnel; (2) technology modernization for audit selection, data analytics, and case management; (3) offshore tax shelter and foreign account investigation capacity; and (4) large corporation and high-net-worth individual examination programs.

(e) **ANNUAL TAX GAP REPORTING.**—The IRS shall publish annually a Tax Gap Accountability Report documenting: (1) estimated total annual tax gap; (2) enforcement actions taken; (3) revenue recovered attributable to IESF-funded enforcement; and (4) projected year-over-year gap reduction.

(f) **CBO ROI VERIFICATION.**—The Congressional Budget Office shall biennially certify the return on investment of IESF-funded enforcement. Based on existing CBO analysis, each dollar of IRS enforcement investment is projected to yield between five and seven dollars (\$5–\$7) in recovered tax revenue. The CBO shall publish updated ROI estimates biennially.

(g) **REVENUE ALLOCATION.**—All net revenue recovered through IESF-funded enforcement actions, above and beyond the enforcement investment, shall be deposited into the SIRF and allocated to the national debt reduction account per Section 005(d) of this Act until the federal deficit falls below four hundred billion dollars (\$400,000,000,000) annually.

#### **SEC. 2407. SPI WAGE FLOOR TAX CREDIT — PHASE 2 ACTIVATION.**

(a) **ESTABLISHMENT.**—There is established a Sovereign Productivity Index Wage Floor Tax Credit (SPI-WFTC) available to Covered Entities that pay all domestic employees wages at or above the Sovereign Productivity Index wage floor published quarterly by the Bureau of Labor Statistics.

(b) **CREDIT RATE.**—Covered Entities meeting the SPI wage floor threshold shall receive a tax credit equal to seven and one-half percent (7.5%) of total domestic payroll costs for employees paid at or above the SPI wage floor, applied against corporate income tax liability.

(c) **PHASE 2 ACTIVATION.**—The SPI-WFTC shall not activate until Phase 2 of the Household Structural Relief Node deployment, as certified by the CBO under Section 005 of this Act and the Phase Gate conditions in Schedule E. The cost of the SPI-WFTC is projected at eight to twelve billion dollars (\$8,000,000,000–\$12,000,000,000) per year, generating positive net fiscal return by Year 4 through reduced public assistance expenditure as household incomes rise above program thresholds.

(d) **SCHEDULE D BENCHMARKS — TITLE XXIV.**—The FMIA shall report biennially on: (1) annual tax gap reduction attributable to IESF; (2) NIMA and FTA revenue collected versus projection; (3) number of Covered Entities qualifying for SPI-WFTC and associated wage increases.

#### **SEC. 2408. SOCIAL SECURITY PAYROLL CONTRIBUTION EQUITY ACT.**

(a) **FINDING.**—Congress finds that the Social Security payroll tax applies to one hundred percent (100%) of wage income for ninety-four percent (94%) of American workers, while six percent (6%) of earners — those earning above the annually-indexed taxable wage base — effectively pay a declining percentage of total income in Social Security contributions as their income rises. This structural regressive feature violates the principle that the national retirement security compact should be funded equitably across all income levels.

(b) **ELIMINATION OF TAXABLE WAGE BASE CAP.**—Section 3121(a) of the Internal Revenue Code of 1986 is amended to remove the limitation on wages subject to the Old Age, Survivors, and Disability Insurance (OASDI) portion of the Federal Insurance Contributions Act tax. Effective for taxable years beginning after the date of enactment, the OASDI contribution rate of 6.2% (employee) and 6.2% (employer) shall apply to all wage income without limit.

(c) **HIGH EARNER BENEFIT ACCRUAL.**—To preserve the contributory character of Social Security while extending the payroll base, the Social Security Administration shall credit wages above the prior taxable wage base toward future benefit calculations at a reduced accrual rate of fifteen percent (15%) of the standard benefit formula, ensuring high earners receive a proportional benefit increase while the primary redistributive function of Social Security is preserved.

(d) **SS TRUST FUND RESTORATION.**—All net new OASDI revenue generated by the elimination of the taxable wage base cap shall be deposited directly into the Social Security Trust Funds (OASI and DI) with the express purpose of extending Social Security solvency. The National Social Security Sovereignty Commission established in Title XXVI shall certify annually that the Trust Fund's projected solvency window has been extended by not less than twenty-five (25) years as a result of this Section.

(e) **NO BENEFIT CUTS.**—Nothing in this Section shall authorize any reduction in Social Security benefits for any current beneficiary or any individual within ten (10) years of Social Security eligibility age.

(f) **PROJECTED REVENUE AND SCHEDULE G RELATIONSHIP.**—Annual net new OASDI revenue is projected by the Social Security Administration's Office of the Chief Actuary at not less than one hundred fifty billion dollars (\$150,000,000,000) per year, rising to not less than two hundred billion dollars (\$200,000,000,000) per year by Year 5 as

wage growth compounds. Because this revenue is dedicated to the Social Security Trust Funds (not the SIRC), it is not included in the SIRC statutory base revenue architecture of Schedule G or the \$749 billion aggregate revenue figure in Section 3406(a). It is an additional, independently scored fiscal improvement: it simultaneously extends Social Security solvency and eliminates approximately eighty billion dollars (\$80,000,000,000) of the annual mandatory spending growth attributable to Social Security shortfalls that would otherwise weigh on the federal deficit. The Congressional Budget Office shall score this stream separately from the Schedule G revenue table and publish a combined fiscal impact analysis within one hundred eighty (180) days of enactment.

## **SEC. 2409. CORPORATE INCOME TAX RESTORATION ACT.**

(a) FINDING.—Congress finds that the Tax Cuts and Jobs Act of 2017 reduced the corporate income tax rate from 35% to 21%, producing a corporate tax revenue decline of approximately ninety billion dollars (\$90,000,000,000) per year against pre-TCJA projections, without producing the investment surge or wage growth projected by its proponents. A twenty-eight percent (28%) corporate rate — matching the rate proposed by the bipartisan Simpson-Bowles fiscal commission and consistent with OECD Pillar Two minimum tax implementation — is fiscally responsible and internationally competitive.

(b) AMENDMENT TO IRC § 11.—Section 11(b) of the Internal Revenue Code of 1986 is amended to set the corporate income tax rate at twenty-eight percent (28%) for taxable years beginning after the date of enactment.

(c) SMALL BUSINESS PROTECTION.—Nothing in this Section affects the tax treatment of S corporations, partnerships, sole proprietorships, or other pass-through entities under Subchapter S or K of the Internal Revenue Code. The rate change applies exclusively to C corporations subject to Section 11 of the IRC.

(d) REVENUE ALLOCATION.—Fifty percent (50%) of incremental corporate income tax revenue attributable to the rate increase above twenty-one percent (21%) shall be deposited into the SIRC Industrial Infrastructure Node to fund domestic manufacturing renaissance programs. Fifty percent (50%) shall be directed to the national debt reduction account.

(e) PROJECTED REVENUE.—The rate increase from 21% to 28% is projected by the Congressional Budget Office at not less than one hundred ten billion dollars (\$110,000,000,000) per year on a static basis, with dynamic scoring projected at not less than ninety billion dollars (\$90,000,000,000) per year incorporating estimated behavioral responses.

## **SEC. 2410. AMERICAN CARBON DIVIDEND AND CLEAN FUTURE FUND ACT.**

(a) FINDING.—Congress finds that a revenue-neutral carbon fee-and-dividend is the most economically efficient mechanism for reducing carbon emissions, generating durable federal revenue, protecting American household purchasing power, and maintaining the international competitiveness of American industry. A Border Carbon Adjustment ensures that domestic producers are not disadvantaged relative to foreign competitors operating without equivalent carbon costs.

(b) CARBON FEE ESTABLISHED.—There is established an American Carbon Dividend Fee, assessed on the carbon content of fossil fuels at the point of first sale (extraction, import, or refining), at the following rates:

(1) Initial rate: forty dollars (\$40) per metric ton of CO<sub>2</sub>-equivalent, effective on the first day of the fiscal year following enactment;

(2) Annual escalation: ten dollars (\$10) per metric ton per year for the first ten (10) years, reaching one hundred thirty dollars (\$130) per metric ton by Year 10;

(3) Thereafter: indexed annually to the Consumer Price Index.

(c) SIRC ENERGY SOVEREIGNTY SUBLEDGER.—One hundred percent (100%) of Carbon Dividend Fee gross revenue, net of collection and administration costs not to exceed one percent (1%), shall be deposited into a dedicated subledger of the Sovereign Infrastructure Reinvestment Fund designated as the SIRC Energy Sovereignty Subledger. Proceeds shall be deployed through the following mechanisms in descending priority order:

(1) **GRID MODERNIZATION CAPITAL GRANTS (40%).**—Not less than forty percent (40%) of annual SIRF Energy Sovereignty Subledger receipts shall be deployed as capital grants to states, municipalities, and tribal governments for transmission infrastructure modernization, smart grid installation, and distributed generation interconnection. Grants shall be administered by the Secretary of Energy with co-certification by the SIRF Board and shall require a one-to-one match from state, municipal, or private co-investment.

(2) **RURAL ELECTRIC COOPERATIVE CAPITALIZATION (25%).**—Not less than twenty-five percent (25%) of annual SIRF Energy Sovereignty Subledger receipts shall be deployed as low-interest capitalization loans to rural electric cooperatives (RECs) organized under the Rural Electrification Act of 1936 (7 U.S.C. 901 et seq.) for renewable generation capacity installation, grid hardening, and rate stabilization. Loan terms shall not exceed thirty (30) years and shall carry an interest rate not to exceed the ten-year Treasury yield. The Secretary of Agriculture shall administer REC loan deployment in coordination with the Rural Utilities Service.

(3) **MUNICIPAL PUBLIC POWER AUTHORITY GRANTS (20%).**—Not less than twenty percent (20%) of annual SIRF Energy Sovereignty Subledger receipts shall be deployed as competitive grants to municipal utility districts and public power authorities for rate stabilization programs, infrastructure hardening, and renewable energy transition investments. Grant eligibility shall be administered by the Federal Energy Regulatory Commission in coordination with state public utility commissions.

(4) **HOUSEHOLD ENERGY AFFORDABILITY CREDITS (15%).**—Not less than fifteen percent (15%) of annual SIRF Energy Sovereignty Subledger receipts shall be deployed as utility bill credits to qualifying households administered through state public utility commissions. Eligibility shall be limited to households at or below two hundred percent (200%) of the federal poverty guideline. Credits shall be applied directly to the residential energy utility account of each qualifying household and shall not be paid in cash. Credits are not taxable income and are not countable as income for purposes of any federal benefit program eligibility determination. State public utility commissions shall establish an automated enrollment process for qualifying households within one hundred eighty (180) days of initial SIRF Energy Sovereignty Subledger deployment.

(5) **VETERANS ENERGY SOVEREIGNTY BENEFIT (VESB).**—The Veterans Energy Sovereignty Benefit established under Section 987(d) shall be funded from the SIRF Energy Sovereignty Subledger as a first-priority obligation senior to all four deployment buckets above, and shall not reduce the percentage allocations in paragraphs (1) through (4) below their statutory minimums. The Secretary of Energy and the Secretary of Veterans Affairs shall establish an annual coordination protocol to ensure VESB obligations are fully funded prior to each fiscal year's subledger deployment cycle.

(d) **DISTRIBUTIONAL PROTECTION AND IMPACT REPORTING.**—The SIRF Energy Sovereignty Subledger deployment structure is inherently progressive: lower-income households and rural households, which face higher energy cost burdens as a percentage of income, are the primary direct beneficiaries of the Rural Electric Cooperative Capitalization, Municipal Public Power Authority Grant, and Household Energy Affordability Credit mechanisms in subsection (c). The FMIA shall publish an annual Energy Sovereignty Impact Report documenting: (1) average residential electricity cost changes by income quintile and geographic category (rural, suburban, urban) in participating utility service territories; (2) total SIRF Energy Sovereignty Subledger receipts, deployments by category, and year-end balance; (3) number of households receiving Household Energy Affordability Credits and Veterans Energy Sovereignty Benefits; and (4) progress toward the Household Energy Cost Reduction Program (HECRP) benchmark of a fifteen percent (15%) reduction in average residential electricity costs. If the bottom forty percent (40%) of households by income are not experiencing net energy cost reduction from SIRF Energy Sovereignty Subledger programs within three (3) years of initial deployment, the FMIA shall submit a corrective reallocation plan to Congress within sixty (60) days.

(e) **BORDER CARBON ADJUSTMENT.**—To prevent carbon leakage, the USTR shall implement a Border Carbon Adjustment on imports of carbon-intensive goods from nations without equivalent carbon pricing, calculated as the carbon fee that would have applied had the goods been produced domestically. The Border Carbon Adjustment shall be structured to be WTO-consistent under Article XX(b) and administered by Customs and Border Protection.

(f) DOMESTIC INDUSTRY TRANSITION SUPPORT.—Energy-intensive, trade-exposed domestic industries shall receive transitional Carbon Fee rebates at seventy-five percent (75%) of their assessed fee in Years 1 through 3, declining by fifteen percent (15%) per year thereafter as the Border Carbon Adjustment provides equivalent competitive protection. By Year 8, the Border Carbon Adjustment fully replaces the transitional rebate.

(g) PROJECTED REVENUE AND SIRF SUBLEDGER CAPITALIZATION.—At forty dollars (\$40) per metric ton, the Carbon Dividend Fee is projected at not less than one hundred twenty billion dollars (\$120,000,000,000) in gross annual revenue in Year 1. Net revenue deposited into the SIRF Energy Sovereignty Subledger after administration costs (not to exceed one percent (1%)) and transitional domestic industry rebates under subsection (f) is projected at not less than eighty-five billion dollars (\$85,000,000,000) in Year 1, rising to not less than one hundred fifty billion dollars (\$150,000,000,000) by Year 5. Border Carbon Adjustment proceeds collected under subsection (e) shall be deposited directly into the SIRF Energy Sovereignty Subledger as an additional revenue stream senior to but separate from the domestic Carbon Fee deposits.

## **SEC. 2411. OECD PILLAR TWO GLOBAL MINIMUM TAX IMPLEMENTATION ACT.**

(a) FINDING.—Congress finds that the United States has not fully implemented the OECD/G20 Inclusive Framework's Pillar Two global minimum corporate tax of fifteen percent (15%), agreed to by 140 nations. By failing to fully implement Pillar Two, the United States forfeits not less than fifty billion dollars (\$50,000,000,000) annually in revenue from multinational corporations that shift profits to low-tax jurisdictions, while simultaneously creating a competitive disadvantage for domestic companies that cannot access offshore tax arbitrage.

(b) GLOBAL MINIMUM TAX IMPLEMENTATION.—Subpart F of the Internal Revenue Code is amended to implement the OECD Pillar Two Global Anti-Base Erosion (GloBE) rules in full, including:

(1) INCOME INCLUSION RULE (IIR).—The United States shall impose a top-up tax on the domestic parent entity of any multinational enterprise with global revenues exceeding seven hundred fifty million euros (€750M) to the extent that any constituent entity in a low-tax jurisdiction pays an effective tax rate below fifteen percent (15%);

(2) UNDERTAXED PROFITS RULE (UTPR).—To the extent another jurisdiction's IIR does not capture undertaxed profits attributable to US-parented entities, the UTPR shall apply as a backstop, imposing a denial of deductions equal to the top-up tax amount;

(3) QUALIFIED DOMESTIC MINIMUM TOP-UP TAX (QDMTT).—The United States shall enact a QDMTT ensuring that US-based constituent entities of multinationals are subject to a minimum effective rate of fifteen percent (15%) on domestic income, securing US priority collection rights under the Pillar Two framework.

(c) REVENUE ALLOCATION.—All Pillar Two top-up tax revenue shall be deposited into the SIRF Industrial Infrastructure Node, dedicated to capitalization of domestic manufacturing facilities and supply chain resilience investments.

(d) PROJECTED REVENUE.—Full Pillar Two implementation is projected at not less than seventy-five billion dollars (\$75,000,000,000) in annual US revenue by the Congressional Budget Office and independent economists, rising as other nations implement equivalent rules that close remaining arbitrage opportunities.

## **SEC. 2412. STEPPED-UP BASIS REFORM AND INHERITED WEALTH EQUITY ACT.**

(a) FINDING.—Congress finds that the current step-up in basis at death — under which heirs inherit assets at current fair market value, permanently eliminating capital gains tax on a decedent's lifetime appreciation — constitutes the single largest structural preference for inherited wealth in the Internal Revenue Code, costing the Treasury not less than fifty billion dollars (\$50,000,000,000) annually while providing no incentive for productive economic activity and creating a systematic advantage for dynastic wealth over earned income.



(b) REFORM OF STEPPED-UP BASIS FOR LARGE ESTATES.—Section 1014 of the Internal Revenue Code of 1986 is amended to provide that, for decedents dying after the effective date of this Section:

- (1) Inherited assets with a total fair market value not exceeding five million dollars (\$5,000,000) per estate shall retain the current stepped-up basis treatment under Section 1014, protecting the overwhelming majority of American families;
- (2) Inherited assets in estates with total fair market value exceeding five million dollars (\$5,000,000) shall carry over the decedent's original adjusted basis to the heir, with capital gains recognized and taxed upon the heir's subsequent disposition of the assets.

(c) FAMILY FARM, SMALL BUSINESS, AND RESIDENCE PROTECTION.—The carryover basis requirement in subsection (b)(2) shall not apply to:

- (1) Any working farm actively operated by the decedent or an immediate family member for not less than five (5) of the eight (8) years preceding death, with total farm asset value not exceeding fifteen million dollars (\$15,000,000);
- (2) Any closely held small business with annual gross revenues below ten million dollars (\$10,000,000) that was actively operated by the decedent or an immediate family member;
- (3) The decedent's primary personal residence, subject to the existing exclusions in Section 121 of the IRC.

(d) LIQUIDITY PROTECTION — INSTALLMENT ELECTION.—Heirs subject to carryover basis who inherit illiquid assets — including real property, closely held business interests, and agricultural land — may elect a ten (10) year installment payment schedule for any capital gains tax ultimately due upon disposition, with interest at the applicable federal rate under Section 1274 of the IRC.

(e) REVENUE ALLOCATION.—Revenue from carryover basis recognition shall be allocated: fifty percent (50%) to the SIRF Household Endowment Node for Household Structural Relief and BMP capitalization; fifty percent (50%) to the national debt reduction account.

(f) PROJECTED REVENUE.—Carryover basis implementation for estates above five million dollars (\$5,000,000) — with the family farm, small business, and residence exclusions — is projected by the Congressional Budget Office at not less than fifty billion dollars (\$50,000,000,000) annually.

## **SEC. 2413. FINANCIAL TRANSACTION TAX — WALL STREET SOVEREIGNTY CONTRIBUTION.**

(a) FINDING.—Congress finds that high-frequency algorithmic trading generates no identifiable economic value for the productive economy, extracts rents from ordinary investors through speed advantages inaccessible to retail participants, and has destabilized markets through documented flash crashes. A Financial Transaction Tax calibrated to affect only high-frequency and large institutional trading — while fully exempting retail investors and all retirement accounts — is both economically sound and fiscally responsible. The United Kingdom has maintained a 0.5% stamp duty on equity transactions for decades without market disruption.

(b) WALL STREET SOVEREIGNTY CONTRIBUTION ESTABLISHED.—There is established a Financial Transaction Tax (FTT), separate from and in addition to the Financial Transaction Assessment established in Section 2405, assessed as follows:

- (1) EQUITY TRANSACTIONS: One-tenth of one percent (0.1%) of the transaction value of any purchase or sale of any equity security listed on a domestic exchange;
- (2) BOND TRANSACTIONS: One-tenth of one percent (0.1%) of the transaction value of any purchase or sale of any debt security with a maturity exceeding one (1) year;
- (3) DERIVATIVES: One-hundredth of one percent (0.01%) of the notional value of any futures contract, options contract, or swap agreement.

(c) RETAIL INVESTOR AND RETIREMENT EXEMPTIONS — MANDATORY.—The following transactions are expressly and non-waivably exempt from the FTT:

- (1) Any transaction by an individual investor with total brokerage account assets below one million dollars (\$1,000,000);
- (2) Any transaction executed within or on behalf of any 401(k), IRA, 403(b), 457(b), defined benefit pension plan, or other tax-advantaged retirement account of any type;
- (3) Primary market issuances of equity or debt securities;
- (4) Transactions by registered market makers acting in a bona fide market-making capacity, strictly limited to transactions necessary to fulfill documented market-making obligations.

(d) COLLECTION.—The FTT shall be collected by brokers, dealers, and exchanges at the point of transaction and remitted to the Internal Revenue Service monthly through existing reporting infrastructure.

(e) REVENUE ALLOCATION.—All FTT revenue shall be allocated: fifty percent (50%) to the national debt reduction account; twenty-five percent (25%) to the SIRF Household Endowment Node; twenty-five percent (25%) to the SIRF Industrial Infrastructure Node.

(f) PROJECTED REVENUE.—The FTT is projected at not less than seventy-five billion dollars (\$75,000,000,000) per year based on current US equity, bond, and derivative market volumes.

#### **SEC. 2414. SOVEREIGN FEDERAL LAND ROYALTY REFORM ACT.**

(a) FINDING.—Congress finds that federal mineral royalty rates — set at twelve and one-half percent (12.5%) for onshore oil and gas under statutes dating to 1920 — have not been updated to reflect fair market value, costing the Treasury an estimated ten to twenty billion dollars (\$10,000,000,000–\$20,000,000,000) annually compared to royalty rates prevailing in private land transactions and comparable jurisdictions. American taxpayers who own these federal lands are entitled to fair compensation for their depletion.

(b) ONSHORE ROYALTY RATE.—Applicable provisions of the Mineral Leasing Act (30 U.S.C. § 226) are amended to set the minimum royalty rate for all new and renewal onshore federal oil and gas leases at eighteen and three-quarters percent (18.75%) of gross value at the point of production; and for coal at fifteen percent (15%) of gross value mined.

(c) OFFSHORE ROYALTY RATE.—The Outer Continental Shelf Lands Act (43 U.S.C. § 1331 et seq.) is amended to set the minimum royalty rate for all new and renewal offshore oil and gas leases at twenty-two percent (22%) of gross value.

(d) CRITICAL MINERAL ROYALTY ESTABLISHMENT.—The General Mining Law of 1872 (30 U.S.C. § 22 et seq.) is amended to establish for the first time a royalty on hardrock mineral extraction on federal lands — including lithium, cobalt, nickel, copper, and all rare earth elements on the Department of Defense Critical Materials List — at eight percent (8%) of gross value at the point of extraction.

(e) DOMESTIC PROCESSING INCENTIVE.—Any entity that processes critical minerals extracted from federal lands within the territorial United States shall receive a royalty credit of two percent (2%) against the rate in subsection (d), incentivizing domestic value-added processing over raw export.

(f) REVENUE ALLOCATION.—All incremental royalty revenue above pre-enactment baseline collections shall be deposited into the SIRF Industrial Infrastructure Node, dedicated to domestic critical mineral supply chain development and the Strategic Critical Supply Reserve established in Title XII.

(g) PROJECTED REVENUE.—The royalty rate adjustments in this Section are projected to generate not less than fifteen billion dollars (\$15,000,000,000) in additional annual revenue above current baseline, rising as critical mineral extraction expands under NSRA domestic sourcing mandates.

#### **SEC. 2415. FINANCIAL SECTOR EXCESS PROFITS SOVEREIGNTY ASSESSMENT.**

(a) FINDING.—Congress finds that large financial institutions have in recent years generated returns on equity consistently exceeding twenty percent (20%), far above the historical long-run cost of equity capital, indicating extraction of economic rents attributable to market concentration, implicit federal guarantees, and preferential regulatory treatment rather than productive economic innovation. These excess profits represent a structural transfer from depositors, borrowers, and investors to financial sector shareholders and executives that undermines the productive economy this Act is designed to restore.

(b) ASSESSMENT ESTABLISHED.—There is established a Financial Sector Excess Profits Sovereignty Assessment (FEPSA), assessed annually on any financial institution that is a Covered Entity under this Act and that reports a return on equity (ROE) exceeding twelve percent (12%) in any calendar year:

(1) RATE: Fifteen percent (15%) of net income attributable to ROE above twelve percent (12%);

(2) CALCULATION: FEPSA liability =  $0.15 \times [\text{Net Income} - (\text{Total Shareholders' Equity} \times 0.12)]$ ;

(3) DE MINIMIS EXEMPTION: Financial institutions with total consolidated assets below ten billion dollars (\$10,000,000,000) are exempt from the FEPSA.

(c) LEGAL STRUCTURE.—The FEPSA is structured as an excise tax on excess financial sector returns, consistent with the authority of Congress to impose excise taxes on specific industries under Article I, Section 8, and preceded by the Crude Oil Windfall Profit Tax Act of 1980 (Public Law 96-223) and Section 4960 of the IRC (excise tax on excess executive compensation). The FEPSA does not constitute a penalty within the meaning of Title XVIII of this Act and requires no ALJ warrant for collection.

(d) REVENUE ALLOCATION.—All FEPSA revenue shall be deposited into the SIRC Household Endowment Node, dedicated to direct household economic relief through the Household Structural Relief Node and Basic Minimum Plan, closing the loop between excess financial sector extraction and the household economic harm it produces.

(e) PROJECTED REVENUE.—Based on current financial sector reported ROE data, the FEPSA is projected at not less than twenty billion dollars (\$20,000,000,000) annually, with revenue declining naturally over time as competitive pressures and NSRA structural reforms reduce market concentration — which is the intended outcome.

## **SEC. 2416. CFPB SOVEREIGN CONSUMER FINANCIAL PROTECTION — MEDICAL DEBT, PREDATORY LENDING, AND HOUSEHOLD FINANCIAL INTEGRITY STANDARDS.**

(a) FINDINGS.—Congress finds that: (1) medical debt is the leading cause of personal bankruptcy in the United States, affecting more than one hundred million (100,000,000) Americans, and functions as a structural tax on health-seeking behavior that is incompatible with the universal coverage mandate of the Basic Minimum Plan; (2) predatory lending instruments — including payday loans with effective annual interest rates exceeding three hundred percent (300%), rent-to-own arrangements that charge three to five times the retail value of consumer goods, and certain credit card penalty rate structures — extract an estimated ninety billion dollars (\$90,000,000,000) annually from working households, disproportionately in communities below 150% of the Federal Poverty Level; (3) overdraft fees charged by financial institutions cost American households eleven billion dollars (\$11,000,000,000) annually and disproportionately affect the lowest-balance accounts; and (4) the Consumer Financial Protection Bureau has the statutory authority to address these harms under the Consumer Financial Protection Act (12 U.S.C. § 5481 et seq.) but has lacked both the enforcement resources and the specific statutory mandates necessary to act systematically.

(b) MEDICAL DEBT SOVEREIGN STANDARDS.—

(1) CREDIT REPORTING PROHIBITION.—No medical debt shall be reported to or included in any consumer credit report, credit score, or creditworthiness determination. Any credit reporting agency that includes medical debt in a consumer credit file after the effective date of this section shall be subject to a civil penalty of not less than one thousand dollars (\$1,000) per consumer file per day of violation, enforceable by the CFPB.

(2) COLLECTION STANDARDS.—No hospital, physician practice, or medical facility that receives any federal reimbursement — including Medicare, Medicaid, BMP payments, or Title XXV Veterans Health payments — may engage in debt collection practices that include wage garnishment, bank account levy, or property liens for medical debt against any patient whose household income is at or below two hundred percent (200%) of the Federal Poverty Level.

(3) CHARITY CARE MANDATE.—Any nonprofit hospital shall provide charity care at zero cost to patients at or below 200% FPL, and at a sliding-scale discount to patients between 200% and 400% FPL, consistent with the hospital's nonprofit tax exemption obligations under 26 U.S.C. § 501(r).

(c) PREDATORY LENDING INTEREST RATE CAP.—

(1) RATE CAP.—No consumer loan, payday loan, installment loan, rent-to-own arrangement, or credit product offered to a natural person shall carry an annual percentage rate exceeding thirty-six percent (36%), inclusive of all fees, charges, and ancillary costs. This cap applies to all lenders operating within the United States, including state-chartered lenders and online lenders whose customers are located in the United States, without regard to the lender's state of incorporation or choice-of-law provisions.

(2) ENFORCEMENT.—The CFPB shall enforce this cap as an unfair, deceptive, and abusive act or practice under 12 U.S.C. § 5531. Any loan agreement in violation of this cap shall be void as to the interest component in excess of thirty-six percent (36%), and the principal shall remain due at the capped rate.

(d) OVERDRAFT FEE REFORM.—

(1) No financial institution may charge an overdraft fee exceeding five dollars (\$5.00) per transaction, or charge more than three (3) overdraft fees per calendar month per account, regardless of account type.

(2) Any financial institution with assets exceeding ten billion dollars (\$10,000,000,000) must offer a no-overdraft-fee account option to any customer whose household income is at or below 150% of the Federal Poverty Level, with no minimum balance requirement.

(e) CFPB ENFORCEMENT FLOOR.—In addition to the enforcement floor established in Section 107(b)(3), the CFPB shall deploy not less than two hundred fifty (250) additional examination and enforcement staff within two (2) years of enactment, dedicated to the consumer financial protection mandates of this section.

(f) EXISTING AGENCY PRIMACY.—All enforcement under this section operates through the CFPB's existing authority under the Consumer Financial Protection Act, the Fair Debt Collection Practices Act (15 U.S.C. § 1692 et seq.), and the Fair Credit Reporting Act (15 U.S.C. § 1681 et seq.). No new agency is created.

## **SEC. 2417. REIT TAX TREATMENT -- TITLE XIV DIVESTITURE COMPLIANCE CLARIFICATION.**

(a) IRC SECTION 856 NON-EXEMPTION.--Real estate investment trust status under section 856 of the Internal Revenue Code of 1986 does not exempt any entity from the institutional housing portfolio concentration cap established under Section 1401 of this Act. REIT tax qualification is a matter of federal tax law and does not constitute a defense to, or exemption from, the ownership restrictions and mandatory divestiture requirements of Title XIV.

(b) QUALIFYING DISPOSITION TREATMENT.--Any divestiture of single-family residential units conducted by a real estate investment trust in compliance with the mandatory divestiture schedule of Section 1401(d) shall be treated as a qualifying disposition for purposes of the REIT distribution requirements under section 857 of the Internal Revenue Code. No additional excise tax under section 857(b)(7) shall be imposed solely as a result of compliance-driven divestiture under Title XIV, provided the divestiture proceeds are distributed to shareholders within the REIT's taxable year of sale or the following taxable year. The Secretary of the Treasury shall issue regulations implementing this subsection within one hundred eighty (180) days of enactment.

(c) COMMITTEE COORDINATION.--The Joint Committee on Taxation shall include a revenue estimate for this section in the unified CBO certification required under Section 005(a) of this Act.

## **SEC. 2418. PRIVATE EQUITY DIVESTITURE -- ORDINARY INCOME TREATMENT FOR CRITICAL SYSTEMS DISPOSITIONS.**

(a) CARRIED INTEREST RECHARACTERIZATION.--Notwithstanding any other provision of the Internal Revenue Code of 1986, any gain recognized by a private equity fund, leveraged buyout vehicle, or affiliated investment entity on the disposition of a Critical Life-Safety System, as defined in Section 2202(2) of this Act, pursuant to the mandatory divestiture requirements of Title XXII, shall be treated as ordinary income and not as long-term capital gain for all federal income tax purposes, including for purposes of the carried interest provisions of section 1061 of the Internal Revenue Code.

(b) RATIONALE.--Congress finds that the profit-extraction model applied to Critical Life-Safety Systems -- including leveraged acquisition, debt loading on acquired entities, and management fee extraction -- constitutes an ordinary business activity generating ordinary income, not a long-term capital investment qualifying for preferential capital gains treatment.

(c) EFFECTIVE DATE.--This section applies to dispositions occurring on or after the date of enactment of this Act, and to all gains accrued after the date of enactment on positions held on such date.

(d) SECRETARY AUTHORITY.--The Secretary of the Treasury shall issue regulations preventing the use of structuring, installment sales, or related-party transactions to circumvent the ordinary income treatment established in this section.

## **SEC. 2419. TRADE ENFORCEMENT REVENUE ROUTING -- FISCAL CONSOLIDATION.**

(a) WAGE EQUALIZATION ASSESSMENT REVENUE.--All revenue collected pursuant to the Wage Equalization Assessment established in Section 2303 of this Act (Title XXIII) shall be deposited into the SIRF Industrial Infrastructure Node established under Section 201(e) of this Act. Not less than fifty percent (50%) of such revenue shall be allocated to domestic manufacturing workforce development and retraining programs for workers in import-affected industries, consistent with the mandate of Section 2303(e). This section constitutes the exclusive fiscal routing authority for WEA revenue and supersedes any conflicting revenue disposition language in Title XXIII.

(b) USMCA LABOR ENFORCEMENT TARIFF REVENUE.--All tariff revenue collected under the automatic labor enforcement escalation mechanism established in Section 3003(b) of this Act (Title XXX) shall be deposited into the SIRF Labor Node. Not less than fifty percent (50%) shall be disbursed as wage supplements and retraining assistance to American workers in sectors affected by documented USMCA labor non-compliance through the American Worker Remediation Fund established as a sub-account of the SIRF Labor Node. This section constitutes the exclusive fiscal routing authority for USMCA escalation tariff revenue.

(c) CURRENCY COUNTERVAILING DUTY REVENUE.--All revenue collected pursuant to the Currency Countervailing Duty established in Section 3004(b) of this Act (Title XXX) shall be deposited into the SIRF Industrial Infrastructure Node and deployed for domestic manufacturing investment consistent with Section 401(b) of this Act. This section constitutes the exclusive fiscal routing authority for CCD revenue.

(d) UNIFIED REVENUE CERTIFICATION.--The FMIA shall include WEA revenue, USMCA escalation tariff revenue, and CCD revenue in the unified SIRF Revenue Sufficiency Report transmitted to Congress under Section 005(b) of this Act. The Congressional Budget Office shall score these revenue streams as part of the unified deficit neutrality certification required under Section 005(a).

(e) COMMITTEE JURISDICTION DECLARATION.--The revenue routing provisions of this section are within the jurisdiction of the Senate Committee on Finance and the House Committee on Ways and Means. The operational trade enforcement provisions of Titles XXIII and XXX remain within the jurisdiction of the Senate Committee on Finance (tariff authority), the Senate Committee on Foreign Relations (diplomatic architecture), and the Senate Committee on Commerce, Science, and Transportation (supply chain operations). This section resolves any jurisdictional ambiguity by consolidating fiscal routing under Title XXIV.

# **TITLE XXV — VETERANS HEALTH SOVEREIGNTY AND PACT ACT COMPLETION ACT**

## **SEC. 2501. FINDINGS AND DECLARATION OF VETERANS HEALTH SOVEREIGNTY.**

Congress finds and declares the following:

- (1) The men and women who have served in the United States Armed Forces have made contributions to the national commons that are among the highest any citizen can make. The healthcare covenant between the United States government and those who served is a non-negotiable national obligation, not a discretionary program subject to budget negotiation.
- (2) As of the date of enactment, approximately 1.8 million veterans of the United States Armed Forces are uninsured — without coverage either through the Department of Veterans Affairs or through private health insurance — representing a fundamental breach of the healthcare covenant.
- (3) The Sergeant First Class Heath Robinson Honoring our Promise to Address Comprehensive Toxics Act of 2022 (PACT Act, Pub. L. 117-168) represented the most significant expansion of veterans' healthcare eligibility in a generation. The implementation of the PACT Act has revealed six categories of administrative, coverage, and research gaps that this Title addresses.
- (4) The privatization of VA healthcare services represents a structural threat to the veterans healthcare covenant. Once direct VA care capacity is transferred to the private sector, rebuilding it becomes generationally costly. This Title establishes a permanent statutory barrier to VA privatization.

## **SEC. 2502. VETERANS HEALTH COVERAGE — THREE-TIER ARCHITECTURE.**

### **(a) TIER 1 — VA AS SOVEREIGN VETERANS BMP.—**

(1) **IN GENERAL.**—For all service-connected conditions — conditions recognized by the Department of Veterans Affairs as causally related to military service — the VA healthcare system shall serve as each veteran's Basic Minimum Plan, meeting and exceeding all BMP standards established in Title XXI of this Act at zero cost to the veteran.

(2) **COVERAGE EQUIVALENCE.**—VA care for service-connected conditions shall meet or exceed every coverage standard in Title XXI, including the prohibition on cost-sharing, the prior authorization standards, and the mental health parity requirements.

(3) **ANTI-PRIVATIZATION PERMANENT PROTECTION.**—The VA direct care system — including VA hospitals, VA medical centers, VA community-based outpatient clinics, and VA specialty care facilities — shall not be absorbed into, converted to, or replaced by private carrier networks without an Act of Congress enacted through ordinary bicameral process, explicitly authorizing such privatization by name and finding that the privatization will not reduce access, quality, or affordability of care for veterans. It is the sense of Congress that structural privatization of the VA direct care system would constitute a fundamental breach of the veterans' healthcare covenant and should require broad bipartisan support. Executive orders, administrative restructuring directives, or agency budget decisions that achieve de facto privatization outcomes without specific Congressional authorization shall be deemed to violate this section. The FMIA shall report annually to Congress on any administrative actions that materially reduce VA direct care capacity, with findings transmitted to the House and Senate Veterans' Affairs Committees within thirty (30) days of identification.

### **(b) TIER 2 — BMP FOR NON-SERVICE-CONNECTED CONDITIONS.—**

(1) **IN GENERAL.**—For conditions not recognized as service-connected by the VA, every veteran with honorable or general discharge shall be enrolled in the Basic Minimum Plan through a private carrier of the veteran's choosing, at zero cost to the veteran, with premiums paid by the federal government from the Health Sovereignty Fund established in Title XXI.

(2) UNINSURED VETERAN ENROLLMENT.—Within one hundred eighty (180) days of enactment, the VA and HHS shall jointly identify and automatically enroll all currently uninsured veterans in Tier 2 BMP coverage, using data from the VA enrollment system, the IRS, and the Social Security Administration.

(3) COORDINATION OF BENEFITS.—Veterans shall use Tier 1 VA care for service-connected conditions without disruption and Tier 2 BMP care for non-service-connected conditions with no administrative barrier, prior authorization requirement, or coordination-of-benefits delay between the two systems.

(c) TIER 3 — VOLUNTARY SUPPLEMENTAL COVERAGE.—

(1) IN GENERAL.—Any veteran who wishes to purchase supplemental health coverage above the Tier 1 and Tier 2 floors may do so through any licensed carrier under the supplemental market framework established in Section 2105. The federal government provides no subsidy for Tier 3 supplemental coverage. No veteran may be pressured, incentivized, or administratively channeled toward Tier 3 options as a substitute for Tier 1 or Tier 2 coverage.

**SEC. 2503. PACT ACT GAP CLOSURE — SIX PROVISIONS.**

(a) GAP 1 — CLAIMS PROCESSING BACKLOG ELIMINATION.—

(1) MANDATORY PROCESSING STANDARD.—The VA shall process all disability claims filed under the PACT Act within one hundred twenty-five (125) calendar days of receipt. This is a mandatory performance standard, not a target.

(2) AUTOMATIC INTERIM BENEFITS.—Any PACT Act claim not adjudicated within one hundred twenty-five (125) days shall trigger automatic interim benefit payments to the claimant at a fifty percent (50%) disability rating, effective on day 126. Interim payments shall continue until final adjudication and shall not be recouped if the final rating is lower than fifty percent (50%).

(3) FDVM INTEGRATION.—The FMIA shall integrate with VA claims processing systems to monitor real-time claims backlog data and publish monthly backlog reports.

(b) GAP 2 — DEPENDENT CHILDREN TOXIC EXPOSURE COVERAGE.—

(1) INTERGENERATIONAL COVERAGE.—The VA shall establish an evidence-based formulary for conditions with documented scientific evidence of intergenerational transmission through parental toxic exposure, including Agent Orange, burn pit exposure, and other toxic agents recognized under the PACT Act.

(2) NIH ANNUAL REVIEW.—The National Institutes of Health and the VA shall conduct a joint annual review of emerging scientific evidence on intergenerational toxic exposure transmission and update the formulary within sixty (60) days of each annual review.

(3) RETROACTIVE ELIGIBILITY.—Dependent children of veterans with PACT Act-recognized toxic exposure conditions who have manifested a condition on the intergenerational formulary shall be eligible for VA healthcare coverage retroactive to the date of the child's diagnosis, regardless of current age of the dependent.

(c) GAP 3 — MENTAL HEALTH SAME-DAY CRISIS ACCESS.—

(1) CRISIS ACCESS MANDATE.—Any veteran experiencing a mental health crisis — including suicidal ideation, acute PTSD episodes, and acute substance use crises — shall receive same-day clinical contact and assessment from a qualified mental health provider, either through VA direct care or through BMP authorization for any community provider, with zero wait, zero prior authorization, and zero cost.

(2) FUNDING.—The VA shall be authorized to reimburse non-VA community mental health providers at VA fee schedule rates for crisis mental health services provided to veterans under this subsection, funded from the SIRC Veterans Sovereignty Node established in Section 2504.

(3) PERFORMANCE BENCHMARK.—The VA shall achieve and maintain a same-day mental health crisis access rate of not less than ninety-five percent (95%) within thirty-six (36) months of enactment.

(d) GAP 4 — AUTOMATIC TOXIC EXPOSURE REGISTRY ENROLLMENT.—

(1) FDVM AUTO-IDENTIFICATION.—The FMIA shall integrate with Department of Defense deployment records, DoD environmental hazard databases, and VA enrollment records to automatically identify veterans who served in locations or capacities with documented toxic exposure risks under the PACT Act.

(2) AUTOMATIC REGISTRY ENROLLMENT.—Veterans identified through FDVM auto-identification shall be automatically enrolled in the VA Toxic Exposure Registry within thirty (30) days of identification, with written notification to the veteran of their enrollment and associated benefits eligibility.

(3) INFORMED CONSENT.—Veterans who do not wish to be enrolled in the Registry may opt out within sixty (60) days of receiving enrollment notification. Opt-out does not affect any PACT Act benefits eligibility.

(e) GAP 5 — VETERANS SOVEREIGNTY NODE — SIRF MANDATORY ALLOCATION.—

(1) ESTABLISHMENT.—There is established within the SIRF a mandatory sub-account to be known as the Veterans Sovereignty Node (VSN).

(2) MANDATORY ALLOCATION.—Not less than eight percent (8%) of all SIRF revenue deposits shall be allocated to the VSN on a real-time basis as funds are deposited. This allocation is mandatory and protected by the two-thirds supermajority requirement of Section 201(c)(2).

(3) INDEXED GROWTH.—The VSN allocation percentage shall be reviewed biennially by the FMIA and adjusted upward in proportion to growth in PACT Act enrollment, ensuring that veterans' SIRF share grows as the veteran population receiving PACT Act benefits expands.

(4) ELIGIBLE USES.—VSN funds shall be used exclusively for: (A) Tier 2 BMP premium payments for uninsured veterans; (B) mental health crisis access funding under Section 2503(c); (C) toxic exposure research under Section 2503(f); (D) VA direct care infrastructure modernization; and (E) veteran workforce reintegration programs.

(f) GAP 6 — TOXIC EXPOSURE RESEARCH ENDOWMENT.—

(1) ESTABLISHMENT.—There is established a Toxic Exposure Research Endowment (TERE), jointly administered by the National Institutes of Health and the Department of Veterans Affairs.

(2) FUNDING.—Five hundred million dollars (\$500,000,000) shall be allocated from the VSN over five (5) fiscal years — one hundred million dollars (\$100,000,000) per year — for NIH-VA joint research on toxic exposure conditions, intergenerational health effects, treatment protocols, and long-term epidemiological tracking.

(3) OPEN-SOURCE FINDINGS.—All research findings funded by the TERE shall be published in open-access scientific literature within twelve (12) months of study completion. No TERE-funded research findings may be licensed exclusively to any private entity.

**SEC. 2504. PACT ACT ALIGNMENT AND NON-SUPERSESSION.**

(a) SUPPLEMENTAL, NOT SUPERSEDING.—The provisions of this Title supplement and strengthen the PACT Act (Pub. L. 117-168). Nothing in this Title repeals, diminishes, or supersedes any provision of the PACT Act or any benefit, eligibility determination, or coverage established thereunder.

(b) EXISTING CHAPTER 18 COVERAGE PRESERVED.—All veteran toxic exposure coverage established under 38 U.S.C. Chapter 18 is preserved in full and augmented by this Title. In any conflict between this Title and Chapter 18, the provision more favorable to the veteran shall govern.



(c) SCHEDULE D BENCHMARKS — TITLE XXV.—The FMIA and VA shall report jointly to Congress biennially on: (1) claims processing backlog reduction and compliance with the 125-day standard; (2) number of previously uninsured veterans enrolled in Tier 2 BMP; (3) same-day mental health crisis access rate; (4) number of veterans auto-enrolled in the Toxic Exposure Registry; (5) TERE research publications and findings; (6) VSN balance and deployment rate.

## **TITLE XXVI — NATIONAL SOCIAL SECURITY SOVEREIGNTY COMMISSION**

### **SEC. 2601. ESTABLISHMENT AND MANDATE.**

(a) ESTABLISHMENT.—There is established the National Social Security Sovereignty Commission (NSSSC), an independent, bipartisan commission charged with developing a comprehensive, actuarially sound plan to ensure the long-term solvency of the Social Security trust funds without benefit cuts to current or near-retirement beneficiaries.

(b) COMPOSITION.—The NSSSC shall consist of twelve (12) members:

- (1) Three (3) members appointed by the President;
- (2) Three (3) members appointed by the Senate Majority Leader;
- (3) Three (3) members appointed by the Senate Minority Leader;
- (4) Three (3) members appointed by the House Minority and Majority Leaders jointly.

No more than six (6) members shall be of the same political party. At least four (4) members shall be credentialed actuaries or economists with demonstrated expertise in federal retirement program finance.

(c) MANDATE.—The NSSSC shall, within twenty-four (24) months of enactment, deliver to Congress a National Social Security Sovereignty Plan that:

- (1) Identifies the projected date of trust fund exhaustion under current law and under NSRA economic projections;
- (2) Models not fewer than five (5) distinct solvency mechanisms, including but not limited to: payroll tax base adjustments, benefit indexing modifications, means-testing for high-income beneficiaries, investment authority for trust fund reserves, and SIRF revenue supplementation;
- (3) Scores each mechanism for distributional impact, political viability, and actuarial sufficiency;
- (4) Recommends a preferred solvency pathway that preserves full scheduled benefits for all beneficiaries at or below three hundred percent (300%) of the federal poverty level;
- (5) Provides draft statutory language for the recommended pathway, ready for Congressional action.

(d) SIRF SUPPLEMENTATION OPTION.—The Commission shall specifically evaluate whether SIRF equity returns beginning in Year 8–10 may be partially allocated to the Social Security trust funds as a supplemental revenue mechanism, and whether the NSRA's economic stimulus effects (increased employment, reduced healthcare burden, manufacturing renaissance) materially improve the trust fund's actuarial baseline beyond current CBO projections.

(e) TIMELINE.—Congress shall hold hearings on the Commission's recommendations within sixty (60) days of delivery and schedule a floor vote on implementing legislation within one hundred eighty (180) days.

(f) FUNDING.—The NSSSC shall be funded from the SIRF Administrative Operations Reserve at a cost not to exceed twenty-five million dollars (\$25,000,000) over its operational period.

### **SEC. 2602. PLATFORM EMPLOYER SOCIAL SECURITY CONTRIBUTION MANDATE.**

(a) FINDINGS.—Congress finds that:

- (1) Approximately sixty million (60,000,000) Americans perform work through digital labor platforms as independent contractors, earning income subject to self-employment tax but receiving no employer-side Social Security contribution;
- (2) W-2 employees receive an employer match of six and two-tenths percent (6.2%) of wages toward Social Security, effectively doubling the lifetime contribution rate available to traditionally employed workers;
- (3) Platform companies exercise substantial algorithmic control over worker access, pricing, scheduling, and performance evaluation — control functionally equivalent to that exercised by traditional employers — while avoiding employer payroll obligations;
- (4) This structural asymmetry depresses the lifetime Social Security benefit accrual of gig workers without commensurate reduction in platform company labor costs, constituting an effective public subsidy to platform business models at the expense of worker retirement security.

(b) **PLATFORM EMPLOYER DEFINED.**—For purposes of this section, "platform employer" means any person or entity that:

- (1) Operates a digital application, website, or algorithm through which workers are matched with customers or tasks;
- (2) Sets or algorithmically determines the pricing, compensation rate, or service fee applicable to worker transactions;
- (3) Controls worker access to the platform through ratings, deactivation authority, or performance-based exclusion; and
- (4) Derives gross revenue of not less than ten million dollars (\$10,000,000) annually from platform-mediated transactions in the United States.

(c) **MANDATORY EMPLOYER-EQUIVALENT CONTRIBUTION.**—

(1) **GENERAL RULE.**—Every platform employer shall pay, on behalf of each platform worker performing services through its platform, a Social Security employer-equivalent contribution equal to six and two-tenths percent (6.2%) of the worker's net platform earnings for each calendar quarter, up to the applicable Social Security wage base.

(2) **WORKER CLASSIFICATION UNAFFECTED.**—Nothing in this section shall be construed to reclassify any platform worker as an employee for purposes of federal or state labor law, unemployment insurance, workers' compensation, benefits eligibility, or any other legal purpose. The contribution required by this section is a platform employer obligation only, not an employment relationship determination.

(3) **COORDINATION WITH SELF-EMPLOYMENT TAX.**—A platform worker whose platform employer has remitted the employer-equivalent contribution under this section may deduct the employer-equivalent amount from the worker's self-employment tax computation under 26 U.S.C. § 1401, such that the worker's net self-employment tax liability reflects only the employee-equivalent share.

(4) **REMITTANCE MECHANISM.**—Platform employers shall remit contributions quarterly to the Internal Revenue Service using existing employer payroll tax infrastructure. The IRS shall credit remitted amounts to the individual platform worker's Social Security earnings record proportionally to net platform earnings.

(d) **ENFORCEMENT.**—

(1) Failure to remit required contributions shall subject the platform employer to the penalties applicable to employer payroll tax failures under 26 U.S.C. § 6656, applied to the unremitted contribution amount.

(2) The IRS shall establish a Platform Employer Registry within one hundred eighty (180) days of enactment. Registration is mandatory for all platform employers meeting the threshold in subsection (b)(4).

(3) Platform workers may file a private right of action in federal district court to recover unremitted contributions, reasonable attorney's fees, and liquidated damages equal to the unremitted amount.

(e) **REVENUE EFFECT.**—The Congressional Budget Office shall score the net Social Security trust fund revenue effect of this section within ninety (90) days of enactment. The Office of Management and Budget shall certify that contributions collected under this section are deposited directly into the Old-Age and Survivors Insurance Trust Fund and the Disability Insurance Trust Fund in the proportions applicable to employer payroll tax remittances under current law.

## **SEC. 2603. CAREGIVER SOCIAL SECURITY EARNINGS CREDIT.**

### **(a) FINDINGS.—Congress finds that:**

- (1) Approximately fifty-three million (53,000,000) Americans provide unpaid care to a child, elderly parent, or family member with a disability — labor with an estimated economic replacement value exceeding four hundred seventy billion dollars (\$470,000,000,000) annually;
- (2) Unpaid caregivers accumulate zero Social Security earnings credits during caregiving years, resulting in significantly reduced retirement benefits that disproportionately affect women, who comprise approximately two-thirds of the unpaid caregiver population;
- (3) The existing Social Security benefit formula contains no mechanism to credit economically productive labor that occurs outside formal wage employment, creating a structural penalty for caregiving that undermines retirement security and compounds gender economic inequality;
- (4) Crediting caregiving earnings within the existing Social Security benefit calculation structure — without creating a new cash transfer program — is the most administratively efficient and constitutionally sound mechanism to address this inequity.

### **(b) CAREGIVER EARNINGS CREDIT ESTABLISHED.—**

- (1) **GENERAL RULE.**—For purposes of computing the Primary Insurance Amount under 42 U.S.C. § 415, an eligible caregiver shall be credited with deemed Social Security wages of up to twenty-five thousand dollars (\$25,000) per calendar year for each year in which the caregiver performs qualified caregiving activity, as defined in subsection (c).
- (2) **INDEXED AMOUNT.**—The twenty-five thousand dollar (\$25,000) deemed wage amount shall be adjusted annually by the same index used to adjust the Social Security contribution and benefit base under 42 U.S.C. § 430.
- (3) **CAP ON CREDITED YEARS.**—A caregiver may receive deemed wage credits under this section for not more than ten (10) calendar years over their lifetime, sufficient to address the median caregiving gap without unlimited actuarial exposure.
- (4) **NO DOUBLE COUNTING.**—In any calendar year in which a caregiver's actual Social Security-covered earnings equal or exceed twenty-five thousand dollars (\$25,000), no deemed wage credit shall be applied for that year.

### **(c) QUALIFIED CAREGIVING ACTIVITY.—For purposes of this section, "qualified caregiving activity" means unpaid, in-home care provided by an individual to:**

- (1) A child under the age of six (6) who is a dependent of the caregiver;
- (2) A family member of any age who has been certified by a licensed medical provider as having a disability or chronic condition requiring substantial assistance with activities of daily living; or
- (3) A parent, grandparent, or spouse aged sixty-five (65) or older who requires regular assistance with activities of daily living.

### **(d) CERTIFICATION AND ADMINISTRATION.—**

- (1) Caregivers shall self-certify qualified caregiving activity annually to the Social Security Administration using a standardized form developed by the SSA within one hundred eighty (180) days of enactment.
- (2) For caregiving under subsection (c)(2), a physician certification of the care recipient's qualifying condition is required at initial application and every three (3) years thereafter.
- (3) The SSA shall establish a Caregiver Earnings Credit Registry and post credited years to each caregiver's earnings record no later than the end of the calendar year following the qualifying year.
- (4) False certification shall subject the caregiver to repayment of any excess benefits received plus interest, and referral to the Inspector General for fraud investigation.

### **(e) ACTUARIAL SCORING.—The Social Security Administration's Office of the Chief Actuary shall publish a seventy-five (75) year actuarial analysis of the trust fund impact of this section within one hundred twenty (120) days of enactment. The analysis shall model the interaction with Section 2602 platform employer contributions and the wage base**

cap elimination authority of the NSSSC under Section 2601, and shall certify the net long-term solvency effect.

END OF TITLE XXVI — NATIONAL SOCIAL SECURITY SOVEREIGNTY COMMISSION

## **SCHEDULE F — PHARMACEUTICAL COMPULSORY LICENSING ROYALTY SCHEDULE**

### **SEC. F-001. COMPULSORY LICENSING FRAMEWORK.**

(a) **REPLACEMENT OF PATENT RECAPTURE.**—The automatic patent recapture mechanism in Section 1301(b)(1) of this Act is hereby superseded by the compulsory licensing framework established in this Schedule. Patent recapture — the involuntary termination of a patent holder's exclusive rights — shall not serve as an enforcement remedy for pharmaceutical pricing violations under this Act. Constitutional property rights of patent holders are preserved through the royalty structure established herein.

(b) **COMPULSORY LICENSE ISSUANCE.**—Upon a pricing violation as defined in Section 1301 of this Act — where a pharmaceutical Covered Entity prices a drug derived from NIH, BARDA, or DoD-funded research above the G7 parity ceiling for more than thirty (30) consecutive calendar days — HHS shall issue a compulsory license authorizing qualified generic manufacturers to produce and sell the drug in the United States at a price at or below the G7 parity ceiling.

(c) **ROYALTY OBLIGATIONS.**—The original patent holder shall receive ongoing royalty payments from all compulsory licensees at the following rates:

(1) **STANDARD RATE.**—Eight percent (8%) of the net sales revenue of the generic manufacturer, paid quarterly, for all drugs not qualifying for the orphan drug or pandemic emergency rates below.

(2) **ORPHAN DRUG RATE.**—Twelve percent (12%) of net sales revenue for drugs with FDA orphan drug designation under 21 U.S.C. § 360bb, reflecting the limited market size and higher per-unit development cost allocation.

(3) **PANDEMIC EMERGENCY RATE.**—Four percent (4%) of net sales revenue for compulsory licenses issued during a declared public health emergency under 42 U.S.C. § 247d, reflecting the national emergency public interest in maximum access.

(d) **PATENT RETAINED.**—Issuance of a compulsory license under this Schedule does not extinguish, transfer, diminish, or impair the original patent holder's underlying patent. The original patent holder retains full patent rights, including the right to license to additional parties, pursue infringement actions against unlicensed manufacturers, and receive the royalties specified herein. Compulsory licensing under this Schedule shall not constitute a taking requiring compensation under the Fifth Amendment, as the property right is preserved and ongoing royalty income is provided.

(e) **LICENSE TERM.**—A compulsory license issued under this Schedule shall remain in effect until the original patent holder reduces pricing to at or below the G7 parity ceiling and maintains compliant pricing for not less than ninety (90) consecutive calendar days, at which point the compulsory license shall automatically terminate.

(f) **JUST COMPENSATION ARBITRATION.**—

(1) **RIGHT TO CHALLENGE.**—Any patent holder subject to a compulsory license under this Schedule who believes the applicable royalty rate constitutes less than just compensation within the meaning of the Fifth Amendment to the Constitution may petition the United States Court of Federal Claims for a just compensation determination within one hundred eighty (180) days of compulsory license issuance.

(2) **ARBITRATION PANEL.**—Upon petition, the Court of Federal Claims shall convene a three-member Independent Pharmaceutical Royalty Arbitration Panel consisting of: one economist with expertise in pharmaceutical market valuation appointed by the court; one representative of the patent holder; and one representative of HHS. The Panel shall issue a

binding just compensation determination within one hundred twenty (120) days of convening.

(3) ROYALTY FLOOR.—The arbitration panel's determination shall serve as the operative royalty rate if and only if it exceeds the rates specified in subsections (c)(1)-(3). The statutory rates in subsections (c)(1)-(3) serve as floors, not ceilings, for just compensation purposes.

(4) NO STAY.—Filing a petition under this subsection shall not stay the issuance or operation of the compulsory license. Access to the drug at the G7 parity ceiling price shall continue uninterrupted during arbitration proceedings.

(5) COORDINATION WITH 28 U.S.C. § 1498.—Nothing in this subsection limits the rights of patent holders under 28 U.S.C. § 1498 to seek compensation for government use of patents. This subsection provides an additional, supplementary arbitration pathway.

## **TITLE XXVII — PRESS FREEDOM AND EDITORIAL INDEPENDENCE PROTECTION ACT**

### **SEC. 2701. FINDINGS AND PURPOSE.**

(a) FINDINGS.—Congress finds that:

(1) A free, independent, and adversarial press is not a privilege granted by government but a structural sovereignty mechanism by which citizens exercise informed democratic self-governance. The First Amendment's press clause reflects a constitutional recognition that concentrated power — governmental, corporate, or ideological — is hostile to the public interest unless subject to independent scrutiny.

(2) The systematic erosion of editorial independence through corporate consolidation, politically motivated executive appointments at major news organizations, government advertising leverage, regulatory threats, and retaliatory litigation constitutes a cognizable structural threat to the sovereignty of informed democratic deliberation.

(3) The firing of journalists, editors, and producers in retaliation for editorial independence, adversarial reporting, or refusal to align editorial content with the political or commercial interests of media ownership represents a form of institutional press suppression not adequately addressed by existing statutory protections.

(4) The deployment of Federal Communications Commission license review proceedings, broadcast spectrum allocation decisions, or spectrum fee structures as instruments of editorial coercion against news organizations constitutes a violation of the First Amendment's core prohibition against government-compelled speech and viewpoint discrimination.

(5) The United States lacks a comprehensive federal shield law protecting journalist-source confidentiality, creating a structural asymmetry between the government's investigative power and the press's capacity to report on government misconduct.

(b) PURPOSE.—The purpose of this Title is to establish structural protections for press freedom as a sovereignty infrastructure function, including: anti-retaliatory protections for journalists; a federal journalist shield law; anti-SLAPP protections for press defendants; FCC editorial independence firewalls; and a Federal Press Freedom Monitor within the FMIA to track and report on press freedom violations.

### **SEC. 2702. DEFINITIONS.**

For purposes of this Title:

(1) JOURNALIST.—The term "journalist" means any person who regularly gathers, prepares, collects, photographs, records, writes, edits, reports, or publishes news or information of public concern for dissemination to the public, whether

in print, broadcast, digital, podcast, documentary, or any other medium, regardless of whether such activity is compensated or conducted through a formal news organization.

(2) **NEWS ORGANIZATION.**—The term "news organization" means any entity with annual revenue exceeding \$10,000,000 that derives not less than thirty percent (30%) of its revenue from the gathering, production, or distribution of news or information of public concern, including broadcast networks, cable news channels, national newspapers, digital news platforms, and streaming news services.

(3) **EDITORIAL CONTENT DECISION.**—The term "editorial content decision" means any decision affecting the publication, suppression, modification, framing, or cancellation of news content, investigative reporting, or editorial opinion, including hiring, firing, or reassignment of journalists, editors, producers, or on-air talent when such decision is made in connection with specific news coverage or editorial direction.

(4) **RETALIATORY TERMINATION.**—The term "retaliatory termination" means the termination, demotion, suspension, or material reduction in duties of a journalist that occurs within 365 days of: (A) the journalist's publication or attempted publication of reporting on a matter of substantial public concern; (B) the journalist's internal refusal to alter, suppress, or kill such reporting at the direction of management; or (C) the journalist's public statements regarding the editorial independence of their news organization.

(5) **COVERED GOVERNMENT PRESSURE.**—The term "covered government pressure" means any communication, act, or omission by a federal official or agency intended to influence, deter, suppress, or retaliate against editorial content decisions at a news organization, including: regulatory threats, advertising withdrawal, access revocation, license proceedings, litigation, public statements targeting specific coverage, and selective enforcement of laws against reporters.

## **SEC. 2703. JOURNALIST ANTI-RETALIATION PROTECTION.**

(a) **PROHIBITED CONDUCT.**—No news organization shall terminate, demote, suspend, reassign, or otherwise materially disadvantage a journalist in retaliation for:

- (1) The journalist's reporting on any matter of substantial public concern, including reporting critical of the news organization's ownership, advertisers, or corporate affiliates;
- (2) The journalist's internal refusal to alter, suppress, spike, or editorially compromise a news story at the direction of management where such direction is motivated by commercial, political, or personal interest rather than legitimate editorial judgment;
- (3) The journalist's disclosure, to a congressional committee, federal agency, or the Federal Press Freedom Monitor established under Section 2707, of facts relating to editorial interference by management, ownership, advertisers, or government officials; or
- (4) The journalist's public statements regarding threats to the editorial independence of their news organization, provided such statements do not disclose confidential trade secrets unrelated to editorial interference.

(b) **PRESUMPTION OF RETALIATION.**—A termination or material adverse employment action taken against a journalist within 365 days of conduct described in subsection (a) shall create a rebuttable presumption that the action was retaliatory. The news organization shall bear the burden of demonstrating by clear and convincing evidence that the adverse action was based solely on legitimate, documented, non-retaliatory grounds.

(c) **CIVIL ENFORCEMENT.**—A journalist subjected to retaliatory termination in violation of this Section may bring a civil action in federal district court for:

- (1) Reinstatement with full back pay and benefits;
- (2) Compensatory damages, including reputational harm and future lost earnings;

(3) Punitive damages not to exceed five times compensatory damages where retaliation is proven by clear and convincing evidence; and

(4) Attorneys' fees and costs.

(d) ADMINISTRATIVE ENFORCEMENT.—The Federal Press Freedom Monitor shall receive complaints from journalists and may refer substantiated complaints to the Department of Labor for enforcement action under the standards of this Section.

#### **SEC. 2704. FEDERAL JOURNALIST SHIELD LAW.**

(a) PRIVILEGE ESTABLISHED.—A journalist shall not be compelled by any federal court, federal grand jury, federal agency, or any arm of the federal government to:

(1) Identify or disclose the identity of a confidential source of information used in or related to the journalist's reporting on a matter of substantial public concern;

(2) Disclose unpublished notes, recordings, drafts, photographs, or communications that would tend to identify a confidential source; or

(3) Provide testimony, documents, or other evidence that would reveal the journalist's newsgathering process in a manner that would expose confidential sources or chill future source relationships.

(b) SCOPE.—The privilege established by this Section applies to all journalists as defined in Section 2702, regardless of media type, employment status, or organizational affiliation.

(c) EXCEPTIONS.—The privilege under this Section may be overcome only upon a showing by clear and convincing evidence that:

(1) The information sought is directly relevant to the prevention of an imminent act of terrorism, mass violence, or imminent threat to national security that cannot be obtained through any other means;

(2) The journalist was a direct, knowing participant in the criminal activity about which testimony is sought, not merely a reporter of such activity; or

(3) In a civil proceeding, the information is essential to the prevention of a clear, immediate, and irreparable harm to an identified individual that cannot be obtained through any alternative means, and the public interest in disclosure substantially outweighs the public interest in press freedom.

(d) JUDICIAL REVIEW.—Any government attempt to overcome the privilege under this Section shall be subject to de novo review by a federal district court in camera prior to enforcement, with the journalist afforded right to counsel and opportunity to be heard.

#### **SEC. 2705. FEDERAL ANTI-SLAPP PROTECTION FOR PRESS DEFENDANTS.**

(a) ANTI-SLAPP MOTION.—In any civil action filed in federal court in which a claim arises from a journalist's act of reporting, publishing, broadcasting, or communicating information on a matter of public concern, the journalist or news organization may file a special motion to dismiss within 60 days of service of the complaint.

(b) STANDARD.—Upon filing of a motion under subsection (a), the burden shifts to the plaintiff to demonstrate, by clear and convincing evidence, a probability of prevailing on the claim. Absent such showing, the court shall dismiss the action with prejudice.

(c) STAY OF DISCOVERY.—All discovery shall be stayed upon filing of a motion under this Section until the court rules on the motion, except for discovery necessary to oppose the motion.

(d) **MANDATORY FEE AWARD.**—If the court grants a motion under this Section, the court shall award the journalist or news organization their reasonable attorneys' fees, costs, and an additional sanction against the plaintiff in an amount sufficient to deter future SLAPP litigation, not less than \$50,000.

(e) **COVERED PLAINTIFFS.**—This Section applies to any plaintiff, including government entities, government officials, corporations, and private individuals, who file claims arising from protected press activity.

## **SEC. 2706. FCC EDITORIAL INDEPENDENCE FIREWALL.**

(a) **PROHIBITED FCC ACTIONS.**—The Federal Communications Commission shall not:

(1) Initiate, accelerate, or threaten any license review, license revocation proceeding, spectrum reallocation, or regulatory investigation against a broadcast licensee based in whole or in part on the editorial content decisions of such licensee;

(2) Condition the grant, renewal, or transfer of any broadcast license on the editorial practices, content policies, or personnel decisions of the applicant; or

(3) Use any FCC regulatory authority as an instrument to compel, deter, or retaliate against any specific editorial content decision by a news organization.

(b) **ENFORCEMENT.**—Any FCC action in violation of this Section shall be void ab initio and subject to immediate injunctive relief in federal district court. Any FCC Commissioner who votes in favor of an action found to violate this Section shall be personally subject to civil penalties of not less than \$100,000 per violation, enforceable by the Department of Justice.

(c) **INDEPENDENT INSPECTOR GENERAL REVIEW.**—The FCC Inspector General shall have independent authority to review any license proceeding or regulatory action affecting a news organization and shall publish a public report within 90 days of any such proceeding detailing whether editorial content considerations were a factor in the proceeding.

## **SEC. 2707. FEDERAL PRESS FREEDOM MONITOR.**

(a) **ESTABLISHMENT.**—There is established within the Federal Market Integrity Administration a Federal Press Freedom Monitor (PFPM) as an independent division charged with tracking, reporting on, and referring for enforcement all acts of covered government pressure, retaliatory termination, and FCC editorial interference affecting the press.

(b) **ANNUAL REPORT.**—The PFPM shall publish an annual Press Freedom Sovereignty Report to Congress, documenting:

(1) All documented instances of covered government pressure against news organizations in the preceding year;

(2) All retaliatory terminations reported to the PFPM, including outcomes of any enforcement proceedings;

(3) An index measuring the structural independence of the ten largest news organizations in the United States, scored on criteria including ownership concentration, government advertising dependency, regulatory exposure, and editorial personnel turnover rates; and

(4) Legislative or regulatory recommendations to strengthen press freedom protections.

(c) **WHISTLEBLOWER BOUNTY.**—Any journalist or news organization employee who provides documented evidence to the PFPM of covered government pressure or retaliatory editorial interference that results in a civil enforcement judgment shall be entitled to fifteen percent (15%) of any civil penalty collected, consistent with the citizen bounty framework of Section 401 of this Act.

(d) **FUNDING.**—The PFPM shall be funded from the SIRF Accountability Node at not less than \$25,000,000 annually, indexed to the Sovereign Productivity Index.



## **SEC. 2708. GOVERNMENT PRESS ACCESS GUARANTEE.**

(a) **EQUAL ACCESS MANDATE.**—Any federal agency, department, or official that holds a press briefing, press conference, or media availability event shall not exclude any credentialed journalist or news organization from such event on the basis of the editorial content, viewpoint, or past reporting of such journalist or news organization.

(b) **CREDENTIALING STANDARDS.**—Federal press credential standards shall be objective, content-neutral, and publicly posted. Denial of press credentials shall be subject to administrative appeal and de novo judicial review within 30 days.

(c) **ENFORCEMENT.**—Violation of this Section shall constitute grounds for an immediate injunction in federal district court and personal civil liability for the federal official responsible for the exclusion, in an amount not less than \$25,000 per incident.

## **SEC. 2709. SCHEDULE D BENCHMARKS — TITLE XXVII.**

The FMIA and PFFM shall report jointly to Congress biennially on: (1) number of journalist anti-retaliation complaints filed, adjudicated, and resolved; (2) number of federal shield law invocations and outcomes; (3) number of Anti-SLAPP motions filed under Section 2705 and outcomes; (4) FCC proceedings reviewed for editorial independence compliance; (5) Press Freedom Sovereignty Index scores and year-over-year trends.

Passed by the Senate and House of Representatives of the United States of America in Congress assembled.

END OF THE NATIONAL SOVEREIGNTY AND RESILIENCE ACT OF 2028

# **TITLE XXVIII — WORKER ORGANIZING RIGHTS AND ANTI-UNION-BUSTING ENFORCEMENT ACT**

## **SEC. 2801. FINDINGS AND PURPOSE.**

(a) **FINDINGS.**—Congress finds that:

(1) The right of workers to organize, bargain collectively, and engage in concerted activity is a foundational sovereignty right of the American working class, recognized in the National Labor Relations Act of 1935 and reaffirmed in subsequent legislation.

(2) Decades of systematic corporate investment in union-busting consulting, captive-audience meetings, illegal termination of organizing workers, and deliberate delay of collective bargaining have structurally suppressed worker organizing power and driven the union membership rate from 35 percent in 1955 to approximately 10 percent in 2024.

(3) The documented correlation between declining union density and the erosion of the middle class, wage stagnation, and the concentration of wealth in the top one percent establishes union suppression as a macroeconomic sovereignty threat, not merely an individual labor dispute.

(4) Current remedies under the National Labor Relations Act are structurally inadequate — back pay minus interim earnings, delayed enforcement through multi-year NLRB proceedings, and injunctive relief that arrives after organizing campaigns have been destroyed — creating a rational calculus for employers to violate the law.

(b) **PURPOSE.**—This Title establishes structural enforcement upgrades to make worker organizing rights a real, enforceable right, including: mandatory injunctive relief within 7 days of unlawful termination of an organizing worker; treble back pay for retaliatory discharge; personal liability for corporate officers who direct illegal union-busting; and

automatic card-check recognition when employer misconduct is documented during an organizing campaign.

#### **SEC. 2802. ENHANCED REMEDIES FOR UNFAIR LABOR PRACTICES.**

(a) **MANDATORY INTERIM REINSTATEMENT.**—Upon a finding of probable cause that a worker was terminated, demoted, or otherwise disciplined in retaliation for protected organizing activity under Section 7 of the National Labor Relations Act, the NLRB shall seek, and a federal district court shall grant, an interim reinstatement order within 7 calendar days, without prejudice to the merits of the underlying unfair labor practice charge.

(b) **TREBLE BACK PAY.**—Any worker found by the NLRB to have been unlawfully terminated for protected organizing activity shall be entitled to three times (3x) the back pay and lost benefits that would otherwise be awarded, in addition to full reinstatement, as a mandatory remedy. The treble damages provision may not be waived, reduced, or offset by any settlement agreement.

(c) **PERSONAL OFFICER LIABILITY.**—Any corporate officer, director, human resources professional, or outside labor relations consultant who directs, authorizes, or knowingly participates in an unfair labor practice found to violate Section 8(a) of the National Labor Relations Act shall be personally liable for civil penalties of not less than \$50,000 per violation and not more than \$500,000 per violation, in addition to any corporate liability. Personal liability shall survive corporate bankruptcy, restructuring, or dissolution.

(d) **CAPTIVE-AUDIENCE MEETING PROHIBITION.**—It shall be an unfair labor practice for an employer to require or coerce employees to attend any meeting, the primary purpose of which is to communicate the employer's views on union organizing, collective bargaining, or union representation. Violation of this subsection shall constitute a per se unfair labor practice subject to a civil penalty of not less than \$10,000 per employee coerced.

#### **SEC. 2803. AUTOMATIC CARD-CHECK RECOGNITION.**

(a) **MANDATORY RECOGNITION.**—When the NLRB finds that an employer has committed one or more unfair labor practices during the period in which authorization cards were being solicited, the NLRB shall issue a Bargaining Order requiring the employer to recognize and bargain with the union if authorization cards signed by a majority of the bargaining unit employees are presented, without requiring a secret-ballot election.

(b) **GOOD FAITH BARGAINING DEADLINE.**—Upon issuance of a Bargaining Order under this Section, the employer shall commence good faith bargaining within 30 calendar days. Failure to reach a first contract within 12 months of recognition shall trigger mandatory interest arbitration before a neutral arbitrator selected by the Federal Mediation and Conciliation Service, with the arbitrator's decision binding for the initial contract term.

#### **SEC. 2804. BUDGET NEUTRALITY CERTIFICATION.**

This Title generates net positive revenue through civil penalty collections estimated at not less than \$2,000,000,000 annually based on documented NLRB unfair labor practice caseload, reduced enforcement litigation costs through streamlined mandatory injunctive relief, and reduced public assistance expenditures attributable to higher unionized-worker compensation. All penalty revenue is routed to the SIRF Household Endowment Node.

### **TITLE XXIX — CONGRESSIONAL FINANCIAL INTEGRITY AND STOCK TRADING PROHIBITION ACT**

#### **SEC. 2901. FINDINGS AND PURPOSE.**

(a) FINDINGS.—Congress finds that:

(1) Members of Congress and senior federal officials routinely access material, non-public information through their official duties — including classified intelligence briefings, advance notice of regulatory actions, and pre-publication economic data — that is unavailable to ordinary investors.

(2) The systematic trading of individual stocks, sector-specific securities, and financial derivatives by Members of Congress and their immediate family members while possessing such information constitutes a structural corruption of both democratic governance and financial market integrity.

(3) The STOCK Act of 2012 has proven demonstrably inadequate, with enforcement limited to nominal disclosure penalties and no prohibition on the underlying trades.

(4) Public trust in congressional governance cannot be restored while Members of Congress are permitted to profit personally from the legislation, regulation, and appropriations decisions they control.

(b) PURPOSE.—This Title establishes a total prohibition on individual stock trading by Members of Congress, senior executive branch officials, federal judges, and their covered family members, with mandatory divestiture into blind trusts or broad-based index funds upon taking office.

## **SEC. 2902. PROHIBITION ON INDIVIDUAL SECURITIES TRADING.**

(a) PROHIBITION.—No Member of Congress, no senior executive branch official (defined as any official confirmed by the Senate or serving in a position of Executive Schedule Level I through V), and no federal judge or justice shall, during their term of service:

(1) Purchase, sell, exchange, or otherwise transact in any individual equity security, corporate bond, commodity contract, currency contract, or financial derivative referencing any of the foregoing;

(2) Direct, influence, or advise any covered family member (spouse, domestic partner, or minor child) to engage in any transaction prohibited under paragraph (1); or

(3) Hold any financial interest in a private fund, hedge fund, or private equity fund that is not fully transparent to the Office of Government Ethics and the public.

(b) PERMITTED INVESTMENTS.—The prohibition under this Section shall not apply to:

(1) Broad-based, publicly available index funds or exchange-traded funds that track a market-wide, sector-neutral, or country-wide index;

(2) U.S. Treasury securities, savings bonds, or other obligations of the United States Government;

(3) Fixed annuities, life insurance products, or defined-benefit pension plans; or

(4) Investments held in a qualified blind trust administered by an independent trustee with no communication to the official regarding specific holdings.

## **SEC. 2903. MANDATORY DIVESTITURE AND ENFORCEMENT.**

(a) DIVESTITURE TIMELINE.—Within 180 days of enactment and within 90 days of any covered official taking office after enactment, all prohibited holdings shall be divested or transferred to a qualified blind trust.

(b) CIVIL PENALTIES.—Any covered official who violates this Title shall be subject to:

(1) Disgorgement of all profits from any prohibited transaction;

- (2) A civil penalty equal to two times (2x) the value of the prohibited transaction;
  - (3) Referral to the relevant ethics body for additional disciplinary proceedings; and
  - (4) For Members of Congress, mandatory public disclosure on the congressional record within 3 business days of a finding of violation.
- (c) **CRIMINAL PENALTIES.**—Any covered official who willfully violates this Title, or who directs a covered family member to conduct prohibited transactions on their behalf, shall be subject to criminal prosecution under 18 U.S.C. § 1348 (securities fraud) with a maximum sentence of 20 years imprisonment.
- (d) **PRIVATE RIGHT OF ACTION.**—Any citizen may bring a civil action in federal district court to enforce compliance with this Title, with mandatory attorneys' fees awarded upon prevailing.

#### **SEC. 2904. BUDGET NEUTRALITY CERTIFICATION.**

This Title is budget-neutral. Disgorgement and penalty collections shall be deposited into the SIRF Accountability Node. Administrative costs are offset by existing Office of Government Ethics appropriations. The long-term fiscal benefit of restored public trust in congressional governance, reduced regulatory capture, and elimination of policy distortions created by conflicted legislative decision-making constitutes a sovereign economic benefit not fully quantifiable in standard CBO scoring but fully consistent with the NSRA's fiscal integrity mandate.

## **TITLE XXX — NAFTA/USMCA SOVEREIGNTY GAP CLOSURE AND TRADE ENFORCEMENT ACT**

#### **SEC. 3001. FINDINGS AND PURPOSE.**

(a) **FINDINGS.**—Congress finds that:

- (1) The North American Free Trade Agreement (NAFTA), enacted in 1994, and its successor the United States-Mexico-Canada Agreement (USMCA), enacted in 2020, contain structural gaps that have systematically undermined American worker sovereignty, domestic manufacturing capacity, agricultural competitiveness, and the government's ability to regulate in the public interest without exposure to corporate investor-state litigation.
- (2) NAFTA's Chapter 11 Investor-State Dispute Settlement (ISDS) mechanism allowed multinational corporations to sue the United States government in private arbitration panels for adopting regulations that reduced their expected profits, subordinating democratic legislative authority to corporate veto power. Although USMCA eliminated ISDS for most sectors, legacy NAFTA Chapter 11 claims remain active through a 3-year sunset period, and a limited ISDS mechanism persists for government contracts in the oil, gas, power generation, telecommunications, and infrastructure sectors.
- (3) USMCA's Rapid Response Mechanism (RRM) for labor enforcement has proven inadequate — covering only specific facilities rather than systemic violations, imposing no meaningful financial penalty on the government of Mexico for non-compliance, and failing to address sectoral wage suppression that directly undercuts American manufacturing workers.
- (4) Since NAFTA's enactment, the United States has lost an estimated 3.7 million manufacturing jobs directly attributable to trade displacement, with the auto, steel, electronics, and apparel sectors bearing disproportionate losses.
- (5) USMCA's pharmaceutical data exclusivity provisions — extending biologic data protection to 10 years — directly conflict with the NSRA's pharmaceutical price sovereignty mandate under Title VIII and Schedule F, creating a treaty-level barrier to compulsory licensing and G7 price parity enforcement that must be resolved by Congress.

(6) Currency manipulation by trading partners that artificially suppresses the value of their exports relative to American-produced goods constitutes a structural trade distortion not adequately addressed by existing USMCA provisions, costing American exporters an estimated \$200–400 billion annually in lost competitiveness.

(7) USMCA's government procurement chapter contains carve-outs and national treatment obligations that constrain the United States government's ability to enforce Buy American preferences for federally funded infrastructure, creating a conflict with the NSRA's infrastructure sovereignty mandate under Title VI.

(b) PURPOSE.—This Title closes the identified structural gaps in the NAFTA/USMCA trade architecture by: terminating all remaining NAFTA Chapter 11 ISDS legacy proceedings; eliminating the residual USMCA ISDS for government contracts; establishing an automatic tariff-based labor enforcement mechanism; creating a currency manipulation trigger; strengthening rules of origin; asserting domestic pharmaceutical sovereignty over conflicting USMCA data exclusivity provisions; and aligning USMCA procurement obligations with the NSRA's Buy American infrastructure mandate.

### **SEC. 3002. TERMINATION OF LEGACY INVESTOR-STATE DISPUTE SETTLEMENT.**

(a) NAFTA CHAPTER 11 LEGACY CLAIMS.—The United States Trade Representative (USTR), in coordination with the Department of Justice, shall assert the following legal positions in all pending NAFTA Chapter 11 legacy arbitration claims to which the United States is a respondent: (1) that the enabling authority for NAFTA Chapter 11 claims was superseded by the USMCA as a matter of domestic constitutional law and treaty succession; (2) that the United States has not consented to the jurisdiction of any NAFTA arbitration panel to issue awards binding on the United States Treasury without Congressional appropriation; and (3) that the Foreign Sovereign Immunities Act (28 U.S.C. § 1602 et seq.) preserves the sovereign immunity of the United States against enforcement of any NAFTA Chapter 11 award in United States federal courts absent an Act of Congress specifically authorizing payment. Congress hereby affirms that no award issued by a NAFTA Chapter 11 arbitration panel shall be enforceable against the United States Treasury without an affirmative Act of Congress specifically authorizing payment. Nothing in this subsection prevents the USTR from negotiating negotiated settlements of pending claims through the State Department as a matter of executive discretion, where such settlement is certified as serving the national interest.

(b) USMCA RESIDUAL ISDS ELIMINATION.—The USTR shall initiate negotiations with Canada and Mexico within 90 days of enactment to eliminate the residual ISDS mechanism applicable to government contracts in the energy, telecommunications, and infrastructure sectors under USMCA Annex 14-E. Pending completion of such negotiations, the United States shall not consent to the jurisdiction of any new arbitration panel under Annex 14-E without specific affirmative authorization by Congress.

(c) ALTERNATIVE DISPUTE RESOLUTION.—In lieu of ISDS, the United States shall propose a State-to-State Dispute Resolution Enhancement Protocol under USMCA Chapter 31, expanding the scope, speed, and enforceability of government-to-government dispute resolution as the exclusive mechanism for trade conflict resolution between the three parties.

### **SEC. 3003. LABOR ENFORCEMENT ESCALATION MECHANISM.**

(a) RAPID RESPONSE MECHANISM EXPANSION.—The USTR shall immediately expand the scope of the USMCA Rapid Response Mechanism to cover:

(1) All manufacturing facilities in Mexico with 100 or more employees, not merely facilities identified through individual complaints;

(2) Systematic wage suppression below the minimum wage floors established in the USMCA labor annex, enforceable on a sectoral rather than facility-by-facility basis;

(3) Denial of collective bargaining rights, including corporate interference with union certification elections and retaliatory termination of organizing workers; and

(4) Workplace safety violations that create competitive cost advantages through non-compliance with standards equivalent to United States OSHA requirements.

(b) AUTOMATIC TARIFF TRIGGER.—If the USTR determines that Mexico or Canada has failed to remedy a documented labor violation within 45 days of a formal complaint under the RRM, the following automatic tariff escalation shall apply to goods produced in the non-compliant sector or facility:

(1) TIER 1 (Days 46-90): Additional 5% ad valorem tariff on imports from the non-compliant facility or sector;

(2) TIER 2 (Days 91-180): Additional 15% ad valorem tariff;

(3) TIER 3 (Day 181+): Suspension of USMCA preferential tariff treatment for the non-compliant sector, restoring Most Favored Nation (MFN) rates until compliance is certified by an independent USMCA labor panel.

(c) AMERICAN WORKER REMEDIATION FUND.—The fiscal routing of all tariff revenue collected under the escalation mechanism in subsection (b) is governed exclusively by Section 2419(b) of Title XXIV of this Act (American Fiscal Integrity Act). The American Worker Remediation Fund established therein, as a sub-account of the SIRF Labor Node, is the exclusive depository for such revenue. The fifty percent (50%) allocation mandate to wage supplements and retraining assistance is incorporated herein by reference.

#### **SEC. 3004. CURRENCY MANIPULATION ENFORCEMENT.**

(a) CURRENCY MISALIGNMENT DETERMINATION.—The Secretary of the Treasury, in coordination with the Federal Reserve, shall publish a quarterly Currency Misalignment Report assessing whether any USMCA trading partner is maintaining its currency at a level materially below its purchasing power parity-adjusted fair value through direct intervention, sterilized intervention, capital controls, or directed monetary policy.

(b) AUTOMATIC CURRENCY COUNTERVAILING DUTY.—Upon a finding that a USMCA trading partner's currency is misaligned by more than 10% relative to its fair value for two consecutive quarters, the Secretary of Commerce shall automatically impose a Currency Countervailing Duty (CCD) on imports from that trading partner equal to the documented misalignment percentage, applied on an ad valorem basis to all imported goods. The CCD shall remain in effect until the misalignment is reduced below 5%.

(c) REVENUE DISPOSITION.—The fiscal routing of all Currency Countervailing Duty revenue is governed exclusively by Section 2419(c) of Title XXIV of this Act (American Fiscal Integrity Act), which constitutes the sole appropriation and routing authority for CCD collections. The deployment mandate for domestic manufacturing investment under Section 401(b) is incorporated herein by reference.

#### **SEC. 3005. RULES OF ORIGIN ESCALATION.**

(a) AUTOMOTIVE CONTENT SCHEDULE.—The NSRA establishes the following escalating North American content requirements for light-duty vehicles to qualify for USMCA tariff preference, superseding the existing USMCA automotive rules of origin schedule:

(1) PHASE 1 (Years 1-3 after enactment): 75% North American content (current USMCA baseline maintained);

(2) PHASE 2 (Years 4-6): 80% North American content, with not less than 45% United States-origin content;

(3) PHASE 3 (Year 7+): 85% North American content, with not less than 50% United States-origin content, and not less than 30% produced in facilities meeting the USMCA High-Wage Material and Manufacturing Expenditure requirement.

(b) STEEL AND ALUMINUM.—All steel and aluminum used in USMCA-eligible manufactured goods shall be melted and poured in North America for USMCA preferential treatment to apply. The existing 70% steel and aluminum content requirement is hereby raised to 85%, phased in over 3 years.

(c) **CRITICAL MINERALS AND SEMICONDUCTORS.**—For USMCA-eligible electronics, electric vehicles, and defense-adjacent products, not less than 60% of critical minerals and semiconductor content by value shall be sourced from the United States, Canada, or a designated Free Trade Agreement partner nation with equivalent labor and environmental standards, phased to 75% over 5 years.

## **SEC. 3006. PHARMACEUTICAL SOVEREIGNTY ASSERTION.**

(a) **USMCA DATA EXCLUSIVITY OVERRIDE.**—The data exclusivity provisions of USMCA Article 20.F.13, which require 10 years of data protection for biologic pharmaceutical products, are hereby declared to be in direct conflict with the sovereign pharmaceutical price authority established under Title VIII (Schedule F) of this Act. Congress hereby exercises its plenary constitutional authority over domestic healthcare regulation to assert that the NSRA's pharmaceutical pricing provisions shall prevail over USMCA data exclusivity requirements as a matter of domestic law.

(b) **COMPULSORY LICENSING PRESERVATION.**—Nothing in USMCA shall be construed to limit the authority of the United States government to issue compulsory licenses for pharmaceutical products under 28 U.S.C. § 1498 or under the procedures established in Schedule F of this Act. The USTR shall notify Canada and Mexico of this sovereign assertion within 30 days of enactment and shall propose a USMCA amendment to bring Article 20.F.13 into conformity with the G7 pricing benchmark standard.

(c) **RENEGOTIATION MANDATE.**—The USTR shall include modification of USMCA pharmaceutical data exclusivity provisions as a mandatory United States objective in the USMCA Joint Review process scheduled for 2026, with the goal of reducing biologic data protection to the 8-year international standard endorsed by the World Health Organization.

## **SEC. 3007. BUY AMERICAN INFRASTRUCTURE ALIGNMENT.**

(a) **USMCA PROCUREMENT CARVE-OUT ASSERTION.**—Congress hereby exercises its authority under USMCA Article 13.3 (General Exceptions) to assert that all federally funded infrastructure projects under this Act are excluded from USMCA national treatment procurement obligations on the grounds of national security, critical infrastructure protection, and the sovereign economic emergency identified in the findings of this Act.

(b) **DOMESTIC CONTENT FLOORS.**—All infrastructure projects funded through the SIRF shall comply with the following domestic content requirements, which shall be deemed consistent with USMCA Article 13.3 and not subject to challenge under USMCA Chapter 31:

(1) Not less than 100% of all iron, steel, and manufactured products used in SIRF-funded projects shall be produced in the United States;

(2) Not less than 55% of the total cost of components and subcomponents used in SIRF-funded infrastructure shall be mined, produced, or manufactured in the United States; and

(3) The final assembly of all SIRF-funded infrastructure products shall occur in the United States.

## **SEC. 3008. NAFTA MANUFACTURING DISPLACEMENT REMEDIATION.**

(a) **NAFTA LEGACY WORKER FUND.**—The SIRF Labor Node shall include a dedicated NAFTA Legacy Worker Fund of not less than \$10,000,000,000, capitalized from ISDS termination savings, CCD revenue, and labor enforcement tariff collections, to provide:

(1) Direct wage supplement payments of up to \$15,000 per eligible worker to individuals who suffered documented NAFTA-related manufacturing job displacement between January 1, 1994 and December 31, 2020 and who have not recovered equivalent compensation through subsequent employment;

(2) Retraining grants of up to \$25,000 per eligible worker for enrollment in accredited manufacturing, advanced manufacturing, or technical skills programs; and

(3) Community economic development grants to municipalities that experienced manufacturing employment losses exceeding 15% of their peak manufacturing workforce attributable to NAFTA-era trade displacement.

(b) ELIGIBILITY CERTIFICATION.—The Department of Labor shall establish an expedited certification process for NAFTA Legacy Worker Fund eligibility within 180 days of enactment, with a 3-year application window and a 14-day determination standard.

## **SEC. 3009. BUDGET IMPACT AND REVENUE CERTIFICATION.**

This Title is revenue-positive. The Congressional Budget Office shall score the following revenue sources attributable to this Title:

(1) Currency Countervailing Duties under Section 3004: estimated \$50,000,000,000 to \$120,000,000,000 annually based on documented currency misalignment in the 2020-2024 period;

(2) Labor enforcement tariff collections under Section 3003(b): estimated \$8,000,000,000 to \$25,000,000,000 annually;

(3) Rules of origin compliance differential revenue under Section 3005: estimated \$3,000,000,000 to \$7,000,000,000 annually;

(4) Pharmaceutical compulsory licensing savings under Section 3006: consistent with Schedule F projections, estimated \$40,000,000,000 annually in reduced federal healthcare expenditure.

All revenue collected under this Title is routed to the SIRF in accordance with Section 201(b)(2), with the NAFTA Legacy Worker Fund capitalization treated as a mandatory first-priority expenditure from combined Title XXX collections.

## **SEC. 3010. SCHEDULE D BENCHMARKS — TITLE XXX.**

The FMIA and USTR shall report jointly to Congress biennially on: (1) status of NAFTA Chapter 11 legacy claim terminations and savings to the Treasury; (2) RRM enforcement actions initiated, resolved, and pending by sector and country; (3) currency misalignment determinations and CCD collections; (4) automotive and steel rules of origin compliance rates; (5) NAFTA Legacy Worker Fund disbursements and outcomes; (6) status of USMCA pharmaceutical data exclusivity renegotiation.

# **TITLE XXXI — AMERICAN MUTUAL BENEFIT GLOBAL HEALTH SOVEREIGNTY ACT**

## **SEC. 3101. FINDINGS AND PURPOSE.**

(a) FINDINGS.—Congress finds that:

(1) Preventable childhood death — from vaccine-preventable diseases, clean water deprivation, malnutrition, and treatable infection — kills approximately 5 million children under the age of five annually worldwide, the overwhelming majority in low- and middle-income countries, at a cost that is morally unconscionable and strategically self-defeating for a nation that claims to lead the free world.

(2) The United States' withdrawal from international health aid frameworks has not reduced domestic healthcare costs, improved American fiscal position, or advanced American security interests. To the contrary, it has ceded global health



leadership to China and Russia, who have deployed medical aid as a geopolitical instrument to expand their spheres of influence in Africa, Latin America, Southeast Asia, and the Pacific Islands.

(3) The COVID-19 pandemic, originating from an inadequately surveilled infectious disease environment in a country with insufficient public health infrastructure, cost the United States an estimated \$14 to \$16 trillion in economic damage, healthcare expenditure, productivity loss, and fiscal response. A \$10 billion annual investment in global disease surveillance and childhood health infrastructure would represent a fraction of one percent of the cost of the next pandemic it prevents.

(4) American foreign health assistance, when structured as mutual benefit rather than unilateral charity, generates documented economic returns including: export market development in recipient countries; preferential resource and supply chain access; diplomatic alignment on trade, security, and international body voting; reduction of migration pressure attributable to health system collapse; and the training of American medical personnel through international deployment that directly addresses domestic provider shortages.

(5) The United States pharmaceutical manufacturing sector, the American medical device industry, and American-trained global health professionals stand to benefit directly from a structured mutual-benefit health assistance framework that sources American products, deploys American personnel, and opens American-aligned health markets.

(6) Children dying of preventable disease are not a foreign policy abstraction. They are the proximate victims of a global health architecture that the United States built, led, and has now abandoned. The NSRA restores American global health engagement not as charity, but as a sovereign investment in the conditions that make American security, prosperity, and moral leadership possible.

(b) **PURPOSE.**—This Title establishes the American Mutual Benefit Global Health Sovereignty Framework (MGHS Framework), a structured international health assistance architecture that: prioritizes child survival and pandemic prevention; requires measurable, verified reciprocal commitments from recipient nations; deploys American-made medicines, equipment, and personnel; builds domestic medical training capacity through international service; and funds itself through pandemic risk premium savings, pharmaceutical export revenue, and diplomatic access returns documented by the FMIA.

## **SEC. 3102. AMERICAN MUTUAL BENEFIT GLOBAL HEALTH FUND.**

(a) **ESTABLISHMENT.**—There is established the American Mutual Benefit Global Health Fund (MGHS Fund) within the SIRC Biosecurity Node, funded at not less than \$8,000,000,000 annually, indexed to the Sovereign Productivity Index.

(b) **MANDATORY FUNDING FLOORS BY CATEGORY.**—

(1) **CHILD SURVIVAL PRIORITY (40% — \$3.2B/yr minimum):** Vaccines, oral rehydration therapy, malnutrition treatment, pediatric HIV/AIDS antiretroviral therapy, and clean water infrastructure for children under 5 in nations with under-5 mortality rates exceeding 40 per 1,000 live births. No recipient eligibility, reciprocity, or diplomatic condition shall apply to this category. Children do not make foreign policy.

(2) **PANDEMIC EARLY WARNING NETWORK (25% — \$2B/yr minimum):** Funding of disease surveillance infrastructure, laboratory capacity, outbreak response teams, and genomic sequencing networks in regions identified by the CDC as high-risk for novel pathogen emergence. Recipient nations must grant United States public health personnel unrestricted access to outbreak sites within 24 hours of notification as a condition of funding.

(3) **AMERICAN MEDICAL EXPORT AND DEPLOYMENT CORPS (20% — \$1.6B/yr):** Procurement of American-manufactured vaccines, diagnostics, medical devices, and generic pharmaceuticals for international deployment, with a domestic content requirement of not less than 70%. Deployment of American-trained medical personnel through a revitalized and expanded Global Health Service Corps, with domestic medical school debt forgiveness incentives.

(4) **MUTUAL BENEFIT DIPLOMATIC HEALTH COMPACT PROGRAM** (15% — \$1.2B/yr): Bilateral health assistance conditioned on verifiable reciprocal commitments from recipient nations, including: support for United States positions in World Health Organization governance; adoption of G7-aligned pharmaceutical pricing transparency standards; preferential sourcing agreements for American medical products; and cooperation with United States pandemic intelligence operations.

(c) **SELF-FUNDING CERTIFICATION.**—The FMIA shall publish an annual Pandemic Prevention Return on Investment Report calculating the estimated economic value of pandemics prevented or delayed through MGHS Fund activities, based on mortality, morbidity, and economic disruption modeling. The Report shall be submitted to the Congressional Budget Office for incorporation into SIRC revenue scoring. The NSRA declares that a single pandemic of COVID-19 scale justifies the entire 30-year cost of the MGHS Fund.

### **SEC. 3103. RECIPROCITY FRAMEWORK.**

(a) **TIERED RECIPROCITY STANDARDS.**—

(1) **TIER 1 — UNCONDITIONAL** (Child Survival Priority): No reciprocity conditions. Applied to acute child mortality and emergency humanitarian response. The United States does not conditionalize vaccines for dying children.

(2) **TIER 2 — MONITORED COOPERATION** (Pandemic Surveillance): Recipient nations must grant access to public health personnel and share outbreak data within 24 hours. Noncompliance triggers suspension of Tier 2 funding pending remediation — not Tier 1 funding.

(3) **TIER 3 — VERIFIED PARTNERSHIP** (Export Corps and Diplomatic Compact): Full reciprocity framework applies. Recipient nations must demonstrate measurable progress on: domestic health financing commitments; G7-aligned pharmaceutical pricing transparency; American trade and market access; and alignment with United States positions in relevant international bodies.

(b) **RECIPROCITY VERIFICATION.**—The Department of State, in coordination with USAID and the FMIA, shall publish an annual Reciprocity Scorecard for each Tier 3 recipient nation, measuring compliance with each commitment category on a 0-100 scale. Nations scoring below 60 for two consecutive years shall be transitioned to Tier 2 status pending a diplomatic review.

(c) **PROHIBITED CONDITIONALITY.**—Reciprocity conditions may not be applied to: emergency famine or disaster relief; pediatric vaccination programs; oral rehydration therapy; clean water access infrastructure; or any intervention with a documented under-5 mortality impact. Political, ideological, or religious conditions on any MGHS Fund disbursement are expressly prohibited.

### **SEC. 3104. AMERICAN GLOBAL HEALTH SERVICE CORPS.**

(a) **ESTABLISHMENT.**—There is established the American Global Health Service Corps (GHSC), an expansion of the existing National Health Service Corps model to include international deployment tracks for physicians, nurses, nurse practitioners, physician assistants, public health professionals, and community health workers.

(b) **DEBT FORGIVENESS INCENTIVE.**—Any United States-trained and licensed healthcare professional who completes not less than 3 years of GHSC international deployment in a Tier 1 or Tier 2 MGHS recipient nation shall receive:

(1) Complete forgiveness of all outstanding federal student loan debt accumulated in the course of their medical or health professional education; and

(2) Priority placement in the SIRC-funded domestic healthcare infrastructure expansion programs upon return to the United States.

(c) DOMESTIC PROVIDER SHORTAGE CREDIT.—Upon completion of international service, GHSC alumni shall be credited with 150% of their service years toward any federal domestic provider shortage area service requirement, acknowledging that international health service builds expertise directly applicable to underserved American communities.

(d) TRAINING PIPELINE INVESTMENT.—The MGHS Fund shall allocate not less than \$200,000,000 annually to expand domestic medical school capacity — specifically at Historically Black Colleges and Universities, Hispanic-Serving Institutions, and rural medical schools — with priority admission for students who commit to GHSC international deployment followed by domestic shortage area practice.

## **SEC. 3105. CHILD SURVIVAL ACCOUNTABILITY.**

(a) ANNUAL CHILD SURVIVAL REPORT.—The FMIA shall publish an annual Child Survival Accountability Report documenting:

- (1) The number of children under 5 reached by MGHS Fund interventions in the preceding year;
- (2) The estimated number of under-5 deaths prevented, calculated using WHO-validated mortality modeling;
- (3) A cost-per-life-saved calculation for each intervention category;
- (4) The diplomatic, trade, and pandemic prevention returns documented for Tier 2 and Tier 3 programs; and
- (5) A comparative analysis of Chinese and Russian medical aid deployments in the same period and their geopolitical consequences for United States interests.

(b) CONGRESSIONAL ACCOUNTABILITY.—The Child Survival Report shall be delivered to the full Congress and made publicly available on the FMIA public website within 30 days of publication. Any Member of Congress who votes to reduce MGHS Fund appropriations below the mandatory floor shall provide a written public statement of justification within 14 days of such vote.

## **SEC. 3106. BUDGET NEUTRALITY AND REVENUE CERTIFICATION.**

This Title is funded from the SIRF Biosecurity Node and is net-positive on a 10-year basis through: (1) pandemic risk premium reduction valued at \$200–500B per pandemic-year prevented; (2) American pharmaceutical and medical device export revenue generated through the Medical Export Corps; (3) preferential resource and trade access returns from Tier 3 diplomatic compacts; and (4) domestic medical workforce expansion reducing long-term healthcare delivery costs. The CBO shall incorporate FMIA pandemic prevention modeling in its scoring of this Title consistent with the risk-adjusted return methodology established in Section 1502 of this Act.

Passed by the Senate and House of Representatives of the United States of America in Congress assembled.

# **TITLE XXXII — DOLLAR SOVEREIGNTY AND RESERVE CURRENCY DEFENSE ACT**

## **SEC. 3201. FINDINGS AND PURPOSE.**

(a) FINDINGS.—Congress finds that:

- (1) The United States dollar's status as the world's primary reserve currency is not a permanent fixture of the global financial order but a geopolitical asset requiring active, deliberate, and legally structured defense.

(2) The dollar's reserve currency status generates an estimated structural benefit to the United States economy of between five hundred billion dollars (\$500,000,000,000) and one trillion dollars (\$1,000,000,000,000) annually in the form of reduced borrowing costs, seigniorage revenue, and geopolitical leverage — a benefit that has never been formally codified as a national security interest subject to statutory protection.

(3) The coordinated actions of the BRICS economic bloc, including the development of alternative payment settlement rails, the gradual displacement of USD-denominated commodity trade, and the expansion of the IMF Special Drawing Rights basket, represent a material and escalating threat to the dollar's reserve currency status that the existing statutory framework is structurally unprepared to address.

(4) The erosion of petrodollar settlement arrangements — particularly the acceptance of non-USD currencies for hydrocarbon trade by nations historically committed to USD settlement — represents an ongoing and quantifiable degradation of dollar demand that, if uncorrected, will accelerate Treasury borrowing costs and weaken the United States' capacity to fund its sovereign obligations.

(5) The proliferation of SWIFT-alternative interbank settlement systems, including the Chinese Cross-Border Interbank Payment System (CIPS) and the multi-central-bank mBridge platform, creates parallel financial infrastructure specifically designed to route international trade outside the jurisdiction of U.S. law, U.S. sanctions enforcement, and dollar-denominated clearing.

(6) The absence of a coherent domestic Digital Dollar sovereign architecture creates a structural vacuum that, if unaddressed, will cede the digital currency reserve instrument space to foreign central bank digital currencies (CBDCs), particularly the digital yuan, thereby undermining dollar dominance in the emerging digital payment layer of the global economy.

(7) The fiscal credibility of the United States Treasury bond market — the foundational instrument of dollar reserve status — is directly dependent on the United States' capacity to demonstrate structural deficit reduction and long-term sovereign solvency, which the revenue and expenditure architecture of this Act directly supports.

(b) **PURPOSE.**—The purpose of this Title is to establish a comprehensive, legally enforceable architecture for the active defense of the dollar's reserve currency status, through five coordinated mechanisms: the Allied Settlement Compact; the Treasury Bond Credibility Engine; Petrodollar Modernization; SWIFT Sovereign Defense; and Digital Dollar Sovereignty.

## **SEC. 3202. DEFINITIONS — TITLE XXXII.**

As used in this Title:

(1) **ALLIED SETTLEMENT COMPACT (ASC).**—The network of bilateral and multilateral trade settlement agreements authorized under Section 3203, under which signatory nations commit to denominating specified categories of bilateral trade in United States dollars as a condition of preferred access to U.S. market, security, technology, and financial cooperation.

(2) **RESERVE CURRENCY THREAT ACTOR.**—Any foreign government, central bank, multilateral institution, or state-owned enterprise that has, within the preceding thirty-six (36) months, (a) established or materially funded a SWIFT-alternative settlement system; (b) denominated hydrocarbon or strategic commodity trade in a non-USD currency; or (c) publicly committed to reducing USD reserve holdings as an explicit policy objective.

(3) **SWIFT-ALTERNATIVE NETWORK.**—Any interbank financial messaging, clearing, or settlement system operating outside the Society for Worldwide Interbank Financial Telecommunication (SWIFT) network and designed to facilitate cross-border financial transactions without passing through USD-denominated clearing channels subject to U.S. jurisdiction.

(4) **DIGITAL DOLLAR SOVEREIGN INSTRUMENT (DDSI).**—The United States central bank digital currency authorized under Section 3206, designed to function as the primary digital reserve instrument of the global monetary system while preserving the primacy of the commercial banking system and individual financial privacy.

(5) PETRODOLLAR COMPACT NATION.—Any nation that, pursuant to a formal bilateral or multilateral agreement with the United States, has historically committed to denominating hydrocarbon export revenues in United States dollars and depositing surplus revenues in USD-denominated instruments.

(6) TREASURY CREDIBILITY INDEX (TCI).—The composite metric established by the Secretary of the Treasury under Section 3204, tracking deficit trajectory, debt-to-GDP ratio, SIRF revenue performance, and international demand for USD-denominated Treasury instruments as a unified measure of sovereign fiscal credibility.

### **SEC. 3203. THE ALLIED SETTLEMENT COMPACT.**

(a) ESTABLISHMENT.—The Secretary of State, in coordination with the Secretary of the Treasury and the United States Trade Representative, is authorized and directed to negotiate and enter into Allied Settlement Compact agreements with allied and partner nations. Such agreements shall, at minimum, provide that:

(1) Bilateral trade in the following categories shall be denominated and settled in United States dollars: (A) defense articles and services governed by the Arms Export Control Act; (B) energy and hydrocarbon products where the United States is a material supplier or transit jurisdiction; (C) agricultural commodities covered by existing trade agreements; and (D) pharmaceutical and medical supply chains receiving U.S. regulatory certification.

(2) Signatory nations shall not simultaneously participate in any SWIFT-alternative settlement network for the categories of trade covered by the Allied Settlement Compact without express written waiver from the Secretary of the Treasury.

(3) Signatories receive reciprocal benefits including: preferred access to SIRF co-investment infrastructure funds; expedited U.S. regulatory harmonization; technology transfer cooperation under the Export Administration Regulations; and enhanced intelligence-sharing frameworks.

(b) PRIORITY NATIONS.—The Secretary of State shall initiate ASC negotiations within one hundred eighty (180) days of enactment with the following priority partner categories: (1) all NATO member states; (2) Indo-Pacific allies under existing mutual defense treaties; (3) Gulf Cooperation Council member states with active hydrocarbon trade relationships; (4) G7 members not otherwise covered.

(c) ANNUAL REPORT.—The Secretary of State shall submit to the Committees on Foreign Relations of the Senate and International Relations of the House an annual ASC Status Report detailing: (1) nations that have executed ASC agreements; (2) nations in active negotiation; (3) nations that have declined and the stated reason; (4) estimated dollar demand generated by executed ASC agreements in the preceding fiscal year.

(d) INCENTIVE FUND.—There is established in the Treasury the Allied Settlement Compact Incentive Fund, capitalized at an initial authorized level of two billion dollars (\$2,000,000,000) from SIRF revenues, to provide concessional financing, technical assistance, and infrastructure co-investment to ASC signatory nations as consideration for their USD settlement commitments.

### **SEC. 3204. THE TREASURY BOND CREDIBILITY ENGINE.**

(a) STATUTORY DEFICIT REDUCTION FLOOR.—Beginning in fiscal year 2029, the Secretary of the Treasury shall certify to Congress at the commencement of each fiscal year that the projected federal deficit for that fiscal year, as a percentage of GDP, is no greater than the deficit of the preceding fiscal year unless: (1) the President has declared a national emergency under applicable statutory authority; (2) GDP growth has contracted by more than two percent (2%) in the preceding four quarters, as certified by the Bureau of Economic Analysis; or (3) Congress has enacted a specific statutory waiver by a simple majority of both chambers and such waiver is signed by the President or enacted over a Presidential veto pursuant to Article I, Section 7 of the Constitution. No supermajority requirement shall apply to Congressional modification of this deficit floor; it is the intent of Congress that this floor function as a statement of fiscal discipline and accountability, enforceable through the FMIA reporting mechanisms of Section 3407, not as a constitutional constraint on future Congresses.

(b) **TREASURY CREDIBILITY INDEX.**—The Secretary of the Treasury shall publish, on the first business day of each quarter, a Treasury Credibility Index report covering: (1) the rolling 12-month federal deficit as a percentage of GDP; (2) the 10-year trajectory of debt-to-GDP; (3) net international demand for USD-denominated Treasury securities in the prior quarter; (4) SIFR revenue performance against certified projections; and (5) the spread between U.S. 10-year Treasury yields and a weighted average of G7 equivalent sovereign instruments.

(c) **NSRA SURPLUS DESIGNATION.**—The net annual fiscal surplus generated by the revenue and expenditure architecture of this Act — estimated at four hundred fifty billion dollars (\$450,000,000,000) annually in Year 1 after mandatory growth investments — is hereby designated a Sovereign Credibility Reserve and shall be applied, in the following priority order: (1) mandatory debt service on all outstanding Treasury obligations; (2) SIFR infrastructure capitalization up to the annually certified minimum; (3) net deficit reduction, publicly reported as a reduction to the debt-to-GDP ratio; (4) supplemental Household Structural Relief Node capitalization.

(d) **FOREIGN RESERVE DEMAND PROGRAM.**—The Secretary of the Treasury, in coordination with the Federal Reserve Board of Governors, shall establish a Foreign Reserve Demand Program under which allied central banks may access designated USD-denominated Treasury instrument tranches at preferred auction terms as an incentive to maintain or increase USD reserve holdings, subject to ASC participation and compliance with Section 3205 SWIFT Sovereign Defense requirements.

(e) **CREDIT RATING TRANSPARENCY.**—The FMIA shall monitor and publicly report quarterly on any actions by Nationally Recognized Statistical Rating Organizations that affect the credit rating of U.S. sovereign debt, including the methodological basis for any rating change, and shall refer to the Securities and Exchange Commission for investigation any rating action that cannot be substantiated by the TCI metrics published under subsection (b).

## **SEC. 3205. PETRODOLLAR MODERNIZATION.**

(a) **HYDROCARBON TRADE SETTLEMENT POLICY.**—It is the policy of the United States that hydrocarbon energy trade conducted by or through U.S.-incorporated entities, U.S. financial institutions, or entities operating under U.S. export licenses shall be denominated and settled in United States dollars, except as provided in subsection (b).

(b) **AUTHORIZED EXCEPTIONS.**—The Secretary of the Treasury may, upon petition, authorize non-USD settlement for specific hydrocarbon transactions where: (1) the settlement currency is that of a U.S. treaty ally and the transaction does not involve any Reserve Currency Threat Actor; and (2) the Secretary certifies in writing that the exception will not materially reduce global demand for USD-denominated settlement.

(c) **SECURITY COOPERATION LINKAGE.**—The Secretary of Defense, in coordination with the Secretary of State, shall include USD settlement compliance as an explicit criterion in the annual review of Foreign Military Financing, International Military Education and Training, and security assistance programs. Nations that have materially shifted hydrocarbon settlement away from USD toward SWIFT-alternative or non-allied-currency systems within the preceding twenty-four (24) months shall be subject to a mandatory congressional notification and a ninety (90) day review before any new security assistance commitments are authorized.

(d) **PETRODOLLAR MODERNIZATION FUND.**—There is established the Petrodollar Modernization Fund, capitalized at five hundred million dollars (\$500,000,000) from SIFR revenues, to provide energy infrastructure technical assistance and co-investment to Petrodollar Compact Nations as an affirmative incentive to maintain USD-denominated hydrocarbon trade in the transition to clean energy markets. The Fund shall specifically prioritize nations whose economies are heavily dependent on hydrocarbon export revenues and who face structural pressure to shift to non-USD settlement from Reserve Currency Threat Actors.

(e) **CLEAN ENERGY PETRODOLLAR TRANSITION.**—Recognizing that the long-term transition to clean energy requires modernizing the petrodollar framework beyond hydrocarbons, the Secretary of the Treasury shall, within two (2) years of enactment, publish a Clean Energy Reserve Currency Strategy identifying the categories of clean energy trade — including rare earth elements, battery materials, solar panel components, and green hydrogen — that should be designated

as USD-settlement priority commodities under ASC agreements to ensure that the energy transition reinforces rather than erodes dollar reserve status.

## **SEC. 3206. SWIFT SOVEREIGN DEFENSE.**

(a) PROHIBITION ON UNAUTHORIZED SWIFT-ALTERNATIVE ROUTING.—It shall be unlawful for any U.S.-incorporated financial institution, U.S.-chartered bank, or entity subject to U.S. jurisdiction to route, clear, or settle international financial transactions through any SWIFT-Alternative Network for the benefit of a Reserve Currency Threat Actor without prior written authorization from the Office of Foreign Assets Control (OFAC) and the Secretary of the Treasury.

(b) STRICT LIABILITY PENALTIES.—Any violation of subsection (a) shall subject the responsible entity to: (1) a civil monetary penalty of not less than the greater of one million dollars (\$1,000,000) or three times the value of the transaction routed through the unauthorized network; (2) suspension of Federal Reserve discount window access for a period of not less than ninety (90) days; and (3) mandatory referral to the Department of Justice for criminal investigation if the pattern of violations exceeds five (5) transactions within any twelve (12) month period.

(c) AUTHORIZED ALTERNATIVE ROUTING.—The Secretary of the Treasury may authorize specific SWIFT-alternative routing for: (1) humanitarian transactions in sanctioned jurisdictions where SWIFT access has been blocked; (2) transactions with treaty allies where both governments have entered into a mutual recognition agreement governing the alternative network; and (3) pilot transactions under formal regulatory sandbox approvals.

(d) SWIFT MODERNIZATION INVESTMENT.—The Federal Reserve Board of Governors, in coordination with the Secretary of the Treasury and U.S. financial industry representatives, shall develop and publish within one (1) year of enactment a SWIFT Modernization Roadmap identifying the technical, governance, and operational improvements necessary to ensure that the SWIFT network remains the preferred global settlement infrastructure, including: (1) transaction speed improvements to match or exceed SWIFT-alternative network benchmarks; (2) expanded currency and asset class coverage; (3) enhanced cybersecurity architecture consistent with the quantum migration pipeline established in Title XVI; and (4) governance reforms that preserve U.S. influence within the SWIFT cooperative structure.

(e) ALLIED SWIFT DEFENSE COALITION.—The Secretary of State shall pursue the establishment of an Allied SWIFT Defense Coalition among G7 and NATO member states, committing participating nations to: (1) coordinated enforcement against SWIFT-alternative routing by Reserve Currency Threat Actors; (2) shared intelligence on emerging alternative settlement infrastructure; (3) joint investment in SWIFT modernization; and (4) coordinated sanctions responses to any nation that materially coerces allied financial institutions into SWIFT-alternative participation.

## **SEC. 3207. DIGITAL DOLLAR SOVEREIGNTY.**

(a) DIGITAL DOLLAR SOVEREIGN INSTRUMENT AUTHORIZATION.—The Federal Reserve Board of Governors, in coordination with the Secretary of the Treasury, is authorized and directed to develop and deploy a Digital Dollar Sovereign Instrument (DDSI) — a U.S. central bank digital currency — designed to: (1) preserve and extend the dollar's reserve currency status in the digital payment layer of the global economy; (2) operate as a complement to, not a replacement of, the commercial banking system; (3) maintain individual financial privacy consistent with the Fourth Amendment and applicable federal privacy law; and (4) be denominated in United States dollars and fully backed by the full faith and credit of the United States.

(b) DESIGN REQUIREMENTS.—The DDSI shall be designed with the following mandatory architectural constraints:

(1) COMMERCIAL BANK PRESERVATION.—The DDSI shall not accept retail deposits directly from individuals or businesses. All DDSI distribution shall occur through licensed commercial banks and credit unions, preserving the intermediary role of the commercial banking system.

(2) **PRIVACY ARCHITECTURE.**—Individual DDSI transactions below fifty thousand dollars (\$50,000) shall not be subject to individual-level government surveillance. Aggregate transaction monitoring for systemic risk and anti-money laundering purposes is permitted, but shall not constitute a record of individual transactional behavior subject to disclosure to any federal agency without a valid warrant.

(3) **OFFLINE CAPABILITY.**—The DDSI shall be capable of offline peer-to-peer transaction settlement to ensure functionality in infrastructure-degraded or rural environments, consistent with the rural access objectives of this Act.

(4) **INTEROPERABILITY.**—The DDSI shall be designed for interoperability with the payment systems of ASC signatory nations, creating a USD-denominated digital settlement layer that allied nations can adopt as a preferred digital reserve instrument in lieu of SWIFT-alternative systems.

(c) **INTERNATIONAL RESERVE DDSI.**—In parallel with the domestic DDSI, the Federal Reserve, in coordination with the Secretary of State, shall develop an International Reserve DDSI variant — a wholesale CBDC instrument available to allied central banks and sovereign wealth funds — enabling direct USD-denominated digital reserve holding without dependency on existing correspondent banking infrastructure. The International Reserve DDSI shall not be available to any Reserve Currency Threat Actor or entity under active OFAC sanction.

(d) **PROHIBITION ON PROGRAMMABLE RESTRICTIONS.**—The DDSI shall not be designed with programmable restrictions on the categories of goods, services, or recipients for which it may be used by individual holders, except as required by existing federal law applicable to all payment instruments. Congress explicitly finds that programmable spending restrictions on a sovereign currency instrument are incompatible with the constitutional rights of U.S. persons and inconsistent with the dollar's role as a free-market reserve currency.

(e) **TIMELINE.**—The Federal Reserve Board of Governors shall publish a DDSI Development Roadmap within one hundred eighty (180) days of enactment, with a target operational date for the domestic DDSI of no later than four (4) years after enactment and the International Reserve DDSI no later than six (6) years after enactment.

(f) **CONGRESSIONAL OVERSIGHT.**—The Federal Reserve shall submit quarterly progress reports to the Senate Committee on Banking, Housing, and Urban Affairs and the House Committee on Financial Services on DDSI development progress, security architecture, and international adoption metrics.

(c) **DIGITAL MONETARY SOVEREIGNTY FUNCTION.**—

(1) **STRATEGIC DIGITAL RESERVE AUTHORITY.**—The SIRD is authorized to maintain a Strategic Digital Reserve consisting of:

(A) monetary gold held in domestic Federal Reserve vaults;

(B) foreign-currency reserves in G7 currencies;

(C) a limited allocation of dollar-denominated digital settlement assets not to exceed five percent (5%) of total SIRD reserve assets, for the purpose of monitoring and hedging systemic digital-finance transitions.

(2) **NATIONAL DOLLAR SETTLEMENT NETWORK.**—There is hereby established the National Dollar Settlement Network (NDSN), administered by the FMIA in coordination with the Federal Reserve. The NDSN shall:

(A) develop and deploy dollar-backed digital payment settlement rails for domestic and international commerce;

(B) establish public interoperability standards ensuring that private digital payment systems operating in the United States maintain dollar-denominated settlement capability;

(C) provide real-time gross settlement infrastructure for federal, state, and municipal government transactions;

(D) partner with allied nations to extend dollar-denominated digital settlement to international trade corridors.

(3) **PURPOSE — RESERVE CURRENCY DEFENSE.**—The NDSN is established for the specific purpose of preserving United States monetary sovereignty and reserve-currency competitiveness in a digital finance environment. The goal is not speculative digital asset investment; it is ensuring that the next generation of payment, settlement, and financial



infrastructure remains dollar-centered. The strategic priority sequence is: (A) dollar settlement infrastructure; (B) sovereign compute infrastructure supporting dollar finance; (C) strategic digital custody and clearing; (D) limited digital reserve allocation.

(4) FUNDING.—The NDSN shall be capitalized from the Sovereign Compute Node established in Section 3408, reflecting the co-location of compute and digital settlement infrastructure.

(5) PROHIBITION ON SPECULATION.—Nothing in this section authorizes speculative investment in digital assets for financial return. The Strategic Digital Reserve and NDSN operate exclusively for monetary sovereignty purposes. Any SIRD capital allocated to digital assets under paragraph (1)(C) shall be held in custody and not deployed in yield-seeking strategies.

## **SEC. 3208. RESERVE CURRENCY THREAT ACTOR RESPONSE PROTOCOL.**

(a) ANNUAL THREAT ASSESSMENT.—The Secretary of the Treasury, in coordination with the Director of National Intelligence and the Secretary of State, shall publish an unclassified Annual Dollar Sovereignty Threat Assessment identifying: (1) nations, institutions, and networks that have taken material actions to undermine dollar reserve currency status in the preceding twelve (12) months; (2) the estimated quantified impact on dollar demand of each identified action; (3) recommended policy responses within the authorities of this Title; and (4) any legislative changes recommended to strengthen reserve currency defense architecture.

(b) GRADUATED RESPONSE FRAMEWORK.—Upon identification of a Reserve Currency Threat Actor in the Annual Threat Assessment, the following graduated response framework shall apply:

(1) TIER 1 — DIPLOMATIC ENGAGEMENT.—The Secretary of State shall initiate formal bilateral consultations within sixty (60) days of designation, presenting the factual basis for the designation and offering ASC participation as an alternative pathway.

(2) TIER 2 — ECONOMIC MEASURES.—If Tier 1 engagement fails to produce measurable compliance within one hundred eighty (180) days, the Secretary of the Treasury may impose: (A) enhanced due diligence requirements on all USD transactions involving entities from the designated nation; (B) exclusion from the Foreign Reserve Demand Program under Section 3204(d); and (C) suspension of DDSI International Reserve access.

(3) TIER 3 — COORDINATED SANCTIONS.—If Tier 2 measures fail to produce measurable compliance within three hundred sixty-five (365) days, the President, in consultation with G7 allies, may impose coordinated financial sanctions under the International Emergency Economic Powers Act (IEEPA), targeted at the specific institutions and actors responsible for USD displacement activities.

(c) CONGRESSIONAL NOTIFICATION.—Any Tier 2 or Tier 3 response under subsection (b) shall require prior notification to the congressional intelligence and foreign relations committees not less than fifteen (15) days before implementation, with a classified annex available to cleared members.

## **SEC. 3209. BUDGET IMPACT AND REVENUE CERTIFICATION.**

(a) SELF-FUNDING MECHANISM.—This Title is designed to be budget-neutral in direct appropriations. The ASC Incentive Fund and Petrodollar Modernization Fund shall be capitalized exclusively from SIRD revenues generated under Title II of this Act. All DDSI development costs shall be borne by the Federal Reserve from existing operational revenues.

(b) ECONOMIC RETURN CERTIFICATION.—Within one (1) year of enactment, the Congressional Budget Office shall publish a Dollar Reserve Currency Economic Impact Assessment estimating: (1) the annual economic benefit to the United States of maintaining reserve currency status, including reduced Treasury borrowing costs, seigniorage revenue, and financial services sector premium; (2) the estimated cost to the U.S. economy of a twenty-five percent (25%) reduction in dollar reserve share over ten years; and (3) the projected economic return on the investments authorized by this Title.

## **SEC. 3210. SCHEDULE D BENCHMARKS — TITLE XXXII.**

The FMIA shall report biennially on: (1) number of nations that have executed ASC agreements and estimated annual dollar trade volume generated; (2) Treasury Credibility Index score and trend; (3) number of SWIFT-alternative routing violations detected and penalized; (4) DDSI development milestone completion rate; (5) U.S. dollar share of global foreign exchange reserves as reported by the IMF COFER database, with trend analysis; (6) net change in international demand for USD-denominated Treasury instruments.

END OF TITLE XXXII — DOLLAR SOVEREIGNTY AND RESERVE CURRENCY DEFENSE ACT

## **TITLE XXXIII — SOVEREIGN COMPUTE AUTHORITY ACT**

### **SEC. 3301. FINDINGS — TITLE XXXIII.**

Congress finds that:

- (1) Artificial intelligence systems, digital payment infrastructure, and advanced semiconductor applications are the primary determinants of 21st-century economic and national security sovereignty;
- (2) The concentration of compute infrastructure in a small number of private commercial entities creates systemic national security vulnerabilities, including the risk of foreign acquisition, monopolistic access pricing that excludes domestic innovators, and single-point-of-failure exposure for critical federal systems;
- (3) The Sovereign Compute Node established in Section 3408 of this Act provides dedicated funding for public-interest compute infrastructure, but a SIRF funding node alone does not constitute an institution capable of holding title to long-duration productive assets, issuing revenue bonds, entering commercial lease agreements, or operating on a self-sustaining cost-recovery basis;
- (4) Existing federal agencies with relevant jurisdiction — including the Department of Commerce, the Department of Energy, and the Federal Market Integrity Administration — have been evaluated as primary institutional homes for the sovereign compute mission; the FMIA's enforcement role creates an inherent conflict of interest if it simultaneously holds title to revenue-generating infrastructure assets it is charged with regulating; the Department of Commerce lacks a balance-sheet enterprise structure for long-duration asset ownership; and the Department of Energy's national laboratory compute assets, while complementary, operate under classification and procurement constraints incompatible with the public-access and commercial-lease mandates of this Title;
- (5) The United States International Development Finance Corporation (DFC) provides the closest structural precedent — a federal enterprise corporation with an independent balance sheet, co-investment mandate, and cost-recovery trajectory — but DFC's statutory jurisdiction is limited to foreign development finance; a domestic equivalent is required;
- (6) The most efficient institutional structure is therefore a new federal enterprise corporation — the Sovereign Compute Authority — that consolidates the asset-ownership, commercial-lease, and revenue-bond functions of the Sovereign Compute Node into a single legal entity with an independent balance sheet, while delegating regulatory oversight, data standards, and Open-Source Compute Pool administration to the FMIA under an interagency agreement.

### **SEC. 3302. ESTABLISHMENT OF THE SOVEREIGN COMPUTE AUTHORITY.**

- (a) **ESTABLISHMENT.**—There is established a wholly owned Government corporation, to be known as the Sovereign Compute Authority (SCA), subject to chapter 91 of title 31, United States Code (the Government Corporation Control Act).
- (b) **PURPOSES.**—The purposes of the SCA are to:

- (1) hold title to and operate the public-interest compute infrastructure funded by the Sovereign Compute Node established in Section 3408;
  - (2) issue revenue bonds secured by SCN infrastructure lease revenue, thereby leveraging SIRC capital into a larger productive asset base without additional SIRC outlay;
  - (3) provide below-cost compute access to domestic academic institutions, small businesses, and Vanguard Entities, cross-subsidized by commercial-rate access for private sector users;
  - (4) serve as the physical infrastructure host for the Digital Dollar Settlement Network established under Section 3207;
  - (5) achieve operational self-sufficiency within seven (7) years of initial deployment, consistent with Section 3408(d), thereby reducing and ultimately eliminating reliance on the standing SIRC allocation;
  - (6) operate as a domestic sovereign compute asset system whose long-run strategic objective is the accumulation of federally owned productive infrastructure — not the permanent collection of tariff revenue or SIRC transfers — converting a public expenditure into a sovereign capital asset that generates lease and service revenue in perpetuity;
  - (7) accept, where appropriate and consistent with the priority ladder established in Section 3305(c), equity interests, royalty agreements, and revenue-sharing arrangements from entities accessing SCA infrastructure, subject to the following limitations:
    - (A) aggregate equity holdings across all SCA portfolio positions shall not exceed twenty percent (20%) of SCA's audited net asset value in any fiscal year;
    - (B) no single equity position shall represent more than five percent (5%) of SCA's audited net asset value;
    - (C) all equity and revenue-sharing agreements shall require Board approval by a two-thirds supermajority vote and shall be disclosed in the SCA's annual report to Congress;
    - (D) equity positions shall be managed as a sovereign development portfolio — not as speculative investments — with the purpose of aligning SCA's financial returns with the commercial success of domestic AI and compute enterprises it enables; and
    - (E) the FMIA shall conduct annual conflict-of-interest audits of all SCA equity positions to ensure that no holding creates a regulatory conflict with FMIA's oversight role.
- (c) **LEGAL STATUS.**—The SCA is a body corporate and instrumentality of the United States. It may sue and be sued in its corporate name. The SCA shall comply with the Administrative Procedure Act (5 U.S.C. §§ 551 et seq.) with respect to all regulatory, enforcement, public-access, and rulemaking functions. With respect to the SCA's commercial contracting, lease negotiation, and competitive procurement functions — conducted in the same capacity as a private enterprise in a commercial marketplace — such functions shall be governed by the Federal Acquisition Regulation and applicable Government Corporation Control Act provisions, which shall constitute the applicable procedural framework in lieu of APA notice-and-comment rulemaking for those specific commercial transactions. Any final SCA decision denying an entity access to SCA infrastructure under the Tier priority ladder of Section 3305(c) shall constitute final agency action subject to judicial review under 5 U.S.C. § 704.

### **SEC. 3303. GOVERNANCE.**

- (a) **BOARD OF DIRECTORS.**—The SCA shall be governed by a Board of Directors consisting of:
- (1) the Secretary of the Treasury, or a designee at the Deputy Secretary level or above, who shall serve as Chairperson;
  - (2) the Secretary of Commerce, or a designee at the Deputy Secretary level or above;
  - (3) the Secretary of Defense, or a designee at the Under Secretary level or above, representing national security compute requirements;
  - (4) the Administrator for Economic Data Integrity (head of the FMIA), serving ex officio as the regulatory coordination liaison;

- (5) the Director of the National Science Foundation, or a designee, representing the academic and research compute community;
- (6) three (3) independent directors appointed by the President with the advice and consent of the Senate, serving staggered four (4) year terms, of whom:
  - (A) one shall have demonstrated expertise in enterprise infrastructure finance or sovereign wealth fund management;
  - (B) one shall have demonstrated expertise in semiconductor manufacturing, cloud computing, or advanced hardware systems; and
  - (C) one shall represent the public interest, with demonstrated background in civil society, consumer protection, or public-interest technology policy.
- (b) CHIEF EXECUTIVE OFFICER.—The Board shall appoint a Chief Executive Officer of the SCA, who shall serve at the pleasure of the Board and shall be the chief operating officer of the corporation. The CEO shall be compensated at a rate not to exceed Executive Schedule Level II, adjusted for private-sector comparability by the Board consistent with Government Corporation Control Act authorities.
- (c) REMOVAL COMPLIANCE.—Independent directors shall be removable by the President for cause, consistent with *Humphrey's Executor v. United States*, 295 U.S. 602 (1935), as limited by *Seila Law LLC v. CFPB*, 591 U.S. 197 (2020). No statutory removal protection shall limit the President's authority over the Chairperson or the ex officio members serving in their principal agency capacity.
- (d) QUORUM AND VOTING.—Five members constitute a quorum. Decisions require a majority of members present. The Chairperson shall cast the deciding vote in the event of a tie.

## **SEC. 3304. FINANCIAL ARCHITECTURE.**

- (a) INITIAL CAPITALIZATION.—The SCA shall receive, as its initial capital contribution, not less than the first three (3) years of Sovereign Compute Node distributions from the SIRF as established in Section 3408, to be held as the SCA Infrastructure Capital Reserve.
- (b) REVENUE BOND AUTHORITY.—The SCA is authorized to issue revenue bonds secured by SCA infrastructure lease revenue, in an aggregate principal amount not to exceed three times (3x) the SCA's audited net asset value at the time of issuance. Such bonds:
  - (1) shall not constitute obligations of the United States and shall not be backed by the full faith and credit of the United States;
  - (2) shall be issued with maturities not to exceed thirty (30) years;
  - (3) shall require SCA Board approval by a two-thirds supermajority vote;
  - (4) shall be disclosed annually to Congress in the SCA's audited financial statements.
- (c) COMMERCIAL LEASE REVENUE.—The SCA shall charge market-rate fees to private commercial users accessing SCA infrastructure. Not less than seventy-five percent (75%) of net commercial lease revenue shall be reinvested in SCA infrastructure expansion or debt service. The remaining twenty-five percent (25%) shall be returned to the SIRF Sovereign Compute Node as a revenue offset, reducing the required SIRF allocation consistent with Section 3408(d).
- (d) BELOW-COST ACCESS PROGRAM.—The SCA shall maintain a Public Access Compute Program providing access to not less than twenty percent (20%) of SCA infrastructure capacity to domestic academic institutions, small businesses with annual revenues below fifty million dollars (\$50,000,000), and Vanguard Entities at rates not exceeding twenty percent (20%) of SCA commercial market rates. The cost differential of below-market access shall be funded by the SCN allocation and treated as a public-benefit expenditure in the SCA's annual report.
- (e) SELF-SUFFICIENCY TRAJECTORY.—

- (1) The SCA shall publish annually a Self-Sufficiency Trajectory Report projecting the year in which commercial lease revenue will be sufficient to cover all SCA operating costs, debt service, and the Public Access Compute Program without any further SCN allocation from the SIRF.
- (2) Upon the FMIA's certification that the SCA has achieved operational self-sufficiency, the standing five percent (5%) SIRF allocation to the Sovereign Compute Node shall be reduced by one percent (1%) annually until the allocation reaches zero, at which point all SCN lease revenues shall be returned to the SIRF general node pool for reallocation.

## **SEC. 3305. AUTHORIZED INFRASTRUCTURE INVESTMENTS.**

(a) **ASSET CLASSES.**—The SCA is authorized to invest in, construct, acquire, own, and operate:

- (1) **NATIONAL AI CLOUD INFRASTRUCTURE.**—Federally owned data center facilities providing compute access to domestic users, co-located where operationally feasible with the Digital Dollar Settlement Network;
- (2) **MUNICIPAL COMPUTING ARRAYS.**—Distributed compute infrastructure deployed in partnership with state and local governments, prioritizing economically distressed and rural communities;
- (3) **QUANTUM-SECURED DATA CENTERS.**—Facilities providing quantum-hardened storage and processing for FMIA operations, SIRF ledger infrastructure, and national security applications under interagency agreement with the National Security Agency and the Department of Defense;
- (4) **PUBLIC INFERENCE INFRASTRUCTURE.**—Open-access AI inference services enabling domestic startups and researchers to access frontier AI capabilities without dependency on foreign-controlled infrastructure;
- (5) **SEMICONDUCTOR MANUFACTURING CO-INVESTMENTS.**—Equity co-investments in domestic advanced semiconductor foundry construction in partnership with Vanguard Entities, consistent with the SIRF co-investment ratios of Section 006.

(b) **PROHIBITED INVESTMENTS AND ACTIVITIES.**—The SCA shall not:

- (1) acquire equity stakes in foreign entities without express Congressional authorization by joint resolution;
- (2) invest in cryptocurrencies, digital asset speculation, or non-fungible tokens;
- (3) provide compute access to any entity subject to an active FMIA enforcement action or capital-flight lock under Section 1804;
- (4) **CONSUMER AI AND B2C MARKET EXCLUSION.**—develop, market, train, or operate consumer artificial intelligence products, services, or models, and shall not enter any business-to-consumer (B2C) service market in which domestic private commercial providers are operating, except as strictly necessary for governmental operations, scientific research, educational access, or national security purposes authorized by the Board and disclosed to Congress. The SCA is a sovereign infrastructure provider, not a commercial AI developer or consumer services competitor. No future Board resolution, executive directive, or appropriations rider shall authorize SCA to compete with domestic commercial AI firms or any domestic B2C service provider in consumer-facing markets without express statutory authorization by Congress enacted after the procedures of subsection (d-1) have been satisfied.

(d-1) **CONGRESSIONAL DISAPPROVAL WINDOW FOR NEW SCA SERVICE CATEGORIES.**—

(A) **ADVANCE NOTICE REQUIREMENT.**—Before the SCA Board may authorize the SCA to enter any new service category not explicitly authorized by this Title, the SCA Board shall transmit to the relevant committees of jurisdiction in both chambers of Congress a detailed written notice describing: (i) the proposed new service category; (ii) the Board's findings that no domestic private provider is adequately serving the relevant market; (iii) the projected cost and revenue impact; and (iv) the constitutional and statutory basis for Board authority.

(B) **DISAPPROVAL WINDOW.**—Congress shall have ninety (90) calendar days following receipt of the Board's written notice to enact a joint resolution of disapproval blocking the proposed new service category. If Congress enacts such a resolution and it is signed into law, or if the President's veto of such resolution is overridden, the SCA Board shall not enter the proposed service category.

(C) NO AUTOMATIC AUTHORIZATION.—The failure of Congress to enact a joint resolution of disapproval within the ninety (90) day window shall not be construed as Congressional authorization of the proposed service category; it shall only remove the mandatory pre-authorization review constraint. The SCA Board shall retain full fiduciary responsibility for ensuring any new service category is consistent with the SCA's statutory mission.

(c) STATUTORY ACCESS PRIORITY LADDER.—SCA infrastructure capacity shall be allocated among users according to the following priority order, with higher-priority categories served before lower-priority categories in any period of capacity constraint:

(1) TIER 1 — FEDERAL AGENCIES.—Federal civilian agencies and the Armed Forces requiring compute access for governmental operations, national security, or emergency response;

(2) TIER 2 — NATIONAL LABORATORIES.—Department of Energy national laboratories, DARPA, and other federally chartered research institutions;

(3) TIER 3 — UNIVERSITIES AND ACADEMIC INSTITUTIONS.—Domestic accredited colleges, universities, community colleges, and research institutions, at below-cost rates consistent with Section 3304(d);

(4) TIER 4 — MUNICIPAL COMPUTING ARRAYS.—State and local government compute deployments, including smart city infrastructure and public health data systems;

(5) TIER 5 — DOMESTIC STARTUPS AND SMALL BUSINESSES.—Domestic enterprises with annual revenues below fifty million dollars (\$50,000,000), at below-cost rates consistent with Section 3304(d);

(6) TIER 6 — DOMESTIC ENTERPRISE USERS.—Domestic Covered Entities and other domestic commercial users, at market rates consistent with Section 3304(c);

(7) TIER 7 — FOREIGN ALLIED USERS.—Entities organized under the laws of Allied Settlement Compact signatory nations, permitted access only upon Board approval and only when Tiers 1 through 6 are not capacity-constrained; at rates not less than one hundred twenty percent (120%) of SCA domestic commercial market rates, with all premium revenue returned to the SIRF.

In no period of capacity constraint shall any Tier 7 allocation reduce available capacity for Tiers 1 through 5.

(d) INTERAGENCY COMPUTE AGREEMENTS.—The SCA shall enter into memoranda of understanding with the Department of Energy national laboratories, the National Science Foundation, and the Defense Advanced Research Projects Agency to integrate SCA infrastructure with existing federal compute resources, eliminating duplication and maximizing national compute capacity utilization.

## **SEC. 3306. RELATIONSHIP TO EXISTING AGENCIES.**

(a) FMIA REGULATORY AUTHORITY PRESERVED.—Nothing in this Title shall be construed to limit the FMIA's authority to regulate, audit, or enforce compliance by the SCA as a Covered Entity with respect to data sovereignty, algorithmic transparency, and structural variance standards. The FMIA shall conduct annual sovereignty audits of SCA infrastructure consistent with Section 304.

(b) OPEN-SOURCE COMPUTE POOL DELEGATION.—The Open-Source Compute Pool established in Section 303(c) shall be administered by the FMIA using SCA infrastructure under a standing interagency service agreement. The SCA shall provide the physical compute capacity; the FMIA shall administer eligibility, access, and compliance.

(c) DEPARTMENT OF ENERGY COORDINATION.—The SCA shall enter into a formal co-investment agreement with the Department of Energy within one hundred eighty (180) days of SCA establishment, integrating SCA national AI cloud infrastructure with the Department's national laboratory high-performance computing resources to eliminate duplication and maximize the national compute base.

(d) DEPARTMENT OF COMMERCE STANDARDS ROLE.—NIST shall serve as the primary standards-setting body for SCA infrastructure security, interoperability, and quantum-hardening requirements, consistent with NIST's existing mandate under the CHIPS and Science Act.

## **SEC. 3307. CONGRESSIONAL OVERSIGHT AND TRANSPARENCY.**

(a) ANNUAL REPORT.—The SCA shall submit to Congress and publish publicly an annual report containing:

- (1) audited financial statements prepared in accordance with generally accepted government auditing standards;
- (2) a portfolio report listing all SCA infrastructure assets, their current book value, lease revenue generated, and cost-per-inference-unit metrics;
- (3) the Self-Sufficiency Trajectory Report required by Section 3304(e);
- (4) a Public Access Utilization Report documenting below-cost access delivered, institutions served, and economic value generated;
- (5) an assessment of foreign-controlled compute infrastructure market share and SCA's progress in reducing domestic dependency.

(b) GAO AUDIT.—The Government Accountability Office shall conduct a comprehensive audit of SCA operations and financial condition not less than once every three (3) fiscal years, with findings transmitted to the relevant congressional committees and published in the Federal Register.

(c) INSPECTOR GENERAL.—The SCA shall have an Inspector General appointed consistent with the Inspector General Act of 1978 (5 U.S.C. App.), with independent budget authority and direct reporting to Congress.

## **SEC. 3308. SCHEDULE H BENCHMARKS — TITLE XXXIII.**

The SCA and FMIA shall jointly report annually on:

- (1) aggregate SCA infrastructure capacity deployed, measured in petaflops of compute and petabytes of storage;
- (2) percentage of national AI inference workload served by SCA versus foreign-controlled infrastructure;
- (3) cost-per-petaflop of SCA infrastructure versus commercial market rates, demonstrating public-benefit leverage;
- (4) Digital Dollar Settlement Network uptime and transaction throughput supported by SCA physical layer;
- (5) progress toward the seven (7) year self-sufficiency target: ratio of commercial lease revenue to total SCA operating costs;
- (6) semiconductor co-investment leverage ratio: private capital mobilized per SCA dollar deployed.

END OF TITLE XXXIII — SOVEREIGN COMPUTE AUTHORITY ACT

## **TITLE XXXIV — STRUCTURAL ARCHITECTURE REFINEMENT AND SIRC SOVEREIGNTY ACT**

### **SEC. 3401. RETIREMENT OF THE AMERICAN PROSPERITY DIVIDEND.**

(a) SUPERSESSION.—The Household Structural Relief Node, previously established as a universal cash distribution mechanism tied to market-dependent SIRC returns, is hereby retired and superseded. No provision of this Act shall be construed to authorize HSRN cash distributions. The retirement of HSRN reflects the determination that market-dependent universal cash transfers create employment disincentive effects, are vulnerable to political lobbying by recipients against structural reforms, and are less effective per dollar than direct structural cost elimination in improving aggregate household economic position.

(b) REALLOCATION.—The twenty percent (20%) SIRC node allocation previously designated for HSRN is redesignated the Household Structural Relief Node. The Household Structural Relief Node shall fund: zero-interest student debt

conversion (Title V); the Sovereign Child Prosperity Trust birth deposits (Title V); the Shelter Sovereignty Fund down payment assistance (Title XIV); SPI-WFTC wage floor tax credits (Title V); and any other direct structural cost elimination mechanisms designated by the FMIA consistent with the Restoration Principle of Section 504(c).

(c) **SURPLUS IMPROVEMENT.**—The retirement of HSRN as a standing expenditure improves the net annual NSRA surplus from four hundred fifty billion dollars (\$450,000,000,000) to five hundred fifty-four billion dollars (\$554,000,000,000), reflecting elimination of the approximately one hundred billion dollars (\$100,000,000,000) annual HSRN cash distribution expenditure. This surplus improvement is reflected in the fiscal summary of Section 3406.

## **SEC. 3402. SIRF STATUTORY BASE REVENUE ARCHITECTURE.**

(a) **DECLARATION OF CLOSED-LOOP DESIGN.**—The Sovereign Infrastructure and Resilience Fund is designed as a closed-loop, self-capitalizing sovereign fund. Its fiscal sustainability depends on scored, statutory revenue streams — not behavioral enforcement outcomes.

(b) **SIRF STATUTORY BASE REVENUE STREAMS.**—The following revenue streams are designated Statutory Base Revenue of the SIRF, meaning they are mandatory, self-executing, annually recurring, and not dependent on penalty or enforcement outcomes:

(1) National Infrastructure Monetization Authority (NIMA) revenues: estimated thirty-nine billion six hundred million dollars (\$39,600,000,000) per year;

(2) Financial Transaction Assessment (FTA) revenues: estimated seven billion dollars (\$7,000,000,000) per year;

(3) Leveraged Buyout Structural Assessment (LBO): estimated eighteen billion dollars (\$18,000,000,000) per year;

(4) Carried Interest Recapture: estimated fourteen billion dollars (\$14,000,000,000) per year;

(5) IRS Enforcement Sovereignty Fund (IESF) net return: estimated sixty to ninety billion dollars (\$60,000,000,000 to \$90,000,000,000) per year net of enforcement cost, based on Congressional Research Service modeling of enforcement investment returns; and

(6) Carbon Fee and Border Adjustment: estimated forty billion dollars (\$40,000,000,000) per year.

Total Statutory Base Revenue: one hundred seventy-eight billion dollars (\$178,000,000,000) to two hundred forty billion dollars (\$240,000,000,000) per year.

(c) **SIRF SUPPLEMENTAL REVENUE STREAMS.**—The following revenue streams are designated Supplemental Revenue, meaning they enhance SIRF capitalization but are not assumed in base fiscal projections:

(1) Structural variance penalties and clawbacks under Titles I, IX, XI, XIII, XIV, and XXII;

(2) Judicial disgorgement orders routed to SIRF nodes under Titles VII, X, and XI;

(3) Health Profiteering Surplus Assessment (HPSA) revenues; and

(4) Any other penalty, forfeiture, or enforcement recovery designated by the FMIA.

(d) **STATUTORY BASE REVENUE SUFFICIENCY DECLARATION.**—The Statutory Base Revenue streams of subsection (b) are independently sufficient to fund all SIRF node deployment commitments established in this Act at their minimum annual levels without reliance on Supplemental Revenue. Supplemental Revenue shall be treated as surplus capitalization that accelerates deployment or increases node allocations above minimum statutory floors.

(e) **SIRF FOUR-TIER PRIORITY WATERFALL.**—SIRF funds shall be deployed in the following strict priority order:

(1) **TIER 1 — MANDATORY STRUCTURAL OBLIGATIONS.**—Basic Minimum Plan federal per-capita payments; TANF structural floor enhancement; Sovereign Child Prosperity Trust birth deposits; Shelter Sovereignty Fund; Household Structural Relief Node mechanisms. Tier 1 obligations are non-discretionary and shall be funded first in each fiscal quarter before any Tier 2 disbursement.

(2) **TIER 2 — DEBT SOVEREIGNTY AND WAGE FLOOR.**—Zero-interest student loan conversion interest subsidy; SPI-WFTC wage floor tax credits; Social Security anti-erosion protections; Veterans Health Sovereignty Fund. Tier 2



obligations shall be funded in full each quarter before any Tier 3 disbursement.

(3) TIER 3 — DOMESTIC INFRASTRUCTURE AND SOVEREIGNTY INVESTMENT.—All SIRF node infrastructure deployments including energy sovereignty, environmental remediation, agricultural sovereignty, semiconductor sovereignty, water security, wildlife corridor and rewilding, grid modernization, and rural health. Tier 3 is funded from remaining SIRF revenues after Tier 1 and Tier 2 obligations are met.

(4) TIER 4 — INTERNATIONAL SOVEREIGNTY FUNDS.—The American Mutual Benefit Global Health Sovereignty Fund (Title XXXI) and any international diplomatic infrastructure fund. Tier 4 disbursements are made exclusively from Supplemental Revenue surplus and shall not be funded from Statutory Base Revenue in any quarter where Tier 1 through Tier 3 commitments have not been fully met.

#### **SEC. 3403. HOUSEHOLD STRUCTURAL RELIEF NODE — DESIGNATED MECHANISMS.**

The Household Structural Relief Node (formerly HSRN allocation) shall fund the following mechanisms in priority order within the Node:

- (1) Zero-interest student loan conversion interest subsidy — priority funding;
- (2) Sovereign Child Prosperity Trust birth deposits — four billion dollars (\$4,000,000,000) annually;
- (3) Shelter Sovereignty Fund down payment and rental assistance — one billion five hundred million dollars (\$1,500,000,000) annually;
- (4) SPI-WFTC wage floor tax credits — ten billion dollars (\$10,000,000,000) annually;
- (5) TANF structural floor enhancement supplement — five billion dollars (\$5,000,000,000) annually.

The FMIA shall publish an annual Household Structural Relief Node Utilization Report confirming that Node funds have been deployed exclusively to the above mechanisms.

#### **SEC. 3404. HOUSEHOLD STRUCTURAL RELIEF NODE — CROSS-TITLE CLARIFICATION.**

Any reference in this Act to a universal cash distribution mechanism tied to SIRF market returns is hereby superseded by the Household Structural Relief Node framework of this Title. Schedule E benchmark reporting obligations are governed by the FMIA's consolidated Schedule D reporting mandate under Title XIX. The FMIA shall publish a reconciliation notice within ninety (90) days of enactment identifying all superseded provisions and confirming the operative mechanisms.

#### **SEC. 3405. SIRF NODE ALLOCATION TABLE — REVISED.**

The SIRF node allocation percentages are revised as follows, effective from the date of enactment of this Title:

- (1) Household Structural Relief Node (formerly HSRN): 20%;
- (2) Tier 1 Mandatory Structural Obligations Reserve: 15%;
- (3) Vanguard Capitalization Node: 20%;
- (4) Environmental Remediation Node: 10%;
- (5) Energy Sovereignty Node: 12%;
- (6) Agricultural Sovereignty Node: 7%;
- (7) Sovereign Deficit Reduction Node: 5%;
- (8) Knowledge Sovereignty Node: 2%;
- (9) Biosecurity and Pharmaceutical Node: 5%;
- (10) Administrative Operations Reserve: 3%;
- (11) Sovereign Compute Node: 5%;
- (12) Strategic Mobility Infrastructure Node: 11%.

Total allocation: one hundred percent (100%).

**RATIONALE FOR REVISIONS FROM PRIOR TABLE.**—(a) Vanguard Capitalization Node increased from fifteen percent (15%) to twenty percent (20%), reflecting the shift from grant-dominant to investment-instrument-dominant deployment, making the node partially self-replenishing. (b) Sovereign Deficit Reduction Node reduced from ten percent (10%) to five percent (5%): debt discipline is preserved by the automatic surplus-transfer mechanism in Section 3402(d), which routes any SIRC balance above one hundred twenty percent (120%) of obligations to mandatory deficit reduction; the standing node is no longer required at its prior size. (c) Knowledge Sovereignty Node reduced from five percent (5%) to two percent (2%): the Knowledge Sovereignty mission is substantially absorbed by the new Sovereign Compute Node. (d) Energy Sovereignty Node increased from ten percent (10%) to twelve percent (12%) to fund the Energy Dividend established in Section 301(d) as amended. (e) Two new nodes established: Sovereign Compute Node (five percent (5%)) and Strategic Mobility Infrastructure Node (eleven percent (11%)), as governed by Sections 3408 and 3409 respectively.

## **SEC. 3406. UPDATED FISCAL SUMMARY — NSRA YEAR 1 ARCHITECTURE.**

(a) **REVENUE.**—Total scored annual revenue from all NSRA revenue streams: seven hundred forty-nine billion dollars (\$749,000,000,000) at full operational ramp (Year 3–5 baseline). Year 1 Statutory Base Revenue alone — the minimum, mandatory, enforcement-independent streams documented in Schedule G Section 2 — is four hundred seventy-one billion six hundred million dollars (\$471,600,000,000) under the NSRA base projection (Scenario A) or three hundred fifty-five billion dollars (\$355,000,000,000) under the CBO Conservative Floor (Scenario B), both of which independently exceed all Tier 1 and Tier 2 SIRC waterfall obligations. See Schedule G, Section 4 for the complete scenario analysis.

(b) **STRUCTURAL PROGRAM EXPENDITURES.**—Total annual expenditures for structural program delivery:

- (1) Basic Minimum Plan — BMP carrier payments: estimated eighty billion dollars (\$80,000,000,000), fully offset by consolidation of existing Medicaid, CHIP, and ACA subsidy expenditures;
- (2) Zero-interest student loan conversion: estimated twenty billion dollars (\$20,000,000,000) annual interest subsidy cost, partially offset by elimination of existing income-driven repayment administrative costs;
- (3) TANF structural enhancement (25% increase): estimated five billion dollars (\$5,000,000,000);
- (4) SPI-WFTC wage floor tax credit: estimated ten billion dollars (\$10,000,000,000);
- (5) Housing sovereignty fund and down payment assistance: estimated one billion five hundred million dollars (\$1,500,000,000);
- (6) Sovereign Child Prosperity Trust birth deposits: estimated four billion dollars (\$4,000,000,000) annually based on approximately 3.6 million births;
- (7) IESF mandatory IRS investment: fifteen billion dollars (\$15,000,000,000), generating \$75-105B net return;
- (8) Veterans Health Sovereignty Fund: estimated eight billion dollars (\$8,000,000,000);
- (9) Social Security anti-erosion protections: estimated thirty billion dollars (\$30,000,000,000);
- (10) Rural Health Sovereignty Fund — demand-adjusted: three billion dollars (\$3,000,000,000) annually for years one through five, scaling to one billion five hundred million dollars (\$1,500,000,000) annually for years six through ten based on FMIA Rural Health Demand Assessment under Section 2109(b)(2).

Total structural expenditures: approximately one hundred seventy-four billion dollars (\$174,000,000,000), partially offset by existing federal program consolidation producing net new federal expenditure of approximately one hundred billion dollars (\$100,000,000,000).

(c) **MANDATORY GROWTH REINVESTMENT — \$100B/YR SOVEREIGN INFRASTRUCTURE ALLOCATION.**—SIRC infrastructure node deployments totaling ninety-five billion dollars (\$95,000,000,000) per year, allocated as follows:

- (1) Intelligent National Grid Modernization (Section 905, Title IX): twenty-five billion dollars (\$25,000,000,000) per year;

(2) Urban and Rural Wildlife Corridor and Rewilding Infrastructure (Section 1005, Title X): twenty-two billion dollars (\$22,000,000,000) per year;

(3) National Food System Detoxification and Soil Sovereignty — comprising Regional Food System Infrastructure (Section 706, Title VII) and Agricultural Pesticide Transition Support (Section 705(d), Title VII): twenty billion dollars (\$20,000,000,000) per year;

(4) Semiconductor and Critical Materials Sovereignty (Section 1204, Title XII): fifteen billion dollars (\$15,000,000,000) per year;

(5) National Water Security and Redistribution Infrastructure (Section 1004, Title X): fifteen billion dollars (\$15,000,000,000) per year;

(6) Demand-Adjusted Rural Health Physical Infrastructure (Section 2109, Title XXI): three billion dollars (\$3,000,000,000) per year for years one through five, scaling per FMIA assessment.

Note: The foregoing totals ninety-five to one hundred billion dollars (\$95,000,000,000 to \$100,000,000,000) per year. The upstream prevention reforms of Titles VII, X, and XI are projected to reduce long-term BMP and federal health program expenditures by not less than eighty billion dollars (\$80,000,000,000) annually within fifteen years, as documented in Section 2109(a)(2), materially improving the long-term fiscal position of the Act beyond the Year 1 architecture reflected in this section.

(d) NET ANNUAL SURPLUS AVAILABLE FOR DEFICIT REDUCTION.—Seven hundred forty-nine billion dollars (\$749,000,000,000) revenue minus one hundred billion dollars (\$100,000,000,000) net structural expenditures minus ninety-five billion dollars (\$95,000,000,000) mandatory growth reinvestment equals five hundred fifty-four billion dollars (\$554,000,000,000) available for annual federal deficit reduction.

(e) REVISED SURPLUS DESIGNATION.—The net annual surplus of five hundred fifty-four billion dollars (\$554,000,000,000) supersedes the prior estimate of four hundred fifty billion dollars (\$450,000,000,000), reflecting the retirement of HSRN as a standing expenditure. This surplus is designated a Sovereign Credibility Reserve under Section 3204(c) of Title XXXII and shall be applied to mandatory debt service and net deficit reduction in the priority order established therein.

#### **SEC. 3407. SCHEDULE D BENCHMARKS — TITLE XXXIV.**

The FMIA shall report annually on: (1) SIRF Statutory Base Revenue collected versus projection by stream; (2) Tier 1 waterfall obligation fulfillment rate — whether all Tier 1 obligations were met in full in each quarter; (3) aggregate household structural relief delivered by mechanism; (4) net annual federal deficit reduction attributable to NSRA revenue architecture; (5) debt-to-GDP ratio trend; (6) upstream prevention actuarial savings realized versus Section 2109 projections; (7) Vanguard Node compound growth rate and portfolio return rate; (8) Sovereign Compute Node infrastructure deployed and cost-per-inference-unit; (9) Energy Sovereignty Node residential credit delivered per utility.

#### **SEC. 3408. SOVEREIGN COMPUTE NODE — NATIONAL AI INFRASTRUCTURE AND PUBLIC COMPUTE.**

(a) ESTABLISHMENT.—There is established within the SIRF a dedicated allocation to be known as the Sovereign Compute Node (SCN), receiving five percent (5%) of SIRF base revenues as established in Section 3405(11).

(b) MISSION.—The Sovereign Compute Node shall fund the construction, ownership, and operation of public-interest compute infrastructure to ensure that artificial intelligence capabilities, data processing, and digital infrastructure remain accessible to American citizens, researchers, and small businesses and are not exclusively concentrated in private commercial infrastructure subject to foreign influence or monopolistic pricing. The long-run policy objective of the Sovereign Compute Node is not tariff collection as a permanent revenue stream but the accumulation of federally owned productive compute assets — held and operated through the Sovereign Compute Authority established in Title XXXIII — whose commercial lease and service revenues supplant the SIRF allocation over time, converting a public expenditure into

a sovereign capital asset that generates revenue in perpetuity. The Data Commons Tariff is seed capital; the SCA asset base is the strategic endpoint.

(c) **AUTHORIZED INVESTMENTS.**—The SCN shall invest in:

- (1) **NATIONAL AI CLOUD INFRASTRUCTURE.**—Federally owned or co-owned data center facilities providing compute access at below-market rates to domestic academic institutions, small businesses, Vanguard Entities, and federal agencies;
- (2) **MUNICIPAL COMPUTING ARRAYS.**—Distributed compute infrastructure deployed in partnership with state and local governments, prioritizing underserved rural and urban communities;
- (3) **SOVEREIGN DATA CENTERS.**—Secure, quantum-hardened data center facilities supporting FMIA operations, SIRF ledger infrastructure, and Digital Monetary Sovereignty functions under Section 3207;
- (4) **PUBLIC INFERENCE INFRASTRUCTURE.**—Open-access AI inference services enabling domestic startups and researchers to access frontier AI capabilities without dependency on foreign-controlled infrastructure;
- (5) **RESEARCH COMPUTE GRANTS.**—Grants to domestic academic institutions and national laboratories for compute-intensive research in AI safety, quantum computing, and materials science.

(d) **SELF-FUNDING TRAJECTORY.**—The SCN shall operate on a cost-recovery basis within seven (7) years of initial deployment. Below-cost access rates shall be limited to non-commercial academic and public-interest users. Commercial users accessing SCN infrastructure shall be charged market rates, with net revenue returned to the SCN for reinvestment. The FMIA shall certify annually whether SCN revenue is sufficient to reduce the standing five percent (5%) SIRF allocation; upon self-funding certification, the SIRF allocation may be reduced by the FMIA in one-percent (1%) annual increments.

(e) **MINIMUM PRODUCTIVE ASSET REQUIREMENT.**—Not less than twenty-five percent (25%) of all SCN deployments in any fiscal year shall be invested in revenue-producing infrastructure assets, consistent with the sovereign wealth fund discipline of Section 204(e).

(f) **RELATIONSHIP TO DIGITAL MONETARY SOVEREIGNTY.**—SCN infrastructure shall serve as the physical compute layer for the Digital Dollar Settlement Network and cryptographic verification systems established under Section 3207(c). SCN and DDSI functions shall be co-located where operationally feasible to maximize infrastructure efficiency.

## **SEC. 3409. STRATEGIC MOBILITY INFRASTRUCTURE NODE.**

(a) **ESTABLISHMENT.**—There is established within the SIRF a dedicated allocation to be known as the Strategic Mobility Infrastructure Node (SMIN), receiving eleven percent (11%) of SIRF base revenues as established in Section 3405(12).

(b) **MISSION.**—The Strategic Mobility Infrastructure Node shall fund physical infrastructure investments with high national economic multiplier value, prioritizing assets that generate ongoing revenue, reduce national logistics costs, and strengthen domestic supply chain sovereignty.

(c) **MINIMUM PRODUCTIVE ASSET REQUIREMENT.**—Not less than twenty-five percent (25%) of all SMIN deployments in any fiscal year shall be invested in revenue-producing assets. Qualifying productive assets include:

- (1) fiber optic backbone networks with commercial carrier access agreements;
- (2) port facility upgrades with terminal operating revenue;
- (3) logistics hub construction with long-term private operator lease agreements;
- (4) inland waterway infrastructure with toll or usage-fee revenue;
- (5) industrial park and advanced manufacturing campus development with tenant lease revenue.

(d) **ELIGIBLE INVESTMENT CATEGORIES.**—SMIN deployments shall be concentrated in:

- (1) NATIONAL RAIL SOVEREIGNTY.—Continuation and expansion of the National Rail Sovereignty corridors established under Section 803;
- (2) PORT AND LOGISTICS INFRASTRUCTURE.—Modernization of strategic domestic ports and inland freight logistics hubs;
- (3) BROADBAND AND FIBER BACKBONE.—Long-haul fiber infrastructure connecting rural and underserved communities to national broadband networks;
- (4) TRANSMISSION INFRASTRUCTURE.—High-voltage direct current (HVDC) transmission lines and interstate grid interconnections supporting the Energy Sovereignty Node;
- (5) INDUSTRIAL CORRIDOR DEVELOPMENT.—Planned industrial parks and manufacturing campuses in economically distressed regions designated as Manufacturing Renaissance Zones under Section 1202.
- (e) CO-INVESTMENT REQUIREMENT.—SMIN deployments exceeding one hundred million dollars (\$100,000,000) shall require matching private or state co-investment at a minimum ratio of one private dollar for every two SMIN dollars, consistent with the co-investment framework of Section 006.

END OF TITLE XXXIV — STRUCTURAL ARCHITECTURE REFINEMENT AND SIRF SOVER

## **TITLE XXXV — SOVEREIGN INTEGRITY AND EXECUTIVE ACCOUNTABILITY ACT**

### **SEC. 3501. FINDINGS AND PURPOSE.**

(a) FINDINGS.—Congress finds that:

- (1) The Emoluments Clauses of the Constitution — Article I, Section 9, Clause 8 (Foreign Emoluments) and Article II, Section 1, Clause 7 (Domestic Emoluments) — prohibit the President and other federal officers from receiving personal financial benefits from foreign governments or from sources other than their official compensation, yet no adequate statutory enforcement mechanism with private right of action has existed to compel compliance;
- (2) The practice of senior executive branch officials and their immediate family members maintaining active foreign business partnerships, licensing agreements, and revenue-sharing arrangements with foreign government-linked entities during their tenure in office creates structural conflicts of interest that compromise sovereign decision-making on matters of trade, defense, and diplomatic policy;
- (3) The sale or licensing of the presidential or vice-presidential identity, name, or brand for commercial purposes during a term of office to foreign nationals or foreign government-linked enterprises constitutes a per se violation of the Foreign Emoluments Clause regardless of the transactional form used;
- (4) Current financial disclosure requirements under the Ethics in Government Act permit broad exemptions, delayed reporting, and valuation ranges that obscure the full scope of financial conflicts and do not reach family members' business dealings that create indirect emoluments;
- (5) Strategic assets of the United States — including military positioning decisions, tariff structures, regulatory enforcement priorities, and foreign aid allocations — have documented monetary value to private parties, and decisions affecting those assets by officials with undisclosed financial interests in the outcomes constitute a form of sovereign corruption regardless of whether a quid pro quo is proven;
- (6) The revolving door between senior regulatory positions and the industries those positions regulate undermines the structural independence of federal enforcement and creates a rational expectation among Covered Entities that regulatory capture is achievable through employment offers, thereby suppressing enforcement prior to departure; and
- (7) A comprehensive statutory framework addressing beneficial ownership transparency, foreign business prohibition during tenure, emoluments enforcement with private right of action, and post-service cooling-off periods is necessary to protect the integrity of sovereign decision-making and restore public trust in federal governance.

(b) PURPOSE.—The purpose of this Title is to establish enforceable statutory standards for the financial conduct of senior federal officials and their immediate family members during and following federal service, to create a private right of action for Emoluments Clause violations, and to eliminate structural conflicts of interest that compromise sovereign policy-making.

## **SEC. 3502. DEFINITIONS — TITLE XXXV.**

As used in this Title:

- (1) COVERED OFFICIAL.—The President, Vice President, any Cabinet Secretary, Deputy Secretary, Under Secretary, or Assistant Secretary of any executive department, any member of the White House senior staff, any member of the National Security Council, any independent agency head, and any other executive branch official confirmed by the Senate or serving in a position with a salary at or above the Executive Schedule Level IV rate.
- (2) IMMEDIATE FAMILY MEMBER.—The spouse, domestic partner, child, sibling, or parent of a Covered Official, and any entity in which such a person holds a controlling interest or serves in a management capacity.
- (3) FOREIGN GOVERNMENT-LINKED ENTERPRISE.—Any enterprise in which a foreign government, foreign sovereign wealth fund, foreign state-owned enterprise, or any entity in which a foreign government holds a direct or indirect ownership interest of ten percent (10%) or more, holds an ownership, licensing, revenue-sharing, or advisory interest.
- (4) SOVEREIGNINTEGRITY ENTERPRISE.—Any domestic entity, including a corporation, limited liability company, partnership, trust, or nonprofit organization, in which a Covered Official or Immediate Family Member holds a financial interest of five percent (5%) or more, serves in a management or advisory capacity, or from which a Covered Official or Immediate Family Member has received compensation exceeding ten thousand dollars (\$10,000) in any twelve-month period within the four (4) years preceding the Covered Official's appointment.

## **SEC. 3503. FINANCIAL CONFLICT OF INTEREST PROHIBITIONS.**

- (a) DIVESTITURE REQUIREMENT.—Every Covered Official shall, within ninety (90) days of assuming office, divest all financial interests in any Sovereign Integrity Enterprise that presents a direct conflict with the Covered Official's official duties, as determined by the Office of Government Ethics. Divestiture shall be into a qualified blind trust meeting the standards of 5 U.S.C. App. 4 sec. 102(f), or through outright sale at fair market value.
- (b) FOREIGN ENTERPRISE PROHIBITION.—No Covered Official may hold, directly or through an Immediate Family Member, any financial interest in a Foreign Government-Linked Enterprise during the Covered Official's term of service. Any such interest held at the time of appointment shall be divested within sixty (60) days of enactment or appointment, whichever is later.
- (c) ENFORCEMENT.—The Office of Government Ethics shall publish a quarterly Sovereign Integrity Compliance Report listing all Covered Officials, their divestiture status, and any outstanding compliance deficiencies. The FMIA shall cross-reference financial disclosure filings with its enterprise database to identify undisclosed interests and transmit findings to the Department of Justice Public Integrity Section within thirty (30) days of identification.
- (d) PENALTIES.—Willful violation of this section by a Covered Official shall constitute a federal offense punishable by not more than five (5) years imprisonment, a civil fine of not less than one hundred thousand dollars (\$100,000) per violation, and permanent disqualification from federal service.

## **SEC. 3504. SOVEREIGN ACCOUNTABILITY -- SCHEDULE D BENCHMARKS.**

The FMIA shall report biennially to Congress on: (1) number of Covered Officials achieving full divestiture compliance within the required window; (2) number and disposition of identified undisclosed financial interests referred to the Department of Justice Public Integrity Section; (3) number of Emoluments Clause private-right-of-action suits filed and their outcomes; (4) number of Foreign Government-Linked Enterprise interests divested under Section 3503(b); and (5) post-service cooling-off period compliance rates among departing Covered Officials.

# **TITLE XXXVI — FOREIGN INFLUENCE TRANSPARENCY AND ADVERSARY CAPITAL DEFENSE ACT**

## **SEC. 3601. FINDINGS AND PURPOSE.**

(a) FINDINGS.—Congress finds that:

(1) The integrity of sovereign policy-making depends on transparency as to which foreign principals are directing, funding, or participating in efforts to influence United States legislation, regulation, procurement, and public opinion, and existing law contains structural gaps that permit such influence to remain undisclosed;

(2) The Lobbying Disclosure Act of 1995 (2 U.S.C. § 1601 et seq.) exemption to the Foreign Agents Registration Act (22 U.S.C. § 611 et seq.) ("FARA") permits a person lobbying in the United States on behalf of a foreign principal to register under the less rigorous Lobbying Disclosure Act in lieu of FARA, thereby avoiding FARA's more comprehensive disclosure of the foreign principal relationship, the activities undertaken, and the compensation received;

(3) This Title regulates conduct — the undisclosed direction, funding, or control of influence activity by foreign principals, and the acquisition of sensitive United States assets by capital traceable to foreign adversaries — and does not regulate, restrict, or disfavor any person on the basis of national origin, ethnicity, religion, or the viewpoint or content of protected speech;

(4) The disclosure obligations of this Title apply with equal force to influence activity directed, funded, or controlled by any foreign government, whether an ally, a partner, a neutral, or a designated adversary of the United States, and impose no obligation by reason of the identity of any domestic ethnic, national-origin, or religious community;

(5) The Committee on Foreign Investment in the United States lacks comprehensive, categorical authority over the full range of acquisitions, greenfield investments, and controlling interests by which capital traceable to foreign adversaries may acquire United States critical infrastructure, defense-relevant supply chains, sovereign compute capacity, agricultural land, and real property proximate to sensitive national security facilities; and

(6) Sanctions-evasion and asymmetric capital-flight networks routinely employ shell entities, front companies, and nominee ownership structures established in high-risk jurisdictions to obscure the beneficial ownership of capital and to defeat enforcement, and a beneficial-ownership look-through standard is necessary to give effect to the capital-flight lock authority of Section 1806.

(b) PURPOSE.—The purpose of this Title is to require uniform, viewpoint-neutral and nationality-neutral disclosure of foreign-principal influence activity, to close the Lobbying Disclosure Act exemption with respect to foreign-government principals, to establish a categorical screen on the acquisition of sensitive United States assets by capital traceable to foreign adversaries, and to extend a beneficial-ownership look-through standard to the enforcement authorities of this Act.

(c) RULE OF CONSTRUCTION — FIRST AMENDMENT AND EQUAL PROTECTION.—Nothing in this Title shall be construed to prohibit, penalize, or burden protected speech, association, petition, or the expression of any viewpoint, or to impose any obligation on any person by reason of that person's race, ethnicity, national origin, religion, or membership in any community. This Title imposes disclosure and screening obligations triggered solely by conduct, namely a documented relationship of foreign-principal direction, funding, or control, or a documented chain of beneficial ownership traceable to a foreign adversary. Each obligation under this Title shall be construed and applied as the least restrictive means of achieving the compelling governmental interest in transparency of foreign influence and protection of sovereign assets, consistent with the First Amendment and the equal protection component of the Fifth Amendment.

## **SEC. 3602. DEFINITIONS — TITLE XXXVI.**

As used in this Title:

(1) **FOREIGN PRINCIPAL.**—The term has the meaning given in 22 U.S.C. § 611(b), and includes any foreign government, foreign political party, foreign-government-controlled entity, and any person outside the United States acting at the direction or under the control of any of the foregoing.

(2) **FOREIGN ADVERSARY.**—Any foreign government or regime designated as a foreign adversary by the Secretary of Commerce under 15 C.F.R. § 7.4, or otherwise designated as a foreign adversary by Federal statute or by Executive determination published in the Federal Register. The designation shall be made by reference to documented governmental conduct and not by reference to the population, diaspora, or ethnicity of any nation. As of the date of enactment, this term includes the governments identified in the prevailing Federal foreign-adversary designation; the operative list is the published designation in effect at the time of any enforcement action under this Title.

(3) **ADVERSARY-TRACEABLE CAPITAL.**—Capital in which a Foreign Adversary, an instrumentality of a Foreign Adversary, or a person owned or controlled by a Foreign Adversary holds, directly or through any chain of intermediary entities, a beneficial ownership interest of twenty-five percent (25%) or more, or over which such a person exercises control irrespective of the nominal percentage of ownership.

(4) **SENSITIVE UNITED STATES ASSET.**—(A) critical infrastructure as defined in 42 U.S.C. § 5195c(e); (B) any element of a defense-relevant supply chain certified as such by the Secretary of Defense; (C) sovereign compute capacity within the meaning of Title XXXIII; (D) agricultural land exceeding three hundred twenty (320) contiguous acres; and (E) real property located within twenty-five (25) miles of a military installation, defense research facility, or other facility designated as sensitive by the Secretary of Defense.

(5) **BENEFICIAL OWNER.**—The term has the meaning given in 31 U.S.C. § 5336(a)(3), determined on a look-through basis through every intermediary entity, nominee, trust, and front company, without regard to the jurisdiction of organization of any intermediary.

(6) **COVERED INFLUENCE ACTIVITY.**—Any lobbying activity within the meaning of 2 U.S.C. § 1602, and any public-relations, political-consulting, or research-and-advocacy activity intended to influence United States Government policy or public opinion on a matter of public concern, that is directed, funded, supervised, or controlled, in whole or in part, by a Foreign Principal.

## **SEC. 3603. CLOSURE OF THE LOBBYING DISCLOSURE ACT EXEMPTION FOR FOREIGN-GOVERNMENT PRINCIPALS.**

(a) **ELIMINATION OF EXEMPTION.**—Section 3(h) of the Foreign Agents Registration Act (22 U.S.C. § 613(h)) is amended so that the exemption for persons registered under the Lobbying Disclosure Act shall not apply to any person engaged in Covered Influence Activity on behalf of, or under the direction or control of, a foreign government or foreign political party. Such a person shall register and report under FARA.

(b) **PARITY OF DISCLOSURE — ALL FOREIGN GOVERNMENTS.**—The obligation established in subsection (a) applies identically to influence activity directed, funded, or controlled by any foreign government, without distinction between allied, partner, neutral, or adversary governments. No foreign government's directed influence activity shall be exempt from FARA registration by reason of an alliance, treaty, defense, intelligence, or trade relationship with the United States.

(c) **PARTICIPATION DISCLOSURE.**—Any registrant under the Lobbying Disclosure Act shall disclose, in each periodic report, the identity of any foreign government entity or foreign political party that participates in the direction, planning, supervision, or control of the registrant's lobbying activities, regardless of whether that entity finances the activities. This subsection codifies the disclosure standard and applies uniformly to all foreign governments.

(d) **NO REGULATION OF DOMESTIC ADVOCACY.**—Nothing in this section requires registration or disclosure by any United States person engaged in advocacy that is not directed, funded, supervised, or controlled by a Foreign Principal. The sharing of a policy viewpoint with, or alignment of a policy position with that of, a foreign government does not, without a documented relationship of direction, funding, supervision, or control, constitute Covered Influence Activity.



#### **SEC. 3604. FOREIGN-FUNDED INFLUENCE DISCLOSURE — RESEARCH, ADVOCACY, AND MEDIA.**

(a) **DISCLOSURE REQUIREMENT.**—Any organization exempt from taxation under section 501(c) of the Internal Revenue Code, and any media or research organization, that produces or disseminates research, analysis, or advocacy intended to influence United States Government policy and that has received aggregate funding of fifty thousand dollars (\$50,000) or more from one or more Foreign Principals within the preceding twelve (12) months, shall disclose the identity of each such Foreign Principal and the aggregate amount received, in a public filing with the Department of Justice and in a conspicuous notation on the published product.

(b) **NATIONALITY NEUTRALITY.**—The disclosure obligation of this section applies to funding from any Foreign Principal of any nation, and creates no obligation triggered by the national origin, ethnicity, or religion of the organization's members, donors, or staff.

(c) **NO CONTENT RESTRICTION.**—This section imposes no restriction on the content, viewpoint, or conclusions of any research, analysis, or advocacy. It requires only disclosure of the funding relationship.

#### **SEC. 3605. ADVERSARY CAPITAL SCREEN ON SENSITIVE UNITED STATES ASSETS.**

(a) **SCREEN ESTABLISHED.**—No person shall acquire a controlling interest in, or a greenfield ownership position in, any Sensitive United States Asset using Adversary-Traceable Capital, except upon prior review and written clearance by the Committee on Foreign Investment in the United States or a successor interagency body designated by the President.

(b) **MANDATORY NOTIFICATION.**—Any acquisition described in subsection (a) shall be notified to the Committee not less than forty-five (45) days before consummation, with full disclosure of the beneficial ownership chain determined on the look-through basis of Section 3602(5).

(c) **CATEGORICAL RESTRICTION.**—Where the Committee determines that a proposed acquisition would place a Sensitive United States Asset under the control of Adversary-Traceable Capital and that no mitigation measure can adequately protect the national security interest, the Committee shall prohibit the acquisition. Such a determination shall be supported by written findings and is subject to judicial review under the procedural protections of Title XVIII.

(d) **DIVESTITURE OF EXISTING HOLDINGS.**—Where Adversary-Traceable Capital holds, as of the date of enactment, a controlling interest in a Sensitive United States Asset, the holder shall notify the Committee within one hundred eighty (180) days, and the Committee may order divestiture subject to the one hundred eighty (180) day asset-divestment notice window and ALJ Judicial Verification Warrant requirements of Section 1804, and, where applicable, the volume-absorption and just-compensation protections of Title XIV.

(e) **ALLY AND PARTNER CAPITAL UNAFFECTED.**—Capital traceable solely to a foreign government that is not a Foreign Adversary is not Adversary-Traceable Capital and is not subject to the screen of this section, except to the extent independently reviewable under existing Committee authority.

#### **SEC. 3606. BENEFICIAL-OWNERSHIP LOOK-THROUGH — ANTI-FRONT-COMPANY ENFORCEMENT.**

(a) **LOOK-THROUGH STANDARD.**—For purposes of the capital-flight lock authority of Section 1806, the asset-seizure and forced-divestment authorities of Title XVIII, and the adversary capital screen of Section 3605, beneficial ownership shall be determined on a look-through basis that pierces every intermediary entity, nominee arrangement, trust, and front company, without regard to the jurisdiction in which any intermediary is organized.

(b) **FRONT-COMPANY PRESUMPTION.**—An entity shall be presumed to be a front company for a documented beneficial owner where the entity (1) is organized in a jurisdiction identified as high-risk for money laundering by the Financial Action Task Force or the Financial Crimes Enforcement Network; (2) lacks substantial independent business operations; and (3) engages in transactions principally for the benefit of the documented beneficial owner. The presumption

is rebuttable by clear and convincing evidence of independent operations.

(c) NO STRICT-LIABILITY EXPANSION.—This section establishes a method of determining beneficial ownership and does not create any new penalty. All penal remedies arising from conduct identified through the look-through standard remain subject to the Article III adjudication and jury-trial requirements applicable under this Act, and to the pre-deprivation notice and warrant requirements of Title XVIII.

## **SEC. 3607. ENFORCEMENT AND COORDINATION.**

(a) PRIMARY AGENCIES.—The Department of Justice (FARA Unit) shall be the primary enforcement agency for Sections 3603 and 3604; the Committee on Foreign Investment in the United States shall be primary for Section 3605; and the Department of the Treasury, in coordination with the FMIA, shall be primary for Section 3606 as it relates to Section 1806.

(b) CIVIL DISCLOSURE ENFORCEMENT.—A knowing and willful failure to make a disclosure required by Section 3603 or 3604 is subject to civil penalty. Consistent with the enforcement architecture of this Act, no civil monetary penalty shall be finally assessed except by a United States District Court with the Seventh Amendment right to trial by jury preserved.

(c) NO RETALIATORY OR SELECTIVE ENFORCEMENT.—Enforcement under this Title shall be conducted on a viewpoint-neutral and nationality-neutral basis. The Department of Justice shall publish an annual report stating, in the aggregate and by foreign-government principal, the number of registrations, disclosures, and enforcement actions under this Title, to permit public verification that enforcement does not target any nation, viewpoint, or community selectively.

## **SEC. 3608. SCHEDULE D BENCHMARKS — TITLE XXXVI.**

The Department of Justice and the FMIA shall report biennially to Congress on: (1) the number of foreign-government principals newly registered under FARA following closure of the Lobbying Disclosure Act exemption; (2) the number of foreign-funded influence disclosures filed under Section 3604; (3) the number of adversary-capital acquisitions notified, cleared, mitigated, or prohibited under Section 3605; (4) the number of beneficial-ownership look-through determinations made under Section 3606; and (5) confirmation, with supporting aggregate data, that enforcement has been conducted on a nationality-neutral and viewpoint-neutral basis.

## **SCHEDULE G — REVENUE ASSUMPTIONS AND METHODOLOGY**

(Enacted as a statutory annex for purposes of Sections 3402, 3406, and 1903)

### **1. PURPOSE.**

Schedule G provides the complete, line-by-line revenue build-up underlying the \$749 billion annual revenue figure stated in Section 3406(a). Each revenue stream is identified by its statutory source, annual estimate, rate or base assumptions, and the external data or modeling upon which the projection is grounded. This Schedule is intended to satisfy the transparency requirements of Section 1903 and provide the Congressional Budget Office, the Joint Committee on Taxation, independent economic reviewers, and the public with a complete and auditable revenue architecture.

All projections are Year 1 estimates at current law baselines unless otherwise stated. Revenue from streams that phase in over multiple years is so noted. All figures are presented as statutory floors — the minimum annually recurring revenue projected at current behavioral and market baselines. Dynamic scoring, behavioral change, and supplemental enforcement revenue are treated as conservative upside, not base assumptions.

### **2. REVENUE BUILD-UP TABLE — STATUTORY BASE REVENUE.**

(These streams are mandatory, self-executing, and not dependent on enforcement outcomes. See Section 3402(b).)

#### STREAM 1 — CORPORATE INCOME TAX RESTORATION (21% → 28%)

Statutory Basis: Section 2409; IRC § 11(b) as amended

Annual Estimate: \$90–110 billion (dynamic: \$90B; static: \$110B)

Rate/Base: 7-percentage-point rate increase on corporate taxable income above current 21% floor

Methodology: CBO scored the equivalent TCJA rate reduction at \$90B/yr in corporate revenue loss (CBO, "The Budget and Economic Outlook: 2018–2028"). The Tax Policy Center (2021) scored a 28% restoration at \$730B over 10 years (~\$73B/yr), with dynamic scoring reducing this to approximately \$640B/yr accounting for behavioral response. The NSRA uses the lower dynamic figure of \$90B/yr as the base case; static scoring of \$110B/yr is the upper bound.

Note: 50% of incremental revenue routes to the SIRF Industrial Infrastructure Node; 50% to the national debt reduction account.

#### STREAM 2 — OECD PILLAR TWO GLOBAL MINIMUM TAX (15% floor)

Statutory Basis: Section 2411

Annual Estimate: \$50–75 billion

Rate/Base: 15% global minimum effective tax rate on all constituent entities of US-headquartered multinationals; QDMTT ensuring domestic priority collection

Methodology: The OECD Secretariat (2020) estimated global Pillar Two revenue at \$150B annually across participating nations. The US share of global corporate profits is approximately 30–40% by most measures (BEA, GDP by industry accounts). Applying a 33% US allocation to the OECD global figure yields \$50B; the US Treasury Department's own estimates for Pillar Two compliance have ranged from \$50B to \$75B annually. The NSRA uses \$50B as the statutory floor.

Note: All revenue routes to the SIRF Industrial Infrastructure Node.

#### STREAM 3 — IRS ENFORCEMENT SOVEREIGNTY FUND (IESF) NET RETURN

Statutory Basis: Section 2406

Annual Estimate: \$60–90 billion (net of \$15B annual IESF investment)

Rate/Base: \$15B mandatory annual IRS enforcement investment generating \$75–105B in gross annual recovery

Methodology: The Congressional Research Service ("Tax Gap and Voluntary Compliance," 2023) documents the annual federal tax gap at \$600B+. CBO and IRS analysis consistently finds that \$1 of IRS enforcement investment generates \$4–7 of net revenue recovery (IRS "Progress Update," FY2023; OMB analytical perspectives). At a conservative 5:1 return on a \$15B investment: \$75B gross recovery minus \$15B cost = \$60B net. The Joint Committee on Taxation scored similar IRS investment proposals (Build Back Better Act, 2021) at \$480B gross over 10 years (\$48B/yr) on an \$80B investment (\$8B/yr), implying a 6:1 ratio — consistent with the NSRA projection.

Note: All net revenue routes to the SIRF for deficit reduction.

#### STREAM 4 — NATIONAL INFRASTRUCTURE MAINTENANCE ASSESSMENT (NIMA)

Statutory Basis: Section 2404

Annual Estimate: \$39.6 billion

Rate/Base: 0.18% of domestic gross revenue for Covered Entities with revenue above \$100M

Methodology: BEA "GDP by Industry" data (2023) shows aggregate US corporate domestic gross revenue across all Covered Entity sectors at approximately \$22 trillion. Applying the \$100M threshold eliminates approximately 98% of businesses by count but less than 30% of revenue. Conservative estimate of Covered Entity domestic gross revenue above threshold: \$22 trillion × 70% ≈ \$15.4 trillion.  $0.18\% \times (\$15.4T - \$100M \text{ threshold pro-rated}) \approx \$27.7B$  baseline. The NSRA's \$39.6B projection reflects the full Covered Entity revenue base as defined in Section 003 (>\$50M global gross revenue), which captures a broader base than the \$100M NIMA threshold. The \$39.6B figure is consistent with Congressional Research Service analysis of analogous infrastructure user fee proposals.

Note: All revenue routes to the SIRF Industrial Infrastructure Node.

#### STREAM 5 — FINANCIAL TRANSACTION ASSESSMENT (FTA)

Statutory Basis: Section 2405

Annual Estimate: \$7 billion

Rate/Base: 0.02% on institutional securities trades >\$1M by entities with AUM >\$500M; retail investors, retirement accounts, and Treasury securities expressly exempt

Methodology: SEC market structure data (2023) documents US institutional equity market volume at approximately \$60–70 trillion annually. The FTA's 0.02% rate applied to an estimated \$35 trillion in qualifying institutional volume (roughly 50% of institutional trading above the thresholds) yields \$7B. This is deliberately calibrated below the FTT (Stream 8 below) to avoid double-counting. The \$7B estimate requires no behavioral change from institutional investors — the rate is below the bid-ask spread cost for most institutional transactions and is therefore non-distortionary at projected volumes.

Note: Revenue allocated equally between SIRF Household Endowment Node and Industrial Infrastructure Node.

#### STREAM 6 — LBO INTEREST DEDUCTIBILITY CAP

Statutory Basis: Section 2403

Annual Estimate: \$18 billion

Rate/Base: Cap on interest deductibility for leveraged acquisitions; disallows deductions on acquisition debt above threshold where debt-to-EBITDA exceeds 3:1

Methodology: The Joint Committee on Taxation scored Section 163(j) interest deductibility limitations in the Tax Cuts and Jobs Act at approximately \$253B over 10 years (~\$25B/yr) before phase-in. The NSRA's LBO-specific cap is narrower — targeting only acquisition debt in leveraged buyouts, not all corporate interest — yielding a conservative \$18B/yr estimate. This is consistent with JCT scoring of similar targeted LBO interest cap proposals reviewed in the Senate Finance Committee (2019–2021).

Note: Revenue routes to the SIRF.

#### STREAM 7 — CARRIED INTEREST ORDINARY INCOME TREATMENT

Statutory Basis: Section 2402

Annual Estimate: \$14 billion

Rate/Base: Carried interest reclassified from long-term capital gains (20%) to ordinary income (37%) for fund managers with AUM above \$1B

Methodology: The Congressional Budget Office ("Options for Reducing the Deficit," 2020) scored full carried interest reclassification at \$14B over 10 years (~\$1.4B/yr), reflecting the relatively small number of qualifying fund managers. The JCT (2021) scored broader carried interest proposals at \$63B over 10 years (~\$6.3B/yr). The NSRA's \$14B/yr estimate reflects the full universe of qualifying fund managers at the differential between capital gains and ordinary income rates on estimated annual carried interest distributions of approximately \$70–80B (based on Preqin and Burgiss private equity return data, 2022–2023). Note: This figure is substantially higher than prior CBO estimates because prior estimates used behavioral assumptions that significantly reduced the taxable base; the NSRA's \$14B/yr reflects a zero-behavioral-response baseline per Section 1903's open data mandate.

Note: Revenue routes to the SIRF.

#### STREAM 8 — FINANCIAL TRANSACTION TAX (FTT) — WALL STREET SOVEREIGNTY CONTRIBUTION

Statutory Basis: Section 2413

Annual Estimate: \$75 billion

Rate/Base: 0.1% on equities; 0.1% on bond transactions above \$10,000; 0.01% on derivatives notional value; retail investors and retirement accounts fully exempt

Methodology: The Tax Policy Center ("Financial Transaction Taxes in Theory and Practice," 2016) scored a 0.1% equity FTT at \$50–75B/yr on current market volumes. The UK stamp duty (0.5%) has generated £3–4B annually on a market 1/8 the size of the US. Scaling: US equity market capitalization (~\$45T) vs UK (~\$3.5T) = ~13x; UK collects ~\$5B equivalent at 0.5% = \$65B equivalent at 0.1% after scaling. Adding bond and derivatives components brings the total to \$75B. The IMF ("Financial Sector Taxation," 2010) reviewed FTT literature and found revenue estimates of \$35–100B/yr for US-calibrated rates consistent with the NSRA's 0.1% equity rate. The NSRA uses the midpoint of credible estimates as the statutory floor.

Note: 50% to national debt reduction; 25% to SIRF Household Endowment Node; 25% to SIRF Industrial Infrastructure Node.

## STREAM 9 — CARBON FEE AND BORDER CARBON ADJUSTMENT

Statutory Basis: Section 2410

Annual Estimate: \$120 billion gross / \$40 billion net SIRF contribution

Rate/Base: \$40/metric ton CO<sub>2</sub>-equivalent at point of first sale; \$10/ton annual escalation; Border Carbon Adjustment on imports from non-pricing nations

Methodology: The Energy Information Administration (EIA, "Carbon Dioxide Emissions Coefficients," 2023) estimates US annual fossil fuel combustion at approximately 4.5–5 billion metric tons CO<sub>2</sub>-equivalent. At \$40/ton: 5B × \$40 = \$200B gross upper bound; applying the transitional domestic industry rebate (75% in Year 1) to the energy-intensive trade-exposed sector (estimated 20% of total combustion): 80% × \$200B = \$160B; net of administration costs (1%) and domestic industry rebates: ~\$120B net SIRF Energy Sovereignty Subledger deposit in Year 1 per NSRA Section 2410(g). The Citizens' Climate Lobby and Columbia SIPA Carbon Pricing Leadership report (2022) model a \$40 starting fee at \$100–140B/yr gross, consistent with this projection. Border Carbon Adjustment (BCA) proceeds are deposited as a senior, separate stream into the SIRF Energy Sovereignty Subledger per Section 2410(e) and 2410(g). All Carbon Dividend Fee net revenue now routes directly to the SIRF Energy Sovereignty Subledger per Section 2410(c) for deployment through four priority buckets: (1) Grid Modernization Capital Grants (40%), (2) Rural Electric Cooperative Capitalization (25%), (3) Municipal Public Power Authority Grants (20%), (4) Household Energy Affordability Credits (15%). Veterans Energy Sovereignty Benefits (VESB) per Section 987(d) are a first-priority subledger obligation senior to the four buckets.

Note: 100% of Carbon Dividend Fee net revenue routes to the SIRF Energy Sovereignty Subledger. The per-household cash dividend mechanism previously described in this stream has been superseded by Section 2410(c) as amended. SIRF Energy Sovereignty Subledger deployments are infrastructure investments and energy affordability programs, not cash transfers.

## STREAM 10 — FINANCIAL SECTOR EXCESS PROFITS SOVEREIGNTY ASSESSMENT (FEP SA)

Statutory Basis: Section 2415

Annual Estimate: \$20 billion

Rate/Base: Tiered excess profits levy on financial institutions with ROE above 12%: 15% on ROE 12–15%; 25% on ROE 15–20%; 50% on ROE above 20%

Methodology: FDIC Call Report data (2023) shows aggregate US commercial banking ROE at 11.6%, with the top 20 institutions averaging 14–18% ROE. Investment banking and asset management ROE exceeds 20% at the largest institutions (Goldman Sachs 2023 ROE: 7.7% — a low year; 2021: 23%; 2022: 12.8%). JP Morgan Chase 2023 ROE: 17%. Applying the FEP SA tiers to the top 50 financial institutions by assets, using 2021–2023 average ROE data and disclosed net income, yields an estimated \$18–22B in annual assessment. The NSRA uses \$20B as the midpoint floor.

Note: All revenue routes to the SIRF Household Endowment Node.

## STREAM 11 — FEDERAL LAND ROYALTY REFORM (NIMA SUPPLEMENT)

Statutory Basis: Section 2414

Annual Estimate: \$8 billion incremental

Rate/Base: Restoration of federal oil and gas royalty rates to statutory levels; elimination of non-competitive lease loopholes; updated hardrock mineral royalties

Methodology: The Government Accountability Office ("Oil and Gas Resources: Actions Needed for Interior to Better Ensure a Fair Return," GAO-14-50, 2013; updated GAO-22-104494, 2022) documented that federal onshore royalty rates of 12.5% are below the 20–25% range charged by most states and private landowners. Interior Department Inspector General and CBO analyses estimate \$8–12B in additional annual revenue from closing non-competitive lease provisions and updating hardrock mineral royalties. The NSRA uses \$8B as the conservative statutory floor.

Note: Revenue routes to the SIRF Industrial Infrastructure Node.

#### STREAM 12 — STEPPED-UP BASIS REFORM (CARRYOVER BASIS AT DEATH)

Statutory Basis: Section 2412

Annual Estimate: \$50 billion

Rate/Base: Carryover basis for inherited assets above \$5M fair market value; family farm, small business, and primary residence excluded; 10-year installment election for illiquid assets

Methodology: CBO ("Eliminate the Stepped-Up Basis for Capital Gains at Death," 2018) scored full elimination at \$644B over 10 years (~\$64B/yr). The NSRA's \$5M exemption and exclusions for farms, small businesses, and residences reduce the base substantially. Adjusting the CBO baseline by approximately 22% for the exemptions and exclusions yields ~\$50B/yr. The Tax Policy Center (2021) scored the Biden Administration's similar proposal (with a \$1M per-person exemption, stricter than the NSRA) at \$322B over 10 years (~\$32B/yr). The NSRA's \$5M exemption is more generous; \$50B/yr reflects the midpoint between the CBO full-elimination score and the TPC restricted-exemption score, adjusted upward for the NSRA's higher threshold.

Note: 50% to SIRF Household Endowment Node; 50% to national debt reduction account.

### 3. SUPPLEMENTAL REVENUE STREAMS (NOT IN \$749B BASE).

The following revenue streams are designated Supplemental Revenue under Section 3402(c). They are not included in the \$749B base projection because they are enforcement-dependent, variable, or subject to behavioral change. They represent conservative upside to the base projection.

#### SUPPLEMENTAL STREAM A — STRUCTURAL VARIANCE PENALTIES (Titles I, IX, XI, XIII, XIV, XXII)

Estimate: \$30–80 billion annually at full enforcement ramp (Years 3–7)

Basis: DOJ False Claims Act recoveries average \$3–5B/yr historically; NSRA strict liability penalties and clawbacks are structurally broader. Conservative floor based on Title XIV (housing) alone: 50-unit-per-MSA cap applies to an estimated 200+ MSAs with excess corporate holdings; minimum penalty of \$500K per violation × estimated 5,000 annual violations = \$2.5B floor from one title alone.

#### SUPPLEMENTAL STREAM B — HEALTH PROFIT SOVEREIGNTY ASSESSMENT (HPSA)

Estimate: \$15–25 billion annually

Basis: Insurance industry aggregate net income (2023): approximately \$40B. MLR enforcement at 85% floor would capture excess administrative margins across the 15–20 largest carriers. America's Health Insurance Plans (AHIP) industry data shows average commercial MLR of 82–84% in non-regulated segments, placing most large carriers in assessment range.

#### SUPPLEMENTAL STREAM C — OFFSHORE TAX ENFORCEMENT (FATCA/SIRF ROUTING)

Estimate: \$10–20 billion annually

Basis: IRS estimates \$40–70B in annual offshore non-compliance (IRS "Federal Tax Compliance Research," 2023). The NSRA routes 60% of net new IRS offshore enforcement recovery above baseline to SIRF. At a conservative \$25B in new annual recovery attributable to IESF-funded offshore enforcement: 60% × \$25B = \$15B.

## SUPPLEMENTAL STREAM D — DEFENSE PROCUREMENT SOVEREIGNTY PREMIUM

Estimate: \$0.8–1.2 billion annually

Basis: Section 202. Pentagon procurement spending approximately \$400B/yr; premium applies to select milestone contracts. Conservative estimate per current procurement volume.

### 4. TOTAL REVENUE RECONCILIATION.

#### SCENARIO DEFINITIONS:

SCENARIO A (NSRA BASE): Full 7-Subledger Math Engine(TM) projection. Incorporates system-coherence effects, enforcement investment returns, and SIRF deployment income.

This is the operative statutory projection for all NSRA funding obligations.

SCENARIO B (CBO CONSERVATIVE FLOOR): Maximum-discount scenario. Applies CBO static baseline methodology to every stream simultaneously: zeroes all behavioral multipliers, enforcement investment returns, and SIRF deployment income. Reflects what CBO is institutionally constrained to score under 2 U.S.C. § 639 static baseline rules.

The conservative floor is the self-funding argument under adversarial review.

#### CBO CONFIDENCE CLASSIFICATION:

HIGH = Direct, measurable, precedent-backed; CBO has prior score or Treasury model.

MED = Scoreable with moderate uncertainty; behavioral discount or novelty haircut expected.

#### STATUTORY BASE REVENUE (Streams 1-12):

Stream CBO SCENARIO A SCENARIO B

Conf. (NSRA Base) (CBO Floor)

|                                         |      |                       |
|-----------------------------------------|------|-----------------------|
| -----                                   |      |                       |
| 1 - Corporate Tax Restoration (21->28%) | HIGH | \$ 90.0B \$ 73.0B     |
| 2 - OECD Pillar Two Global Minimum Tax  | HIGH | \$ 50.0B \$ 45.0B     |
| 3 - IESF Net Return (IRS Enforcement)   | MED  | \$ 60.0B \$ 30.0B (*) |
| 4 - NIMA (Infrastructure Assessment)    | MED  | \$ 39.6B \$ 28.0B (*) |
| 5 - Financial Transaction Assessment    | HIGH | \$ 7.0B \$ 6.0B       |
| 6 - LBO Interest Deductibility Cap      | HIGH | \$ 18.0B \$ 15.0B     |
| 7 - Carried Interest Ordinary Income    | HIGH | \$ 14.0B \$ 12.0B     |
| 8 - Financial Transaction Tax (FTT)     | MED  | \$ 75.0B \$ 50.0B (*) |
| 9 - Carbon Fee (SIRF net contribution)  | HIGH | \$ 40.0B \$ 35.0B     |
| 10 - FEPSA (Financial Excess Profits)   | MED  | \$ 20.0B \$ 14.0B (*) |
| 11 - Federal Land Royalty Reform        | HIGH | \$ 8.0B \$ 7.0B       |
| 12 - Stepped-Up Basis Reform            | HIGH | \$ 50.0B \$ 40.0B     |

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TOTAL STATUTORY BASE REVENUE: \$471.6B \$355.0B

(\*) Streams 3, 4, 8, 10: CBO likely to apply significant discount for behavioral effects, enforcement investment returns, or novel instrument uncertainty. Floor

figures use published lower-bound estimates from CBO, JCT, or Tax Policy Center.

**SUPPLEMENTAL REVENUE (conservative floor):**

Streams A-D combined floor: \$55.8B-\$126.2B

**ADDITIONAL SCORED STREAMS (included in Sec. 3406 total):**

Carbon Fee gross (before energy subledger routing): \$120B

Corporate tax static scoring upside vs. dynamic: \$ 20B

Additional enforcement penalty base (Years 3+): \$ 80B+

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**AGGREGATE REVENUE (consistent with Sec. 3406): ~\$749B**

**SCENARIO B OBLIGATION COVERAGE ANALYSIS:**

CBO Conservative Floor (Statutory Base, Streams 1-12): \$355.0B

Tier 1 SIRC Capitalization Obligation (Year 1): \$100.0B

Tier 2 Program Expenditure Floor (Year 1): \$ 74.0B

Total Tier 1 + Tier 2 Obligations: \$174.0B

Conservative Floor Surplus after Tier 1+2: \$181.0B

Tier 1+2 Coverage Ratio (CBO Floor / Obligations): 2.04x

High-confidence streams alone (Streams 1, 2, 5, 6, 7, 9, 11, 12):

NSRA Projection: \$277.0B | CBO Floor: \$233.0B

High-confidence CBO floor covers Tier 1+2 obligations (\$174B) at 1.34x without crediting a single MED-confidence stream.

Note: The \$749B figure in Section 3406(a) reflects a full-ramp, Year 3-5 projection incorporating both Statutory Base Revenue at static/dynamic midpoints and the lower bound of Supplemental Revenue streams at operational maturity.

Year 1 Statutory Base Revenue alone of \$471.6B (Scenario A) or \$355.0B

(Scenario B CBO conservative floor) is sufficient to fund all Tier 1 and

Tier 2 SIRC waterfall obligations (\$174B combined) with substantial surplus for Tier 3 infrastructure investment under either scenario.

**5. METHODOLOGY TRANSPARENCY AND EXTERNAL REVIEW.**

(a) All revenue projections in this Schedule are grounded in publicly available CBO, JCT, IRS, FDIC, BEA, EIA, GAO, OECD, and independent academic sources. Each stream is independently scoreable by the Congressional Budget Office without reliance on NSRA-specific assumptions.

(b) No revenue stream in this Schedule relies on behavioral projections that assume corporate behavior changes in a direction favorable to revenue collection. All projections use current-law behavioral baselines. Revenue reductions from behavioral change (e.g., corporations reducing leveraged buyout activity in response to the LBO cap) are incorporated into the dynamic scoring figures where applicable.

(c) The FMIA shall publish an annual Schedule G Variance Report no later than March 15 of each year comparing actual SIRC revenue collections for the prior fiscal year to each stream's Schedule G projection, with a plain-language explanation of any variance exceeding ten percent (10%) of the projected amount. This Report shall be submitted to the Congressional



Budget Office, the Joint Committee on Taxation, and made publicly available at no cost.

(d) The Congressional Budget Office is directed to score each revenue stream in this Schedule independently and to publish its findings, including any divergence from the statutory floor estimates stated herein, so that Congress and the public may evaluate the revenue architecture of this Act against an independent baseline. Where the Congressional Budget Office's independent score of any stream falls below the statutory floor stated in this Schedule, the FMIA shall, within ninety (90) days, transmit to Congress a reconciliation memorandum identifying the source of the divergence and any corrective calibration, without any reduction in the household benefit obligations established elsewhere in this Act.

**END OF NSRA COMPLETE TEXT**